Britannia Industries Ltd. (BRITANNIA)

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Call: Aug 2022

11th August , 2022

1. The Secretary
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street
Fort, Mumbai - 400 023

2. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051

Dear Sir/Madam,
Sub: Transcript of Analyst Call for the quarter ended 3 0th June , 2022
Ref: Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclose d the transcript of analyst call held on 4th August , 2022 in re spect of Unaudited Standalone and Consolidated Financial Results f or the quarter ended 30th June , 2022.

The transcript of the analyst call is also available on the Company's website at
http://britannia.co.in/pdfs/Presentations/Q1 -23-Analyst -call-transcript.pdf

This is for your information and records.

Yours faithfully,
For Britannia Industries Limited

T.V. Thulsidass
Company Secretary
Membership No.: A20927

Encl: As Above

"Britannia Industries Limited Q1 FY-23 Earnings
Conference Call"

August 04, 2022

MANAGEMENT : MR. VARUN BERRY – MANAGING DIRECTOR,
BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR &
CFO, BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF SALES OFFICER,
BRITANNIA INDUSTRIES LIMITED

MR. AMIT DOSHI – CHIEF MARKETING OFFICER,
BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF PROCUREMENT OFFICER,
BRITANNIA INDUSTRIES LIMITED
MR. SUDHIR NEMA – CHIEF DEVELOPMENT & QUALITY
OFFICER, BRITANNIA INDUSTRIES LIMITED
MR. MAYANK MUNDRA – INVESTOR RELATIONS ,
BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen good day and welcome to Britannia Industries Limited Q1 FY23 Earnings Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded. I now hand the conference over to Mr. Mayank Mundra from Britannia Industries. Thank you and over to you sir.

Mayank Mundra: Thanks Nirav. Hello everyone. This is Mayank from the Investor Relations Team. I welcome you all to the Britannia Earnings Call to discuss the Financial Results of Q1 '22-23. Joining us today on this Earnings Call is our Managing Director – Mr. Varun Berry, Executive Director and CFO – Mr. N. Venkataraman, Chief Sales Officer – Mr. Vipin Kataria, Chief Marketing Officer – Mr. Amit Doshi, Chief Procurement Officer – Mr. Manoj Balgi and Chief Development and Quality Officer – Mr. Sudhir Nema.

The Analyst Deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbor statement in the presentation. Over to Mr. Varun Berry with remarks on the performance.

Varun Berry: Good evening, everyone. Welcome to the Britannia Analysts Call.

I would jump into the deep end, if you were to go to Page #3, this is the story of the last six quarters and it doesn't paint a great picture from inflation standpoint. So, if you see Q1 has been from a consumer food price inflation which is published at about 8%. The US dollar has strengthened versus the Indian rupee but getting to the bakery industry, I think this is one industry which has faced the brunt of inflation during this quarter because wheat has been the single largest inflation for us. If you notice we've had inflation if you compare it or index it to Q3 of 2021, we've had an 80% inflation on wheat. Similarly on palm oil there's been a 90% inflation. The only difference is that on wheat the difference between Q4 of '21-22 and Q1 of '22-23 it's gone from a 50% inflation to a 80% inflation while palm oil has gone from 80% to a 90% inflation. So, wheat is really the largest part of the inflation that we have seen. The only good news is that towards the end of the quarter it's come down to a lower level than what we saw during the quarter. So which points towards a fact that maybe as we move forward things could ease up a bit.

Similar numbers on the next page, if you were to look at same six quarters, if you look at how the inflation has moved from Q4 '21-22 to Q1 of '22-23, you'll again see that there are certain ingredients, certain raw materials which are particular to the bakery industry. So, wheat flour has gone up considerably. Similarly packaging material and industrial fuels have gone up considerably. So, the key commodities are up and that's what we've seen. But hopefully things will come under control as we go up as we go through the balance of the year. The numbers are on top of the slide, basically wheat flour is a 20% quarter-on-quarter, industrial fuel is 15% quarter-on-quarter and palm oil is a 5% quarter-on-quarter which in effective terms is about 180

crores of inflation in this quarter alone. How would we manage this, clearly our weapons continue to be the same. There is no alternative to price increases and we continue to take price increases. Second is obviously our cost optimization program. We've taken necessary price increases which are really not covering inflation at this point in time but a good part of this will be covered by Q2 of this year. Cost efficiency programs as you are aware, we used to do about 2% of revenues. This year we are looking at doing approximat

ely 3% of revenues which will
accrue to our P&L this year.

Moving on to the next slide which is slide #6; we have delivered consistent top-line growth and that continues. We have delivered market share gains for almost 36 quarters now. That also continues despite the fact that as market leaders we've taken the pricing before everyone else which proves that we have the capability of charging a premium on all of our competitors. Our revenue on a 12-month basis has grown by 9%, operating profits are down 11% because of what I just explained to you and market share continues to move forward in a positive way.

Moving to the next slide; this is a slide that you've seen every quarter and every time on our earning call. The five planks that we have for driving profitable growth - distribution and marketing, heightened innovation, developing and nurturing the adjacency business, enhancing our competitiveness in everything that we do and sustainability. I will cover these in a little more detail as I go forward. Coming to the first which is distribution; rural has been moving well for us while we hear differently from other companies. We have done well on distribution. Just to remind you, for us general trade is the most profitable part of our business and hence driving that is very-very critical. As far as rural is concerned now we have 27,000 rural distributors. Our growths in rural are 1.5x what our growths in all India are. Second the organized trade which has taken a hit during the COVID days has continued to move upwards. It moved from 20% to 21%, at plus 2% in terms of contribution and saliency and now it's moved even further by another 200 basis points as far as saliency is concerned. Our e-commerce business has moved to 8X of what it used to be in Quarter 1 of 2020. It's large enough, it's over 2.5% of our total revenues. We've embarked on a journey to make sure that we do this the right way. We partnered with a consultant who helped us structure this in a way that we ran it efficiently. That's helped us quite a bit in the last quarter.

On marketing activities, I have Amit here with me. We have had some very exciting product launches and some very exciting marketing campaigns as well. We've also leveraged digital quite well. I'll request Amit to comment on these slides.

Amit Doshi: Hi everyone. Good evening. As Varun said we've had quite a few interesting initiatives and especially for our new products. If you look at the top of the chart, we launched Biscafe which is propositioned as a perfect accompaniment to coffee. We see coffee culture growing and that's a big part of beverage consumption today and this was our first digital only launch. We see Biscafe again reaching out to millions of coffee lovers. We had an interesting initiative in the east where we've launched Golmaal. This is the part of the market with differentiated crackers

are growing very well and this is a regional product where we again leveraged regional celebrities in a really very creative way.

On the health end, we launched the NutriChoice seeds, NutriChoice herbs. These are two extremely differentiated products in the health market. This is to bring the benefit of superfoods in a really delightful format to help active consumers. And then another regional launching Jeera Marie which is a product which we've co-created with homemakers in Tamil Nadu keeping their local tastes and preferences in mind. If you see across businesses despite difficult weather, we've managed to invest in our brands, we've managed to keep them salient and we've tapped into a topical opportunity and build strong capabilities in using data and technology in doing more targeted marketing.

Varun Berry: Moving to Page #10 which really lays out the various initiatives this quarter. Biscafe I don't know if you have tried it, but if you haven't I would urge you to try it. It'

s a first in India kind of a launch, a great product and we are seeing great traction. Amit has spoken to you about the other biscuit launches that we've done. Happy to report that croissant has now been finally launched. It's a national scale-up that we are doing. The initial reaction from consumers has been extremely positive. Again, would urge you to try this product. These we have it in three flavors chocolate, vanilla and mixed fruit, very exciting products, doing extremely well as we scale it up throughout the country. We've also launched a very-very exciting product in the wafers category. This is only in the south currently because we have limited capacity from our Perundurai plant. It's a cheese wafer which is just a very-very nice product with a melt in mouth kind of a feeling. Those of you who are in the south I would urge you to try this as well. At the bottom of the pyramid, we were not present in the Rs. 5 segment as far as cakes was concerned. It was a segment that was growing very fast. We've just launched a cupcake which is a Rs. 5 variant in the east and central regions. That's again doing very well for us, at least the initial reactions are very good and we've had the marble cake launch which is also a limited launch as of now but will be scaled up across the country.

The next slide on slide #11. If you look at our various businesses, as far as the bakery adjacencies is concerned, we've had a double-digit volume and value growth in cake. Cake was a business which was flattish for us during COVID because it was more out of home. But now with COVID opening up and also our new launches in this category, we are seeing a double-digit volume and value growth. We have continued our profitable growth journey in bread. As far as croissant, I just spoke about that. We are scaling it up nationally with great results. It's doubled in the markets where it was present which is Calcutta and Chennai but it's doing extremely well in the new markets as well. Our channels which is modern trade and e-com again doing very well. Dairy we've had another strong quarter with robust double-digit growths. Winkin' Cow where we really leverage the season has grown at 140% over last year. International we've extended our leadership in Nepal with another very-very strong quarter and middle east is coming back to a healthy double-digit growth now.

Moving on to the next slide which is that of cost efficiencies. We worked very hard, basically because the bakery industry was facing the brunt as far as inflation was concerned. We've really double down on looking at all the cost efficiency measures that we could outline. Our CFO Venkat along with other members of all the functions have really taken this on very-very seriously. If you were to look at the big blocks out of this, distance to market we've reduced this by 4% in Q1 and this has been done by creating flexible manufacturing capabilities to house multiple products in most of our plants. Our truck utilization has become better. This has been done by leveraging technology and obviously very focused execution by our very-very skilled team which has helped us enhance the truck utilization by about 3%.

Market returns which is a fantastic story. We were at our ever best in Q4 of last year but in Q1 we've reduced that even further by 15%. This has been possible by process changes that we've brought to the organization. On renewable energy which constitutes now 40% of the power consumption and obviously has a reduced cost which is 30% less than what normal power cost is, has given us great returns as well. Finally, we've worked on optimal power sourcing by rationalizing our DG usage which has led to a power cost reduction by 6%. So, some very-very good initiatives here and I've been asked many times in the past, how long has this cost efficiency journey going to go on? I've always mainta

ined that this is a continuous process and this quarter and this year as we see, we are looking at even becoming better than what we've done in the past. So, from a 2% we are looking at providing a 3% savings to the bottom line.

Moving on to slide #13; big news here, we achieved a 100% plastic neutrality in this quarter. Sudhir, who heads R&D and Quality has worked very hard to make this happen. We've collected and processed more than 35,000 metric tons of plastic which has got us to this place, so very proud of that. Also, as you've seen we've released the sustainability report and we continue to work in terms of our ESS journey. We are only going to become a fitter, stronger as far as that is concerned as we move into this year.

Moving to the financials page slide #15; as I've already said our growth is 9% on the top line. The next slide is about the what it's done to the bottom line, unfortunately because of the severe inflation while we've grown 9% on net sales, our operating profit has dropped by 11%. That shows in all of the ratios as well, profit from operations is at 12.3%, profit before tax is that 12.7% and profit after tax is at 9.2%. All I can say is that this probably was the peak as far as inflation was concerned and we are pretty hopeful that things will become better as we go forward. So that's all from me. Happy to take any questions from all of you. So over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Avnish Rao from Edelweiss.

Avnish Rao: My first question is on e-commerce and quick commerce. If I see your data, last year e-commerce had grown 100% and in Q1 it has grown 33% because 8X has moved on from 6X. Last year wave 2 was very severe in Q1, so it's a very good growth. My question here is, could you tell us

how is the mix in e-commerce versus your overall company level? How are the adjacencies doing? Because you had called out that cake is extremely competitive in terms of overall but is it doing better in e-commerce and is the market share also higher in e-commerce quick commerce versus the overall pan-India number?

Vipin Kataria: So, you're right, last year there was a multiple growth and we are clocking a pretty large wave and even in this quarter we have witnessed a pretty solid robust growth. As far as the split between e-comm and Q-comm is concerned, I think it's evolving every quarter. While the large platforms like Big Basket, Flipkart, Amazon, Swiggy remain a large part of it. But as we see there's a lot of consolidation happening in this space and therefore it is very hard today to say what's the salience or the growth separately because it's a very fast evolving space. I think the overall e-comm space is doing pretty well and like Varun pointed out we've partnered with some external experts and they've given us pretty good learning and we will build a capability here on. As far as the mix is concerned, the mix in these channels whether it is e-commerce or modern trade is far richer, better than general trade and therefore certain subcategories in cakes there are certain categories in biscuit or dairy which finds a natural higher salience in these channels.

Avnish Rao: That's helpful. My second and last question is on wafers and croissant. You had called out in

FY22 annual report that you want to take the leadership position here. So, want to understand where are you currently? I understand wafer is 750 crores category growing one of the fastest. Similarly, croissant you have doubled, so where are you currently and how much time you think, it will take to reach the leadership position?

Varun Berry: Both these categories, we are trending towards over 100 crores kind of a mark on an annualized basis and which I think is a great start. There are a lot of things to do, so croissant we've got a very g

ood fix on how we want to move forward. I think we've perfected the product. It was an international product and it was doing very well in other countries but we wanted to make sure that we tailored it to the Indian tastes because we had got feedback from multiple consumers in the beginning on how the bread could be slightly more different for the Indian consumer. Similarly, the chocolate was a little more European and maybe a little better for the consumer. I think we’ve perfected that; we've got a lot of innovations in the pipeline as far as croissant is concerned. On wafers we’ve still got of way to go. If you remember we had started the wafer business with a not a single cent of investment. It was done through contract packing and now we've just started to invest. We've got a small flat wafer line and a small sticks line in our Perundurai factory and because it's small and all of these lines they come in small formats; you don't have a massive capacity line for any of these products. So, we are looking at recipes, we are looking at formats. We are looking at launching some of these products, testing them out and scaling them up very-very quickly throughout the regions of India through investing even more. I would say croissants for us to obviously get to leadership, we’re already leaders except for East where Bauli has been operating for the last 10 years but on all India basis we are already leaders. On wafers, it will probably take us a couple of years to get to that position.

Avnish Rao: A very quick follow-up here. Wafer #1 market share will be how much and croissant category size will be what 300 crores?

Varun Berry: Croissant category size currently is not more than 100 crores.

Abneesh Roy: And what’s your size?

Varun Berry: Avnish, it's a completely new category. So, we are building it. We are building the category. Wafers would be probably 500-600 crores.

Avnish Rao: In your annual report you had given 750 crores size, my question was market share of #1 player will be what 40%-50% in wafers?

Varun Berry: No, wafers is a very fragmented category. The leader will be about 20%. It’s a very fragmented category with lot of regional players and private label. This category is also in a very nascent stage.

Moderator: Next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: With these price hikes in to cover the inflation and with cost saving benefits starting to focus clearly in place, would it be fair to expect EBITDA margin to normalize to pre-COVID levels in the second quarter or do you think it'll take some time more?

Varun Berry: No, I would think that normalization is around the corner.

Avi Mehta: I just wanted to pick your brains on the comments that you had made in the earlier quarters about price hikes, about the worry that you had about sharp price hikes hurting category growth as customers switch out. Do you see that or is there a change in that thought process? How would you want to kind of look at it now given that the increase is almost I think 10+10, so about 20% or so, please correct if I am wrong?

Varun Berry: You're right. The total price increase would be over 20%. Yes, the point is that there has been a drop as far as volumes are concerned. You know our volumes are in negative territory albeit a small single digit, very small single digit negative territory. But the number of packets that we sell is flat. We are hopeful that this will start to grow once again. So, what's happening really is that there is biscuits, there is bakery products and then there are other products as well. If you think about it, biscuits is the cheapest form of snacking. Even within snacks there has been a choice that the consumer is making and, in that process, we are probably ending up winning and that's why we are not facing the kind of drop that we were thinking we would face. I think now that we

've got into the stage where we've had 2 clear years of price increase and we haven't seen a huge negative as far as volumes is concerned and we continue to see fairly positive revenue

growth. I think it's a good sign and it shows that we should be able to weather the storm in a good way.

Avi Mehta: Lastly with your permission on bookkeeping, the number of ICDs in this quarter that's all from my side. Thank you.
N. Venkataraman: As of 31st March, it was 740 crores and as of 30th of June it is 690 crores.
Moderator: Next question is from the line of Percy Panthaki from India Infoline.
Percy Panthaki: Just wanted to understand the volume, it's negative 2% this quarter. When do we see it reviving back, even in value terms the growth is around 9% which is little below what I would have expected. So, what driving this softness in growth?
Varun Berry: If you look at our last year base, it was a fairly high base, Vipin what is our 2-year growth? It's a pretty robust growth. We will just come back with that number. But it's a fairly robust growth that we have seen. If you look at a 3-year growth in about 11%. So that's a CAGR of 11%. We are in a good place there. I don't think there's any issue on the top line growth perspective and I think volumes will start to come back. I don't think the consumers have seen a 23%-24% price increase in 2 years or six quarters like they have seen it this time. So, it's bound to have some impact. There will be some impact but I think we are on our paths to recovery.
Percy Panthaki: On the price increases, have there been any in the last 3-4 months and are there any which you think you need to take in the near term, next 2-3 months?
Varun Berry: Yes. There have been. In fact, we were not so as I was telling you the total inflation that we faced from Q4 of last year to Q1 of this year it was approximately 180 crores only on the bakery business. We have to take and this was probably the steepest inflation quarter and we were not able to take the entire price increase during this quarter. We have taken some prices increases in the first quarter and we will complete that in Q2 of this year.
Percy Panthaki: By Q4 I think on a YOY basis in Q4 you had a price inflation of about 10%. So, from that level how much incremental price increase you have either taken or is in the pipeline over the next 2-3 months?
Varun Berry: It's about so in Q1 and Q2 it'll probably be 6% or 7% price increase that we will have to take, 6%.
Percy Panthaki: Secondly coming on to your innovation pipeline and also your product mix, what I just wanted to understand is that versus pre-COVID is the product mix now more superior in terms of if I strip away the price increases and look at the ASP which would be only the mix impact; are you seeing it higher than pre-COVID level? Or is it that because of a huge amount of inflation

generally in the economy as well as in FMCG products and biscuits that people have down traded and the mix effect is a negative versus pre-COVID level?
Varun Berry: No, we haven't seen a negative mix effect. Our premium segments have been doing fairly well and even the belly of the category has been doing well. It's not like that the bottom of the pyramid products are seeing a huge resurgence or anything like that. Amit, Vipin you want to comment on that?
Vipin Kataria: We also shared the organized trade which is moving up and that really helps in the mix. Our urban markets are doing fairly well and therefore we don't see any kind of adverse impact or down trading happening on the mix.
Amit Doshi: In fact, the premium categories are growing faster than the bottom of the pyramid. That's always a good sign for us. That's where our strength is.
Percy Panthaki: Even in terms of within the same brand is there any down trading to small

er pack sizes etc. or
no?
Varun Berry: The small packs sizes are fairly large component of our portfolio but no it's not a visible difference. The contribution or the saliency of the large versus the small packs hasn't changed dramatically.
Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.
Shirish Pardeshi: In this slide what you have referred there was no mention about the international. Could you tell what is happening in the Africa and Uganda and Nepal?
Varun Berry: No, I did mention it's a part of the slides. It's doing really well. We've had a good quarter as far as international is concerned and I did mention that for us if you look at slide #11, if you look at that section of international, we have extended our leadership in Nepal and also Middle East is back, Africa we have a few irons in the fire. It's not with the kind of inflation that countries have seen there and also what kind of the protectionism that countries are bringing to the table has been an issue but despite that we have grown almost 24% in Africa and AGCC. It's a good performance all over as far as international is concerned.
Shirish Pardeshi: Just one follow up Varun here. We have put local contract packing in Africa. So, and also, we are exporting something from India. What is the contribution for the international ex of India?
Varun Berry: Just repeat that.
Shirish Pardeshi: What is the revenue contribution which we are drawing which is ex of India. I mean not sent from India.

Varun Berry: It's very small currently. It's very-very small, inconsequential.
Shirish Pardeshi: But do you think right in the past maybe we have done few acquisitions in the Middle East and then later on it sizzled out but does this acquisition or maybe the contract packing management will have a significant revenue contribution in next 3-4 years?
Varun Berry: If you are talking about Africa, my comments are related to Africa. If you are talking about Middle East; Middle East we have got a significant part of our production happening there but Africa whatever we are doing with our contract packers is very-very small as of now.
Shirish Pardeshi: My second and last question on the dairy. Last call you have been guiding that there is a commercial production which we are going to take. What is the status there and maybe if you can say that when we see the significant ramp up of revenue?
Varun Berry: We have commercialized our spray dry plant. We produced the first bag of SMP there a few days ago but the total commercialization will be happening in stages. We will you know do drinks now that we have started the spray drying, we will move to drinks in the next 2 or 3 months. We will also start the raw cheese plant where we make cheddar. The processed cheese plant because of this semiconductor issue etc. is going to happen sometime in the first quarter of next year. So that's how the phasing is looking.
Shirish Pardeshi: Any further CAPEX you have planned on dairy?
Varun Berry: No there's no more CAPEX. Whatever was planned is already getting in and we are seeing very good traction. So, hopefully this is going to be a very good venture for us. We have seen a 40% growth as far as dairy is concerned in Q1.
Moderator: Next question is from the line of Varun Singh from IDBI Capital.
Varun Singh: My question is on Milk Bikis. So, we did a very high decibel marketing campaign and we were very much bullish for premiumizing the largest category. Any comment over here with regards to how the rollout in the Northern market is tracking and if you can also give some objective commentary with regards to milestones that we wish to achieve and where we are as of now?
Varun Berry: Milk Bikis has been one big success for us in the Hindi belt and in other parts, it was predominantly a Tamil Nadu product where we have a (+90%) share. So,

we have been working at both ends. What we have done in, all the other markets we have rolled out our Milk Bikis Atta with a proposition of “Doodh Roti ki Shakti” which is doing really well for us. It's giving us, it's not just one state or two states is giving us very good results across the other states other than Tamil Nadu and that continues to be a big resurgence for us. We have also done in Tamil Nadu we launched a Milk Bikis Classic which is all about the nostalgia of the Milk Bikis when we

were growing up kind of a thing which has also done very well for us. Between the two it's been a very good brand for us from a growth perspective. Amit, you want to comment.
Varun Singh: I mean if you can give some guidance with regards what is the revenue size that we would have achieved under this brand and what are we aspiring for?
N Venkataraman: Milk Bikis we crossed 1,000 crores mark the last year and it looks like it will be well passed 1,000 this year.
Varun Berry: It's growing pretty well and at both ends the South business as well as the All-India business. It's been a very good story for us because it's a product which was a regional product but we were very proud of what it was and the thought was that if it's such a strong product why can't it become a national product with salience in every state and that's what we have been able to do.
Varun Singh: Last question on what percentage of our manufacturing is contract manufacturing as of today?
Varun Berry: Probably about 40%.
Moderator: Next question is from the line of Latika Chopra from JPMorgan Chase.
Latika Chopra: My question was if you could share some color on what is the salience of biscuits and the bakery adjacencies in your domestic turnover today in terms of both volume and value and also how do you think this is going to trend over the medium term?
Varun Berry: It should be about I would say just under 80% in domestic only but the smaller part of the business which is adjacency has been growing a little faster and we are hoping that in the next 5 to 7 years we can get this to be let's say 55% to 60% with 40%-45% of our turnover coming from all of our adjacency businesses.
Latika Chopra: And Varun would the profitability metrics at least on the gross margin level for these adjacencies, how do they compare against biscuits?
Varun Berry: We have got a very clear grid that we work on. We do not launch any products unless they are accretive to our gross margins. The overall profitability might not be there because these products require some amount of nurturing and advertising etc. But overall, all of our new

products have a more accretive and a more attractive gross margin than our current gross margin on biscuits.
Latika Chopra: The last time you mentioned that the NPD contribution to your sales is about a 4.5%. Has that number stayed in this band or with a lot of new launches that we are seeing you think this number could trend up meaningfully?

Varun Berry: No, it will definitely trend up as we go forward because this year after 2 years of focusing on the core, we have now ventured into a lot more innovations. I think that this number is only going to go up and probably will. We are looking at more like about a 5% revenue coming from innovation.
Latika Chopra: Just lastly on CAPEX. For FY23 are you still maintaining a 650-700 crores kind of a CAPEX and what's the amount that you incurred in Q1?
Varun Berry: So, CAPEX whatever has been committed will continue. In addition to that we are putting up three factories. I think I spoke about it last time as well. We are extending our Orissa factory. We are putting up a factory in UP which should be ready by next year beginning. We are putting up a factory in Tamil Nadu and Thirunelveli and we are also looking at one more factory wh

ich
will be commercialized a little later which is in Bihar. These are the four that we are working on and obviously the work on Ranjangaon continues. But thereafter I think we are going to take a little bit of a CAPEX holiday except for innovation where we require some additional investments. But I think we are going to be in a very solid place with factories in the right places. So, and as you know that we are getting very good incentives for all of these factories so we are doing this in a way that we have production in the right place close to our demand centers which gives us efficiencies, which gives us fiscal benefits. At the same time, gives us the space to grow much faster than what we have been growing at.
Latika Chopra: That's useful but possible to put a number on the kind of investments which go behind these four factories and the timing of phasing out of CAPEX?
Varun Berry: The UP and the Tamil Nadu factory are going to be approximately 300 crores each. The Bihar will probably be slightly lower than that. The extension in Orissa is not going to be too much. Ranjangaon we have already committed 1,500. We are almost at about 1,200-1,300 now. That's the kind of investments that we are looking at.
Moderator: The next question is from the line of Chinmay Gandre from Reliance Nippon.
Chinmay Gandre: Just wanted to understand your thought process in this thing in more detail with respect to your earlier stance of the overall consumption was supposed to get impacted but now we are putting out that maybe we have more confidence in terms of the consumption and you see fairly decent growth rate despite of the inflation and we have taken a decent like 20% kind of a price hikes, right. So just wanted to understand the chase in, thought process or change in how we are looking at things?
Varun Berry: No, so your right whatever you said is absolutely spot on. We were nervous as we saw inflation year-on-year but as we have continued on our agenda, we were still a little nervous but as we are coming to an end as far as price increases are concerned and we are seeing the results on the ground, we feel definitely more confident than we were in the last 6 months so feel positive. I

think the consumers today have the capability to absorb these kind of price shocks and that's what they are reflecting in their purchase behavior.
Chinmay Gandre: My second question is with respect to your price increase. So, when we initiated the price increase last year so for us it is 10% price increase because almost like 6 months from Q3 onwards wherein till Q4 we took around 6 months or more. And I presume I mean now we are at 20% so another 10% odd price increase we have kind of implemented or are in process of implementing but this time I mean you are fairly confident that by Q2 more or less this would be effective. So just wanted to understand this?
Varun Berry: Yes. By Q2 we would be almost where we would want the pricing to be. And we will also be able to understand where the inflation story is going. I'm fairly confident that from here on its only going to get better. So, but one step at a time, you can't be sure in today's world. We will see how it unfolds as we move forward.
Chinmay Gandre: This time you are able to implement the price hikes faster. I mean because last time you took much more time in terms of adjusting your pack sizes and more from that perspective?
Varun Berry: No that's absolutely right. I think that team came together really-really well and they just did a fantastic job of implementing the price increase.
Moderator: The next question is from the line of Alok Shah from Ambit Capital.

Alok Shah: Varun, my first question is on the margins. On one side there are signs of RM inflation abating and then potentially moderating and on the other side there are plans to increase the cost optimization to 3% now versu

s 2% earlier. So, in that context wanted to check when you get to see this margin expansion, what will be your priority in terms of spending? Would you like to sort of reallocate this towards the spends marketing etc. would the spends would be to?
Varun Berry: I have understood the question so let me try and answer because your voice was not coming through. There's something wrong with your line but I have understood your question. Yes. We would want to as pricing normalizes, as profitability normalizes; we would like to spend some more money in supporting our brands, our innovations, our new products. We would normalize our advertising and sales promotion spends as well which will give us some muscle on our brands, new products and new categories.
Alok Shah: Just a follow-up to that. While you are pushing your adjacencies and the new products, is the thought process more towards doing the trade general spend that gives you a better ROI or is it more to do with the media in the initial 2 years is what I wanted to know?
Varun Berry: No, we do not support trade spends. My Head of Sales is sitting here and smiling. We will do a consumer-oriented spends.

Alok Shah: Lastly, just wanted to check if you are open to commenting on your news speculation of about appointment of CEO etc. Just wanted to check if you are open to commenting on that, any views?
Varun Berry: No, I think it's trifle early but we will comment on that. I think I will comment once we have done all of that internally and we followed whatever are the regulations for the announcement so we can chat at that time.
Moderator: We will take the last question from the line of Hasmukh from Star Union Dai-ichi Life Insurance.
Hasmukh: My question is on growth from Hindi belt. So, we are constantly increasing presence over there but this time let's say monsoon looks to be weak in the parts of UP-Bihar etc. So, do you think this will have some negative impact on us in the coming quarters?
Varun Berry: Not really, we have had during COVID, we did have little bit of a setback in a few states. Set back not in terms of growths. We still continue to see good growths there but some setback in the kind of targets that we had set for ourselves because supervised distribution was not possible during that time but we are coming back very strongly. We continue to do really well in UP, in Gujarat, even in MP we had of a little bit of a setback but we are coming back reasonably strong, Maharashtra is doing well. We are still struggling a bit in Rajasthan but it's a very small state for us. Bihar is in any case a very strong state and we continue to gain muscle there, even Orissa is a very strong state. We have become dominant market leaders there. I think it's looking reasonably good, barring Rajasthan where we will need to do a lot more hard work. I think the other states are looking very robust.
Moderator: Thank you very much.
Varun Berry: Thank you guys, thank you very much.
Moderator: I now hand the conference over Mr. Mayank Mundra for closing comments.
Mayank Mundra: Thanks everyone for spending time with us on this call today. We look forward to interacting with you again. Thanks.
Moderator: Thank you very much. On behalf of Britannia Industries Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2022

11th November, 2022

1. The Secretary
BSE Limited
Phiroze Jeejeebhoy
Towers, Dalal Street
Fort, Mumbai - 400 023

2. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (E), Mumbai - 400 051

Dear Sir/Madam,
Sub: Transcript of Analyst Call for the quarter and half year ended 30th September, 2022
Ref: Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of analyst call held on 7th November, 2022 in respect of Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended 30th September, 2022.

The transcript of the analyst call is also available on the Company's website at
http://britannia.co.in/pdfs/Presentations/Q2%2023%20Analyst%20call%20transcript.pdf

This is for your information and records.

Yours faithfully,
For Britannia Industries Limited

T.V. Thulsidass
Company Secretary
Membership No.: A20927

Encl: As Above
Page 1 of 16

"Britannia Industries Limited
Q2 FY2023 Earnings Conference Call"

November 07, 2022

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN & MANAGING
DIRECTOR – BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET KOHLI – EXECUTIVE DIRECTOR & CHIEF
EXECUTIVE OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATRAMAN - EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES
LIMITED
MR. VIPIN KATARIA – CHIEF SALES OFFICER –
BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER –
BRITANNIA INDUSTRIES LIMITED

MR. MANOJ BALGI – CHIEF PROCUREMENT OFFICER–
BRITANNIA INDUSTRIES LIMITED
MR. SUDHIR NEMA – CHIEF DEVELOPMENT & QUALITY
OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. MAYANK MUNDRA – INVESTOR RELATIONS –
BRITANNIA INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY2023 Earnings Conference Call of Britannia Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mayank Mundra from Britannia Industries. Thank you and over to you Sir!

Mayank Mundra : Thanks Steven. Hello everyone this is Mayank from the investor relations team. I welcome you all to the Britannia earnings call to discuss the financial results of Q2 2022-2023. Joining us today on this earnings call is our Vice Chairman & Managing Director, Mr. Varun Berry; Executive Director & CEO Mr. Rajneet Kohli; Executive Director and CFO Mr N. Venkatraman, Chief Sales Officer Mr. Vipin Kataria, Chief Marketing Officer Mr. Amit Doshi, Chief Procurement Officer Mr. Manoj Balgi, and Chief Development and Quality Officer Mr. Sudhir Nema. The analyst deck is uploaded on our website. Before I pass on to Mr. Varun Berry I would like to draw your attention to the safe harbor statement in the presentation. Over to Mr. Varun Berry with remarks on the performance!

Varun Berry : Good morning everyone. So let me just jump onto page three of the presentation. If you look at this you will see that we have had a very good quarter so we got revenue from operations, which has seen a year-on-year growth of 22% and a quarter-on-quarter growth of 19%. Operating profits have grown 30% year-on-year and 47% on quarter-to-quarter basis which is sequential. Market share continues to be a very good story, it is the 38th quarter of market share gains for us, which is a very, very positive story and this comes out of all the hard work that the team has put in not just building and nurturing strong brands but getting the distribution of all our products and more and more outlets across the country and I will come to those details in a minute.

If you move on to the next page this shows you what has happened from inflation standpoint so if you look at consumer food price inflation year-on-year Q1 was 8% and Q2 is almost in the same vicinity. We know what has happened to the Indian rupee versus the US dollar it is now at about Rs.82 while the wheat prices in the international markets have gone down a bit and similarly palm is giving some upsides to us as well, but unfortunately the wheat price decrease that we have seen in the international market has not happened in India and the reason for that is that we have had a lower crop which is about 12% lower than last year as a result of that the wheat prices have held fairly firm this quarter.

Moving on to the next slide you will see what has happened in the last seven quarters. In the last seven quarters we have seen inflation of 32% so if you were to index Q3 of 2021 as from 100 we moved to 132% so that is a huge inflation in seven quarters and as you see that that it

is not just year-on-year but also quarter-on-quarter it has been moving up and this if you were to look at the key components of this inflation wheat flour is 25%, industrial fuel is almost 40% and palm oil is on a year-on-year basis 10%. Overall this is the first time that inflation has not just been in one country but across the globe. What we do expect is that Q3 we do expect some respite on the back of palm oil. Milk prices continue to be on the boil, which has impacted our dairy profitability and wheat prices we do expect these to be firm in Q3 as well so that is the current situation and the outlook as far as commodities is concerned in a concise short capsule.

Mov

ing on to the next page if you were to look at on the cost & profitability front the overall inflationary pressures have been this quarter as well if you were to look at sequentially over the last quarter we see an inflation of 3% in this quarter. We were the first ones to action price increases and we took it much ahead of the market and we have been able to accelerate our cost efficiency programmes as well, which I will take you through as we go through this deck. We also ploughed back into the business. The money is that for the last two years we have not fully spent, this year we have normalized our advertising and sales promotion spends as well, but despite all of that our operating margins have improved by 290 basis points on a quarter-to-quarter basis so just in a capsule 32% inflation in the last seven quarters which has impacted our profits by approximately 23%. We have mitigated this through about 20.5% of price increases that we have taken and we have got approximately 3% from cost efficiency programmes so that is the story of inflation and what it has done to our bottomline in the last quarter.

Moving on to the next slide which is slide 7, this you have seen in the past results I am not going to drain it but these remain our strategic plans for driving profitable growth.

Moving on to the next slide which is slide number 8, now this is a slide on distribution and truly a great job done by our sales team so if you look at it we have built our rural distributors which is the first bar chart on top from approximately 8000 distributors in March 2016 to 28000 distributors in September 2022, which has helped us gain more share in rural. The share gains in rural are approximately one-and-a-half times what they are in urban so that has helped us and a lot of companies have called out a slowdown in rural. As a result of our programmes we have not seen that slowdown in our business and if you were to look at it we have build our rural sales by almost four times in the last six-and-a-half years, which has given us the rural momentum as we said earlier as well rural has not been a stronger force for us we have always been slightly weaker in rural and that is what we are trying to fulfill. Now looking at the bar chart at the bottom of the slide we will see that these are the outlets that we distribute directly. These have gone up to 26 lakh outlets which is approximately 4 lakh outlets more than what we were doing till March 2022.

Moving on to the next slide which is slide number 9 marketing activities have been fairly regular and almost back to normal. Some of the big campaigns that we have done Milk Bikis Atta, the Croissant campaign, which some of you would have seen, earlier launch in Biscafe which is very fine, very tasty coffee cracker, we have relaunched Bourbon, we have got 5050 Potazos on television, we have got 5050 Golmaal which is again a new product that we have launched and is doing extremely well in the east and we have done the Cheese campaign which is around the properties of protein. Besides that we have been doing digital activities and engagement initiatives on quite a few of our brands which we have enhanced after Amit Doshi joining the team and bringing experience of digital company we have started to look at this in a way that we look at how we can make our digital efforts secretive to all mainline media efforts.

Moving on to the next slide which is slide number 10 which shows some of the innovations that we have done and innovations that will fuel the next phase of growth for us. Biscafe was launched in Q1 it is almost three times revenue shift quarter-on-quarter, we have also done Nutri Choice Seeds, Herbs & Protein which were launched again in the first quarter of 2022-2023 and we have done approximately two-and-a-half times the revenue from Q1 to Q2. Similarly, Golmaal I have spoken a

bout that it is east only launch for the time being and has
done really, really well with 85% quarter-on-quarter increase in revenues. Treat Croissant has been launched nationally after a prolonged market research and figuring out what to do with the product, what to do with the package, etc., and I am very happy to report that we have seen amazing results as far as Croissant sales is concerned. We have seen a revenue growth of almost 70% quarter-on-quarter. Wafers again I would say a reasonable progress as far as wafers is concerned. We have got a new wafer which is a Cheese Wafer that we have launched in South. We have got limited capacity. We seem to be hitting the top of our capacity so we will have to look at more capacity into our newer plants, but I would say reasonable progress but tremendous opportunity for even better performance as far as wafers is concerned. Cake and Rusk are back. On cake we have done a lot of new products including what you see on the slide which is Marble Cake with a two times revenue shift quarter-on-quarter and Marble Cake has actually given us very good revenue growth as well for the cake business which has turned the corner and has started to do extremely well not just from a topline perspective but even from a profitability perspective.

Moving on to the next slide which is slide Number 11 so again something that we have been talking about bakery adjacencies, objective being profitable growth, journey continues with bread which used to be very unprofitable business and is turning out to be heavy journey for us. Growths in Rusk & Cake are back. From Croissant perspective I have spoken about it we are growing at 250% versus last year. We have done aggressive national scale up supported by end-to-end marketing campaign. I would not say that we have found at certain level that we would like to be at from a numeric distribution standpoint, so there is a lot more to do and we are testing the bottle as we go and we are looking at how far we should go in terms of the width of distribution but what we have seen is that offtakes are very, very good, repurchase rates are very good so we are very, very happy about the performance that we have on Croissant. International we have just signed up for a joint venture with a controlling stake in Kenya. There used to be a brand called Britannia which had a different spelling from all Britannia and as a result of this deal we will have control over that brand so that we will not have infringer in Africa doing the same brand that we have in our door. Middle East growth continues and so does the Americas. The Americas has shown us a very good growth in the last few years and that continues especially in Canada. Dairy is a tough story although we have done some fantastic work of putting up collection centers, getting farmers to pour milk for us, and setting up the factory which is probably going to be commercialized in the next month or so. We have already commercialized the SMP plant but some of the other facilities that are going to be commercialized starting next month. The problem there is the inflation that we are seeing. Milk prices today are at Rs.41 a litre in the West and Manoj correct me if I am wrong it is Rs.58 a litre in the north for Buffalo milk. So there has been from about Rs.31 we have gone to Rs.41 so there is a very high inflation on dairy and while we are taking price increases this is turning out to be a lot more than what we had ever imagined so profitability remains challenge as far as dairy is concerned. So that is the story of our adjacent businesses but very happy about some of the progress that we made in each one of these buckets. This was a little bit of worry for us but I think we are slowly coming into our own with all of these products and starting to do well not just from the topline but from a bottomline perspective

as well.

The next slide is about cost efficiency programme. You will see that form 1x to 8x from 2013 to 2022-2023 and in the last one year from 5x to 8x so almost 1.5 times the cost efficiency of what we used to get last year. The things are the same that we have been talking about so process automations, reduction of distance to market, optimal power sourcing, renewable energy, the sourcing strategy as far as our raw materials are concerned, vendor development to ensure full efficiency accruing to us, packaging initiatives that has been a big area for us, we have developed not just packaging from a sustainability standpoint but we have also been able to bring cost down, vendor's cost optimization. We have looked at various ways of optimizing this depending on our factories and what needs to be sent to our factories. Other areas have been market returns which has been this year the lowest that we have ever seen and we continue to optimize on that, that is giving us a very good feel of how high is high and how we can bring savings to the table. Commitment charges are charges that we pay to our contract packers because we take capacity from them and if they are not able to draw that material then we have to pay them some kind of commitment charge so we are reducing that by making sure that we optimize not just what we need from them but optimize the demand

centers and sources for all of these demand centers that has given us pretty good savings. Fiscal incentives and also on media effectiveness we have done some major initiatives.

The next slide is about ESG. This has been a fantastic story for us. While we have been focusing on a lot of these programmes for quite a few years the issue has been that we were not doing it in a structured way, we started to do in a structured way about 2 years back and our Dow Jones Sustainability Index score in 2022-2023 has come out to be 52 which is the 91st percentile of companies in the sector and this has actually gone up from 11 to 37 to 52 so it has been great progress and we have made progress on all of our pillars on growth, on governance, on resource management, on sustainability, on packaging, and making sure that we get it from sustainable sources as well as on people which is about diversity. On the shop floor we have got great diversity. We still have to do some work in our management team, etc., to get diversity up. We have got great work on nutrition, employee engagement, we are top quartile of FMCGs as far as that parameter is concerned and finally reduction of incidents from accident standpoint we have been doing pretty well there as well. So as a result of all these programmes which are a part of the KPIs for the Excom team the progress has been remarkable as far as ESG is concerned.

Moving to page No. 15 which is the topline movement, as you see our topline movement has been remarkable this quarter. We have grown by 22% versus Q2 of last year and on a 24 month growth basis also we have grown at 29%. If you were to look at even the 6 months Q1 and Q2 put together we have seen 16% growth.

Moving to the next slide which is on operating profits after what happened in the last seven

quarters or so with inflation and making sure that we put all the right measures to beat this inflation we have come back. There were these three quarters in 2020-2021 where we seen huge numbers as far as operating profits are concerned but that was because we did not have capacities and we were able to sell whatever we produced due to COVID and the demand created at that time and we were able to get great efficiency as a result of that because we were running our lines flat out with one product and getting great efficiencies, but thereafter our operating profits have witnessed a lower number but this quarter again we have come to 15.2% which is better than what it was pre-COVID.
So moving to

the next slide which is slide number 17 if you were to look at algorithm net sales has grown by 22%, operating profit by 30%, profit before tax at 26%, and profit after tax at 28%, so overall good results, quite happy with the progress and how we have been able to bounce back as far as our topline and bottomline growths are concerned. As a result of that you will see the percentages, the percentages have moved up if you look at 2019-2020 profit from operations was 14.5% that was the pre-COVID year and now we are at slightly better than what we were at in 2019-2020, so happy with that progress and hoping that we will be

able to keep that trajectory. So that is all from me, very happy to answer all your questions. One more point we have Rajneet for the first time on the call. Rajneet joined us on September 26, 2022 and was on induction to understand the company and its operations. He has just completed that and just a few more sessions to go but pretty much on the ball now so over to you for any questions that you may have.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy : Yes thanks and congrats on a very good set of numbers. If I see last five quarters sales has been stable at 3300 to 3600 Crores number quarter-on-quarter jump of 18% so I had question on that how much would be the pricing growth quarter-on-quarter plus biggest festive was earlier this time how much is one-off because of the inventory built up because of the festive season-related pipeline filling and when I refer to slide number 10 your new products have seen very strong growth quarter-on-quarter 70% to almost 2.9x quarter-on-quarter so is there inventory filling because of that because you are seeing good demand which could further accelerate if you could explain any one offs out here?
Varun Berry: There are no one offs Abneesh. Abneesh I must say that Abneesh from Nuvama sounds a little funny we are used to your Edelweiss so I was a little taken aback, but to answer your question first of all no one time at all it is all progress made from a zero base, we have seen very good demand, we have been able to do enough for our brands this quarter, we have taken a step back on that but we have gone back on it, we are supporting our brands and we have done a lot of innovation as I have spoken through the deck and that is giving us momentum with our customers and this is despite the fact that we had taken the price increase before some of all peers so that was your first question. What else did you ask?
Abneesh Roy : How much should be the pricing growth says quarter-on-quarter and Y-o-Y if you could give that number?
Varun Berry: Total pricing that we have taken is approximately 22.5% and this is in the phase of 32% inflation. Venkat what is the pricing that we have taken this quarter?
N. N. Venkatraman: Q2 versus Q1 has been about 7%.
Varun Berry: We have seen inflation of 3% but we had some catch up to do so we have taken 7% price increase this quarter. Go ahead Venkat.

N. N. Venkatraman: Year-on-year is this question that Abneesh was asking so year-on-year is about 18% Abneesh, but what Varun was referring to is over a period of longer six or seven quarters is what he was referring, so year-on-year is 18%, quarter-on-quarter is about 7%.
Abneesh Roy : So does it imply 4% to 5% kind of volume growth, 18% Y-o-Y pricing?
Varun Berry: Yes approximately mid single digit volume growth.
Abneesh Roy : One related question Varun was on your direct fleet expansion which was extremely strong but I do note that in FY2022 it came down also sharply versus FY2021 was it just a COVID-related impact and now in the rural when I compare the market share between you and Parle

could you give us some sense where is the indexation now versus say six years, seven years back when you started the focus on Hindi states where is the gap now?

Varun Berry: Still a big gap Abneesh while we have made up it is too small to really make a big difference so just to give you an idea we are probably now about 18% share in a market like UP, large state of UP I am just giving you some rough numbers we would be about 18%, seven, eight years back we were probably 11% to 12%. Yes good progress but still a long way to go.
Abneesh Roy : Varun last question is on your overall group related and your long-term debt so I do see ICD is coming down versus six months back and quarter-on-quarter it is stable which is okay which is good but on the long-term debt 1000 Crores it has gone higher I understand capex is happening plus also the investor concerns on the group entity of Bombay Dyeing-related SEBI issues so if you could address is there a better way of financing this capex through the internal accrual rather than the long-term debt and on the group related could you address some of the concerns I know there is no direct impact but if you could address what are the concerns?
Varun Berry: Yes, I think this question was going to come up in any case so let me address that. So Bombay Dyeing they have already clarified while I am not on the Board of Bombay Dyeing but whatever we know is that Bombay Dyeing has already clarified through their press release that it is fully compliant and we exercise its right to appeal against the SEBI orders right and I also understand Venkat correct me if I am wrong I understand that the company has since filed an appeal with the Securities Appellate Tribunal as well right.
N. N. Venkatraman: That is right.
Varun Berry: What you have heard I have also heard the same. As the matter is subjudice I do not think it is right to comment on that any further than this but happy to clear if there is any more information that we get we will be happy to clear any other doubts that you may have on a

larger basis. Coming to the debt that you are talking about we have taken debt yes, we have taken debt for our Ranjangaon expansion a lot of that in dairy the dairy plant is almost ready and should be commercialized soon, so dairy then we have got a factory coming up in Tamil Nadu, a factory coming up in UP to fund that and we have got the loan at a very low price. We have got a loan at what Venkat 5.8%?
N. N. Venkatraman: That is right. Correct.
Varun Berry: While our treasury is 250 to 300 basis points more but we do understand what you are saying. I think we have fairly measured in what we are doing, Venkat happy if you can comment on that as well.
N. Venkatraman: You covered them all. I think the borrowing currently is at about 5.8 and our treasury is yielding roughly 8.5% but the point being made by Abneesh is clear. Like you rightly said group ICDs have been coming down from what was about 740 Crores in March it is currently at about 590 Crores.
Abneesh Roy : Sure Sir. Thanks that is all from my side.
Moderator: The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora : Yes thanks for a great quarter and thanks for the opportunity. My first question is on raw material so in raw material what would be the broad breakup between wheat, edible oil, sugar, fuel and how much wheat inventory do you typically hold and how does the wheat procurement work do you mostly acquire after the rabi harvest?
Varun Berry: Wheat, palm oil and sugar are the three largest components as far as we are concerned. Manoj do you want to comment.
Manoj Balgi : So wheat, palm oil and sugar roughly together would constitute about 65% of the value of procurement and wheat is typically procured during the harvesting season that is in April, May, and June.
Kunal Vora : What is your ini

tial view right now, do you think wheat prices will ease up or any initial due there?
Manoj Balgi : Wheat prices are quite high and I think government is taking actions to stabilize those.

Kunal Vora : My second question is on the management change with Rajneet joining what will be the role division between the CEO and MD, Executive Vice Chairman and should we expect any changes in the strategy?
Varun Berry: No I think it is going to be simple as management working so Rajneet will take full charge of day-to-day operations of the company. He will also use his digital e-commerce experience to build a pathway to bringing Britannia's digital quotient up and building digital interface which can make this company into a data driven organization so I think that will be a big part of his agenda as well. I will continue to have overall responsibility for the company as

Managing Director. I will also focus on strategic priorities like building future categories, geographical expansion, strategic partnerships, JVs, M&A, driving the ESG agenda and obviously mentoring and guiding Rajneet through this process.
Kunal Vora : Okay understood. That is it from my side. Thank you.
Moderator: Thank you. The next question is from the line of from Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra : Hi Varun and team. My first question was on the commodity inflation you mentioned that 32% number given where palm is currently and the rest of commodities are how would you expect this to trend in 3Q, 4Q and in that context do you then expect your gross margins to continue to sequentially improve from where it is in this quarter?
Varun Berry : I do think that prices are going to stabilize. Palm oil has already shown some signs of stabilizing, it actually went down quite a bit before surging a bit upwards thereafter, but in wheat because the country has produced less wheat I think that is going to remain a little firm till the time the next season comes through. As far as sugar is concerned we are seeing a little bit of upside as far as sugar is concerned and I have already spoken about milk and milk products that is on the complete boil so I do not think it is going to cool down substantially but yes it is going to be stable to slightly cooling down I would say in Q3 and Q4. Venkat and Manoj if you want to add something please do so.
N. Venkatraman: No you have covered it.
Varun Berry : That is how we see it. I do not think there is going to be complete cool down happening in the next two quarters because there are fundamental issues. Wheat has an issue of availability, sugar is not an issue of availability the government is trying to keep the prices firm so that farmers, etc., can get the right amount of return and palm is out of our hands but seems to be coming at the right level so let us see. I think things will be equal to or slightly better.

Arnab Mitra : Thanks Varun for that clarity. My second and last question was on your volume growth. You have seen this sequential 7% price increase and yet volume growth has actually probably slightly stepped up in a relatively weak macro environment so from what you have seen on the ground are you reasonably confident that the price hike has been well absorbed and there will be no negative effect on volumes going ahead and therefore there is complete step up in the quarterly run rate any concerns that could kind of slowdown as pricing starts affecting volume?
Varun Berry : Arnab the point is that pricing has affected volume. We were seeing a lot more volume growth. Yes we have come back reasonably well in this quarter but still I would say at the lower end of volume growth and the result of that really are the price increases that we have taken. Now the question that you are asking is why is that we are obviously

doing a little
better than what other categories and other companies are doing the answer to that are two one is the execution which is the distribution build, etc., that we are doing which is keeping our share up we are getting more shares but share is one part of it, the second part is that even the category is growing and the reason for the category growth is that it is a category which is the cheapest form of food and when there is inflation which happens across different categories obviously the impact on the higher categories, etc., will be a lot more and because we have the cheapest form of food and we are wholesome and tasty as well. I think we have been slightly better than all the other categories and we probably benefited out of that so those are the two reasons.
Arnab Mitra : Okay thank you so much Varun. That is it from my side.
Moderator: Thank you. The next question is from the line of from Shirish Pardeshi from Centrum Brooking. Please go ahead.
Shirish Pardeshi : Hi good morning. Hearty congregations Varun for becoming Vice Chairman. I think two things just one observation on slide 10 you have seen so many new products so I was more keen at least the trade is very positive on Croissant so maybe if you can help me what is the number we look at this year and maybe next year specifically for Croissant?
Varun Berry : So we are looking at exit rate of about 150 Crores which is I would say a reasonable number for a product which has just been launched.
Shirish Pardeshi : Okay and you normally used to give the NPD contribution what was the NPD contribution in Q2?
Varun Berry : It is approximately 3.5% of the revenue. See the thing is that our overall revenue has also been growing pretty fast but this is in our definition. If you were to look at the total NPD

contribution it will probably be about 5% because we look at a shorter period that is why it is 3.5% but overall it will be about 5%.

Shirish Pardeshi : It is interesting to see that last year we started with Potazos and in this slide I am not seeing Potazos any comment so is that product still on or it is low focus for us now?

Varun Berry : No, it is doing quite well for us. We have spoken about it so we do not want to repeat what was done earlier otherwise it will become a very long session with you guys.

Shirish Pardeshi : My second question is on the growth path, you normally used to give 3 year CAGR so I am more interested what is the 3 year CAGR volume growth?

Varun Berry : Three year CAGR volume growth will be quite substantial. I would hazard a guess it will probably be 8% Venkat would you have that number?

Shirish Pardeshi : Meanwhile let me ask the last question on the dairy part you mentioned that dairy has now gone up and I think somewhere last two quarters you have been indicating it is about 550 Crores so may be if you can spell it out what are the new categories product distribution and what number we should model in FY2023 and 2024?

Varun Berry : Growths are reasonably good in dairy. We have been seeing reasonably good growths but we are working on some very strategic measures as far as dairy is concerned and hold on in the next 15 days or so we will come back and chat with you on what we are looking at as far as dairy is concerned. The pressure on dairy is not topline at this time. The pressure is bottomline because of the milk prices going from Rs.30 to Rs.41 so that is the big pressure as far as we are concerned and obviously as we start to commercialize our dairy factory again there will be a momentum but we will have to make sure that we do it all in a way that it all becomes the way we conceptualized making this business a very large part and as I have promised we will be back discussing with you in the next 15 days or so on how we are looking at making this a very solid business for us in the future.

Shirish Pardeshi : All the

best to you Varun and Rajneet welcome to our interaction. Thank you.

Moderator: Thank you. The next question is from the line of from Percy Panthaki from IIFL. Please go ahead. As there is no response from the current participant we move to the next question from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon : Hi team very impressive performance given the context so I got one clarification on the sales part of it and the other one on the marketing part of it and if time permits just also want to understand 5.8% loan it appears extremely good so just was wondering if you could tell us

where it is available if it is PP or something like that, anyway so the first thing is on the sales side of it Varun could you just help us understand the exact modalities which you are actually using to get this sort of outcome, for example you talk about 28% if this sub stockist or is it actual distributors, point number two is it just a classic case of awareness higher than availability and you are just driving it?

Varun Berry : These are distributors but they are not as organized as our large distributors. They are appointed in a smaller area, they cover anywhere from 40 to 100 outlets in their area. These are all small areas which are rural, small town, villages, etc., 10,000 kind of population kind of areas. Now what we have with them we do have handles and we do get data their sales, etc., we get all of that data but obviously the quality of supervision, etc., tends to be I would say much below what we do with our larger distributors. It is a hub and spoke model that we do because we have to break bulk as far as the distributors are concerned so we will create CNFAs who then distribute to these smaller RPD so it is a different model. It probably cost us a percent more but it gives us a long-term sustainability in that area or in that village and the way it works is that after they become larger so let us say they start with 30 lakh a month kind of business or 20 lakh a month kind of business and then they get to larger size as we see them graduate to a larger size then we can start to service them directly, then we cut out the C&FA, we make them distributors so the evolution continues. I am just trying to simplify things so that you understand what we do.

Manoj Menon : It seems actually a very much repeatable sort of model. One linked question on the sales side of it is that when I look at the direct touch points which you have comfortably more than two million currently which also happens to be the best in class let us say largely at par with lever the question automatically which comes is maybe there is another lever which will have is let us say more line selling or extracting more from the current set of outlets any colour on that?

Varun Berry : So that is the KPI as well. I will actually let Vipin answer that but we have this KPI of how many lines that we sell to each one of the outlets so actually the way we look at it is that in urban the objectives that we have is to get depth of distribution and in rural it is about width of distribution because we want to start in rural, we want to get our products into those outlets. If the outlets do stock our product but they buy it through a wholesaler or something then half the time they will not be available, those products will not be available, the wholesaler is not

trustworthy as a direct distributor going to those outlets so we try to make sure that we go there directly, we deal with the customer directly and we put our products in there so that is how we look at it but over to Vipin.
Vipin Kataria : Hi Manoj so there are a few things that we do to increase our range and Britannia as you know more is a range driven organization right so we have got 25 odd brands, so I think the first thing which Varun explained is using the entire technology wh

ich is handled and various

app. Now these handles and app are basically predictive as well as prescriptive analytics right which basically tells that this needs to be cross sell or up sell to the outlets right so that is the first principle that we apply. There is a lot of empirical data through the tech basically predicts that this is going to be the forecast for this retail or the wholesale outlet and therefore that is the active selling that we do. The second part is that our distributors or super stockist they have got these stock norms which basically ensure that the entire range availability is there at that point in time right and therefore that can be then connected with the retail market right, so therefore it is a fairly full driven system. The third is that in rural we have a got a fairly large foot on street team which is taking these orders directly right and therefore we keep impacting the range. I think the fourth and the most important is that the range selling is also part of the trade term or the margins that we give to our super stockist and RPDs and therefore it is a self motivating commission which basically helps us sell this entire range. So these are the four principles basically we apply and therefore it is a scalable model for all the states.
Manoj Menon : Thank you so much Vipin, Varun for the exhaustive response. I had a question on marketing but I will come back in the queue but just quickly if I may request Venkat on the 5.8% loan some more colour on it given that it seems to be very low and very attractive?
N. Venkatraman : Essentially our including bonus debentures that we had issued the last year. It also has some borrowing that we have done in respect to the dairy project through our funding arrangement which is available with the animal husbandry. The third is the normal term loan and I think we have managed to borrow it right in time.
Manoj Menon : Understood. It is a blended rate okay sure.
Moderator: Thank you. Ladies and gentlemen we take the last question for today from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hi Sir. I just wanted to ask on the margin side clearly we are seeing while input costs have risen you have been able to kind of pass them on quite effectively we are arguing that input cost remains quite stable and are likely to kind of moderate down in that kind of context would you say that a path forward to reach back to the 18% to 19% EBITDA margin exist?
Varun Berry : Listen I think we also dream like you. Those numbers were reached during COVID. Yes obviously we would want to endeavor to get to higher numbers but I think it is important that we make this as gradual as possible and create funding opportunities for new products or new categories and we support these new products and get them to be of a certain size. The problem is that it is not a problem actually it is actually a good thing but the base business is so large that 150 to 200 Crores kind of innovation becomes a drop in the ocean. So we have to create much larger pieces of innovation as we go forward and that is what we will endeavor

to do as we move forward. We will try to see how we can make each one of these categories fairly large. There are three innovations which are over 100 Crores, milk shakes has become 100 Crores plus last year, Croissant will become 100 Crores plus this year, wafers is headed towards 100 Crores plus this year as well. So there are three or four categories which are going there and similarly products like Biscafe, products like Potazos are becoming very close to that number as well so as we start to create these kind of innovations and we take them to scale I think that is the time when it will all start to show on the adjacent category growth and that is really what our endeavor will

be. So yes we will try and maximize our profit as we go forward and we have shown you that while managing to make sure that we gain our market share and we also grow our topline but we also want to support all of our existing products.
Avi Mehta: We have seen another quarter of market share gains in this year congratulations on that but that I was trying to reconcile it with the fact that things are opening up you highlighted biscuits being the cheapest so price is an aspect and we have taken sharper price increases so in that context is it that the competition still not back to normal and probably they have structurally impeded to a lower level is that the reason I am just trying to kind of reconcile because what

you said is biscuits will be cheaper and pricing would be the aspect but you took higher price increases?

Varun Berry : You are right. So see the point is that what hits us hits other competitors more than us because we got scale right so all other competitors can do is take short term advantage of getting prices below us for 4 months, 3 months, 6 months, 8 months whatever it may be and that they have done already and it has not really impacted us in any big way. Yes in pockets it did impact us and we took whatever action was necessary to make sure that we get back to what our plan was but at some stage it all comes back to normal. Now I would say that 95% at least the A players are at the same level as they were pre the inflation. Yes the smaller players sometimes take their time and they will continue to sell their product in a small territory at a much lower price, etc., but it all normalizes. Finally it impacts everyone and as I have said in the past as well everyone has got used to profits. Biscuits were not a profitable category so people were not really making big profits and they were living with whatever conditions they were in. Now everyone got used to profitable existence and why not it has to be a profitable company to be able to become more successful in the future and everyone is on that path now which is very, very good thing and frankly I am very proud of the fact that we have been able to garner that in some way. We have been able to guide the entire industry to look at competition in execution way rather than pricing advantage so I think it will all get back to normal. I do not think there will be any big issues on that front.

Avi Mehta : Got it Sir got it. Thanks a lot for this and wish you lot of luck for the future.

Varun Berry : Thank you Guys. Thank you very much. Good night all of you and we will see you soon.

Moderator: I now hand the conference over to Mr. Mayank Mundra for closing comments. Over to you!

Mayank Mundra: Thanks everyone for spending time with us on this call today. We look forward to interacting with you again.

Moderator: Thank you. Ladies and gentlemen on behalf of Britannia Industries Limited that concludes this conference. We thank you all for joining us. You may now disconnect your lines.

Call: Feb 2023

8th February, 2023

1. The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street Fort, Mumbai - 400 023

2. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra- Kurla Complex
Bandra (E), Mumbai - 400 051

Dear Sir/Madam,
Sub: Transcript of Analyst Call for the quarter and nine months ended 31st December, 2022
Ref: Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of analyst call held on 2nd February, 2023 in respect of Unaudited Standalone and Consolidated Financial Results for the quarter and nine months ended 31st December, 2022.

The transcript of the analyst call is also available on the Company's website at
http://britannia.co.in/pdfs/Presentations/Q3%2023%20Analyst%20Call%20Transcript.pdf

This is for your information and records.

Yours faithfully,
For Britannia Industries Limited

T.V. Thulsidass
Company Secretary
Membership No.: A20927

Encl: As Above

"Britannia Industries Limited Q3 FY23 Earnings
Conference Call "

February 02, 202 3

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN AND MANAGING DIRECTOR , BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET KOHLI - EXECUTIVE DIRECTOR AND CEO, BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATRAMAN - EXECUTIVE DIRECTOR AND CFO , BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA - CHIEF SALES OFFICER , BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI - CHIEF MARKETING OFFICER ,

BRITANNIA INDUSTRIE S LIMITED
MR. MANOJ BALGI - CHIEF PROCUREMENT OFFICER ,
BRITANNIA INDUSTRIES LIMITED
MR. SUDHIR NEMA - CHIEF DEVELOPMENT AND QUALITY
OFFICER , BRITANNIA INDUSTRIES LIMITED
MR. YASH WARDHAN BAGRI - INVESTOR RELATIONS ,
BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Britannia Industries Limited Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Yash wardhan B agri. Thank you and over to you, sir.
Yash wardhan Bagri : Thanks Neerav. Hello, everyone . This is Yash, filling in for my colleague Mayank today. I welcome you all to the Britannia Earnings Call to discuss the Financial Results of Quarter 3 22-23.
Joining us today on the earnings call are our Vice Chairman & Managing Director – Mr. Varun Berry; Executive Director & CEO – Mr. Rajneet Kohli; Executive Director & CFO – Mr. N. Venkatraman; Chief Sales Officer – Mr. Vipin Kataria; Chief Marketing Officer – Mr. Amit Doshi; Chief Procurement Officer – Mr. Manoj Balgi and Chief Development & Quality Offi cer – Mr. Sudhir Nema.
The Analyst Deck is uploaded in our website. Before I pass on to Mr. Varun Berry , I would like to draw your attention to the safe harbor statement in the presentation.
Over to you, Mr. Varun Berry with remarks on the performance .
Varun Berry : Good afternoon everyone. Very happy to be here with you. So, without much ado, let me get to the presentation. If you get to page number 3, that will give you the three parameters of our business . Our year -on-year growth is 16% on revenues. On operating profits, we have grown 55% and we continue to gain market share through this quarter as well.
Moving to the next slide , which gives a look at what is happening through the environment as far as inflation is concern ed. The food inflation in India, it continues albeit at a slightly lower level. Wheat is one commodity which remains on the boil , so if y ou were to look at the first quadrant on the left that shows what is happening to the Indian overall consumer food price inflation which is showing at approximately 6% year -on-year in Q3 of 23 . US dollar is obviously strengthening versus the Indian rupee. You go to the third quadrant on the left that shows wheat, so if you would look at the red line, the red line shows the Chicago Board of Trade and how the wheat prices have fared in the CBOT . Now, very clearly, the international prices have been dropping. After Q1, we have seen a drop in the wheat prices, however, in India, which is a fairly insulated market, the prices have been only going up and while we are very close to the season, we will know soon enough in the next 2 months, how the crop is and how the commodity prices rule at that time, but right now, it is at the hi gh as far as wheat is concerned. The RPO prices have softened both for the Bursa Malaysian Derivatives Exchange as well as the Indian market prices are almost parallel to each other and that has helped us control inflation on our commodities to an extent.

Going to the next slide that shows inflation versus Q3 of 2021. Basically, what has happened is that in the last 2 years, we have seen very high inflation and even on a year-to-date basis, we have seen an inflation of approximately 12%. In this quarter , because of RPO softening as well as us consuming cheaper wheat covers which we had bought in the beginning of the year during the season, it has softened a bit internally from our consumption standpoint, but it still remains reasonably high, the inflation fo r all commodity baskets .
Going to the next slide, which is on our cost and profitability front, if you look at it, we have taken the necessary pricing actions and th

ese were action to cover for all of the inflation in the first half of the year. We have st epped up our cost efficiency program and we are looking extremely good and I will cover that in a few more slides. There have been some corrections in RPO and we have been consuming wheat which was at the right price and hence Q3 results have shown improve d operating margin. So, as a result of that we have seen operating margin improvement of 330 basis points quarter -on-quarter , however, as market leaders we always need to lead the price increases and we have done that and despite leading that we have been able to gain share, however, there are pockets where we have seen a comparative reaction, so there will be some modifications that we will have to make from where we are at today and we will do so in the coming quarter. We obviously want to make sure that in every possible segment, we surge forward and we gain share through all of the strategies that we deploy which I will come to in a bit.

So, next slide which are the strategic pillars which we have been talking about for quite a few quarters now which drive our profitable growth ; Distribution which is very key to our strategy and marketing of our key brands ; Heighted Innovation, after COVID we have been going pret ty heavy on innovation launches ; Adjacent Businesses and I will come to that in a bit, ha ve been doing reasonably well I would say ; Cost Efficiency programs, I already spoke about and I will speak about them in a little more detail as we go through the pre sentation and finally Sustainability.

So, let me go through these one by one, so the first one is on driving Efficiency and Distribution. As you see from the slide, we have now 28,000 rural distributors versus 26,000 in March of 22 and we have gained one-and-a-half times the share that we have gained on a n all-India basis in rural. So, that strategy of going heavy on rural has been working for us and as a result of that while some companies have been announcing some kind of slowdown, we have not seen any slowdown in our rural revenues and our volume growths in the rural areas. The second part of that slide is on direct reach. We have also been focusing on getting this after the COVID relapse so to say, we have been focusing on getting wider direct reach and we have added 1.5 lakh outlets during this year. So, from 24.9 lakh outlets, we have gone to 26.4 lakh outlets with our direct reach program .

Moving to the next slide , which is about the marketing activities during the quarter, there are multiple marketing activities and some of you must have seen them on air, so we have some new creators that we brought this quarter, 50 -50 was one of them . Some of the others listed on this

slide also , some of the campaigns that we have done during this quarter. We have also won some industry awards which are also there on the slide.

Amit, would you like to comment on this?

Amit Doshi : Yes, I think as Varun sai d, we have continued to make investments in our core brands to ensure that we continue to drive penetration for these brands and each of them is top of mind in their respective categories . As Varun said, it is also heartening to get the industry recognitio n because we believe that we want to do worth that wins in the market and it is always good to get peer recognition. For both, there is Campaign India there and the Storyboard18 there and three of our pieces, the first one being for Good Day, then 50 -50 an d then NutriChoice were among the top 50 ads in the country and top 25 ads in the country, respectively. For Milk Bikis Classic , we have won awards for Best Regional Marketing in Tamil Nadu at the FE Awards , they are the best when it comes to effectiveness and one of our NutriChoice digital pieces was actually voted at the Viewer 's Choice ad of 2022 by the Outlook Magazine.

Va

run Berry : Sorry, I just want to go back to the previous slide, not shift to it, but while advertising wins awards, there are no awards for sales, b ut I will be remiss in not mentioning Vipin Kataria and the sales team making some superlative efforts in getting the r esults that I was talking about on the previous slide.

Moving onto the next slide, which is about Innovation, so we have had some very good launches, Biscafe which is a very unique product, has moved almost five times in terms of revenue since we launched it, similarly NutriChoice Seeds, Herbs & Protein which was launched in Q1 again has moved 4 times since launch. We also had focused scaleup drives on 50 -50 Golmaal, which is a very interesting product. It wasn’t national till some time ago, it was only Eas t and even today, it remains predominantly East while we are trying to spread it across the country, great product, it has moved two times its revenues during this year ; Milk Bikis Classic, very nostalgic and a great product doing very well in its co -territory of Tamil Nadu and Kerala. In the Adjacent Categories, we have launched the Festive Plum Cake in East and South which is doing quite well just before the festive season . We have also launched a new product in our Snacking which is called Tic Tac Toe. Snacking is again, it is in test market, but in these test markets, we have launched this product and it is doing quite well. It is actually yet to go into the West market, but it is currently only in the South market and it is doing quite well.

We have also got a Fresh portfolio, again we are experimenting with Fresh Paneer through our Fresh Distribution channel. I won't say it is a blockbuster, but this is giving us great readings on what we should be doing with our Fresh channel as we go forwar d. And on Adjacent categories also, we have had some focused scaleup drives. Croissant which was launched across the country in Q2 is growing very handsomely and doing quite well and the Marble Cake which we also launched in Q2 has been scaled up and it is doing very well. Both of these products are at about 150% which is two-and-a-half times what they were during launch and 130% which is 2.3 times what they were at launch , so good progress on innovation as well as adjace ncy products.

Now, moving onto the n ext slide which is about our joint venture with Bel of France on Cheese, so just to give you an update, you know that we had signed the strategic partnership to disrupt this very nascent , but fast-growing Cheese category in India. Obviously, we bring brand with trust and the distribution strength and Bel brings the product know -how as well as the technical expertise. We are looking at differentiated portfolio of very innovative Cheese product s and these will be produced in our new state -of-the-art facility at Ranjangaon. You guys are welcome to visit us and have a look at the facility whenever you happened to be in that part of the country and you know that we hold the majority stake at 51% and Bel holds 49% stake.
Now, to give you an update on where we stand on this, Cheese Lines and Cheddar Cheese Lines will be commercialized in Q1 of 23 -24. So, Cheddar Cheese has to be produced, for that to be used to produce various formats of processed cheese, so the processed cheese lines will take a little more time. They will be ready in the second half of 23 -24 and on these processed cheese lines, we will produce Slices, Cubes, Blocks and Spreads. So, that will be ready in the second half of the next financial year. What are we doing, in the meantime , we are working on the joint branding how the products and the packaging designs are going to look. We are working o n the organization structure. We are training the personnel, we are finalizing our portfolio, not just for immediate launch, but the portfolio as it will look in the n

ext 2 years, 3 years, 5 years . There
will be some products which will be imported to star t with , namely the Rs. 10 sachet of cheese which Bel currently sells which is imported from Bel Vietnam th at will continue to be imported but will be put through our distribution system and hence will be accessible to a lot more consumers as we put it into a lot more outlets across the country. The second product which will be imported will be the Triangular Portions, great products which will continue to be imported from Vietnam. As you all know, there is a treaty that Vietnam and India have, so there are no import duties on products which are imported from Vietnam, so we will take advantage of that. What we have done for ourselves, we have set clear benchmarks on where these products have to reach in terms of revenues before we trigger line in Ranjangaon, so we are planning line of the sachets as well as the portions in Ranjangaon, but the timing of that would be in the next year to the next 2 years depending on how we scale up these products in the market. So, that is an update for you on our joint venture . Hope that is detailed enough for you.
Going to the next slide which is the Ranjangaon factory commercialization as far as the other dairy products are concerned. Now, just to give you the products that we are looking at, one is of course, Aseptic PET whi ch are the Drinks we are going to produce in PET bottles. Currently, we are selling our drinks in Tetra and we will be moving a part of the portfolio to PET. Second is Fresh Dairy which is Dahi and other fresh innovative products which can be produced. So, this Fresh Dairy line can produce Greek Yogurts, it can produce Drinking Yogurts in a fresh format with the limited shelf life of 21 days, so we will be looking at that as we start to commercialize the line. We have a line for powders which can do Dair y Whitener for retail and also for captive consumption within our bakery which is SMP , Skimmed Milk Powder ; SCM, Sweetened Condensed Milk and Whey Powder. So, as we speak I will come to where we are at

on all of these lines and the last is Fat which is Ghe e. So, these are the other lines that we have in our Da iry facility.
Just to give you an update on where we stand, so as far as Milk collection is concerned, for producing all of these products, we are currently collecting 70,000 liters per day of milk fro m 2,850 farmers. Our objective is to take up to 150,000 liters per day from 4,000 plus farmers. Currently, we have 65 bulk milk collection centers which are run by our partners in the rural areas around Ranjangaon. We are looking at scaling these DMCs as w e call them 225 by the year end. We are providing extension services to all of our farmer partners which are being strengthened to make sure that we genuinely add value to all of our farmer partners. As far as the commercialization of the lines is concerne d, the SMP which is the Skimmed Milk Powder and Dairy Whitener lines have been commercialized, we are already producing product and this product is being used internally by our bakery division to produce biscuits and another product s. We have also started to produce Sweetened Condensed Milk which is also being used by our bakery division. We have also commercialized our PET line and we have launched Milk Shakes in PET only in the South currently, they have gone into the market only in the month of January,

so you wouldn't have seen them, but they are great products, looking really good, tasting awesome . Fresh Dairy is also to be commissioned in the next couple of months before the end of this financial quarter. So, that is where we are at. We are doing extensive training of our operators in the Dairy facility; the quality parameters are being very clearly set to very high standards and we are setting up all the systems to make sure that we run t

his facility to the highest
standard possible.

Moving onto the next slide, we have made reasonable shifts in our Adjacency business and these will definitely fuel the ne xt phase of profitable growth for Britannia as we go through time. So, on Bakery Adjacency, Cake we have had quite a few innovations as well as our base cakes are doing well, and we have registered healthy growths in this category. We have also i mproved profitability across Cake , Rusk as well as Bread as far as this year is concerned. New businesses, Croissant continues to gain traction, I have already spoken about the kind of growth that we are seeing post the national launch. Yes, there are pockets where we are doing better than the others, there is focus required in certain markets and we are making sure that we provide that as we go through the months with this new launch. Wafe rs, we have launched low density wafers, cheese flavor, etc., and Wafers overa ll continue to gain market share. I won't say blockbuster, but the makings of a blockbuster for sure.

As far as International is concerned, we have seen healthy profitable growth across key geographies. Nepal continues to do extremely well. If you remember , we have invested Rs. 55 crores in Nepal and that has given us very good return. Commercialization of our own operations in Kenya is happening as we speak and we will be scaling that business up as we go through the next financial year.

Moving onto the ne xt slide, which is our Cost Efficiency programs, we have been driving ecosystem of efficiencies. Now, if you look at it, the themes are the same. From supply chain

standpoint, it is all about process automation, distance to market, optimal power resources, renewable energy. From a material standpoint, it is again the themes are exactly the same, sourcing strategy, vendor development, making sure that you get the right people into the right category, packaging initiatives, vendor's cost optimization, etc., and on the others we have got market returns which we made very good progress on , commit ment charges that we pa y to our manufacturing partners, fiscal incentives and there I would like to just talk about that in a bit. I will come back to that and Media Effectiveness , there is some very good work which is happening on media effectiveness as well. So, on fiscal incentives, we made a lot of investments in production line, in the R&D center, in innovation lines, dairy etc. Now, these lines have all been secured with incentives which have been provided by the state and the central governments and this has been giving us payback for all of the money that we have been putting in manufacturing . So, at one end, we are getting all the efficiencies and on the other end, we are getting the incentives, so it is working out quite well on our overall investments.

Moving to the last slide from the business standpoint, we are clearly on track as far as ESG is concerned. We are on track for all the targets that we have committed to be it energy efficiency, plastic reduction, sustainable packaging, working with communities around our plants including improving the lives of farmers around Ranjangaon, etc., so we are making great progress there.

I will hand ov er to Manoj. Manoj is the architect of this and between Manoj and Deepti there is a drive in this, so over to Manoj to take you through some of the details here. Manoj?

Manoj Balgi : Yes, so we are working on four pillars as far as the ESG agenda goes ; People, Resources, Growth and Governance and we have taken targets which are good for the community and good for the business and if we were to go through the people quadrant where our focus is on targeting farmers who Varun talked about 2,800 odd farmers that we collect milk directly from. We do a lot of CSR work in and around our factories partnering with the Wadia Foundatio

n and we have
reached about 14,500 odd beneficiaries. The work is more on sanitation and water management and hygiene around those commun ities and again on the nutrition side, we have reached more than 2 lakh beneficiaries till December 2022.

In terms of Resources, we have increased our share of renewable electricity source for our operations from 33% to 38%. The share of renewable energy is about 18% from 14% last year , 3% reduction in emission and additional 61,000 kilos of plastic has been discarded in this period till D ecember. We are on track for our EPR program. We have been plastic neutral last year and we will be plastic neutral this year and 72% of our Laminates Multilayer packaging that we source are now recyclable. Water consumption has been reduced by 33% through recycling and reuse. In terms of the com mitment towards reducing the sodium and the sugar content, we are on track. About 2.5% of reduction in sugar versus 2018 -19 when we started the program and about 13% reduction in sodium and in terms of governance we are extending our sustainability program to 100 of our key suppliers. Assessment is on and we will co-op them into our ESG program. Thank you.

Varun Berry : Thanks Manoj. Now, moving to the financials, so actually there is nothing much to say here. The res ults speak for themselves, so full year 22 -23, we have grown 16%. Q3 is also incidentally 16% for the year and if you look at the 24 month's growth it is at 32% , so both very healthy, good growths that we have registered fro m a topline revenue perspective.

Next slide is about operating profits. Again, operating profits have grown this year at 15.5%. This quarter, it is at 55%, 24 -month growth is at 35% because last year Q3 there was a decline of 13%, but a very healthy 35% even on a 24 -month basis with marg ins being at 18.5% of revenue.

Now, getting to the next slide which gives the key financial ratios, so net sales of 16%, operating profit of 55%, profit before tax is at 127%, but this includes Rs. 376 crores of exceptional gain which is on account of the 49% stake sale pursuan t to the joint venture with Bel on our Cheese business. So, this is the exceptional number and a result of that profit after tax is at 151% standing at Rs. 932 crores. Now, even the numbers below only 1, 2 really look at is profit from operations which has gone up to ever high at 18.5%. The profit before tax is obviously at 28% and profit after tax at 23% includes the exceptional item, so I am not going to belabor those numbers . So, those are the resul ts. Over to you for questions , please.

Moderator: Thank you very much . We will now begin the question -and-answer session. The first que stion is from the line of Abneesh Roy from Nuvama . Please go ahead.

Abneesh Roy : Congrats on good numbers. My first quest ion is on the Dairy business, so in Cheese when I see currently there is obviously one or two mass -end pricing from Amul and Mother Dairy kind of players and also there are some regional brands and Indian consumption also if you see mostly of mass and cheese. So, when you say that you want to disrupt the market and you have already discussed sharp scaleup in the next 3 -5 years, that is coming because of LUP strategy of INR 10 and say the innovations like Triangular or is it coming because you want to mak e India consume the other variants which say the developed countries consume, the issue there is most Indians will not be knowing those, you will have to have huge education for those, so which is the one you are betting from a 3-year, 5 -year strategy beco mes the LUP and aggressive pricing because of sourcing of milk or because of new variants coming to India?

Varun Berry : Both Abneesh , see when we want to scale up the formats that we already exist in, coming together of Britannia and The Laughing Cow, I think the magic o

f brand will really play up, both
very strong brands, that magic will definitely play out and obviously the technical know -how of Bel on how to create differentiated offerings which are much better than the market which are obviously cater ed to the Indian taste albeit at a premium to what the cooperatives are providing, I think that is going to be one strategy and the second is the LUP at Rs. 10 is a big one if you think about it. It is a habit creating initiative. Whenever a category has t o go to a lot more consumers, you got to have carrier SKU which gets to consumers across the country and if you think a bout it, the fast food, the QSRs have helped us create cheese in the tip of the iceberg as far as the Indian population is concerned. How do you create that same kind of habit across the

board and get to the bottom of the pyramid and that is really the strategy which is the second strategy that we are betting one and obviously all these products and a lot more products which we can sort of create as habit warning will be produced in the long run in India, in the country, so that varies the strategy as far as Cheese is concerned.

Abneesh Roy : I had a follow -up on Dairy business, so in Paneer, the new launch looks interesting, when I see the p ricing your pricing is at 110 versus 80 to 85 for Mother Dairy and Amul, your pricing is much more closer to Punjab Sind and ID Foods , for example, so here, once your sourcing is i n place, once your factor y is fully in place, your prices then, will it converge more to the value players or here you would want to be in the Punjab Sind and ID Foods kind of a premium paneer kind of a place?

Varun Berry : No, we are not looking at becoming the value players in any category. If we have a right t o succeed, these are all experiments Abneesh . We are looking at what we can do, how can we add value, etc. If we can create a premium offering which gives us revenues as well as profit, we are in it. We don’t have line for paneer for instance , it is all th ird party. Even in our Ranjangaon facility, we haven't invested for a paneer line, so these are experiments which are without real investment. If they work out, then we have the milk, we have the factory, we have everything else, we can always put up a line and move forward with it. If it doesn't work and if it is still the bottom of the pyramid pricing which is working, then we will move forward and walk away from initiatives like this .

Abneesh Roy : Sir, my second and last question is on your Biscuit marke t share, in biscuit your market share improvement has been quite good, so in inflationary time, the market leader, number one player, the premium player always gains market share in most FMCG, now we are obviously coming into deflation gradually , palm oil first, packaging second, and wheat obviously India will see 112 million tons production this year, government forecast last year it did not go right, but if that happens and say milk also deflat say next year, how are you going to tackle the comp etition from regional players and may be the second player against whom you have gained market share, would you be worried on that front in a gradual manner, I know currently it is not relevant, I am asking from next 2 -4 quarter perspective?

Varun Berry : Well, Abneesh, you have seen us in deflationary times as well, so we have been through quite a few years of deflation and we managed that quite well, so we will deploy the same strategies as we go forward and I am hoping that we get to deflationary times. I t doesn't seem so right now, but I am hoping that you are right.

Moderator : Thank you. The next question is from the line of Avi Mehta from Macquarie Group. Please go ahead.

Avi Mehta : This is Avi here from Macquarie. Sir, I just wanted to understand the c ompetitive intensity a little better, so over the last

two quarters, not just two quarters, actually even before that we have been able to drive very strong market share gains despite taking and I remember last few calls,

you have been seeing we have taken the industry leading price hikes, now what should we read from an competitive intensity as of now, is there moderation or is there a change in behavior if you could help us understand that please?

Varun Berry : We have been working very clearly on an agenda. Our agenda has been driving distribution, we know where our strengths are, we know where our weaknesses are, we have been working towards fulfilling our weaknesses. We have been heightening our strengths, so I think that has been working really well for us. We have been nourishing our brands, we know again where our strengths are, where our weaknesses are within the brands. We have been heightening our strengths and we have been making sure that we fulfill som e of the weaknesses. We know we have weaknesses. The value portfolio is one weakness which we did not tr y to fulfill. Within the premium portfolio , there are certain weakness es we are trying to fulfill and I think there is a lot to do within our system to make sure that we strengthen our geographical footprints, we strengthen our brand portfolio, we strengthen our innovation footprint to make sure that we continue to gain a march over competition. It is not about, I am going to cut prices or I am going to give discounts or if these guys because I mean this segment and hence how I can look at being from a pricing standpoint or from a promotion standpoint hurt them or anything like that, no, it is very internal to us, the strategy and it is working very well f or us and I think that is what we will continue to do. Yes, we watch others, it is not that we are not watching what others are doing, we are learning from them , there are certain players within the biscuit competition who have been doing quite well and we learn from them, for example, Patanjali is doing very well in milk and our Milk Bikis was predominantly a Tamil Nadu brand, so we have now expanded Milk Bikis across the country, we come up with very innovative positioning of Doodh Roti Ki Shakti using on ly Atta to produce our product , etc., so we move forward, in certain geographies etc., and that is what we will continue to do as we move forward.

Avi Mehta : Sir, would it be fair, if I understood it correctly, it has not got to do while the competition m ay not have probably put in the same investments we have done, it probably has not got to do with difference in growth rates between this value versus the mid or the premium end, there is no other reason which is more specific from a category perspective t hat we should read, it is more about us doing the right things and probably the competition has not necessary or may not have invested in those specific alternatives, that is the rig ht way to look at it, right sir?

Varun Berry : Yes, that is the right way to look at it. So, it is about making sure that you stick with your strategy, you develop the right strategies within segments and you move forward.

Avi Mehta : Sir, the second bit was more of a bookkeeping in the buildup that wou ld we be able to give us some sense on what are the one-off gains from these forward contracts which may not continue going forward and also sense on where the ad spend intensit ies versus the normalized or pre - COVID level, just to get a sense on where marg ins can probably spread?

Varun Berry : No, clearly, let us start with the advertising p art, we have normalized the advertising spend this quarter, so we have gone back to the pre -COVID levels. From one -off gains, I have spoken about

the one -off gains from t he joint venture, but besides that we have been consuming covers of
wh

eat which have been at a much lower price, so that is certainly going to go away. As we move to the next quarter because you never cover wheat till the next season, so our wheat covers w ill now end and hence we will start to consume wheat which will come from the market from the season, so that will be one change. There always are some changes that come through during the season and I think th ose are the two changes, frankly. T here are no other exceptional items.

Avi Mehta : Sir, I was trying to just understand the quantification roughly how much could it have benefited margins because that would help us understand, so this quarter we have almost done one 18.5, 19.5 kind of margin, as we go into the next year, how much would b e kind of remove out of this, so is it 100 basis points and that is the level that we look at as the steady state, that is broadly where I was trying to hit?

Varun Berry : Yes, I had mentioned that as well. As market leaders, we have to take price incr eases before everyone else does and we did so. Now, with the inflation not being at the level that it was few quarters ago, there have been certain categories where competition has laid a little bit of hard ball, it has not been widespread phenomena, but there will be a few segments, few SKUs, few brands where we will have to adjust pricing back to lower levels, so that will be small number. It might not be a very large number, but that would be the only thing. Besides that I think we are pretty much in a good p lace.

Avi Mehta : Sir, any guidance or any range you can help us understand because we went to 19 in COVID, you said that was not the level we should assume correctly, but now we are again back to 19, so I am just trying to appreciate what would you be comf ortable as the last two quarters as a better range to look at because there are covers, but clearly those covers would continue?

Varun Berry : I would think so between Q2 and Q3 would be the right range to look at.

Moderator : Thank you. The next question is from the line of Jaykumar Doshi from Kotak. Please go ahead.

Jaykumar Doshi : Ideally, a bout a year ago, you had indicated that the potential for Dairy business is about Rs. 2,000 crores in the medium term, you had not given any indicators in terms of timeline, do you still believe that number is doable or do you think you can do better than Rs. 2,000 crores and is it possible at this point of time to give us some color in terms of how that portfolio can shape up in terms of r evenues over the next 3 years ?

Varun Berry : I would still stick with that number. We are in the process of launching our new products. Cheese is still not even in the market, so let us watch this space for a bit and we will come back to you. That is what w e have set for ourselves, so we will stick with that.

Jaykumar Doshi : And current scale is about Rs. 500 -Rs. 600 crores, is that understanding correct?

Varun Berry : Just over that, yes.

Jaykumar Doshi : And one more follow -up around the same thing, I think prior to pandemic, industry was growing at a very low single digit levels in terms of volume and you are able to grow faster based on new product launches in market share gain and couple of time you had called out industry g rowth versus the gap between the growth driven by new product, could you give us an indication in terms of what do you think that gap is and whether that gap is widening given that you are seeing good success in new product launches and now Dairy will scal e up?

Varun Berry : No, as you can see from the market share, we have been continuously gaining share, so the gap remains pretty much the same, but I must admit that around COVID times and beyond we have seen the market growth to be much faster than what we had seen from 2013 to let us say 2018 - 19, so the market growth have suddenly picked up and which i

s the great trend from our industry
standpoint.

Moderator : Thank you. The next question is from the line of Latika Chopra from JP Morgan Chase. Please go ahe ad.

Latika Chopra : Thank you Varun for you detailed comment on Adjacencies, but what I am looking for now is a little bit quantitative flavor, so it would be helpful if you could share what is the salient of non - biscuit portfolio in your business today and if you could share a little flavor on what is the kind of annualized revenues today that you are seeing for key segments like Cake, Rusk, may be Croissants and Wafers and if one looks at the growth algorithm over the n ext 5 years or 3 years for Britannia , what that salience or revenue size of these adjacencies could be in your view?

Varun Berry : Currently, the biscuit and the non -biscuit portfolio are approximately 77 :23 which has gone up from what it used to be. If you think about it, it used to be almost 85% on our biscuits till about 7-8 years ago and so it has been continuously obviously the non -biscuit portfolio has been growing faster. You also want to remember that biscuit is so large that for the other categories

to become substantial part and to contribute substantially to it . It requires a little bit of time and it has taken time, but I think we are moving in the right direction.
Latika Chopra : And here in one of the interviews, you said that probably this 23% probably becomes 35% over the next 5 years, is that how we should read?
Varun Berry : Yes.
Latika Chopra : And within this 23% today, could you tell us how much would be Cakes and Breads and Rusk which are the more milky parts of this portfolio?
Varun Berry : So, Cake and Rusk would be almost 50% of this and the rest would be approximately 50% of the 23% .
Latika Chopra : And the second bit I had was on biscuits itself, you have talked about market share gains, could you help us with the volume growth and the value growth for the biscuit's overall category and

some flavor on how the different subsegments are looking at and within the growth rate that you have posted for the last two qua rters are, what is the kind of mix contribution to this besides volumes?
Varun Berry : See, there is not always a complete matchup between our numbers and the Nielsen numbers in the overall total market, but we have been seeing very good growths and you hav e seen our growths. Our transaction growths are almost at 16 -17% which means that the number of package that we sell is growing almost 17% in this quar ter and if you were to look at a year-to-date number also it is almost at about 14%. So, the transaction growths are very good and that is what matters to us. Volumes obviously have been low. Volumes are very low single digit and the reason for that is the kind of price increases that we have taken during the last 2 years. So, that is where it is, but from a revenue growth standpoint, it clearly is indicative that even the entire industry is growing at double digit revenue.
Moderator : Thank you. The next question is from the line of Percy Panthaki from India Infoline. Please go ahead.
Percy Pan thaki : On Dairy, can you give some idea on what is the CAPEX that you will do over the next 2 to 3 years ? And secondly , do you fear any risk of EBITDA margin dilution if Dairy is becoming a large part of your business and the EBITDA margins there might be lower than the biscuits margin, correct me if I am wrong in that assumption first of all?
Varun Berry : First, your question on investments, investments are about Rs. 600 crores for starters in all of the line that I spoke about during my presentation, will there be more investments, yes, probably for innovations, but that will be very clearly, once we read our results of the imported products that I was talking about, only after tha t we will put in more investments as far as ch

eese is
concerned and even on the other areas , we will put in investments after we have proven that some of the products that we are launching are doing well. The other question, what was the other question that you had?
Percy Panthaki : EBITDA margin whether it will be dilutive?
Varun Berry : No, EBITDA margin, we will have to see as we go Percy . For Cheese we have already had a very solid EBITDA margin. Now, with our own factor y and with the joint venture hopefully that should move in the right direction. Yes, for a peri od of time, there will be depreciation hit that we will have to take which is fine, but I think over a period of time, we should be fine on that and the other thing is that even at Rs. 2,000 crores, even if Dairy was to move to Rs. 2,000 crores in the next few years, by that time, our overall business would have moved much beyond where it is today. So, it will not be more than 8 -9%, 10% of our total business. So, the impact of this is not as high as you and I assume it to be.
Percy Panthaki : And just checki ng on data point which you just said, did you say that number of packs sold grew at about 16 -17% in this quarter?

Varun Berry : Yes.
Percy Panthaki : And finally , can you give some guidance on the overall CAPEX at a consolidated level, FY23, 24, 25?
Varun Berry : So, just to highlight what are the investments that we are making, we have got three new lines, we have got a new factory in UP, we have got a new factory in Tirunelveli in Tamil Nadu and one new factory in Bihar which is going to come up. There are some lines which are coming up in Ranjangaon plus the Dairy facility and in Orissa we are putting up an additional line. So, basically all put together, the curr ent year is going to be approximately Rs. 750 crores and thereafter I think for the next 2 or 3 years, it is not going to be very large, let us say the next 2 or 3 years, our total investment will be Rs. 250 crores odd.

Moderator : Thank you. The next quest ion is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi : Two questions from my side, first is the clarification, this is to do with the sustainability slide, where you have mentioned 12.84% reduction in sodium versus 18 -19, but if I remember correctly from the annual report, we had mentioned that we aspire to have a 6% reduction in sodium by 24, so just wanted to get that clarification here?
Varun Berry : That is one area where we have had more reduction than what we had stated for ourselves, so that has been working well. Manoj, Sudhir, do you want to comment on that?
Manoj Balgi : Yes, you are right , Varun. We had a target of 6% for the sodium on per serving basis, but we did basically rule out the sodium plant in various products to get to this number.
Sheela Rathi : And my second question Varun was on the distribution strategy, I think that has worked out very well for us, so just wanted to get an idea from you as to what is the aspiration on the distribution front both o n rural side as well as direct distribution where we have reached a certain level now where we could be in the next two years there?
Varun Berry : That is a very important question and people continue to feel that how long will this last. I think this is ev erlasting, while we made great progress, there are still territories and states and areas which we still continue to be very poorl y distributed. Rural still lags by almost 11 distribution points, so we have a long way to go and we will continue to work on it because it is such an important strategy for us. Very important part of our strategy has been our distribution gain and that is the one which has kept us away from really getting into fisticuffs with competition. We have been driving around distribution and been gaining traction and chair in all of these states , so a long way to go . S

hort answer is a long way to go and we will continue to drive that.
Sheela Rathi : And assumption of 1 5% increase every year could be a fair assessment, right?

Varun Berry : Yes, absolutely.
Moderator : Thank you. The next question is from the line of Vivek Maheshwari from Jefferies India. Please go ahead.
Vivek Maheshwari : My first question is on the market shares again Varun, so the market shares that you have presente d on the slide are value market share and guessing, would volume market share also give us similar story?
Varun Berry : Yes, it will. So, we have also benefited from the fact that the premium products and premium offerings have been gaining over the value o fferings, so it will be very similar.
Vivek Maheshwari : The other question is, you mentioned 16% growth in packs , low -single digit volume growth and 16% revenue growth, so does that mean that there has been a shift from larger packs to smaller packs?
Varun Berry : It could be momentary, it is not reflective of a long -term trend, but yes, this quarter we have seen 17% transaction growth with 16% revenue growth, but it is not like we have been seeing that forever, but in times like this, you have got to r emember that there is some amount of down trading which goes off as things become better. So, it could be for a quarter or two and then it goes back to the old mix.
Vivek Maheshwari : And lastly Varun, how much will be the price cuts that you will need to t ake at the portfolio level in the coming quarter?
Varun Berry : It is not substantial. We haven't really looked at what number it will work out to be and we are not really taking a price cut. What we are looking at is projecting them as promotion, so that i t doesn’t look at we are permanently down to a certain price. It will be as a promotion, so that we can take out the biscuit and move back to our own price whenever need be.
Vivek Maheshwari : And at the time of taking up prices, you have had reasonable amount of that via volume, so conversely will also be true as input prices are going down, right?
Varun Berry : Yes, we are looking forward to that because while inflationary times like this, it is okay to have very small volume growths and the g ood thing is that we have had great transaction growths and that is what matters for us. How many packages, how many consumers are enjoying our products, etc., but volume growths are also important and we would like to get back onto a volume growth traject ory as well.
Moderator : Thank you. The next question is from the line of Kunal Vora from BNP Paribas Mutual Fund. Please go ahead.

Kunal Vora : So, continuing on the previous question, so how should we look at volume and pricing contribution in FY24, you ha d double -digit price hikes in FY22, another double -digit price hike in FY23, so growth has been mostly pricing led, how do we look at that mix changing in FY24?

Varun Berry : So, from what we just discussed, I don't think we are going to see the kind of inflation that we have seen in the last 2 years for some time to come. I don't want these to be the famous last words, but I am hoping that I am right. So, with that, I don't think there is going to be a substantial price increase. It will only be opportunistic whenever necessary for certain SKU, but we are not looking at, the inflation number for next year is looking like, but 2.5 to 3% for us , so that is the kind of price increase probably that we will be looking at.
Kunal Vora : So, with that would the revenue growth moderate or you think the current growth rate or anywhere close to that is maintainable?
Varun Berry : That is one area which I haven't understood ever. When does growth rate pick up, when does it not, I have never been able to understand. What I have understood is, how to take s

hare from the
market by driving strategies, what happens to the market , I think God only knows, but I am hoping that the growth rate on the indus try continues.
Kunal Vora : My second last question is, is there a correlation between the milk collection and your revenue as the milk collection doubles which you indicated, should we expect revenue also to double and when do you get to the 150 KLPD which you mentioned in terms of milk collection?
Varun Berry : 150 would be towards the end, but it is not only for the products that we will sell in the market. We will run the lines that we use for our bakery division as well. So, this will help us. Obviously, first, there are some overheads to the extension services that we provide. So, we will be able to max out and leverage the overheads on those extension services, we will be able to get better quality product which will be produced, whether it is SMP or Sweetened Condensed Milk or Whey powder, all of that produced in our own factory f or our bakery division. So, there is no real correlation between that and the dairy revenues because this is the internal transfer from dairy to our bakery division.
Moderator : Thank you very much. We will take that as the last question. I will now hand th e conference over to Mr. Yash wardhan Bagri for closing comments.
Yash wardhan Bagri : Thanks everyone for spending time with us on this call. We look forward to interacting with you again.
Moderator : Thank you very much. On behalf of Britannia Industries Limited that concludes this conference. Thank you for joining us . You may now disconnect your lines.

Call: May 2023

11th May, 2023

To

The Secretary,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001
Scrip code: 500825
The Manager - Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor,
Plot No. C/1, G -Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: BRITANNIA

Dear Sir/Madam,

Sub: Transcript of Analyst Call for the quarter and year ended 31st March , 202 3
Ref: Regulation 30 and Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Pursuant to Regulation 30 and Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of analyst call held on 5th May , 2023 in respect of Audited Standalone and Consolidated Financial Results for the quarter and year 31st March, 2023.
The transcript of the analyst call is also available on the Company's website at https://www.britannia.co.in/data/Analyst_Call_Transcript_Q4_2022_23_c5079655c6.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T V Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

"Britannia Industries Limited Q4 FY-23 Earnings
Conference Call"

May 05, 2023

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN & MD,
BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET KOHLI – EXECUTIVE DIRECTOR &
CEO , BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR &
CFO , BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF SALES OFFICER ,
BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER ,
BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF PROCUREMENT OFFICER ,
BRITANNIA INDUSTRIES LIMITED
MR. MAYANK MUNDRA – INVESTOR RELATIONS ,
BRITANNIA INDUSTRIES LIMITED

Moderator : Ladies and gentlemen good day and welcome to the Britannia Industries Limited Q4 FY23 Earnings Conference Call .
As a reminder all participant lines will be in the liste n-only mode . There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conferenc e, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayank Mundra from Britannia Industries Limited . Thank you and over to you sir.
Mayank Mundra : Thanks Dorwin . Hello everyone. This is Mayan k from the Investor Relations Team . I welcome you all to the Britannia earnings call to discuss the Financial Results of Q4 Financial Year '22 - 23.
Joining us today on this Earnings Call is our Vice Chairman and Managing Director – Mr. Varun Berry, Executive Director and CEO – Mr. Rajneet Kohli , Executive Director and CFO – Mr. N . Venkatar aman ; Chief Sales Officer - Mr. Vipin Kataria, Chief Marketing Officer - Mr. Ami t Doshi and Chief Procure ment Officer - Mr. Mano j Balgi .
The Analyst Deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbor statement in the presentation.
Over to Mr. V arun Berry with remarks on the performance.
Varun Berry: Good evening. Sorry to draw you out so late in the evening , so let's get to the deck.
On Page # 3 you will see our revenue profit as well as our market share trend ; for the quarter we've grown 11% revenues , for the year that's gone by 15% revenue growth , operating profits for the quarter have grown by 47% and for the year it's at 30%. Our market share gain s continue and the gap with the second largest competitor has gone up in this quarter as well.
Moving to t he next slide, which is our regular slide which gives us the five strategic pillars which we drive to get profitable growth. I'll take each one of these as we go forward. So , on the distribution front as you see we've got the number of rural distributors , which has gone up from 26,000 in March '22 to 28 ,000 in March '23. We've added 2000 distributors and the rural market share gain is 1.4 times of what we have for all India. We continue to gain more share in rural. If you look at our direct reach it's gone up by 2 lakh outlets. We've gone up from 25 ,000 to 27 ,000 approximately in terms of number of outlets reached directly by us , sorry 27 lakh outlets.
Moving on to the next slide, which is on the marketing activities :

This quarter we relaunched Pure Magic w hich is doing reasonably well. We also had the launch of aseptic P ET bottles , drinks and aseptic P ET bottles and that's doing really well for us. On the other front , the brands that were on air Marie which is on season four of the startup contest was on air , Good Day Choco chip was on air and is doing quite well. Mas ka Chaska, where we use d Ravi Shastri, that has gained a good market share this quarter and Potazos and Rusk were all on air. Digital acti vities also were there on most of these brands.
Moving on to the next slide ; innovation , we've got some good results there. Golma al, which was started off in the east has now got extended to south and west and we are seeing a 40% sequential shift quarter -on-quarter. The Nutri Choice seeds and herbs , we are seeing a 50% sequential shift quarter -on-quarter. Milk Bikis Classic which is launched in Tam il Nadu is also seeing a very healthy sequential shift. Cro issant, we launched the orange variant and croissant continues to do quite well for us. I've already spoken about milkshakes . We had our milkshakes in tetra pack and now we've launched it in aseptic P ET. We've added to that Rich Milk Shak

e which was
launched last quarter as well as Coconut Water which has recently been launched. One point that I wanted to make on our milkshakes is that , we are probably one of the few companies which are making these milkshakes from fresh milk and hopefully the quality will speak for itself. Winkin Cow is now a 150 crore s brand. We are sourcing all of our aseptic PET from our new factory in Ranjangaon . Again , I would urge you if you're interested in taking a tour of our factory , we would be very happy to take you there. Our distribution reach is two times , shift over last yea r as far as milkshakes is concerned and our overall innovation contribution is looking pretty good.

On the adjacent business , we've got the bakery adjacencies where bread continues to do a profitable growth trajectory which for many years, we've not seen but n ow for the last 5-6 years we've been growing our bread business profitably. We've commercialized three new lines in rusk. I don't know if but we never had any Rusk Line besides one in Madurai and now we are commercializing three new lines. This will e nsure that we produce very good quality products and at the right price. Cake, there was mushrooming of cake brands all across and there were different types of cakes which were coming in and we've now been able to bridge that portfolio gap. We've got a fu ll contingent of cake products which are there in most markets. Croissant, I've already spoken about. Basically , we joined the 100 crores club in this category. The base markets which are Tamil Nadu and West Bengal where w e were doing our test market , they continue to grow more than 50% year -on-year and the new markets are coming to play. We've spoken about the new flavor . Our dairy we have started to distribute , are now transitioning to the Britannia Laughing Cow brand. As you know that we've got a joint venture with Bel and that is scaling up. We've spoken about Winkin C ow, I won't repeat that .

Total milk collection directly from farmers is at 70 ,000 liters. We do about 130 ,000 liters of bulk collection which takes our t otal milk collection to 200 ,000 liters per day. We are now supplying the entire SMP A and SCM for our captive consumption to our bakery division from the dairy plant.

I was on Slide # 9 and I was talking about the waste that we reduce d in everything that we do. Reducing the distance to market for the products that go to the consumer as well as reducing the distance of the supplies that we get to the plants. We've also got renewable energy , which has moved up and I'll come to the numbers as we talk about our ESG agenda. The journey on reverse auctions for our procurement is moving quite well and our supply chain replenishment , our sales productivities are looking pretty good. As a result of that in ‘22-23, we've had a spectacular year from savings standpoint a nd it's nine times what it used to be from ‘13-14. It's been a huge jump shift this year and it was necessitated through the inflation that we saw. The team really got together to make sure that we make the best of it.

Moving on to Slide # 10, which is our ESG agenda. There are four pillars :
‘People , Resources , Growth and Governance ’.

So as far as ‘People ’ is concerned – we are now dealing with almost 3000 farmers who are enrolled as our milk supplying farmers. We've also got a farmer extension program where over 3000 farmers have been supported who are beneficiaries of all the support that we provide out of the medical ca mps that we've conducted this year. They are also approximately 2 lakh beneficiaries of our Britannia Nutrition Foundation. We've got 75% female workmen in the new greenfield factories that we've commercialized this year. So , all very strong points .

From a ‘Resources ’ standpoint – as I was saying renewable energy , we moved up from 30% to 36% during t

his year. Our CO2 emissions have reduced by 1.1% this year. We've reduced 51
tons of plastic in the products that we make. We've also got 71% of the plastic tha t we use as recyclable plastic. This is basically BOPP and CPP. These are all recyclable laminates as well as the NI bags that we do for the wholesale packs. We've also reduced our water consumption by 33% versus ‘19-20. This 33% is per ton of product that we make. We are in ‘22-23 as well plastic neutral. We've collected and sent for recycling almost 33,000 tons of plastic.

From a ‘Growth ’ perspective – we had reduction of sugar , we reduced it by 1% over ‘21-22 and we've reduced sodium by 5% over the same period.

We've also done from a ‘Governance ’ standpoint – we've got 81 critical suppliers who have contributed to more than 50% of the total volume sourced by us and we assess them on ESG parameters. The parameters that we assess them on are sustainability , social compliance which is basically using the right kind of labor et c., diversity in their labor , water management , waste management systems that they use , plastic , how much plastic that they use and how much plastic do they collect and energy management . We've assessed them on these and they are coming out good. We are happy with the progress there as well.

Moving on to Slide # 12, which gives us the top line growth. So , if you will see in Q 4 we've done 3,900 crores of revenue which is 11% on a 12-month growth and 28% on a 24-month growth.

Both ways we've got very solid and very good numbers on growth. The year we've ended ‘22-23 at a 15% growth .
Moving to cost and profitability ; Slide # 14, this is the country's food price index which is showing that ove r the last year there is a 10% inflation for the food that all of us consume as Indians. About the US $, it moved up but it's now stabilized the rupee.
Moving to the next slide which shows what kind of inflation we've seen. We've only got four commodities here and these four commodities are about 60% of our total purchase. Flour, which is the largest is actually exhibiting a fair amount of inflation. Versus last quarter the prices are up 4% and over last year they're up 21%. Palm oil is a deflation , so it's down 6% versus last quarter and 14% versus last year. Laminates again deflationary (-5) and (-9) and corrugated boxes similarly (-7) and (-16). The other commodities which are showing some signs of inflation , dairy is a very high inflation versus last quarter at 20% and versus last year at 54%. We are hoping that at some stage we will see some respite here but no it's not in sight right now. Sugar again , some signs of inflation while versus last year and last quarter is flattish but we are seeing some s igns of inflation. So that's the roundup on commodities.
The summary is that this year we've taken pricing actions to make sure that we offset inflation. We were not clear what kind of inflation because for a prolonged period we've seen a very large inflation. We said that it's important that we take pricing and we make sure that we protect our bottom line . With some softening of material prices in the second half of this year . we have also stepped -up cost efficiencies and we are also evaluating if there a re some corrections in price that we need to make. Outlook is that we will remain vigilant on competitive pricing actions and we will closely monitor the price of wheat and sugar and wherever necessary we will make the right decisions on if there is a pric e reduction required. There are certain brands and certain packs where we already initiated price reductions or promotions and we will continue to work this space and see what needs to be done as we go forward.
Now moving to #17, which is on our operating profits ; as you see from Q 1 at 12.3% , Q2 was at 15.2%, Q3 was at 18.5 % and Q 4 is at 18.9% operating

profit. If you were to look at Q4 , 12-
month growth on profitability , on operating profit it's at 47%- and 24 -month growth is at 63%. So very healthy number s there.
Moving to the last #18; if you look at the quarter results , 11% net sales , 47% operating profit , 47% PBT and the same number as PAT . The year number 15% , 30%, 46 and 52%. If you were to look at our ratios , profit from operations is in 22 -23 -16.3% versus ‘21-22 at 14.3 %. Profit before tax is at 19 % versus 14.9 % and profit after tax is at 14.5 % versus 10.9 %. So those are the results. As I said earlier , we might have to moderate our pricing at some stage but overall , the trends are looking very good.
With that I will open the house for questions. Over to you guys.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Chirag Shah from CLSA.
Chirag Shah: I just had a couple of quick questions. When I look at the other operating income line , that has shot up very sharply in the last two quarters , this quarter it is almost 17% of PBT , what is that function of? I know there are some incentives from the state government that are included here but is there any lumpy revenue base that is sitting this quarter in the other operating income line?
Varun Berry: Yes, it's the PLI that we got from the government. As you know, there was the PLI scheme which was initiated by the government and we were one of the first applicants and we've got the benefit of that. Venkat , do you want to take that?
N. Venkataraman : Yes. So, the PLI essentially , this is for the year ‘21-22 and ‘22-23 that we have got in the Quarter 3 and Quarter 4.
Chirag Shah: Sorry PLI for FY22 and ‘23 you've got it in the second half of this year , is that understanding right ?
N. Venkataraman : For ‘21-22 we realized the money in the current year. So ‘21-22 and ‘22-23 came in the second half of the current year. That's what's sitt ing there.
Chirag Shah: Can you just quantify the PLI amount number because this number is quite large and now as a percentage of PBT how should we think of that number going forward?
N. Venkataraman : About 90 odd crore s is what is appearing in Quarter 4. Now we are expected to get about 15 to 20 crore s per quarter going forward.
Varun Berry: So, this was accumulation of many quarters. This will be a one time and as we go forward it will be about 15 to 20 crores per quarter.

Chirag Shah: 15-20 crores per quarter would sustain into the next year.
Varun Berry: Yes.
Chirag Shah: Secondly how should we read the competitive intensity as of now? Is there a moderation? How are we in terms of pricing action versus some of our key competition?
Varun Berry: So, see it was a very uncertain period because the inflation we've never seen this kind of sustained inflation for such a long time for many years now . Everyone was double guessing where this is going. We had taken a decision that we will make sure that we cov er the inflation through our price increases and went about that. There were areas where we were way above the premium that we would like to have over other brands. As I was telling you , we have made some corrections. We were hoping that the entire table w ould move up. Some places it moved up ,

some places it didn't. Competitive intensity is I would say maybe slightly higher than what it was earlier but nothing extraordinary. It's just that the period was so uncertain that people were double guessing. While we had the advantage of commodity buying last year other people didn't. It will pan out , as we go forward it will all come back to normal. But we are now in a phase where inflation is going to be moderate and not going to be what we've seen in the last 2 years.
Chirag Shah: If I can just ask

one last question , on the LUP side without asking specific numbers. How has the share of L UPs for us really moved in the last couple of years and how do you see that going forward?
Varun Berry: See LUPs - people are t hinking that because the difference between our volume growth and our revenue growth is very high LUPs are not moving. The fact is that the number of packs that we sell is still at a (+12%). While the volume growth s are very small the number of packs are s till 12%. There's no major shift in LUP versus family packs. It's just that we've taken weights out of our LUPs , we've taken some grammage out of our LUPs and hence volume is not g rowing but number of packs is still g rowing very well.
Chirag Shah: But the share of LUP pre-pandemic to now , would you s ee for us it has been constant falling or has increased?
Varun Berry: I would think it will be reasonably constant.
Moderator: The next question is from the line of Vivek Maheshwari from Jefferies.
Vive k Maheshwari: First on the gross margin for this quarter , you reported I think probably the best ever. You did mention about the pricing action . So, to speak there is a bit of a mismatch between end consumer pricing versus what the spot input prices are. W here do you think the gross margin should settle at in the coming quarter s?
Varun Berry: It will hover around the same , maybe a percent here or a percent there , won't make a big difference.
Vivek Maheshwari: You're talking about the exit rate?
Varun Ber ry: I'm talking about the year rate.
Vivek Maheshwari: The year not the exit , right?
Varun Berry: No.
Vivek Maheshwari: It will be closer to the full year average you are saying at the time when input prices have gone down . In fact , the other question I had was if you look at because wheat flo ur has hardened , most

of your key inputs would have gone down . As an RM index if you look at where fourth quarter inflation would be quarter -on-quarter or year-on-year?
Varun Berry: Can you just repeat that?
Vivek Maheshwari: I'm saying Varun, you have mentioned about different raw material heads the way in which input prices are behaving but if you make an aggregate index , my impression is that it will still be down quite a bit both quarter -on-quarter and year -on-year. Can you just quantify if you take the weighted average where the input index would be right now?
Varun Berry: In our plan we've taken a 3% inflation and that might be applicable only to us because as I said we done str ategic buying last year and we did get some good prices for our input commodities. Basis that our internal plan is looking like a low single digit kind of inflation .
Vivek Maheshwari: As we head into F24 ?
Varun Berry: Yes.
Vivek Maheshwari: In that contex t Varun, shouldn't there be at least 5000 basis point margin expansion in FY24 at a gross level?
Varun Berry: Well , if we keep it at the exit levels but the point is that we might have to make a few changes to pricing in certain brands in certain packs. W e don't want to become only margin hungry and not continue our march on revenue growth s, volume growth and market share growth. It has to

be a balanced play and that's what we are trying to do. That's how we have looked at getting the golden triangle every year which is getting all three together. That really is our objective.
Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs Asset Management.
Arnab Mitra: My question is on volume growth , as the prices are now anniversarizes and also you are looking at some price as well as grammage increases.
Varun Berry: Your voice is not clear ; we can't hear you properly.
Arnab Mitra: My question was as the pricing anniversarizes and you also take some grammage increases , do you expect th e volume growth to start picking up now or ther

e could be a lag between the anniversarization of the price and the volume growth starting to pick up for your business?
Varun Berry: I would certainly think so , but I don't worry too much about volume. I'm m ore worried about the number of packs that we sell. I would want to see aggressive growth as far as the number of packs that we sell. But y es, you're right even volume growth will definitely pick up this year.

Arnab Mitra: My last question Varun was on , just an extension to what Vi vek asked on the gross margin . Your exit EBITDA margins are almost 20% versus your average of the year, which is 17 .5%. Would you look at that as the benchmark as what you could deliver given the changing dynamics of your input cost as well as price reductions in terms of FY24?
Varun Berry: Yes, I would think so. I would say the average of the year would be more of where we would get to and we don't give any forward -looking statements but I would say that's the benchmark.
Moderator : The next question is from the line of Richard Liu from JM Financial .
Richard Liu: I just had a question regarding the difference in growth b etween standalone and consol. It's 14% in standalone and 11% at consol , what's that due to ? And related to this what I also noticed is that the COGS figure in rupees crores is exactly the same in standalone and consol. I mean why would that be so despite t he difference in revenue ?
N. Venkataraman : There are couple of things which are impacting it . Out of diary the non -cheese portion of diary has already moved into Britannia numbers during the year starting May ‘22. So that is one which is impacting the growth between standalone and consolidated. The second that is happening is that with the JV arrangement with B el and the whole thing transitioning into a distribution arrangement from April this year , the fourth quarter cheese sale it’s been accounted on a joint venture accounting basis and therefore the revenue doesn't appear there whereas the share of profits of Britannia is appearing. These two are impacting by almost 1.7%. The active growth rate should be almost about 12.9 % or so .
Richard Liu: And the COGS being similar for both consol and standalone?
N. Venkataraman : Same thing.
Moderator : We have the next question from the line of Lat ika Chopra from JP Morgan.
Latika Chopra: My question was around now we have ful l year FY23 , if you could share the revenues for the non-biscuit portfolio and if possible, give some color on the main categories within the segment ?
Varun Berry: The largest categories are cake , rusk and now dairy and bread. They are all approximately the same size about 600 -700 crores eac h. These four categories are about 700 crores each and then we have international which is another 7 00-800 crores. These five categories and then we have got emerging categories like Croissant which is now 100 crores and then there are other small ones, adjacencies also, wafers and all would be another 100 crores.
Latika Chopra: The second and last question was again coming back to revenue growth. You pointed out that pricing is going to moderate. I believe maybe a lot of the pricing might be returned to consumer in form of grammage increases but at a broader category growth s level for biscuits , are you looking at a high single digit kind of a revenue growth for this year as pricing moderates and

also wanted to understand the scope for further distribution expansion ? You have done a really good job on that in recent years but on direct reach and on rural penetration perspective is there more headroom to add more outlets with relevant throughput there?
Varun Berry: I will let Vipin answer the distribution qu estion.
Vipin Kataria: I think you are right so distribution has been our s

trength and year-on-year we have been adding outlet s. Just to give you a perspective , the category has about 92 lakh s outlets , which will reach about 67 lakh s odd and therefore you can guess that the head space is that much. This distribution initiative obviously spearhead by rural areas because our entire portfolio is pretty relevant to rural as well as urban and metro. So, I think this distribution that we are ta lking about is Pan India and Pan geography and what you will see is that even in this year we will keep improving

our distribution in rural as well as urban areas .
Varun Berry: Your first question , it's very interesting actually what Vipin is bringing to the table. The gap between us and the category is 67 versus 92 lakhs. Still a big number and the only good thing is that our weight age today is over 90%. So, we are reaching 91% , almost 90 %. We are 91% weighted distribution and for the first time we are a joint #1 as far as weighted distribution is concerned. Yes, we would want to expand our distribution because as we have gone direct and as we have gone to more and more outlets , our share in those outlets has gone up and we'll continue to do that so there' s headroom and volume yes, see the fact is that the volume growth has been stagnant not because people are not interacting with our brands and our products , they are. The number of packs are still , the number of packs that we sell are still much higher than what they were last year. But yes, this year because it's not just about the grammage that we are increasing in the pack. That's going to be very small but basis what we did last year , volume growth s are go ing to be certainly much better than what we saw this year.
Moderator : The next question is from the line of Sheela Rathi from Morgan Stanley.
Sheela Rathi: My first question was with respect to the market share gains this year . I believe that we are doin g something differently and I would attribute it to distribution but what has changed that is driving so much market share gains especially when we are taking so much price hi ke?
Varun Berry: One is distribution , second is the inherent strength of the bran ds. One thing that we always put on a back burner is the strength of brands and we truly own a stable of very solid brands. The combination of solid brands ably supported plus distribution plus the efficiencies that we are bringing , the freshness of the pr oduct that we produce and sell to the outlets with all the factories that we put up , the efficiency that we bring to the table , the quality of the products because these are new lines , technically much better lines than what we were using in the past. I th ink all that adds up. It's not one factor but yes, I would say distribution would be still the number one factor followed by our brand strength.

Sheela Rathi: In any way is it changing the mix of our portfolio from being more premium to becoming more mass?
Varun Berry: No, not at all. Our mass brands have been doing as well as the others so there's no change in the portfolio. In fact, if anything it's becoming more premium.
Sheela Rathi: Is it fair to assess its 50 -50?
Varun Berry: 50-50 what?
Sheela Rathi: Premium portfolio would be 50% on the biscuit front ?
Varun Berry: I don't know how you define it but the way we define it is the value products for us are very small really. The Tiger brand is very small today compared to Parle -G or a 20-20 or some of these brands. We have a premium heavy portfolio compared to the others.
Sheela Rathi: My second and final question is to do with milk inflation. What we hear is that milk inflation will continue through the year. Does that lead to some recalibration of our d airy strategy?
Varun Berry: Well, no recalibration but we took it on our chin , we took the inflation on our chin. We did su

ffer
some profit downsides as far as dairy was concerned. It's a tough category but I think we are managing quite well. We have been able to establish a very strong brand with Winkin' Cow . Today I would think that it's out of some of the innovations that we have done , this definitely stands out. I don't know if you've tried the products, they're just fantastic products and they are premium products. We're selling it at Rs . 35 and Rs . 40. So I think we have taken a little bit of a brunt on profitability but not on the t op line and we are hoping that we'll be able to establish solid brand portfolio in dairy as well.
Moderator : The next question is from the line of Avi Mehta from Macquarie .
Avi Mehta: Could you give us a sense of the competitive intensity especially beca use of your comment last time that you were seeing some enhanced competition in some pockets which did not need pricing action. So, I just wanted to understand why the change this time and should we read anything in the market share gain in rural basically moderating to 1.4X versus that 1.5X in 3Q and the gap reducing with what we saw in the graph last quarter as well?
Varun Berry: This much of variation happens. 1.5 to 1.4 is not a big deal. No, I don't see a substantial change in the competitive intensity . Yes, there are some categories where there is heavier intensity. There are categories like cake where there are lots of small players and even category like rusk where there are lots of regional players. What we are doing is we are taking very stringent action in those categories to make sure that one, we can produce the products at the right price; second, we can compete even with the local players. Earlier we used to not look at local players. Just to give you an idea rusk has some 2,500 producers of ru sk across the country and some of them are

becoming big in their own small territory that they operate. We have taken action; we are now looking at it regionally. North for us is a very small market share territory for us. We are looking at how we deal wit h that and how we take our rusk market share up in the North as well and similarly in cake where there are lots of Rs. 5 packs coming up, we are looking at how do we compete with those local players. Biscuits in I would say not really because when there's a price increase the #2, #3, #4 players will always try and take a little bit of advantage of the price and try to push their product but finally it all evens out and I don't think there's a very high intensity as far as competitiveness is concerned. There are some new products that we are making where we have built an inherent barrier to entry of smaller players. If you were to look at Croissant, I think it's just two players there it's us and Bauli and the reason for that is that it's a high CAPEX model w here a small player can't come in with a 5 crores investment. It requires a very large investment and it's going to be a very deliberate move that someone will make and similarly aseptic PET again very expensive line but a serious barrier to entry. Those a re the kind of entry barriers that we are creating in certain categories and we will continue to do that as we move forward.

Avi Mehta: Just a second bit, just pushing back on the margin bit. You clearly are —there is a brand 's trend, there are barriers that are —being created by these manufacturing lines and this quarter did not have any material one -off. We are already at that end of the steady state guidance. Why is it that we are still arguing for margins to be relatively low given the brands are actua lly driving them the growth themselves? What is it that I'm missing which is moderating that margin expectation?

Varun Berry: We have to remain competitive. We don't want to lose; we don't want to see it ground. As an analyst you always look at how do you get m

ore margins. We are not looking at quarter -to-
quarter. We are building a brand for the, we are building a business for the next 100 years. We have to moderate all three of these to make sure that the momentum continues on all three.

Moderator : The nex t question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: My question is on your distribution. For any company there will be at any given point of time an optimum level of direct distribution. Beyond that the cost benefit sort of equation i s not advantageous. In your view at current point of time where do you think that ceiling lies beyond which it really doesn't make sense for you? Of course, that's a moving target, I'm saying as of today what is that number beyond which it doesn't make sen se to go directly?

Varun Berry: No Percy the point is that we are already at about 90.7% weighted distribution and we are a joint #1 as far as weighted is concerned. The question can be how far do you want to go. If you have already got up to (+90%) then h ow far do you want to go? But the other side of the coin is that there is this huge territory which is the Hindi belt where the gap so let's say the gap between us and the #2 player in share but the #1 player in distribution. Today we are still lower than them by about 5 lakh outlets. Now if you were to look at the same gap in the Hindi belt, it will be huge. There will be probably 12 -13 lakhs more than us in the Hindi belt which is obviously a small subset of the total country. What we are doing and that's why we have segregated the Hindi

belt and we are saying that we want to drive our share and distribution. That is where our surge on distribution is going to come and that Hindi belt is more rural than urban but I am not saying that it's only going to be a rural surge. We have to build urban as well in those states but I would say that we can easily add another 5 -6 lakhs outlets without batting an eyelid. Vipin what do you say?

Vipin Kataria: So, I think Percy there is another dimension to this which is o ur direct distribution. While I spoke about 67 lakhs which is our direct plus indirect but I think here the game is how you keep moving up on your direct distribution because that gives you direct access to the retailer and that gives you access to certain more and more brands which increases your market share, which increases your brand penetration. Therefore, we are doing it in a very planned manner in terms of which are the most relevant set of markets like Varun said we are the Hindi belt the metros, th e urban and in lot of small markets we drive our distribution through indirect route. Therefore, there is a good balance of direct distribution which takes care of weightage and there is indirect distribution which help us reach the interlap.

Percy Panthak i: My next question is on the diversification of your portfolio. Can you give me some kind of flavor on what kind of diversification has happened let's say over the last 5 years in the sense that if you can just give me a ballpark CAGR of 5 years for the b iscuit portfolio and for the non -biscuit portfolio separately? If possible do you have some targets in mind in terms of 5 years down the line what percentage of your share will come from non -biscuits versus what it is today?

Vipin Kataria : See I think so i f you consider this year, we have grown 1.5X in the non -biscuit portfolio. So, to just give you a sense of next 5 years, I think the growth rate will only have a higher clip so like Varun spoke about Croissant or wafers or the entire setup that we have don e with Bel, the entire

drinks portfolio. So, we have a large distribution muscle and what we are doing is we are leveraging their entire distribution through throughput more and more brands which are over and above the entire district portfolio.
Percy Panthaki: Last question on Timepa

ss, your snacks brand. Are you taking a pause there? Is there no plan to ramp that up in the near term?
Varun Berry: Well, we have done some launches and relaunches within the test market territory. We are testing them out, I don't know if you have tried them some really good products but still only in the test market territory. We want to be careful; we want to make sure that when we spread it across the country, we have a winning combination. We are going to be patient her e Percy, we are not going to do it in a hurry.
Moderator : The next question is from the line of Shirish Pardeshi from Centrum Stock Broking .
Shirish Pardeshi: One question to start with the volume growth. If we look at the full year growth at 15%, is it fair to assume that the volume growth would be in the range of about 2% -3% for full year FY23?

Varun Berry: About that much yes. It's very small, small single digits.
Shirish Pardeshi: And similar number for Quarter 4 also?
Varun Berry: Yes.
Shirish Pardes hi: The second question, you always been guiding us that the new product contribution number. Would you have in mind what number we ended in FY23 and what we should be expecting in FY24?
Varun Berry: With FY23 we have done, the way we qualify new products is new products which have been launched in the last 24 months. The last 24 months products are approximately 3% -3.5% of our total revenue and we are trying to scale that up as we go forward to about 4% in ‘23 -24.
Shirish Pardeshi: And last question on th e manufacturing units. Two Greenfield and one Brownfield in Odisha. What are the products we are manufacturing because what you have been guiding us that you are closer to the market and UP is the largest glucose market. What kind of throughput we are expe cting? I'm supposing that all these three are under PLI?
Varun Berry: No, PLI is separate. We have also got GST. We have got a lot of GST benefits as well. It's not that we are doing these factories because we are getting some benefits out of it. These fac tories are required. If you think about it, we make 1.3 million tons of product every year. Even if we are growing a 5% that would mean 65,000 tons of extra product that we need to do every year even at a 5% growth. Now that 65,000 means you need so need f our lines for that and one option would be to build mega plants and keep adding lines but that's very tough with our kind of product because it takes a lot of space, takes a lot of labor and if you're getting benefits in these states then it's better to li ke in the North, we don't have any factory. The UP factory is going to be, we have only got Uttaranchal which was built many years ago and now UP is becoming a very large part of our business. It's important to have a factory there so that we can have the best product, the fresh product. These factories are not producing anything different from what we do in other factories. They are the same products which are being produced there. Yes, we are looking at rusk coming in house to an extent, we have looked at already cake coming in house and we are looking at putting up some high -tech innovation lines in some of the factories, wafers and all of that. Even in Crackers some high -tech Cracker lines as well. Basically, if you look at bulk of the investment, it's g oing to be in the baseline of the base brands.
Shirish Pardeshi: Just one extension on to Venkat. How much CAPEX we would require for this to complete the projects in F24?
N. Venkataraman : ‘23-24 we estimated to be in the region of about 500 to 600 crores. These are largely going to be the dairy investments, the balance of dairy investments. It’s also going to be some investments in Ranjangaon and the facilities that's coming up in Bihar.

Varun Berry: And thereafter it will moderat

e. We have had 2 years of high intensity as far as CAPEX is concerned and thereafter it will moderate because we will have capacity, we will have put up our dairy facility which obviously was CAPEX heavy and thereafter it will become business as usual.
Shirish Pardeshi: Thank you Varun. I hope you have left lot of benchmark for Rajneet to walk tightly next year. All the best.
Moderator : Ladies and gentlemen we will take the last question for today from the line of Kunal Vora from BNP Paribas.

Kunal Vora: You mentioned that there' s a strategy to make in house. Can you talk more about this? What is the current mix of in-house , how will this change with new factories and whether the productivity would reflect in margins?
Varun Berry: So, it's not changing dramatically. It will probab ly go from, inhouse will go from 57% to about 65%. But certain product categories it will be a much larger change. For example, rusk, we had in house only one line for domestic. We had one line in Mundra for international business but for domestic there wa s only one line in our Madurai factory and now we are putting up three more lines. So that will move up dramatically but biscuits overall will only move up from 57% to 65%.
Kunal Vora: Second is what’s the rationale for launching coconut water and would yo u look for a larger play in the beverages category and will you invest aggressively into Come Alive brand and will you take it to GT?
Varun Berry: It is in GT. Yes, we are looking at it. Obviously, beverages is an important play for us and that's why we ha ve invested in the aseptic PET line and coconut water is a third -party manufacturer but it's a very good product. I don't know if you have tried it and yes Come Alive will be a very important brand for us as we move forward. It will encompass different hea lthy products, generally very healthy products. As we speak, we are looking at how do we build the concept for a brand which is going to be so critical for us.
Kunal Vora: Lastly on dairy, from 700 crores this year where do you look to go in FY24 and maybe in next 2-5 years?
Varun Berry: We don't give forward -looking statements but we are looking at aggressive growths in that category.
Moderator : I would now like to hand the conference over to Mr. Mayank Mundra for closing comments. Over to you sir.

Mayank Mundra : Thank you everyone for spending time with us on this call today. We will look forward to interacting with you again.
Varun Berry: Thank you guys.
Moderator : Thank you. On behalf of Britannia Industries Limited that concludes this conference. Than k you for joining us. You may now disconnect your lines.

Call: Aug 2023

10th August , 2023

To, To,
The Manager,
Corporate Relations Department
BSE Limited, Phiroze Jeejeebhoy Towers, The Manager,
Listing Department
National Stock Exchange of India Limited, Exchange Plaza,
Dalal Street, Fort, Mumbai - 400 001 5th Floor, Plot No. C/1, G Block, Bandra -Kurla Complex,
Scrip Code: 500825 Bandra (East), Mumbai – 400051
Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub: Transcript of the Analyst Call held on 7th August, 2023 for the quarter ended 30th June, 2023
Ref: Regulation 30 read with Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended , please find enclosed the transcript of the Analyst Call held on 7th August, 2023 pertaining to Unaudited Consolidate d and Standalone Financial Results for the quarter ended 30th June , 2023.
The transcript of the analyst call is also available on the Company's website at
https://www.britannia.co.in/data/Analyst_Call_Transcript_Q1_2023_24_a3b15d8838.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T V Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above
Page 1 of 15

"Britannia Industries Limited
Q1 FY '24 Earnings Conference Call"
August 07, 2023

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN AND
MANAGING DIRECTOR – BRITANNIA INDUSTRIES
LIMITED
MR. RAJNEET KOHLI – EXECUTIVE DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BRITANNIA INDUSTRIES
LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES
LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER ,
SALES AND REPLENISHME NT, BRITANNIA INDUSTRIES
LIMITED

MR. AMIT DOSHI –CHIEF MARKETING OFFICER –
BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF PROCUREMENT OFFICER
– BRITANNIA INDUSTRIES LIMITED
MR. MAYANK MUNDRA – INVESTOR RELATIONS TEAM
– BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participants will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mayank Mundra from the Investor Relations team. Thank you, and over to you, Mr. Mundra.
Mayank Mundra: Thanks, N eerav. Hello, everyone. This is Mayank from the Investor Relations team. I welcome you all to the Britannia Earnings Call to discuss the financial results of Q1 2 024. Joining us today on this earnings call is our Vice Chairman and Managing Director - Mr. Varun Berry, Executive Director and CEO - Mr. Rajneet Kohli, Executive Director and CFO - Mr. N. Venkataraman, Chief Commerci al Officer Sales and replenishment - Mr. Vipin Kataria, Chief Marketing Officer - Mr. Amit Doshi and Chief Procurement Officer - Mr. Manoj Balgi.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbor statement in the presentation. Over to Mr. Varun Berry with remarks on the performance.
Varun Berry: Good morning, everyone. So let's jump to the deck. So Page 3 of the deck. So this gives the parameters for the quarter. So ou r revenue growth was 9%, which actually incorporated a transaction growth of 9% as well. Operating profits grew by 37%. And our market share was stable. However, the gap with the second -largest competitor became much larger this quarter.
Moving on to our s trategic pillars. You've seen these distribution, marketing, innovation, adjacent businesses to contribute more as we go forward, cost efficiency programs, which we've been running for quite some years now, and sustainability, which together will drive pro fitable growth for the company.
Moving on to Slide number 5. So if you were to look at our distribution, we are now at about 26.7 lakh outlets in total. Our focus state growth has been much higher than our growth for the rest of India. So focus states hav e continued to grow at a faster clip, which is 2.2x what we've grown in the rest of India. Our rural distribution continues to move up. We are at 28,000 rural distributors now. And as we speak, we are scaling this up even further.
Slide number 6, key mark eting activities. So we focused on Mari e, Milk Bikis, Pure Magic, 50 -50, Croissant, Winkin Cow . And we also started the Marie My Start -up Season 4. The rewards and recognition programs that we participated in, we were chosen by the FMCG brand out of home b y Kantar. And our marketing team got the marketing team of the Year awarded the ET Sharks Award for 2023. So proud moments for us. We've run some consumer promotions, which are a mix of items as well as grammage pack.
The grammage packs have been more to make sure that we remain competitive as inflation has receded, it's the local competitors that have started to bring in more grams and bag . So we are

making sure that we remain competitive with that. On Innovation, we've had a very interesting product laun ch in Jim Jam Pops, and we've got some very interesting advertising as well behind it. We've also launched the multigrain R usk, which has been launched to invest in South only for the time being. We've also scaled up 50 -50 Golmaal, which is doing extremely well for us. We've also had a robust season for Winkin Cow with a wide range of offerings.
So we obviously have transitioned to the PET bottles, which are doing really well. These are aseptic PET bottles, and the line i

s in Ranjangaon. It's an expensive line, but it's eco -friendly
because you use less plastic as well as the quality of the product, because you're not subjecting it to very high heat, is a lot better. It's not burned. It's a product which is much better than a heat -

treated product. And we've also launched rich milkshakes and coconut water this season. And we've had very high double -digit growth as far as drinks are concerned. And our innovation contribution has been greater than 10%.
So moving on, our adjacent businesses are also on a reason ably strong footing, I wouldn't say, absolutely strong footing. Cake, we have been scaling up our innovations. We've launched the big Swiss Rolls. We've also done cupcakes. And sequentially, we moved up on cakes, but post - COVID, this is one category which seems to be still coming into its own. But we've seen green shoots this quarter, and we are absolutely confident that cake is moving in the right direction.
Rusk, again, we've strengthened our portfolio with regional core flavors like b utter Rusk, which is yeast dominated product. And our local competitor had a large play in that. We've just launched that. We've also scaled up Milk Rusk in Kerala. And bread, we continue to grow profitably as far as this product is concerned.
On Rusk, we -- again, it's been a lot of local competition. There are about 2,500 local competitors all over the place, more so in the north. And we have made sure that this quarter, we became competitive. Obviously, we can't match the local competitors, but we became a lot more competi tive than we were. And we are confident that as we move forward, even in this category, we will gain muscle.
You know that this category contributes a reasonable amount of top line as well as good profitability as well to us. So we are making sure that we become competitive and we deal with each region in a different way. South, East, and West are different, and North is different, and that's how we are making sure that we deal with this category.
International has been a good story. Middle East and Afric a has been growing in high double digits with much -improved margins. We've seen double -digit profitable growth in the rest of international as well, led by the Americas. Nepal continues to be a very good story with high double -digit growth and expanded mar gins. We've started a business in Egypt, where it's doing extremely well. And Kenya is we've got a joint venture there. We've had a little bit of staffing trouble with some forex issues there, but we are very confident that even the Kenya business will come in line as we move forward.
So international has been a decent story for us with very good growth. Darian, I spoke about. The Winkin' Cow products are doing very well. We've taken the change of identity as far as steel is concerned. Britannia The Lau ghing Cow is now moving forward, going to be a very big driver

for gr owth. And we've launched the The Laughing Cow portion, which is that round box that you see in the center and it's doing really well. And we are starting to launch our INR10 cases of chee se as well, and we hope to see very, very good growth as far as dairy is concerned.
Supply of SMP, which is our milk powder and our sweetened condensed milk and butter for captive consumption, has started from our factory to our bakery division, and that' s going well.
Moving on to the next slide, which is Slide 9. Cost efficiencies across verticals have been moving well. As you know, the teams have been the fuel consumption, renewable energy, and market damages that we received back from the market, distan ce traveled, truck utilization, and line throughput, and we've been making good progress in each one of these.
And our target for '23 -'24 is 7x what it was in '13, '14. So we are stepping up this cost reduction program every year, and we'v

e been able to d o so. And you've got to remember, once again, that
this is not anything which is carried over from the last year. The meter starts on the first day of the year and ends on the last day of the year as far as this is concerned.
Moving on to Slide number 10. We've set up some really good factories. And this year, we've scaled up Barabanki, which is in UP. So we scaled it up in Q1 of '23,'24. We've got 5 lines running there. And that's a factory which is starting to perform at efficiency currently. Similarly, Perundurai, which is in Tamil Nadu. Both of these factories, we are grateful to the UP government as well as the Tamil Nadu government for the incentives that it's provided for us. And this is giving us capacity in the right place and helping us improve ou r freshness to market as well.
Moving on to ESG. Now on ESG, we continue to follow our programs on people, resources, governance, and growth. Some of these are outlined here. Just to let you know, we won the award by the business world of being in the top 30 most sustainable companies in 2023. We are very proud of that. We've also been shortlisted for the World Sustainability Awards for 2023. Some of the achievements in this area have been 100% plastic neutrality.
We have moved our Dow Jones score to 53, which is third amongst the FMCG peers in India. Our sugar and sodium has been reduced by 2% and 8%, almost 8%, respectively. And we've been recognized, as I said, as one of the top 30 India's most sustainable companies. So very proud of this, and we are ma king sure that we take this agenda to the next level in this year.

Moving on to our malnutrition reduction program, we've extended this to 2 new centers, and we've made sure that we've also helped refurbish the Bai Jerbai Wadia Hospital, which is part of the Nowrosjee Wadia Maternity Hospital. And we now have 4 lakh 70,000 patients which are being treated in this hospital. We've also got 37 lakh patients who've been treated in the last 10 years, with 925 beds dedicated to these patients. We've also got oth er CSR initiatives, which have been extended to 131 new villages. We've got the Nutrition Foundation, helping with -- we've gone to additional 625 schools. We've gone to almost 700 new Anganwadi centers, and we've got now 250,000 beneficiaries of this prog ram. So good progress there as well.
So now moving on to Slide number 14, which is a view on what's happening on the commodity costs. On the commodity side, there has been inflation as far as flour is concerned. So if you

look at it versus last year, ther e's been an inflation of about 3%. Now these are numbers for us. Obviously, the numbers because we were covered last year, our inflation or last year's numbers for us were much better than the industry. So other companies probably have seen a flattish sto ry as far as CAGR is concerned.
Palm oil has been a huge deflation. We've seen a deflation of almost 21%. On sugar, there has been a slight inflation of 1% and versus last quarter, it's been an inflation of 2%. On laminates, again, there's been a deflation versus last year of 18% and versus last quarter of 3%, and similarly on corrugated boxes. So basically, slight inflation on flour and sugar and deflation on the other commodities that we buy.
So moving on to Slide number 15. On the cost and profitability front, we've initiated pricing actions to stay competitive and drive market share. Now as I was saying on the last slide, some of the companies had not covered as well as we did last year. So their commodity prices were much higher than ours last year. So they have seen a deflation, which is much larger than what we've seen this year. And as a result of that, there's been quite a few price corrections, which have happened in the market.
Being the market leaders, also, we had taken the first mover advantag e on all p

rice increases
because we wanted to make sure that all inflation was covered. So there were lots of corrections which had to be made because in certain cases, some large competitors had taken pricing downsides. And in certain cases, they had not followed us on the price increase. So on a case - to-case basis, we've looked at what needs to be done to make sure that we remain competitive. We've also increased our advertising and sales promotion to support our brands and drive innovation. We've obvious ly doubled down on our cost efficiency programs across all functions to make sure that we remain extremely competitive, and we remain the lowest cost operators in our categories.
So on an outlook basis, we are very vigilant on competitive pricing actions. We are also closely monitoring the stock price situation of commodities. And finally, we are employing the necessary pricing strategies which would be deployed to remain competitive and drive market share as well as drive profitable growth in the future.
So as a result of that, our numbers for the quarter have been very healthy. We've -- if you go to Slide number 17, we've had -- on the top line, we've had a 12 -month growth of 9% and a 24 - month growth of 18%. And if you go to the next slide, our operating profit has grown in the 12 months at 37% and in the 24 months at 22%. So a fairly healthy and robust growth on both the top line as well as the bottom line.
Moving on to Slide 19. This gives us certain parameters on -- so I've already spoken about the top table. So net sales, 9%, and 18% operating profit, 37% in 12 months, 22% in 24 months, profit before tax, 34% in 12 months, and 17% in 24 months. And PBT, again, similarly, 36% and 17%. If you were to look at some of our ratios, profit from operations is still a very healthy 15.6%. Profit before tax is at 15.7%, and profit after tax remains at a very healthy 11.5%. So that's where it is. Obviously, some factors, there were some profits which were booked last year. So we are cycling certain profitability, w hich was taken for a larger period. And we will take

that in our questions as we -- I'm sure you'll have questions on that. So that's all for me. Let's open the house for questions.
Moderator: We'll now begin the question -and-answer session. The first ques tion is from the line of Abneesh Roy from Nuvama Institutional Equities.
Abneesh Roy: I've got 3 questions. So my first question is on the volume growth, which was flattish. So could

you elaborate on what exactly you have done in terms of several pricing i nitiatives? And in case you have passed on gramage back to customer, when do you see the volume traject ory benefiting because of that?
Because if you have passed on grain, why is the volume still flattish? And related question to this is when I see the mar ket sh are data which you have given? Number 2 the player has lost significant market share, but that benefit does not seem to have come to us. You have also lost, I think, a big market share. So is this data credible? And if it is credible, who has gained the market share?
Varun Berry: Yes. Abneesh, that was like being in a firing squad with many questions coming my way. So let me just understand. Your first question was on volume growth. Was that?
Abneesh Roy: Yes.
Varun Berry: Yes. So Abneesh, the fact is that we've not equated prices everywhere. We have taken a very cold call on what is necessary and what is not. Second is that the markets are a little sluggish compared to what we've seen in the past. What we've seen this quarter, and I'm not sure, I thin k I've heard the same commentary fro m other FMCG companies as well.
There have been -- there has been sluggishness in the rural markets, even for us. while we've been growing faster than the market in rural, the sluggishness is definitely there. And even t he urban markets, whil

e modern trade has been robust, and so has e -com, the traditional trade markets, both in rural and urban have been a little more sluggish than what we've seen in the past.
But these are all passing phases. What we've seen in the past as well is that we tend to get overly worried about a quarter, which is a little slow on a certain channel growth. But it sort of eases out. And we are seeing, I would say, slight signs of that happening, although it will take a little bit of time for the growth to pick up. You are right about market share. We have been flattish. And the reason for the gainers of market share has been all local players. So the local players, because of the pricing actions that they're taking in their small vicinities have gained a little bit of market share.
And that's a phenomenon that we've seen in the past as well. When the inflation is high, local players just walk away. And when things start to become a little more normalized, local players come into the market and s tart to operate large schemes for customers as well as consumers. So that's what we are looking at currently. It's a matter of 1 or 2 months. And we are very confident that with all the actions that we've taken. And most of the actions have been back -ended in the first quarter. We are very confident that we will be back, and we will get back on to our

trajectory. So does that answer your question, Abneesh, did I miss out anything from your firing squad?
Abneesh Roy: Only one thing. So in terms of pricing, i t's largely price cuts in select SKUs? Or is there grammage addition also with that?
Varun Berry: No. So it's basically grammage additions that we've done in certain cases. And in certain cases, we are looking at doing some article promotions and price cut s. So it's a mix of all these.
Abneesh Roy: My second question is on dairy. So in dairy, you mentioned captive consumption of SMP, FCMs what does it translate in terms of, say, any savings in terms of cost? And second, this new brand architecture has alrea dy been done in terms of the lapping count. In terms of distribution, like 1 to 2 years, what kind of scale -up could be there because now, obviously, you will become more affordable to consumers gradually as your supply chain and manufacturing become norma lized. So if you could elaborate on both these aspects.
Varun Berry: So what it does is it helps us fulfill our commitments to the farmers. We are collecting a lot of milk from our farmers. We are processing that, and we are -- whatever is required from th e company's perspective, we are fulfilling that. At this point, there is no cost advantage of doing that, but there is no cost disadvantage either. We are in the process of scaling up our factories. And yes, once we scale them up fully, we will start to se e cost advantages as well.
On the cheese part of the business, yes, we are really looking forward. The initial signs are looking very positive, at least on cheese. And we are really looking forward to good growth. We don't give forward -looking statements. So I won't give you a number on that. But all I can tell you is that we are very optimistic on what we can do with our cheese portfolio now.
Abneesh Roy: So one last very quick question. On Rusk, your commentary was that not very strong, reasonably strong in terms of growth. And you have been doing innovation very aggressively over the past many quarters. So what is the issue here? Is the overall market not leading up to the initial expectations which you had? Or is there again a pricing and regional compe tition, which is also there?
Varun Berry: So it's a mix of both. One is the market growth has been a little tepid. And second is that regional

competitors, again, similarly to what I told you about biscuits, the same phenomena is happening here as well. An d as I told you, there are 2,500 regi

onal competitors as far as Rusk is concerned.
So the owners of making sure that we protect ourselves and grow our business and make sure that we do what is r ight for the business is on us.
And we've commissioned Rusk cl ients all over the place. We never had our own Rusk client in the North. We've just commissioned it in UP. That will give us a major advantage as far as Rusk is concerned in UP and similarly grammage. And so this is -- now we are taking Rusk capacity also in-house, which will give us a big advantage not just from a cost perspective but also from a quality perspective. Abneesh, you've taken almost 30% of the time with your firing squad.
Moderator: Next question is from the line of Avi Mehta from Macquarie Gr oup.

Avi Mehta: Sir, I just had 2 questions. First, would it be fair to say that 1Q reflects the entire impact of the rising price -based competition? And hence, we should retain our expectations of a flattish EBITDA margin for the full year.
Varun Berry: Well, I would not say that it's not flattish. If you look at our trajectory for many years, except for -- so if you look at it, if you look at '21, '22, we were at an average of about 14%, right, on operating profits. In Q1, we are at 15.6%. So what you are really looking at in the coin periods of high numbers. So whether it's 2021, and obviously, last year, we were taking price increases to make sure that we met our targets as far as inflation was concerned. So if you were to look at -- if you were to draw a line progression line, I think we are moving in the right direction, and I think that will continue.
Avi Mehta: Sir, I'm sorry. So should we say that -- I mean, at least for the near term, we are broadly done from a pricing or come price -based competitio n perspective in that 17.5% or 74 that we did broadly flattish number, we should see that's the right understanding, right? I just didn't -- I wasn't sure if I got that correct.
And the second bit, sir, is on the pricing growth. So I'm just revisiting our comments. You had said that we should expect about 2% growth is what you have built -in or you would expect for the next year or this year. Does that need to be revisited, given the recent price cuts that have been done, or it's broadly in line with what yo u're kind of assuming?
Varun Berry: What, 2%? I'm not aware of this 2%. What are you talking about?
Avi Mehta: So the FY '24 pricing, you said volume growth will move up from what we saw FY '23, and pricing will come off, and you at last -- in 4Q, we were discussing that...
Varun Berry: Yes. No. So that 2% will probably not happen this year. It seems that it will be a flattish year from a price standpoint. Yes. So it's not going to be a 2% increase. And the reason for that is the commodity prices. And with that, I think we should be in a good place to make sure that we are able to grow.
Yes, on the volume front, I think we will start to see the volumes come back. But you've got to remember that last year, second quarter, we had grown 22% or something like th at. Yes, we had a very big second quarter. But I think post that, volumes, in any case, will start to come back.
Avi Mehta: So volume growth should be high single digits. That kind of expectation could probably have an upside given the pricing growth proba bly kind of changes. That's how I should kind of read it.
Varun Berry: Yes. And in our category, the way to look at volume growth is actually -- the way I look at it is transaction growth. Because see, if you've taken out 3 grams from a biscuit, the consum er is not going to go and buy one more packet of yours, right? So that does impact overall volumes in terms of tonnages, but it doesn't impact the number of packages that we are selling. So our transaction growth has still been a very robust 9%. They are e qual to our revenue growth and which is what we l

ook at. But having said that, I understand where you're coming from. I think even tonnages will start to grow as we move forward through the year.

Avi Mehta: Perfect, sir. And just bookkeeping, sir, is it po ssible to share the ICDs on bookkeeping, and that's the last one on my side.
Rajneet Kohli: So ICD, as of June 30, stands at INR760 crores between Bombay Dying and Bombay Burma .
Moderator: Next question is from the line of Percy Panthaki from IIFL Securiti es.
Percy Panthaki: I was just looking at your gap between the volume and value growth. So this quarter, it's a 9% value growth and 0 volume. So it's a gap of about 9%. If I look at it in Q4, it is also about 9%.

So it doesn't seem that there has been a lo t of price cut or anything of that sort in the last 3 to 4 months.
And yet, if I look at your EBITDA margins, even adjusted for the PLI one -offs, I think it was close to 19% in Q4, which has come down to 17.5%. So how do we explain that without too much pr icing, the margins have still come off, and the volumes are also weak?
Varun Berry: So in this quarter, we've taken price reversals of about 1.8%. There were fiscal benefits, which were one -time PLI accrual, which was taken in Q4 last year, which was 2.4%. So price reversals of 1.8%, fiscal benefits are because they were taken in Q4 and not in Q1. So that's 2.4%. There's an employee cost increase, which is flattish. And there is a decrease in other expenses, which is led by advertising spend, which is about 1.2%. So versus Q4, we are negative by 3.3%. So that is the number that you're looking for, I believe.
Percy Panthaki: Okay. So how do we look at margins for the rest of the year? Should we believe that unless the commodity prices change versus the curren t levels, the margins that you have currently sort of done are a good representative of what should continue in the future? Or do you think that it could drop further because you might take further price cuts? I mean how should I approach this? I'm not loo king for a number guidance, but more of guidance on how to think about this?
Varun Berry: No. So the way to think about it, the way I think about it is that the priority for us, we are reasonably profitable. I think we are -- our margins are very robust and healthy. The trick is growing our top line and making sure that we get the volumes and the shares which are required, and with that will come the margins. Okay.
Percy Panthaki: So it is possible that in the near term, the margins might go below what we have seen this quarter. Am I reading that right?
Varun Berry: No, you're not reading it, right? I didn't say that at all.
Percy Panthaki: Okay. Understood. So basically, we should see a gradual recovery of volumes and tonnage and, at the same time, more o r less maintain our current margins over an average of the next 3, 4 quarters is -- would that be the right application?
Varun Berry: Yes, yes.
Percy Panthaki: Okay. Understood. Secondly, I just wanted to understand in terms of your main growth drivers; of course, innovation is one of them, but the second has been distribution expansion. Do you think that driver can continue to contribute at the same rate over the next couple of years as it

has contributed over the last 5 years, given that as we expand more and more, the opportunity to expand sort of reduces because it's a finite game at the end of it?
Varun Berry: I wouldn't say that. I do think, see, as I've told you in the past as well, are the clear opportunities are in the Hindi states and certain other states as well, and we are really digging in to make sure that we neutralize those deficiencies that we have in the system. So I do think that we have a runway to gain distribution gains. But beyond that, it's also about our new categories. I

think our
new categories have started to perform much better. So we've seen cross -sales doing very well. We've seen drinks and our flavored milkshakes, et cetera, are doing very well.
Even wafers, we are putting a solid strategy to make sure that we make that into a r easonable -sized business as we go forward. So all that, I think, is going to start to contribute more to our business as well. Obviously, as I said, even cake and Rusk, while right now, they are not overweight. But as time goes by, I'm sure that they will bring their weight also to the other categories' growth. So I think -- and obviously, dairy, which I've spoken about already, cheese, we've started to see green shoots of very good growth with the joint branding and the new products that are coming in. So I think all that will also add to what you're talking about.
Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking.
Shirish Pardeshi: Two questions from my side. Now we have already started commercial production under Bell JV. So I just wanted a little more understanding on the entire dairy business. So we have our own products. And now we have Bell products, which have said that Laughing Cow had gone into the market. So 2 questions here, what are the dairy sales contributed in this quarter? And in terms of distribution scale -up, what has happened in terms of Bell portfolio, some more a little more depth?
Varun Berry: So we've seen double -digit growth. Well, this quarter, we were just starting up. So there were some shortages as far as the cheese was concerned because the Bell product had stopped coming into the market, and we were starting up to do the joint branding. So this quarter wasn't a great quarter overall. But in the third month, we started to see cheese volumes and reve nues start to look very good, and that continues as we speak as well. So it's been -- I would say, this quarter has been a reasonable performance, but it's very clearly showing a path to the future to us.
Shirish Pardeshi: Okay. Yes. So against last year, INR550-odd crores, we should be targeting double -digit strong double -digit growth. That's what you're saying?

Varun Berry: Yes.
Shirish Pardeshi: Okay. And my second question on UP and Tamil Nadu. You mentioned that there are some incentives which we have got. So what is the quantum, which we have already booked in this quarter or maybe this year expected to come? And part 2 is that what it means to -- and you said both the locations, we have started 5 lines. So could you explain what are these lines you ha ve started?
Varun Berry: So on the incentives, UP, we have still not got the eligibility certificate, so nothing, therefore, is recognized in the books. And team, we have got the eligibility certificate, and a very small

amount has been booked in quarter 1 . It's about INR7 crores, INR8 crores have been booked in quarter 1.
Shirish Pardeshi: So sir, for the full year, what is the expectation for incentive.?
Varun Berry: So we are in the process of -- yes. Because some of these in PL, for instance, it is an i ncremental sale that comes out of all the factories in TM. So it's not a straightforward computation. So it will take us some time before we can quantify and see what are the products which are happening in this factory and 4 other factories, which are als o there in the state, et cetera. So we'll make an assessment, probably H1, and we should be able to make an assessment.
Moderator: Next question is from the line of Arnab Mitra from Goldman Sachs.
Arnab Mitra: My first question was, again, actually, on marg ins. So you mentioned you probably need to take some more price corrections. And our understanding is there is a bit of a sequential up move we are seeing in edible oil, sugar, and possibly even in wheat flour. So in this environment, do you not feel

that there could be more pressure in margins in the near term? Or are there other ways you could offset this situation?
Varun Berry: No. So see, edible oil, there is no uptick. Edible oils actually are at the lowest ever in the last 3, 4 years. Sugar, yes, ther e has been a little bit of inflation, but I think the government is very clear that they want to control this. So I don't think there's going to be much inflation as far as sugar is concerned. Flour is the one which we really have to watch because the prod uction hasn't been as good this year. And while the inflation currently is low single digits, but we've got to watch that. But at this point in time, it seems we are covered for the next 3 or 4 months.
So we just have to make sure that we do this carefull y. And obviously, we are doing things in a way that they are reversible at short notice. So we don't see a risk. But if there is a risk that emerges, we will be able to make sure that we mitigate that very quickly.
Arnab Mitra: Okay. The other thing I want ed to ask was on employee costs and depreciation. This seems in the stand -alone and consul both. It seems to have stepped up Y -o-Y as well as sequentially. Is this largely due to new capacities? And do we see this going up further as more capacities probab ly are in line for getting commissioned or ramping up?
Varun Berry: See, you will see some increase there, but there are obviously savings that we make in commitment charges as well as conversion charges from CPs. So it's a bit of a left and right.
Venker, would you like to comment?
N. Venkataraman: Yes. No, absolutely right. So the increase in depreciation is on account of some of these units, which have co me up, dairy, UP, terminate, et cetera. It's also the increase in employee cost that you see is partia lly on account of that plus on account of the increments that have happened in the current financial year. So like Varun said, what really happens is that while some of these lines see an increase, there is a reduction that happens in the conversion cost, which goes as part of the other expenses.

So we have been tracking that quite closely to ensure that overall, we stand to gain. And that's one of the reasons why we are putting up these factories closer to the markets. But having said that, one thing is c lear that we have to start to grow our top line faster as we go through the year. We've got capacity, and that's -- we've gotten new lines. We've gotten incentives. Now the owners are on us to make sure that we grow our volumes and our shares in each one o f these markets because that gives us better profitability. So I think we are poised very well on that.
Moderator: The next question is from the line of Kunal Vora from BNP Paribas.
Kunal Vora: My first question is on retreatment spend. So if I look at FY '23, that number was up more than 50%, which is much higher compared to what the industry was doing. How are you looking at the number in FY '24 with increased competition, would you look to raise it, or with moderation in revenue growth, you would want to reduce it?

Varun Berry: Can you repeat the question?
Kunal Vora: Yes. I was looking at the FY '23 annual report, and I see that your advisement spends are up 62% year -on-year, which was unlike most of the FMC companies.
Varun Berry: You're talking about last year?
Kunal Vora: FY '23, I was looking at FY '23, but I'm now asking for thoughts on FY '24 about like, say, how do you...
Varun Berry: Yes. So '23, you see, if you think about it, in '22, '23, we were cycling the '21, '22. And in '21, '22 because of COVID and because of the inflation, we had really cramped up on our spend. So we had just normalized our spend. It was not like we had gone completely out of whack. We had normalized our spend after those 2 or 3 years of COVID. And that's why you're seein

g the
increase. I think we will remain within these parameters. It's not like we are looking at taking this completely out of the charts. We will remain within those parameters as far as these spends are concerned.
Kunal Vora: Where you were at 400 to 500 in the earlier years, it went to which is a sizable jump. So would you remain closer to 75% or go back to the 500 levels which you had earlier?
Varun Berry: See, we are at about -- if you remove the sales expenses, we are at about 3.5% to 4% of our revenue , right? So it will remain in that percentage, roughly.
Kunal Vora: Sure. Okay. My second and last question is on innovation contribution. So you have about 10 -- you mentioned about 10%, which is like -- which seems higher compared to peers. So what is your definition of innovation? And how much of this will be new products, and how much of this will be innovation of existing products?
Varun Berry: No, that 10% that I spoke about was dairy only. Our total innovation is about 4% currently. And it will remai n in that 4%, and I have defined that for you. The definition is that products that have been launched in the last 24 months. After 24 months, they go out of the innovation bracket.

And if new products are launched, they come into that. So it will remain b etween 4% to 5% of our total revenues.
Moderator: Next question is from the line of Richard from JM Financial.
Richard: I wanted to take your input on how you think the metrics pan out here onwards as we go into Q3 and Q4. The genesis of this question is t hat pricing growth anniversarizes completely sometime in Q2. And wherever the price cuts that you've taken or will take further will add on to the price decline that could come by then. So unless volumes pick up substantially, my guess is that top -line gro wth could look like 0, with whatever volume growth being there, getting offset by the negative pricing.
This is on top line and on profits. Your H2 last year gross margin, as well as EBITDA margins, were already pretty rich at 18% to 19%, even if I were t o strip out the bunched -up PLI from the equation, grateful if you can comment on this, if there's something I'm missing or if you would like to throw some light on what ways are there to prop up value growth and margin as the quarters progress?
Varun Berry : No, you're right. See, the pricing, we had -- in fact, we had kept taking price increases even till the end of Q4, right? And there were some price increases, which were even taken in Q1, right? So while there were price increases, there were also ration alizations on certain SKUs. So we worked at both ends. And you're right about -- see, last year's price increases continue till the end of the year. But the max number of price increases that we took is worth till Q3, right? So yes, next, we are cycling a pretty high base as far as these quarters are concerned. So we will have to make sure that we work doubly hard to get our top lines to grow.
Richard: Okay. The second one also wanted your view on this line called other expenses, right? I mean this is a lin e that used to grow in single digits some years back and used to be the key source of margin expansion for a long period of time. The rate of growth in this line has been much higher than usual in the last 5 quarters. If you can just throw some light on th e reasons for such a sharp increase in lease overhead suddenly in the recent past, despite your extremely, I would say, high level of focus on costs usually?
Varun Berry: So if you were to compare other expenses from, let's say, last year to now, the singl e largest contributor in the increase has been advertisements. Advertisements are not counting promotions and trade spends, and that has grown from 3.5% of the top line to 4.2% in the current year. But that's something that -- so what has been happening, R ichard, i

s over the last 3 years or so, 2021
onwards, we have been spending ASP. We have been coming back to normalcy . We have been pulling it down.
So 2021 was a very low spend. '21,'22 when the second wave of COVID happened, again, we

pulled it back a l ittle bit. So we have been sometimes spending our normative levels and sometimes not spending at all. Therefore, you tend to see that growth. It's essentially driven by NSP spends. This is going back, Richard, to a normative level. As I said, it will remai n in that ballpark of 4%, 4.2%. And you will see growth, and you'll see -- so now I think things are much better, COVID is out of the way and we are back to normal life. So it will stay at about that.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: My question was on market growth. You mentioned that the market growth has been stepped, and your market shares were flattish. If you could elaborate a little better on any specific product segments under biscuits, whi ch are shipping a lot more slower growth, a lot more competition? Or any specific geographies you may want to fall out? And I also heard you say that this could be a temporary phase. So based on your past experiences with local competition coming back, what kind of time frame do you envisage before the national players start coming back on the market share front?

Varun Berry: So Saratoga is also a little bit of a visual cycle. So what happens is that in every product life cycle, you see phases when the grow th -- what I've heard even restaurants saying that this quarter has been one of the largest restaurant companies told me that this has been the slowest quarter. In fact, they're running double -digit negative in this quarter.

And the reason for the same giv en to me was that last year, there was revengeting happening, and people are no rmalizing they're going out, et cetera. I don't think it's such a severe impact. But yes, there seems to be a cycle. And what happens during these times when there is -- when everyone in the category is hitting a wall, what happens is people tend to be desperate, right? And in that desperation, the local players, especially, they tend to then be a little irrational in what they do. So you've got to just ride out these phases and make sure that your strategic agenda doesn't change, and you do not become tactical, and you also start to do what the local players are doing. So we are doing exactly that, yes. We are trying to make sure that our strategic agenda remains our main agenda. Yes, we will do what is necessary to make sure that we do not lose space to them in the short term. And then we will come back with a bang once things have normalized.

The slowness that we've seen is basically in the traditional trade markets, more so in rural. And while our agenda on rural has been fairly robust, and we've been growing our distribution, but we still have seen some amount of slowdown there. And we are hoping that that's a temporary phenom enon and things will come back.

And I don't think it's restricted to only our industry. I think it's an overall situation, which nobody has been able to point a finger at what really is driving it. But my own hypothesis is that it will slowly and steadily come back. We just have to make sure that we drive our own agenda.

Latika Chopra: Sure. And my second question was on capex plans for FY '24. We saw a significant step up in FY '23. So just wanted to know what you are thinking about FY '24. And if there is any clarity on FY '25 capex plans also, if you co uld share?

Varun Berry: So it's going to be a continuation of what we are doing. So we've got the factories which are already in process. So there's a little bit of investment coming up in Ranjangaon, which is dairy related. We've got a factory coming up in Bihar because Bihar we

've been running out of capacity, and that's coming up, and it's coming up with incentives. We've got a little bit of expansion in Orissa. So that's about it. We will continue with these projects. And we are not

looking at any more capacity expansion till we are able to scale up our volumes and our revenues in the coming quarters.

Latika Chopra: Any number you want to put for FY '2 4 capex ?

Varun Berry: Yes, it's going to be about INR400 crores to INR450 crores.

Moderator: Ladies and gentlemen, we'll take th at as the last question. I now hand the conference Mr. Mundra for closing comments.

Mayank Mundra: Thanks, everyone, for spending time with us on this call today. We look forward to interacting with you again.

Moderator: Thank you very much. On behalf of B ritannia Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

7th November , 2023

To
The Secretary,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
Security code: 500825
The Manager - Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C/1, G -Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst Call held on 2nd November, 2023 for the quarter and half year ended 30th September, 2023
Ref : Regulation 30 read with Para A of Schedule III of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Para A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) R egulations, 2015 as amended , please find enclosed the transcript of the Analyst Call held on 2nd November, 2023 pertaining to Unaudited Consolidated and Standalone Financial Results for the quarter and half year ended 30th September , 2023.
The transcript of the analyst call is also available on the Company's website at
https://www.britannia.co.in/data/Analyst_Call_Transcript_Q2_2023_24_079c9bb1d0.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T V Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above
Page 1 of 15

"Britannia Industries Limited
Q2 FY '2 4 Earnings Conference Call "
November 02, 202 3

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMA N AND
MANAGING DIRECTOR -- BRITANNIA INDUSTRIES
LIMITED
MR. RAJNEET SINGH KOHLI – EXECUTIVE DIRECTOR
AND CHIEF EXECUTIVE OFFICER -- BRITANNIA
INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES
LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL
MODERATOR , SALES AND REPLENISHMENT --
BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER --

BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF PROCUREMENT OFFICER
– BRITANNIA INDUSTRIES LIMITED
MR. MAYANK MUNDRA – INVESTOR RELATIONS TEAM
– BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Britannia Industries Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayank Mundra. Thank you. And over to you, sir.
Mayank Mundra: Thanks, R ayo. Hello, everyone. This is Mayank from the Investor Relations team. I welcome you all to the Britannia Earnings Call to discuss the Financial Results of Q2 23 -24. Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry; Executive Director and CEO, Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Modera tor, Sales and Replenishment, Mr. Vipin Kataria; Chief Marketing Officer, Mr. Amit Doshi; and Chief Procurement Officer, Mr. Manoj Balgi.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attenti on to the Safe Harbor statement in the presentation.
Over to Mr. Varun Berry with remarks on the performance.
Varun Berry: Good morning, everybody. Welcome to the Britannia Analyst Call. So let me just jump into the presentation, if you get to page three t hat gives a quick overview on what the GDP growths have been. So if you look at it, the green bar signals the real growth and the red one shows the inflation. So you will notice that inflation is down. And in this quarter, nominal growth is at 8%, out of which the inflation number is only at 0.2%. So things are coming back to normal, as you'll notice that full year '21, '22 and '22, '23 were at a very high number, as far as inflation was concerned.
Moving on to the next slide. This gives an idea of where we play in and what is the total market that we are playing in. So if you look at the categories that Britannia plays in, it's about INR 1,00,000 crores, and the 5 -year CAGR for this category has been 11%. If you look at the total branded F&B category , that is at INR 9,00,000 crores with a 5 -year CAGR of 12%.
The total F&B is at INR 40,00,000 crores, which has got a 5 -year CAGR of 11%. And then if you look at the GDP, which is at INR 235 trillion -- it's difficult to calculate lakhs and crores but -- whic h has got a 5 -year CAGR of 9%. So the numbers are looking pretty good.
If you look at the right -hand side, you will see that the -- if you look at the average F&B consumption occasions per day, that have gone up. If you look at the 2010 number, it was at 3 .9; and that has gone up to 5.1 in 2023. And the biscuit consumption occasions during the year, they used to be at 303 in 2018; and those have gone up to 370 in 2023, so overall looking good.
If you look at the next slide, which is a very interesting slide . Basically what's happening is that we are getting to a situation of nuclear families, so size of the family is reducing. The number of women who are participating in the workforce is going up. And as a result of that, there is a need for packaged food an d convenience; and that's why the growth that we are seeing, as far as

branded F&B is concerned. And obviously this is coupled with the fact that the per capita income is also growing pretty well in the country.
Moving on to the next slide. This gives a breakup between the urban and rural, and you will notice that there is more urbanization happening. Urban as a percentage or as a contribution to the overall economy has been growing. It's gone up. Let's say if you were to take -- in the last 2 or

3 years, it's gone up pretty substantially. And so that's good for us because we have predominantly been urban distributed, a stronger urban company. However, for us the growths in the last, let's say, 10 years have been much faster in rural because we've been gai ning more distribution and making our presence felt in more villages and smaller towns.
So our -- if you look at the bars on the right. Our market share currently is also more urban centric. Our market share is heavier in -- is 1.3x what it is in rural, in urban. And similarly, our numeric distribution is also 1.2x what it is in rural, so for us, the slowdown in rural is something

that we can counter with our distribution growths, which will continue. And urban growth is obviously helping us because that's our area of strength. There are more details on this, but I will leave that for you to read through.
Moving on to the next slide. This gives the growth potential for categories other than biscuits. So if you look at biscuits, we have a penetration in house holds of about 94%. So biscuits, bread and rusk has pretty high penetration ranging from 82% to 94%, so there it's going to be a consumption -led growth that we are looking at. And the reason for the same is that, one, as far as biscuits is concerned, per c apita consumption in India is only about 2 kilos. And if you were to factor in the number of consumption occasions, which has gone up from 303 to 370 per annum, the number of biscuits that are consumed is just about 1 biscuit per occasion. And that can def initely go up, so it's going to be a consumption -led growth here.
And if you were to look at it by categories. While there are categories like Glucose, Marie and some of our cookies which have got reasonably high penetration between 40% to 60%, there are lots of categories where the penetration -- where we have less than 20% penetration in households, so there is a big opportunity for us to grow penetration in those categories and drive consumption thereby of biscuits.
There are other categories, like cake, dairy, drinks, wafers, cheese, croissant, where you'll notice that the penetration into households is very, very low. And there we will be looking at a penetration -led growth. Croissant is an absolutely fledgling category where we have to drive penetratio n into households.
So that's how we look at the potential for the future. The next slide is just about we are in a good position with a good portfolio to leverage all of these opportunities and to continue to enhance our capabilities as we move forward.
Now just a quick capsule on what's happened in the last 10 years. So if you look at the last 10 years, our distribution has gone up 4x. This is on Page 9, by the way. Our direct reach has gone up 4x. Our rural distributors are up 7x from what they used to be in 2013. We have 4 brands in

the INR 1,000 crores -plus category, and these 4 brands contribute INR 9,700 crores to our total turnover. Innovation has contributed 10% of our revenues.
Categories and geographies that we've entered into, we've gone into 4 new categories and 4 new geographies outside of India. And we've had 2 very solid partnerships, joint ventures that we've gotten into. One was for croissants, which was with Chipita. And second was just this year with Bel for cheese. So pretty good progress th ere.
Next slide. If you look at our own manufacturing, we are now at about 65% own manufacturing. We have set up 11 new plants in the last 10 years. And we have a mega food park in Ranjangaon, where our total investment is going to be INR 1,500 crores -plus, with very handsome incentives from the Maharashtra government. Cost efficiencies has been a very strong pillar for our profit growth. We've had more than INR 2,000 crores of cost reduction during this period, and that continues to be a pillar for us even i n

the future.
Digital. We have spoken about it in the past. We've gotten into SAP HANA, S/4HANA, which is giving us great dividends. We are rapidly evolving as a digital marketing company. We are leveraging digital to flourish in e -commerce as well. We are leveraging all of the digitization that we've done internally to make sure that we have all the data for us to take very intelligent decisions. And we have a transformation across functions to drive efficiencies with this information.
On the sustainabilit y front, we are amongst the top 30 India's most sustainable companies. We've had 100% plastic neutrality. And we are now pretty -- doing quite well even on the international circuit, as far as the Dow Jones index -- sustainability index is concerned. From a people standpoint, we've been rated as a top 15 best employers 4 years in a row. We've been awarded best organization for women in 2023. Our gender diversity from -- in our factories has gone up from 28% to 45%. And we have a -- very agile and resilient teams to navigate through the turbulence that we've seen from an inflation front and from a global scenario, right?
So moving on to the next slide. This is what we achieved last year. That was our turnover, a CAGR of 10%. Our operating margins are pretty h ealthy at 16.3%, which have even gone up further this quarter. And our CAGR on profitability stands at 25%. Our long -term value creation has been pretty good, with a CAGR of 32%.
Next slide. This is just something that we feel that it's very basic, but I t hink it can give us very good dividends. We worked on fill rates. We were at a reasonable rate on fill rates on modern trade and e -commerce, but we've moved up pretty rapidly. We've gained, almost from 75% to 90%, as far as fill rates is concerned; and thi s will hold us in very good stead as we move forward.
We are relooking at our route to market now with a portfolio which is very solid. We are looking

at how do we make sure that we leverage our portfolio even better. And coupled with data analytics and ar tificial intelligence, we are looking at making sure that we become cutting -edge, as far as this is concerned.

Now moving on to the performance update for the quarter, page 14. Our revenues have been flattish. If you look at a 12 -month growth number, we've grown only 1%, but our 24 -month growth is at 23%. Operating profits have grown on a 12 -month growth rate at 21%, a very healthy 58% on a 24 -month growth path. Our shares: We had sort of got stagnated a bit for the last quarter, but we have seen a very goo d exit rate because we've made some corrections which were required from a pricing standpoint to stay competitive in the market. And that's looking good as well.

Now getting back to our strategic pillars which we've spoken about every quarter: distribution and marketing, innovation, adjacent categories, cost efficiencies and sustainability. I will cover each one of these in a slide.

So as far as distribution is concerned, our direct distribution has gone up. In March 2019, we were at 2.1 million or 21 lakh outlets covered directly. This has gone up to 27.3 lakh in September of 2023. Our total distribution has gone up from 54 lakhs to 66 lakhs, but as you'll notice, bulk of this growth has come from direct distribution. And indirect has stayed at about the sa me number.

Our focused states' growths have been continuously pretty good. These are the last 4 year numbers. You will notice that these have slowed down this year, but that is a result of the whole rural scenario becoming a little slower than what it used to be. However, these growth rates are still healthy. And we are hopeful that, as we move through to the next quarter and onwards, these will come back to double -digit growths as well.

Moving to the next slide. We've stepped up our investments, as far as brands is c

oncerned. These
are all the brands that we've really supported: Good Day, 50 50, Milk Bikis, NutriChoice, Jim Jam. Jim Jam is doing extremely well. We've also launched Jim Jam Pops, which is adding onto the Jim Jam franchise. And Bourbon, which has been renovated and is doing extremely well in the marketplace.

Similarly, on the adjacent categories, there's been quite a bit of activity on cake, rusk as well as on cheese. We've also done some consumer promotions to make sure that we remain competit ive and continue to gain share, which we've done continuously for the last 10 years.

Innovation. I spoke about Jim Jam Pops, which is doing extremely well, very exciting product and very well appreciated by consumers. 50 50 Golmaal, which is again a very i ntriguing and interesting product, doing extremely well. We've also launched makhana in 3 flavors. We've launched the portions, which is the triangular portions, the laughing -- under the Laughing Cow brand name; and cheese sachets, which are INR 10 sachets . And all of these innovations are running towards annualized number of about INR 200 crores.

Moving on to the next slide. Adjacencies have been on strong footing. Surely, there is more work to be done there. There is competition coming in, in all of these categories, which is good in a way because, when you have more than one player, it always creates more demand.

So on cake, we've had some very interesting innovations. Rusk, we've not done as well on the top line, but I think we've rationalized. We've got our recipes up there now. Bread continues its profitable growth trajectory. Cheese has been a double -digit growth contributed by base and all the differentiated formats. Our cheese plant is commercialized for making cheddar cheese, processed cheese; will s tart by the end of this year, this financial year. And we've already started to supply our whey powder, in addition to the SMP and SCM and -- which is being consumed by our biscuit business.

Middle East and Africa is growing double digits with improved mar gins. Egypt continues to perform well. We've set up an operation in Kenya, which is having its teething troubles, but things are looking like we have a good future there as well. Nepal is a spectacular growth story and continues to be a good -- on a good t rajectory both from a bottom line as well as a top line standpoint.

Our cost efficiency programs. We've spoken about these. These are the structured programs that we drive. It's about making sure that we have truck utilization which is at the highest level , distance travelled to be reduced, market damages to be reduced -- renewable energy, fuel consumption and the line throughput and efficiencies. And these cost efficiency programs have gone from 1x to 7x in '23, '24.

The next slide is about our factories. In this quarter, we've commercialized Bihar. This is our second factory in Bihar, and we have 3 product lines in the first phase. We've also recently added UP, which was commercialized in the previous quarter; and Tamil Nadu, which are operating at desired efficiencies. And we are looking at adding some more lines to our Ranjangaon factory, which is really our flagship factory which is delivering 15% of our total capacity requirement.

The next slide is on ESG. As you're aware, we have 4 strategic pillars, a s far as ESG is concerned. And these are growth, governance resource and people. Under these 4 pillars, we have 8 levers which are basically around social responsibility, global total foods company, our responsibility towards the country and the people, pa ckaging, supply chain, food waste, resource efficiency and people.

And under this, we have 26 programs which we continue to drive very meticulously. And the numbers that you see on this chart give you some of the achievements that we've had under these 26 programs that we run, so I

will not drain this chart. It's there for you to go through it and read it, but all I can say is we've made great progress on the ESG front as well.

The next slide is about the Britannia Nutrition Foundation and what it does. So just to remind you: Britannia Nutrition Foundation operates in 8 states, with 450 villages which are covered, 500-plus schools, 650 -plus Anganwadis. And there are approximately 220,000 beneficiaries out of this program.

In this quarter, we've launched a My Plate, My Nutrition initiative, which is along with the government initiative of -- the Poshan Maah as it's called, which is nutrition month. We've had concept champions who are propagating this. These are executed through change agents around the communi ty that we work in. And these are augmented by creating 20,000 -plus nutrition

gardens in all of these states and the Anganwadis and the villages that we operate in, and this has been a pretty exciting program that our people have been running.

Now getting to costs, if you look at commodity. Flour, which is a pretty large component of what we use, is -- has been -- there has been inflation, as far as flour is concerned. Palm oil has been deflationary, and that is giving us some benefits. Sugar has been flatt ish, slightly inflationary, while packaging is positive. However, if you were to look at the world scenario, I think it's important that we watch out for commodities as we go forward because things could escalate. And hence, we are being very, very vigilan t on making sure that we keep these costs under control.

Moving on to the next slide. So what are we going to do? And what are the key strategies for us as we go forward? We will continue to invest behind brands and innovation. Cost efficiencies will conti nue to be a very important pillar for us. We will make sure that we take measured pricing corrections wherever necessary if the commodity situation remains positive. As I said, we are closely monitoring the stock -price situation of commodities with the str ife that we are seeing in the Middle East and Russia. And we will remain vigilant, as far as this is concerned.

Getting to the financial results. Our top line growths, as I said, healthy for 24 months, low for a 12-month growth number which is 1%; sequenti ally up from where we were in Q1. So we've achieved INR 4,370 crores in this quarter as our revenue.

Next slide, profit. This is looking pretty healthy. Our operating profit has grown by 21% to INR 801 crores, which is 18.3%. And if you look at it on a 24 -month growth basis, it's at 58%.

Next slide, which gives our 12 -month as well as 24 -month growths; net sales, as I've already spoken about; profit, operating profit, already spoken about; PBT and PAT at 21% and 19% and on a 24 -month growth at 53%. If you loo k at our ratios, they are looking pretty positive.

So it's, I would say, good results. I would still make sure that I focus and the team focuses on getting our top line to grow much faster. And I'm confident as we go through the balance of the quarters thi s year, and therefore, we will see growths coming back.

So that's all I have for you. Let's open this for questions, please.

Moderator: Thank you very much. We will now begin with question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Congrats on good margins. My first question is on the innovation in terms of the makhana better snacks. My question here is, under better snacks, will we see a much bigger plethora of pr oducts in the medium, long term? Second, makhana is a -- very commoditized, so how are the margins here? Why do this? And third is, will this have a very wide distribution? Or this is more of a -- bigger outlets and more of the top 20 cities kind of a mark et.

Varun Berry: Yes. So Better

Snack Co is basically a brand that we will try to leverage for products which are
healthier snacking products, so definitely this is going to be a platform for us for the future.
Makhana is -- I wouldn't say it's commoditize d, Abneesh. It's -- I think it's a very small category,

and we are not looking at distributing it widely. This is going to be a modern trade e -commerce
launch only, and till now we've seen reasonably good results on that. Does that answer your
questions?
Abneesh Roy: Yes, it does. And a slight related question in terms of the salty snacks which you have been
trying given your very strong experience in the previous company. You have also tried that under
Britannia past few years, so will that work in a way w ith the better snacks? And any update, if
you can share, on salty snacks? How is the scale -up?
Varun Berry: Abneesh, that's a very tough category. And we want to make sure that we get all the data required
before we do a wider launch, so even at this point in time, it's in a test market. And as we have
gone through the months, we've realized that there are so many things to learn from these test
markets. And every month, there are new things coming up, so only if we feel absolutely
comfortable with a market ing mix and we feel that we have a strong right to succeed will I go -
- will we go ahead with a national launch.
Moderator: The next question is from Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Sir, I just have two questions. One, I wanted to und erstand your comment on market share gains
a little better and whether you believe this suggests that the price -based competition is largely
behind us. Would you see it this way? Or I would love to hear your comments on that one, sir.
Varun Berry: So the t rend, if you were to study trends in most categories, most FMCG categories. What
happens is that in inflationary times there are these smaller players who just go out of business,
right, because they cannot get there with the cost structures that they have . And their cost
structures are mainly around giving much higher margins, giving bigger discounts, so with all
that put together, it becomes very difficult for them to make ends meet, but once the commodity
prices start to come down -- and I've heard this commentary from a lot of FMCG companies this
quarter, but once the commodity prices start to drop, they again start to give big discounts and
big margins.
And they start to come back to play in the market. And that's what's happened with most FMCG
categori es this quarter, so you've got to be vigilant. We can charge a premium, obviously. You've
got strong brands, so you can charge a premium to all of these players, but the premium has to
be within a band. If it goes beyond that band, then they start to hurt you in pockets, so that's what
you've got to be careful about. And that's what we've done.
As market leaders, it's always -- the onus is always on us to take the prices up because no one
will take the price up if they don't see the market leader move up. And so that is a disadvantage
for the market leader because we move up the first. And then people start to take prices up, and
then when the commodity prices soften, then people start to cut prices again. So that's what's
happened, and we've taken the righ t action. It's not that we are not at a premium to these players.
We are still at a premium to these players, but the band has to be defined.
Avi Mehta: Sir, maybe I'm not very clear yet, so maybe I can rephrase the question. Is the premium now at
the mid end of that band that you see, at the lower end or at the top end? How do you see that...

Varun Berry: It's still at the top end. We don't -- it's still at the top end of the band. It's not -- so let's say we
define the band to be

20%. If it goes -- the pr emium goes to 30%, then you'll start to get hurt, so
we want to make sure that we keep that within that band of 20%.
Avi Mehta: So -- sorry, sir. You think there is still room wherein this could be a cause of and we have to be
vigilant. That's how I should read it. It's not yet behind us.
Varun Berry: No. It's -- I don't know what you're saying. I don't understand...
Avi Mehta: Sir, maybe -- I mean is -- what I meant is this competition is just price based. Would you say
that the worst of it is over or not? That's what -- was my question because we are now seeing in
the last quarter that, the trajectory on market shares, that has reversed. So that is where I was
coming from...
Varun Berry: Yes-- that's why you're seeing the results.
Avi Mehta: Okay.
Varun Be rry: Yes, but we have to be vigilant as we go forward with that, yes...
Avi Mehta: Okay, sir, perfect. Sir, the second bit I just wanted to understand was on the margin side. The
first half margin performance, would you -- given this first half margin perf ormance, do you see

a need to revisit your flattish EBITDA margin guidance for FY '24?
Varun Berry: We don't give any guidance. Which guidance did we give? Did we give any guidance on EBITDA margins?
Avi Mehta: Okay, so there -- okay. Then -- okay, sir. Ma ybe then I misunderstood the earlier comment, but -- what was given last quarter, but would you say that this is the level that one can kind of continue? What could be risks for this EBITDA margin trajectory in first half to come off, especially because th e employee cost reduction has been t oo star k? So I wasn't sure this quarter was a one -off performance. Or how should I look at that? That is what was basis.
Varun Berry: We don't give a guidance, frankly, so I don't know how to answer your question, yes. I think we should move on, thanks.
Moderator: The next question is from Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi: Just two questions. In the beginning, you mentioned that focus state growth has come down, so would you be able to give some more qualitative comments what's happening in UP, Bihar? Because these are -- my understanding is strong glucose market, so maybe qualitatively we can add. And maybe, what is the contribution of these four focus states to our revenues?
Varun Berry: So okay. So let me answer your first question, first. See, what's happened is, as I was saying in the beginning as well, the rural -- these markets are predominantly rural, right? And the rural growths, which were at about 2x urban growths till last year, are now lower than urban growth

this year, right? So rural growths have come down overall, right, and that's the reason why these growths have come down.
Having said that, I don't think there's any fundamental issue. I think it's about the overall g rowth in the market. And we are still, I would say, growing faster than what the overall market is growing at in all of these states. And I personally think that the hard work that we've done in the last 10 years of building a very strong rural distributio n is going to keep us in good stead. And as the markets start to come back as the rural economy start to come back a bit, things are going to be much better as we go forward, so if you're asking me have we lost share in these markets: No, we haven't.
Shiri sh Pardeshi: Yes. Because normally you used to give the market share numbers. So that's why I was a bit worried...
Varun Berry: No, no, no. You don't have to be -- so we've just changed the format. We've actually gained share in all of these states.
Shiris h Pardeshi The reason why I'm saying -- because normally you used to give in the beginning what is the packet growth. And this number, you have not given this time, so I was wondering whether a volume loss is primarily

because of this. So maybe, if you can share, what is the packet growth you have seen in the quarter?
Varun Berry: The packet growth this quarter has been flattish, Shirish, so -- yes...
Shirish Pardeshi: Okay. My second and last question, on the ad spend. Most of the FMCG companies has upped the ad spend in the recent quarter. So would you quantify what is the ad spend number which has happened and where it will settle in next 2 quarters?
Varun Berry: So we have also -- between the consumer promotions that we are running and all of the adverti sing that we are doing behind our brands, we have raised the ad spends -- well, not ad but total advertising and promotion spends, by about 1.5%, but it might not show in the P&L because some of the promotions which are grammage -based will not show in the numbers. So -- but the total spend on advertising and promotions has gone up by about 1.5%.
Moderator: The next question is from Aditya Soman from CLSA. Please go ahead.
Aditya Soman: So firstly, you highlighted this whole branded F&B category being INR 9 trillion. Would you - - I mean, how much of a play can Britannia make in that category? And any specific categories or subcategories within that, that you want to highlight where you feel that Britannia potentially has the right to win?
Varun Berry: So that' s a great question. Now we are, I would say, probably the most focused company in terms of what we do. If you were to look at other FMCGs in India, their diversification sometimes is pretty varied. And they get into a very, very -- a variety of categories. What we've stayed true to is to make sure that we move in concentric circles. So we've tried to cover the bakery, first; and obviously, dairy, which is a play for us, so we are basically in the bakery space and dairy. We are doing some experiments with sa lty.

We have -- we are looking at some of the other categories as well, but we are staying close to the knitting so that we don't go too far from where our strength lies. Now dairy is also becoming a big play for us, and we will make sure that we play much harder there. Having said that, there are lots of other categories which are interesting. So the large categories that we don't play in which are in the branded F&B space are salty snacks, are chocolates, all of these categories. And we know that, at this point in time, we don't have a right to succeed.
Even companies which have gotten into this have struggled. Even companies with very deep pockets have struggled, so we just want to make sure that -- we first make absolutely sure within the team that we ha ve a right to succeed and then we move forward. As I've said in the past, we would want to stay in the snacking space, predominantly in the baking -- baked snacking space, for the time being then move to other snacking areas and -- which is basically not i n the middle of the plate. At some stage -- we are doing a lot of other -- R&D is working very hard on other categories as well, but we will move into those only when we are absolutely clear that we have a right to succeed.
Aditya Soman: No. Understand, ve ry clear. And just a follow -up on this: I mean you mentioned that maybe in some of these categories, at this point, you don't see a -- sort of any natural right to succeed, but how do you get to that point where you're confident that, "Look. We are likely to succeed?" Let's say chocolates, right, I mean, hypothetically. Would that be like test marketing and then taking notches off or at what point would you just dismiss the strategy?
Varun Berry: So we -- so there could be various ways of doing it. So one is if we look at what we are doing in salty. We've been in test market for the last 3 years. And we continue to do it so that we can fine -tune our product before we are clear about where we are going. Similarly, ch

ocolates, obviously
we could look at getti ng into this and test marketing it.
We could even look at alliances, joint ventures, so there are various ways of doing it. I'm just talking from the top of my head right now. So there could be various ways of doing it and we will -- we have been in the pr ocess of evaluating all this. And I think we will -- we are not clear whether this is the right -- these are the right categories for us at this point in time.
Moderator: We take the next question from the line of Percy Panthaki from IIFL. Please go ahead.
Percy Panthaki: Varun, firstly, just a couple of hygiene questions. Firstly, if you could give the volume growth or decline for this quarter; and secondly, if you could explain the big Q -o-Q drop in the employee cost, that will be very helpful. And my mai n question is on the growth. So the poor growth that we have seen this quarter, could you break the reasons up into two or three parts?
So one is that there is a high base. Second is there is a general FMCG demand weakness. Third is that there is this loca l and regional competition which is getting active. So if these three reasons put together were, let's say, 100, what part of that 100 would you allocate to each of them?
Varun Berry: That's a very complicated question, Percy. I don't -- okay, let me answe r your first question. Your first question was volume growth. It's flat. It's just about 20 basis points, right? So yes,

volume has been flat. The second question was on employee costs. There are some base issues. Otherwise, there's no real change in emplo yee co st. There were some options, et cetera which were in the last year, so there's no change. Employee costs have been reasonably stable. What was your third question? You'll have to rephrase it, 100 and all of that. I didn't understand...
Percy Panthaki: Okay, fine. What I wanted to understand is that there are, as I can see, 3 reasons why the growth is weak. One is that there is a high base effect. Second is that there is a general FMCG weakness. And the third is that there is increased local or regional competition, so which of these 3 reasons is relatively the larger contributor? Which of these is relatively a small part of the answer? That's what I'm looking at...
Varun Berry: Okay. I got it. I got it. So now obviously there is a slowdown, as far as FM CG is concerned. What we are seeing is a clear slowdown in rural. And despite our continuing to get deeper into rural areas, getting into more villages, et cetera, we've started to see the rural economy to splutter a bit. However, these are macro issues whi ch companies like us cannot sort out. We continue to go on our agenda of building distribution because we know that -- while we've had a weak monsoon and the agriculture economy has not been the greatest this year, we know that this will come back.
And whe n it comes back, we will benefit from that. Second, we have had a very high base. So last year, our growth was 22% in this quarter, so that also is contributing to it. Third, on the regional players, I think we -- I wouldn't say that for the full quarter t his has been a big issue, but yes, for the first, let's say, month, 1.5 months, this was something that was an issue, so we did take some pricing actions. And we will continue to be vigilant on that. I think that's something that we can manage. I think it' s the slowdown in the demand which is something that

we have to look out for and hope that, that corrects as we go forwards.
Percy Panthaki: So in this context when the volume is weak, demand is weak, what is the reason to sit at such a high margin? Should n't we sort of pass on more to the consumer, maybe operate at a 17% to 18% margin rather than 19% to 20% margin and bring the volume growth up?
Varun Berry: No, you're right. I think the agenda for us is to make sure that

we grow our volumes much faster,
but in times like this, Percy, even throwing money is throwing money at the wall, so we've got to make sure that the demand corrects before we start to do that. My sales head and my marketing head are delighted to hear your comments to -- but yes, the targe t for us will be to make sure that we grow top line much faster than what we've done this quarter.
Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.
Jay Doshi: Yes. A couple of bookkeeping questions. What's the cumulat ive price cuts that you have taken at the portfolio level from the peak pricing that you may have seen 6, 9 months back?
Varun Berry: Venkat, would you have some number for that, 3, 2.5%? So about 1.5%, I would say.
Jay Doshi: If I understand correctly: Yo ur cumulative price increase in the inflationary environment was about 22%, 23%. And from there, you've reduced by 1.5%, 2%, so it's still 20% above...

Varun Berry: Yes, yes.
Jay Doshi: Right. Now see. In most FMCG categories, what we have seen is companie s cut prices proactively even before there is full recovery in gross margin. At least that's what we've seen in the cycle. You've managed to maintain your market share quite well and also gained 250 basis point gross margin expansion over pre -pandemic leve ls, so do you expect that, for the category and for Britannia, gross margins of 42.5%, 43% is a new normal gross margin? Or you have intention of sort of taking it down to somewhere midway between there, 40%, where it was pre pandemic; and 42.5%, 43%, wher e it is right now.
Varun Berry: No, that's a very tough question in the current environment with the Middle East in flames; and Russia, Ukraine going at each other. We don't know where this situation is leading up to, so we've got to be very watchful. I wo uld say we -- first of all, we don't give a guidance, so I won't be able to tell you where we are headed, but I would say that it's reasonable to assume that we'll be somewhere around what you see as our margins.
Jay Doshi: That's helpful. One last one. Wh eat flour, the chart that you've shown indicates Y -o-Y inflation, whereas our interactions with other large buyers of wheat indicate that it's broadly at similar levels as last year. So what is the cost of inventory for you? Did you procure it at the begin ning of the year, so you are not affected by the recent inflation? And second is if the chart -- if you can explain the chart...
Varun Berry: No. So we do buy covers. We do some strategic buying, which helps us neutralize some of the inflation that others see. So Manoj is here. If you have a question for him, he will be very happy to answer.
Jay Doshi: Sure. So the chart you are showing is more like spot price, right? It's your cost of consumption -- or your procurement cost of bit -- covers that you have w ould be much lower, right? So you would not be witnessing any inflation. Is that right understanding?
Varun Berry: Those are internal numbers.
Jay Doshi: I see, okay. So that is -- this is our chart of your procurement costs, understood...
Varun Berry: Yes.
Moderator: The next question is from Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Firstly, I wanted to understand the INR1 lakh crore Britannia flavor market size which you are talking about. How much is biscuits? What part of dairy you considered is -- and bakery, whether it's mostly organized or includes unorganized? And also if you can give us indicative market share in each of the categories?
Varun Berry: That's a very tough question. We'll have to do a chart for you, but biscuits wou ld be, what, about 35,000 crores? 40,000 -- so biscuits would be about 40% of it. And then all of the other categories, bread, cake, rusk, dairy, all of that would be the rest, so -- but I will not be able to answer whic

h categories, how big and what is th e market share in each one of those categories.

But if you want any specifics on cake, rusk, etcetera: Cake, we have about a 35% share. Rusk, we have about a 23%, 24% share. Dairy is -- cheese is a small share, much smaller at about 13%,

14%. So that's how we've calculated it, but it's a good point. Maybe we'll construct a chart for you the next time.
Kunal Vora: That will be very useful. And second and last question if you can talk about your acquisition strategy both in traditional space as well as D2C br ands in the food space, if there's anything which you would like to consider. I'm also thinking about, like, categories like cheese and mayo spreads. Are there any interesting opportunities there?
Varun Berry: From an acquisition standpoint?
Kunal Vora: Yes, acquisition, thought process on both traditional as well as D2C brands.
Varun Berry: Direct-to-consumer brands. Well, we've just gone into a joint venture with Bel. So first, we would want to make sure that, whatever Bel has in their portfolio, we look at bringing those into India. They are obviously dairy experts and they understand cheese very well, but yes, all of this -- mayo, maybe not, because that's not really dairy. But a lot of other cheese categories, whether it's cream cheese; or cheese spread s; or the one that we've launched, which is that -- the sachet, the INR 10 sachet, which is also a spread, these kind of things, we would first like to bring into the market. And then I don't think there are enough innovators in the dairy category in India which are ready for acquisition. I think we'll have a much better portfolio, with Bel as our partner.
Kunal Vora: Okay. And growth will be mostly organic. And inorganic is not like really a consideration right now.
Varun Berry: Not in the dairy category.
Kunal Vora: Overall at a company level?
Varun Berry: Company level. If there are opportunities which give us entry into categories which are adjacent to the ones that we operate in, we will be happy to look at it. And if there are interesting opportunities around us and in countries around us, we'll be happy to look at that. And we are evaluating some of those. So we will continue to do that, but we will not do it. We will not break the bank on any of these opportunities. They have to come at the right price . And I think private equity money is drying up, so there might be opportunities in the future.
Moderator: Next question is from Tejash Shah from Spark Capital. Please go ahead.
Tejash Shah: So there are two dimensions of inflationary, deflationary environ ment. So one which all FMCG company would have highlighted this quarter is that the competitive environment is heating up because of unorganized players, getting more aggressive, but the other dimension is how consumers behave. And usually we have been taugh t by FMCG companies only that, during inflation, they down -trade, but in the deflationary environment, there is more incentive for them to up -trade or premiumize, so why is that not showing up? Or will it take time for premiumization to come back again?

Varun Berry: Premiumization. See, within our portfolio we are a reasonably premium portfolio, right? And what we've seen even in the last 6 months is that it's not affected -- if you look at the mix: The mix has only moved towards the premium brands. It's no t like the popular brands or the cheap brands are jumping up in every portfolio. See, even the B players, they -- while they would have gained in certain pockets, I don't think it adds up to the base of the pyramid becoming much larger than what it was. So to that extent, I don't think it's -- I don't think there is downgradation happening in the market.
Tejash Shah: Got it. And then second and la

st question. So you spoke about snacking. We have been trying for 2 years, so just wanted to understand: When we get into a new category, which is the best synergy or the top synergy that we look for, which is distribution synergy or brand synergy, that you prioritize?
Varun Berry: Well, it was -- the way we looked at it was that if -- snacking, as you know, is basi cally transportation of air, so we were looking at a model whereby we could set up nuclear factories all across the country and have a smaller radius of distribution and hence have an advantage over all of the larger players who have a limited number of fa ctories. So that's what we are trying to do, but frankly, I don't think we are -- the jury is still out. We are still not 100% confident about whether this is going to work because differentiation is also very important.
While we have launched certain diff erentiated products, the issue with snacking is that, the local players, they give -- despite the fact that they might have costs which come out of replenishment, but -- they still have very high m argins, very high discounts, et cetera. So only if we are ab le to counter all of those with the mix that we are bringing to the market will we move forward. Otherwise -- see. On one side, you've got the larger players who are obviously much stronger brands, but they are losing out to the smaller players because of the price play and the grams in bag, etcetera. On the other side, you've got these guys who are throwing money in the market, so we don't want to be caught in this logjam. Only if we find a way to balance and make money

out of this will we move forward.
Moderator: Thank you very much. We will have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Mayank Mundra: Thanks, everyone, for spending time with us on this call today. We look forward to interacting with you again in the future.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2024

13th February , 202 4

To,
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Scrip Code: 500825 Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst Call held on 7th February, 2024 for the quarter and nine months ended 31st Dece mber, 2023
Ref : Regulation 30 read with Para A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Para A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) R egulations, 2015 as amended , please find enclosed the transcript of the Analyst Call held on 7th February , 202 4 pertaining to the Unaudited Consolidated and Standalone Financial Results for the quarter and nine months ended 31st December , 2023.
The transcript of the analyst call is also available on the Company's website at
https://www.britannia.co.in/data/Analyst_Call_Transcript_Q3_2023_24_77abb14285.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

"Britannia Industries Limited
Q3 FY24 Earnings Conference Call "
February 07, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ramamurthy Jayaraman, Genera l Manager of Corporate Finance. Thank you, and over to you, sir.
Ramamurthy Jayaraman: Thanks, Rio. Hello, everyone. This is Ram from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of quarter three '23, '24. Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry; Executive Director and CEO, Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer, Sales and Re plenishment, Mr. Vipin Kataria; Chief Technical and Strategy Officer, Mr. Vinay Singh Kushwaha; Chief Marketing Officer; Mr. Amit Doshi; and Chief Procurement Officer, Mr. Manoj Balgi.
Before I pass it on to Mr. Varun Berry, I would like to draw your atte ntion to the Safe Harbor statement in the presentation which is available on our website. Over to Mr. Varun Berry with remarks on the performance.
Varun Berry: Good morning, everyone. I'm happy to have you on the call today. So let me jump into the presentation. The first slide, I think you've seen it many times over. Basically, it just talks about the economy in the country doing very well. It's the private consumption, which is slower than what it was last year. The investment in capital, etcetera, has gone up considerably. And I think it's a matter of time before private consumption comes back to an even keel as well.
Moving on to the next slide, which is our performance scorecard. So if you look at our revenue from operations for Q3 '24, it's at INR 4,192 crores with the operating profit of 17.7%. And our revenue from operations on a 12 -month s basis has grown by 2%, and operating profit is negative 2%. While if you look at a 24 -month s base, our CAGR is -- growth is 19% on a 24 -month s basis. And on th e operating profit front, the growth is at 52%.
The next slide is about the market share. This is a slide that we've shared with you always. And happy to report that our market share trends have come back. We have been flattish, and we are now on the same track that we've been for 11 years, which is a growth in market share.The next slide is about our strategic pillars, which is distribution and marketing, lead innovation, adjacent business, cost efficiencies and sustainability, which drive profitable grow th for us.
So I'll take you through these. So as far as distribution is concerned, we've expanded direct reach to 27.6 lakh outlets. We've also increased our rural distribution by appointing 29,000 rural distributors, which has gone up from 28,000 in Decem ber '22. And our focus states continue. As you'll all notice that our overall growth is small, but the growth for the focused states is much more than what it is for the country.
The next slide is about pricing actions that we've taken. We were -- it's n ot just us. It's every

FMCG in India. Every FMCG operator was not clear on where inflation was going because we saw a very long period of inflation. And as a result of that, we had got some estimates on where this could lead, based on that we've taken some price increases, the inflation cooled a little faster than we thought.
So to make sure that we don't continue with the same prices but bring them down in line with what the inflation of

raw materials is, we've taken certain strategic pricing actions in so me of our key brands. And we've also done some tactical consumer promotions to drive consumption on those products because we've seen that as far as consumption trends, especially in rural are concerned, we seem to be not doing as well as we were in the pr evious years.
We've also had -- on the next slide, please. We've also had a sustained marketing support to drive consumer engagement and some very exciting promotions, which have been done. All of you

must have seen the Ravi Shastri advertising on 50 -50. So similarly, we had a cricket -based promotion on 50 -50 which was On Pack Portfolio Activation, as we call it.
We've also had Milk Bikis where it's Ashwin and his family who are promoting the brand for us. We had NutriChoice where it's Ranveer Singh and w e've been very successful with our advertising on all three of these brands. We've launched Treat Cremes. We've re -launched Treat Cremes with a very different avatar. We've got a biscuit with a hole for all of our products. And it's too early to call victo ry, but it's had a very good response in the market.
We've done -- for all of these, we've done visibility drives. We've also done for our adjacency products. Rusk, we've had a communication and milkshakes, we had a second summer run, which helped us gain volumes and revenues. And this has been very well received and recognized because our marketing team -- next slide, please. So our marketing teams have received a lot of recognition for this. We got the marketing team of the year award from the India Marketing Awards for 2023.
We got the digital brand of the year for ET DigiPlus again for 2023. We also got Marketer of the Year, which are Clutter Cutters Awards, for, again, 2023 and Brand & Marketing team of the year for ET Brand Equity. So take a bow A mit, well done. Next slide is about innovation to fuel next phase of growth. In this we've had very good success with two of our products. Jim Jam Pops and Golmaal which have been in the market for some time.
And as I said, some of the new products that we 've launched, again, too early to call victory but showing good trends , namely Treat Cremes, Tiger Coconut. Some large cake formats that we've launched. And our energy and prot ein bars, which are under the Be You brand name, which stands for believe in yoursel f. And all of these are contributing on an annualized basis, about INR 200 crores to our top line.
Next slide is about the adjacent business, which remains on a strong footing. Cake, we've had growth coming back to our base format. Rusk, again, there's a v olume recovery that we've started to see after the restage. As you know that we used to do only contract packing with cake. We just had one line in the south of India. In the last year and a half , we've installed three manufacturing lines, and this is going to g ive us very good -- not just on quality front, but very

good paybacks on efficiency front as well.
And bread, health and variety segment has been outperforming the regular segments. So there things seem to be coming back. I wouldn't say that we've had a g reat year, but I would say that things seem to be on the right track after this quarter. Cheese, again, we've launched differentiated formats, which are gaining traction. We have this, the spreadable cheese portions in a triangular form, which we've launch ed, and we've launched the INR 10 sachet of cheese. It's pure cheese, which has been launched in the traditional trade.
And we also commercialized our processed cheese line in the month of January. So we are in a good place as far as cheese is concerned. Ou r joint venture with Bel is going quite well. And we are hoping that we will start to see good traction as we move forward because everything takes a little bit of time to get t

o where we want it to, but I think this year is going to be a great year for us as far as cheese is concerned.
And we're also gearing up for the season, the summer is just ahead of us. So we are gearing up for the season for drinks as well. International has been a very good story for us this year. And even this quarter, we've seen double -digit profitability growth across all markets, Middle East, Africa, rest of international. And Nepal has been a very good story for us, where we made investment, put up a plant. It continues to do very well and continues to grow not just top line, but even in profitability terms.
One small spark which is Egypt. In Egypt, we set up a contract packing unit, and we had started to seed our products in the market. And we've grown five or six -fold in that market, and it's still a very small number. So I'm not going to make a big deal about it, but it just shows that if we bring our products to markets which are similar to India, we tend to see traction.
Next slide is on cost efficiencies. The right side shows that cost efficiencies that we derive out of our projects have gone to 7x what they were in '13, '14 and the projects are pretty much in the same space, truck utilization, distance traveled by our products, market damages, renewable energy, fuel consumption as well as line throughput.
So we've been wo rking on the same projects, and we've been able to derive a lot out of these. And it's teamwork which has got us to get to where we are as far as cost efficiencies are concerned because the teams have worked really well together to make sure that year afte r year, we do the boring stuff of getting these projects together and getting these efficiencies and costs down.
The next slide is about scale and technology advantages, competitive advantages that we have

today. We've spoken about 21C oven, which is pate nted by us. It's an oven which we can use whatever fuel we want. And that gives us the flexibility depending on the fuel prices. So we use biomass, we use any kind of fuel that we want. It also gives us cost efficiencies and it's a proprietary technology, as I had said.
Then we've also done some product technology upgrades. We've had a lot of first to India technology in all of our products, especially for our disrupt products, the capabilities that we

have today. A lot of biscuit companies even worldwide don't have that kind of technology. This also gives us a superior product quality and gives us the ability to launch products which other people cannot do at the moment.
Of course, anyone can import those lines, it's not proprietary technology, but we've been fast to bring those in, experiment with them.
We've also -- if you look at what Vinay and his team have done, we moved from -- 15 years ago, we used to have small factories, where there were two lines with very small ovens, average factory output of 1,800 tons per month. From that, we moved to i ntegrated factories, which had four to five lines. We had higher throughput average factory output was 7,000 tons.
From there now, we have moved to a mega food park, which is Ranjangaon, which is first of its kind, we have 17 lines here. Biscuits plus adjacency, every category that you can think of, plus dairy. And the average factory output has gone up dramatically to almost -- if you were to add -- Vinay, if you were to add dairy to this, it would be what 2,00 0 -- 20,000 tons?
Vinay Kushwaha: Yes.
Varun Berry: So probably 20,000 tons per month, and this has given us -- and obviously, we do it with the right demand centers in mind. So footprints are aligned to demand centers. We also got the distance reduced. And efficiencies, obviously, with larger factories are much greater. Product quality has gone up dramatically. Fiscal incentives, we've made sure that we've got fiscal incentives and also availed

them in each one of these factories. And our operating contr ol now
is -- Vinay, what is it, 65%? So it's about 65%.
We're also working on smart factories, where we are looking at product performance management, predictive maintenance, energy management systems and also looking at leveraging AI and robotics to make sure that from a quality standpoint and from an efficiency standpoint, we are the best in class.
Renewable energy, we've had -- and I'll come to that in a bit, the ESG initiatives are moving in the right direction. We've got reliable cost and efficiency. Our target is to get to 57% renewable energy by '25, '26. We are looking at putting up solar rooftops and also accessing open access renewable energy sources in the various states that we operate.
The next slide, I think you have s een this slide before. We have four strategic pillars for our ESG construct, growth, governance, resources and people. So if you look at it from a growth standpoint, and I'm not taking you through everything because there's no point taking you through everything every quarter. S o I'm just talking about some of the new things that we have done -- that we are doing on the -- around these pillars.
So we've got this campaign, which is a marketing campaign, which is "Har Pocket Dustbin," which shall be preventing littering in public s paces. Our -- S&P Global Corporate Sustainability Scores are out for the first time, and we are 49%. CDP -- which is not great, by the way, 49% is probably great from an India standpoint, India FMCG standpoint, but a lot of ground to cover

there.
CDP Clim ate Change Scores have improved from a C last year to B. Again, we would want to be an A, and hence, some where to go. Data management tool covering high -level KPI dashboard and other reporting is under development and will be published soon. From a resour ces standpoint, I've already spoken about renewable energy. And we've initiated suppliers ESG assessment for the full year '23, '24, which is going to cover 100% of our suppliers and will be completed in this quarter.
And from a people standpoint, we are in the top quartile as far as FMCG India is concerned in the engagement score, so that's a great achievement for us because we've been working on making sure that we have a team which is motivated and feels good about the company. And we have 2.3 lakh ben eficiaries through our Britannia Nutrition Foundation -- so -- versus INR 2 crores -- sorry, two lakhs last year and 2.3 lakhs this year.

Okay. Now moving to cost and profitability. Overall commodity costs have remained soft this quarter. Flour has been -- it's been going over -- going up over the quarters, but from Q2 to Q3 was flattish. Sugar went up, but the downside came from palm, laminates and corrugated boxes, which is clear from this side.
So what are we going to do as we move forward? Obviously, cost and profitability front, we will continue to invest behind brands and innovation. We've actioned measured pricing corrections to remain competitive. Which I have taken you through. We've delivered cost efficiencies across our functions.
Outlook will be to closely monitor stock price situation of commodities because there's been high volatility in the last two or three years. We remain vigilant on the competitive pricing actions thereof as a result of the commodity inflation. Our strategy will remain f ocused on driving market share. I think that remains a very critical front for us in all of our categories.
Now getting to our financial results. So if you look at this slide, you will see that our top line consolidated revenues have been close to INR 4,200 crores. There's always down from Q2 to Q3. So -- but if you look at it versus overall trends, we seem to be on the right trend, albeit with a smaller growth at 2%. However, the 24 -month growth is still

robust at 19%.
Moving to the next slide. Operating profit levels, as you will see, very healthy operating profit levels of 17.7% and -- which continues to be at probably the highest level that we've been at barring a few quarters, which have been slightly better than this. But I think we are certainly in the top quartile of food companies across the world as far as operating profit levels are concerned.
Now getting to the next slide, which gives a summary of our results. So net sales 2% in 12 months, 19% in 24 months. Operating profit negative 2% and posit ive 52%. Profit before tax, negative 34%. And the reason for that is that we had exceptional income of INR 376 crores and INR 359 crores on account of profit on sale of 49% equity in Britannia Dairy Private Limited to Bel when they came in as a partner last year.

So that sits in our base, and that's why our profit before tax is negative 34% and profit after tax is negative 40%. But if you look at it as a 24 -month growth, both of these are at 50%. And the ratios at the bottom, profit from operations held -- very healthy 17.7%, profit before tax at a very healthy 18.1% and profit after tax at a very healthy 13.3%.
So that's all that I have for you. We can open the house for questions. Thank you.
Moderator: Thank you very much. We will now begin the question an d answer session. First question is from line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Hi Sir, Good morning than k you for taking my question, kindly correct me if I'm wrong on the volume growth for third quarter, will it be about 5.5%. And given that you have highlighted that the demand environment is progr essively recovering, do you see the market being conducive to drive volume growth to high single -digit levels from the current 5.5% levels over the course of the year? Or do you think mid -single -digit volume growth is a more realistic assumption basically?
Varun Berry: Mihir, I think, the time is now coming where we will hopefully get to higher volume growth because it's been inflation which has been overtaking all of our efforts in the last two or three years. So I would actually say that aspiration is to get to -- get back to double -digit volume growth soon. And I think it will take a little bit of time. I don't think it's going to happen in the next quarter or so, but we are moving towards that.
And clearly, there seems to be consumption coming back. Obviously, the economy and the stock markets and all of that seems to be moving in the right direction. There's no way that consumption is going to lag so much. And so I'm very hopeful that it will get to high double -- high single digits or even double digit volume growth in the future.
Mihir Shah: Wonderful. Sir, my second question is on margins. When one looks at the gross margins and EBITDA level margins, Britannia is at its best apparently. Apart from lower raw material prices and better mix, which is a more gradual and a structural improvement story, sir, what levers can drive margin improvement from here on and tie it over the EBITDA margins over the 19% range?
Varun Berry: Well, I do think that, fir st of all, our cost efficiency programs are best in class. And I don't think anyone does it the way we do it. We do it extremely meticulously. Venkat leads it, all of the functional heads do their part as far as their function is concerned. Vinay has done some real wonderful work as far as the supply chain area is concerned. But it's not just supply chain, yes, it does tend to contribute a lot.
But even procurement and R&D and sales and marketing, everyone has been contributing to that. So I think that's d efinitely one pillar, which will continue. I do think that as we go forward,

Mihir, it's going to be important for us to look at how do we keep our margins stable and grow the top line aggr

essively. I think that's going to be certainly something that we ar e going to look out for because time has come to really make these businesses -- and I'm not just talking about our business. I'm talking about FMCG in general.

With the kind of population, with the kind of upward mobility that we have in our country, I think, it will be important to grow the pie to be a lot larger than what it is. So my focus as we go forward is going to be to make sure that we grow the top line aggressively even if we don't keep growing the margins at the rate that we've been growing the m in the last 10 years. So that's what my lookout would be.
Mihir Shah: Got it, sir. Sir, one more if I can just squeeze in, one on pricing. You mentioned something on pricing. Do you see more price cuts going forward? While I know that there is no busines s case to start taking price hikes anytime soon, but anything that you can share on visibility on where -
- when pricing growth can come back. So on pricing, sir? That's all for my side.
Varun Berry: No, I don't think there's going to be a need for price hi kes because as you saw in the commodity situation, they have been a little soft, but it's an election year, things will be okay for this year, for sure, but we'll have to see how this goes forward because the world situation is not what we would want it to be. The Russia -Ukraine conflict continues, the Gaz a situation continues.
So we'll have to watch. The point that I was making was that we'll -- it will be a tight rope walk. We'll have to watch the situation carefully and then take actions whichever way i t's required. If inflation is coming back, then obviously, we'll have to take price hikes. If not, then we will have to make sure that we grow top line very, very aggressively.
Moderator: The next question is from the line of Aditya Soman from CLSA India.
Aditya Soman: A couple of questions. Firstly, on the cheese business, you indicated that this is now sort of 10%. How large can the business be in let's say a 3 -year, 5 -year period? And what are the main drivers of this growth in this business?
Varun Berry: Well, it's not 10% of our business, Aditya. It's grown 10%. Now the thing is that the cheese business, I think -- see, it's a category which is slightly alien to the larger population of India, right? What's happened is that the Domino's and the Piz za Huts of the world have come and created the market for cheese in India. And it still is a very small category. But we are now participating with a product, which is international standard, and we will continue to innovate in this space. We will bring al l the products which we feel have a right to succeed with the Indian population. So we are going to create the habit as well. We are not going to leave it to the QSRs to create habit of cheese consumption.
So I think -- I don't think it's going to ever be come 10% of our total revenue. But I certainly think that the potential for growth is reasonably high here. And it's important that we unleash innovation, we unleash the power of Bel and Britannia into the market. We get our go -to-market systems to be the best as far as -- for a cold product, product which has to be in a cold chain like this, and we expand distribution to as many cities and towns as we can. So the objective will be to take this business from a really small business at this point in time to be, let's say, at least INR 1,000 crores business in the next 5 years. And I'm talking about the consumer business. If there is any potential to get institutional business, then that could become a much bigger number.
Aditya Soman: I understand. I think on the presentation, you indicated a 10% contribution to business. So is it

10% contribution to growth, is it this quarter?
Varun Berr

y: Yes.
Aditya Soman: Okay. Understand...
Varun Berry: No. What I said there -- now there what it says is that 10% of the che ese that we sell is now being contributed by the innovation products that we've launched. So we've launched the triangle, which is the spreadable cheese that we are getting from Vietnam and we' ve launched the sachets. Those two are contributing to 10% of t he total cheese. They're differentiated formats, okay?
Aditya Soman: And just in terms of e -commerce and quick commerce, can you just indicate how large that business is -- each of those business is and how they fare, let's say, compared with the year ago.
Varun Berry: So we've seen very good growth as far as e -com is concerned. We -- the B2C part of the business

is the one which is growing and which is what we would want it to be because we do not want to actively participate in the B2B business because th at gets us onto the wrong foot with our overall distribution agenda with our distributors and can disrupt through pricing actions, et cetera, our entire distribution chain in the country.

So we would want it to stay with B2C, and the B2C part of the busin ess has been doing quite well. Today, it is about 2.9% to 3% of our total business, which is not big, but if you think about it, we started from 1% a few years ago. And from there, we've come to 2.9%, 3%. And it's a business which is also profitable, and i t provides the convenience to consumers and also gives us the opportunity to do innovation only in this part of the business. So we will continue to push this forward.

Moderator: Next question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: My fi rst question is on pack versus volume growth. So earlier, you used to give the pack growth, so essentially a number of transactions. So in biscuits, obviously, customer buys a pack rather than a 100 -gram or a 50 -gram biscuit. So I wanted to understand how has been the pack growth this time. And given your gross margin and EBITDA margin have done so well for the industry, which is the right metric to track because you must have added back grammage given the higher gross margin? So your volume growth is a goo d number. So 5% is a good number. But from a health of the business perspective, which is the more important number you are tracking in terms of pack growth or in terms of volume growth?

Varun Berry: So Abneesh, with you tails you win, heads you win also. So no, you're right. See, when we are adding grammage to the packs, the pack growth will not be as much as the volume growth. So yes, you're right, the volume growth is 5.5%. This will probably be -- I don't know the exact number, but it will be in the ran ge of 3%, 3.5 -ish. So that's where it stands. But yes, that's a natural phenomena as we add weight. As we remove weight, the number of packs go up.

But I would want this volume and pack growth to go up even further. And our agenda for growth is now going to be -- and Vipin is sitting here staring at me. Our growth agenda is going to be to

get a lot more growth out of our business. So we've got profitability now, we would really want to get after volume, pack growth as we go forward.

Vipin Kataria: Yes, just want to add, Abneesh, that the volume growth, I think, is the first step to the transaction growth because you are enrolling a lot of consumers, new consumers into volume growth. And once that happens, then the transaction growth will start moving up from there.

Abneesh Roy: Thanks, One re lated question is, in the last five quarters, four quarters have been 19% plus EBITDA margin. So will it be fair to say that now because of the premiumization or whatever cost initiatives you have taken, this is a more realis tic margin because earlier this was looking like a high margin, but you have delivered quite well there.

And second question

is because entire industry is also seeing good margin, if you could comment on local players, is that now coming off as a competit ive intensity?

Varun Berry: No, it's not. So there is competitive intensity from local players. There's also a competitive intensity in modern trade. So all that will have to be managed, Abneesh. We've been managing it really, really well.

In modern trade , our profitability a few years ago had dropped considerably, then all of us sat together, and we said that, we've got to get this back. We've got it back to an extent. But there will be challenges. In businesses, these challenges will keep coming up. And we will have to press the right levers. So as I said, if our objective is to grow top line, grow volumes, grow pack growth for not just biscuits, but all of our businesses, I think, we will have to look at what is the best way of doing this. And how do we grow the profit, but without really focusing as much on the percentage.

So I think we'll have to do some thinking. We are in the process of doing our annual plan. And I think this time, our objective is going to be to make sure that we continue to dominat e our spaces in all of the channels, and we grow our business at a very high clip.

Abneesh Roy: Sure. And last quick question on cheese. So you have around 13% market share in cheese, which used to be much higher, say, around 5 years back. So quick questio n is from a three years -- next three years perspective, which is a more important KRA for the dairy team or the cheese team, the 13% market share moving up or the differentiated part of portfolio moving up from the current 10%? So would you want to be lik e Nestle and Tetra Pack milk or you want to really become more relevant from a market share perspective?

Varun Berry: No, we would like to become more relevant from a market share perspective but with products which are best -in-class and differentiated, as differentiated as we can make them.

Moderator: Our next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: Back to revenue and margin …

Moderator: Latika w e are not able to hear you. Can you repeat your question, please?

Latika Chopra: Can you hear me?
Moderator: Yes.
Latika Chopra: Hi Varun, Again, I'll just want some clarifications on both your comments on revenue and margin outlook. On revenue, when you aim for a high single digit, double digit -- low double - digit kind of volume growth, what part of this is coming from your base business of biscuits? And are you -- and incrementally, how much are you building in, in these projections or this ambition from your new businesses?
How would the salience of these new -- or non -biscuit categori es, let me put it this way, not new businesses, but non -biscuit category sale is sailings going to be few years down the line? If you could talk about that. And the second bit on margins, if you clarify -- are you saying that 19% EBITDA margins look stable to you? Are these going to sustain your gross margin expansion despite price reduction is quite a positive. So how should we think about that?
We saw a sharp increase in employee costs, other expenses are lower or modest. So how should we look at the algo rithm for margins? Is 19% given or your prior comments of 16% to 17% kind of margin trajectory with a higher emphasis on revenue growth should we take that as the course of action going forward? If you could clarify on the two things, that would be helpful .
Varun Berry: No. So the first one on what do we grow? Yes, our contribution from adjacent businesses has to grow much faster than base business. And that's -- I think we got stymy during COVID because adjacent businesses are more on the go, and it's sort of got us off track. But now on, we are committed to make sure that we grow our adjacent businesses at a much faster

clip. I would say,
at least 50% higher than what we grow our ba se business, which is biscuits.
So that's the first question. And hence, th e contribution of these businesses is only going to go up. Second question you asked was on the margins. I would say that more of the latter. We would want the pie of profit to grow at a fast clip because of aggressive growth in the top line. And hence, I would say 19% is our peak. We've gotten to that.
That probably is something that we'll try to achieve, we'll aspire for, but I would say more in the space of growing the profit on an overall basis through more aggressive top line growth.
Latika Chopra: Just one bit. For this nine -month period, what would be the revenue share for non -biscuits?
Varun Berry: So if you were to look at biscuits, India and the rest, it will probably be 65 -35.
Moderator: Next question is from the line of Percy Panthaki from India Infoline.
Percy Panthaki: Sir, just wanted to understand on the pricing. So on a Y -o-Y basis, your pricing is negative about 3%, 3.5%, whereas in Q2, it was positive by about 1.5%. So first of all, would I be right in assuming that on a sequential basis, Q 2 versus Q3, you have taken a price cut of about 4% to 5%? And in context of this price cut, how is it that your margins are more or less th e same as what they were in Q2.

In fact, your gross margin has actually expanded also, because if I see the commodit y chart, sugar has had a very sharp uptick, wheat has had a little bit of an uptick and other commodities are benign. But looking -- just eyeballing it, overall, it doesn't seem that there is any significant commodity benefit on a sequential basis? And if the price cut is material 4% plus on a sequential basis, fact that your gross margin has expanded 90 bps is a little surprising.
So if you can throw some light on this, please?
Varun Berry: No, it's clearly the commodities, which are basically oil. Palm oi l, we've seen a substantial dip in prices. Dairy, there's been a dip in prices. The packaging material, which is laminate as well as corrugated boxes, we've seen a sharp decline as far as our prices are concerned. So I think that's where it's coming throug h, and that's what's offsetting the price changes that we are making.
Percy Panthaki: So would I be right in my calculation of about 4% to 5% price cut between Q2 and Q3?
Varun Berry: Not 4% to 5% maybe 2% to 3%. Versus last year, it will probably be 4%. But from a quarter - on-quarter basis, maybe 2%, 2.5%.
Percy Panthaki: Okay. Okay. My only calculation was last quarter, if you see, sales was up 1.8%, volume was up 0.2%. So it means about 1.5% positive pricing. This quarter, there is a 3.5% negative pricing.
So if I add that up, I mean, 1.5% positive, 3.5% negative.
Varun Berry: There are lots of moving parts in there.
Percy Panthaki: Understood. So basically, I would be right in assuming that even the input cost on a sequential

basis on -- the overall basket has deflated by about 3% to 4%.
Varun Berry: That's true. That's right.
Percy Panthaki: Okay. Secondly, just wanted to understand on...
Moderator: I would request you to come back for a follow -up question. Next question is from the line of Shirish Pardeshi from Centrum Broking.
Shirish Pardeshi: Just two questions. You mentioned about market share. Would you comment which geographies because earlier you used to give the focus market share -- focus states market share also that is not given now. So that's th e first part.
And second, on UP, Bihar plant, what is operational? Where do you think this plant -- I mean, how many lines? And maybe if you can give some qualitative comments, what is it that we are producing? And in the medium term, what is the opportunity which we are looking in these markets?
Varun Berry: So I'll let Vinay comment on it, but the plan

t is both the Bihar as well as the UP plant. Both these plants are state -of-the-art plants. We are producing biscuits and rusks. Go ahead, Vinay. W hy don't you just talk to him about...

Vinay Singh Kushwaha: Our factory in UP is about four lines of biscuits and we set up one line for rusk. The factory has been designed in a way to leverage and maximize sales to UP, within UP, the sales from this factory, which is to maximize also our fiscal benefit. And UP is also a focus state for us. And therefore, this factory would play a role in not just driving operational performance but also help grow our business in UP.
We have plans this year to further exp and the UP factory. We have kept provisions for expansion, and we'll be doing so through a fresh investment we'll put in the next fiscal year.
Coming to Bihar, we got -- we set up one new factory, which we started of this year. It's a factory where we have set up three lines. We have plans to again expand this factory in the next fiscal. This is our second factory in Bihar.
The first one we had set up was in 2011, and both these factories are on opposite sides of Patna, which is the largest hub -- consuming hub in Bihar. We are probably the only FMCG company which actually runs its own factories in Bihar. And we have that advantage that Bihar is a market where we dominate and the factories will help further grow our business in there.
Shirish Pardeshi: Okay. And on market share, Varun?
Varun Berry: On market share, our gains this year from a geographic standpoint has been from the Hindi belt predominantly. And certain areas here else Vipin, where else have we gained share...
Vipin Kataria: See the Hindi belt, like Varun said, has delivered delta growth as well as delta share. There are a few states where there is some stress that we see. But I think that's largely temporary because -- that's because of the value resurgence. And that what we see now is that cha nging pretty fast, right? So I think on the focus states agenda, we are very consistent. We see robust growth, and we see delta market share coming.
In fact our numeric distribution story is fairly strong in these focus states because there is a lot of opportunity in rural as well as urban markets. So I think in a nutshell, focus states have been doing well. And even in this year, it is delta over that market share and numeric distribution story on all India level.
Varun Berry: Yes, mainly from the Hind i belt, but there will be other states where we've gained a little bit.
Shirish Pardeshi: Yes, I got that, Varun. I was just more curious that this growth is driven by Milk Bikis portfolio, the value -add portfolio or the premium portfolio?
Varun Berry: No. It's driven by our premium portfolio , mainly. We are hardly in the value portfolio. In fact, the value portfolio has not been doing well for us...
Vipin Kataria: I think value is not a robust portfolio. But, so let's say, premium cookies we are doing really well. Crackers, we are doing very well. So like Varun is saying all the premium and differentiated categories is where our focus is, and that's where we are getting good traction.
Varun Berry: Just to give you an example, Jim Jam , we put how many li nes Vinay, two lines in the last tow years? We put two manufacturing lines in the last two years and we are still running out of

capacit y. So now we've decided to put two more lines on Jim Jam. So it's a premium portfolio, which is giving this result.
Mode rator: Next question is from the line of Sheela Rathi from Morgan Stanley.
Sheela Rathi: Thank you for taking my question, just in continuity to the previous participant question. Is it

fair to say that the urban growth is far better for us versus the rural growth on the basis of the
com

me nts you made that premium portfolio is doing well?
Varun Berry: Yes. Yes, that's true. We've not seen rural growth the way we've seen them in the last 10 years, let's put it that way. Urban growths are outpacing rural growths. To my mind, it's a matter of time because we have not stopped from building our rural distribution. We continue to do so despite the fact that we are not getting the kind of traction that we were thus far.
Sheela Rathi: Understood. Just taking up on the distribution reach, Varun, if I look at Slide 8, and when I look the direct distribution reach, it feels like the pace of increase in distribution has slowed down about 5% on a year -on-year basis. Is there anything else to read on to it? Or are we building more distribution around our d airy business and that's why this number looks much lower?
Varun Berry: No. You're right. The pace of growth as far as distribution, see as you go higher, you tend to have less opportunity for growth, but I would not say so. I do think that we have still a large opportunity for growth. But the focus has been on getting more depth of distribution in our outlets, getting more SKUs in our outlets while we've continued to grow our direct reach as well. I think we still have the potential to grow this by at least one million more outlets. But yes, the pace that you saw from March '20 to March '21, where we grew from, let's say, 19.7 to 23.7 that kind of delta is not going to come through now. We'll probab ly be slightly slower than that, but we will continue to make our way upwards.
Vipin Kataria: So I'll just add two more points to this. S ee weighted distribution is equally important KPI for us, which basically means that are you reaching to all the relevan t outlets. And weighted distribution for us is at a very high number, right? So therefore, you're right that you might see that there is a slowdown in the uptake of that number, which is on the direct reach. But like Varun is saying that we have a huge opp ortunity sitting in Hindi states, we have a massive opportunity sitting in rural, and that's where we will keep adding these outlets.
The second big initiative that we have taken in this year is that we have converted 60% of our rural business on our app or a platform, right, which basically gives a direct access to all these markets. And the intent is that 100% of our rural business now gets converted to this app so that we have a direct interface. We have a direct visibility, and therefore, we will be ab le to drive far better mix in rural.
Sheela Rathi: And what would be the comparable number for urban for that 60%?
Vipin Kataria: So urban, we are fully on tech. So we've got a handle through which we do the entire order booking. We got technology supporti ng us, which is right from geotagging and geofencing. So therefore we have systems where we can track what's happening on an online basis. So urban is

fully covered. I think rural is a b ig initiative. And in the next three , six months, we should be fully c overed in rural as well.
Sheela Rathi: Understood. This is very clear. And just one request. Maybe in future, if you could even share the distribution reach for the dairy business or the non -biscuit portfolio because that could help us understand how the t rajectory could be.
Varun Berry: That's a good point. Good point. This will put some pressure on Vipin as well.
Moderator: The next question is from Amnish Aggarwal from Prabhudas Lilladher.
Amnish Aggarwal: A couple of questions.
Moderator: Amnish, sorry to interrupt, can you speak a little louder, please?
Amnish Aggarwal: Yes, yes. Sir, my question is regarding the margin outlook. For example, in 3Q, we had a very high base in terms of PLI inflows, but still our gross margins were intact, which means that we actually expanded our margin during this quarter

. Now going into fourth quarter where we have
one time, you can say, PLI arrears and our g ross margins are upward of 44%.
So what is the medium term outlook. Like you said that 19% is your aspirational le vel? So should we expect the margins to moderate in 4Q and going forward in, say, year FY '25?
Varun Berry: We never give forward -looking forecast. So I will not be able to give you any number out there, but you know how we work. We always have a very tigh t backbone for ourselves. Our objective will be to maintain margins and grow our business aggressively. And the commodity prices are looking reasonable at this point in time.
It's an election year. There will be check and balances in place to make sure tha t inflation doesn't happen to an exte nt that we've seen in the last two , three years. So I think it's going to be reasonably even keel, I would say.
Amnish Aggarwal: Okay. And sir, my second and last question is on the competition, which I think practicall y every FMCG player has been citing about that there is a rising competition from the regional players, local players. So can you throw some light on that. What is the scenario now in particularly the

biscuits and rusk segment? And what has Britannia done in the past few months to counter that?
Varun Berry: That is absolutely right. The fact is that regional competitors have been raising their heads. And the way they operate is on 3 vectors. So obviously, one is price. They sell at a cheaper price. Second, they make sure that they give the distributor a lot of margins and they give the retailer a lot of margins, right?
So all three of those vectors -- now in our case we have got organized distributors in this. In their case, they don't have organized distri butors, so they give the wholesale a lot of margin. And so I would say that some of them have good products, reasonable, acceptable products and hence, they are making progress. But a lot of them, when they grease the trade so much, their product goes in a nd sits there and then they start to get to a place where the product is not moving, it

starts to fly back to them.
And that's the time they go out of business. I think they are in that honeymoon phase at this point in time, where they are throwing in prod uct, I think it will be in a few months when the verdict will be out whether they're successful. But having said that, this is a phenomena which is going to continue, right? It's an industry where the margins, the total margins that we used to make was abo ut 3% till about 12 years ago.
So it wasn't a profitable industry. When industry becomes profitable, when the market leaders, like in our case, we've raised the total table of margins in this category. Indian entrepreneurs are very smart. They look at the margin pools and they say that this is an opportunity to get the business going.
Now what is going to work for us, obviously, is our brands. We will have to double down on our brands. Because it's important that we remember that nobody has a Good Day. Nob ody has Marie Gold. Nobody has a NutriChoice, right? It's only us. Now we've got to make sure that we strengthen our brands.
What will work for us is the people that we have who understand this business so well, what will work for us is the distribution that we have, the organized distribution. And obviously, the very tight spine that we run with low costs, right? All of that will work for us, but it will only work to an extent because while our margins are 18%, those guys are happy to make a 2%, 3% m argin on their business, right?
So we'll have to watch this space very carefully and make sure we study each one of these competitors and then decide how we want to deal with them without diluting our business in any way. So it's a tightrope walk, frankly. And that's one part of it. The second part of it is the whole

modern trade piece, where everyon e's throwing in product with a one plus one and all of that.
So both of these spaces we'll have to watch. I don' t feel scared of the situation.
I think if we watch this carefully, if we formulate our strategies carefully, and we do what is right for our partner, for our distributor, for our retailer, and we do it in the right way, I don't think -- and we also keep strengthening our distribution and our brands, I thi nk, we'll be in a good place.
Moderator: Thank you very muc h Ladies and Gentlemen , we take that as the last question, I'll now hand the conference over to Mr. Ramamurthy Jayaraman for closing comments.
Ramamurthy Jayaraman: Thank you, everyone, for spending time with us on this call. We look forward to interacting with you again. T hank you.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2024

9th May, 202 4

To,
Corporate Relations Department
BSE Limited, Listing Department
National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, C/1, G Block, Bandra -Kurla Complex,
Dalal Street, Fort, Mumbai - 400 001 Bandra (East), Mumbai – 400 051
Scrip Code: 500825 Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst s Call held on 6th May, 2024 for the quarter and year ended 3 1st March, 2024
Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations, 2015’)

With reference to the subject cited above and p ursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of the Analyst s Call held on 6th May, 202 4 pertaining to the Audited Consolidated and Standalone Financial Results of the Company for the quarter and year ended 31st March, 2024 .
The transcript of the A nalyst s Call is also available on the Company’s website at :

https://www.britannia.co.in/Analyst_Call_Transcript/Q42023/24.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

“Britannia Industries Limited
Q4 and FY ’23- ‘24 Earnings Conference Call ”
May 06, 202 4

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMA N AND MANAGING DIRECTOR -- BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET SINGH KOHLI – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER -- BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES AND REPLENISHMENT -- BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER --

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited's Earnings Conference Call for Q4 and Financial Year '23 -'24. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayank Mundra from Investor Relations team. Thank you, and over to you.
Mayank Mundra: Thanks, Yashashri . Hello, everyone. This is Mayank from the Investor Relations team. I welcome you all to the Britannia Earnings Call to discuss the financial results of Q4 and Financial Year '23 -'24. Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry; Executive Director and CEO , Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer - Sales and Replenishment, Mr. Vipin Kataria; and Chief Marketing Officer, Mr. Amit Doshi. The analyst presentation is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbor statement in the presentation.
Over to Mr. Varun Berry with remarks on the performance.
Varun Berry: Good morning to all of you, and thanks for being on the call. Let me jump into the presentation. So on Page 3. I'm not going to delve much deeper than this. But the point is that India is doing much better than all the other countries from a GDP growth standpoint. However, the only point to be made is that private consumption is down. The GDP numbers are looking good because of the gross fixed capital formation that's happening in the country. However, we are confident that as we go through this year, things will change on the private consumption side as well.
Moving on to Page 5. This is a performance scorecard for the full year '23, '24. So if you look at it, our revenue from operations for this year, INR16,546 crores, which is a 4% growth from a revenue perspective if you look at it from a 1 -year perspective and a 19% growth from a 24 - month perspective. Operating profit is a very healthy 17.3%, which is growing at 10% on a 1 - year perspective and 43% on a 2 -year perspective.
Moving on to the next slide, which is Slide #6, which gives our Q4 performance. Q4 is INR4,014 crores in revenue, 3% up on a 12 -month growth and 14% up on a 24 -month growth. Operating profit is 17.6%, which is actually higher than the full year number, but down 4% versus last year. Last year this quarter was a very solid quarter that we've had. And however, if you look at a 2 -year perspective, we are up 42%.
Moving on to the next slide, which is Slide #7. Share numbers are looking much better after we've made the intervention which were required. We had taken price increases. And as the inflation started to die down, there were some pricing interventions, which were required, which we made. And as a result of that, our pricing competitiveness has increased, and our share is moving in the right direction once again.

Now getting to Slide #8, which is the regular slide that we talk about, our strategic pillars. So as you all know, the strategic pillars are distribution, marketing, leading in innovation, building an adjacent business, cost efficiency and sustainability to drive profitable growth. We consistently have been sticking to this framework. So I'll take you through one by one.
Driving efficiencies in distribution. We've expanded direct distribution from March '23, we were at 26.8 lakh outlets. In March '24, we are at 27.9 lakh outlets. We've strengthened our rural distribution by going fro

m 28,000 rural distributors to 30,000 rural distributors. Our focus
states continue to grow faster than our overall growth. So we are building heft in our focus in hindi states.
Moving on to the next slide, which gives an idea of what are we doing to enhance capabilities in organized channels for better extraction. Organized channels are easy to get into. Everyone who gets into the food business first looks at organized channels. And hence, if you give the

right margins, etcetera, you'll be available for consumers to buy. So it has been very important for us to really up our game as far as organized channels are concerned.
And if you look at on the right -hand side, which is the building blocks, basically, what we've done is we are building a future -ready organization to compete with all of the startups. We are leveraging modern marketing methods, which is digital, social media, etcetera. We are making sure that our innovation is showcased in all of these channels. We are also promoting our premium products to make sure that they move faster and are more in front of the consumers compared to others.
Agile supply chain is something that we've moved a lot on this year to make sure that we ensure range and real -time replenishment. We've also made our service levels go up pretty dramatically within whatever service level this year versus last year.
Vipin Kataria : So our service levels have gone up by 15%. We are at north of 90%, which is best -in-class, both in modern trade as well as e -commerce. In some of the accounts, we are at service level, which is in excess of 93%. So that has also led to a solid availability on these platforms. And we are focusing majorly on all the adjacent categories and new businesses.
Varun Berry: So that's what we've done in this area. However, I must say that we still have a long way to go because this was one area where we had not put as much focus as we are putting in the last year. Again, you've got to remember that this is very easy to throw discounts and get some heft. So we will have to make sure that we make this into a very sustainable business. But if you look at the left side, we've seen decent growths on biscuits, better growth on the adjacency business and solid growth on the new businesses that we've launched. So that is where we are as far as organized channels are concerned.
Now getting to the most important project that we have for this year, which is our Route to Market 2.0. Now the objective is very clear. It's to unlock growth potential. It's to create bandwidth within the system to make sure that we are able to get more products to flow through our Route to Market. Now it's obviously very critical that we leverage all the data that we have in the system and bring in AI angle to make sure that we do this the right way. But let

me talk you through this because to my mind, this is very, very important.
So what did we do in Route to Market 1.0? We split the salesman. This was done in 2014 and '15 in the top outlets, in the top cities, we split salesmen. We got an extra salesman to sell a separate set of brands and SKUs, and that has been giving us pretty good results from then onwards. The objective of Route to Market 2.0, which is starting off. Actually, we've just kicked off the process, is to make sure that we multiply adjacent business revenues, while continuing to grow our core and building it even further.
So the points really are we are trying to rewrite our outlet segmentation to focus on the high -pot outlets. We will align service architecture to service these high -potential outlets, obviously, by increasing the feet on street with a split portfolio. And this time, we are not going to restrict ourselves to 2 salesmen. If there is a requirement in certain outlets for 3 salesmen, 4 salesmen, we will go the way, which will give us the best resul

ts.
We are looking at upscaling our salesmen capability as well so that they have it in them to extract the right and more from these outlets. We are building AI -enabled predictive ordering to make sure that we assist the salesman in their sales efforts to sell -- to drive range selling. We are also upgrading the salesforce automation or the handheld that we have to aid quality selling.
So the project has been kicked off. The pilot is planned for H2 of '24 -'25. It's going to take time. The total project is about 11, 12 months, Vipin?
Vipin Kataria: Yes.
Varun Berry: So it's a long project, but we want to do it very diligently and in a lot more detail than we did in the past. Okay. Moving on to Slide #12, which is the marketing support. We have been providing tremendous marketing support to all our brands. Good day, the T VC has been very well received. Marigold, we continue to do what we've done in the past, and we've got a T VC to not support just the brand, but also our support on the program, which we have had for 5 years, Amit?
Amit Doshi: Yes. We are getting into the fifth year now.
Varun Berry: So just talk about that quickly?
Amit Doshi: So we started this journey 5 years back, and we saw a big change in how women are -- big changes in the society as far as women and homemakers are concerned. And there was a clear direction that they were wanting to step out of their homes and start their own ventures and make an economic activity outside of just managing their homes, and this tired up very well with our brand's purpose, which is to enable women to do more and be more.

We started off with Britannia Marie Gold My Startup challenge. And for the last 4 editions, we've had almost 1 million plus entries every year. And over the last 4 years, we've funded 40 businesses -- business ideas, out of which 28 have become a reality. And as Varun will touch up on in the next slide, we now build on top of this, to build a comprehensive digital

ecosystem to support these women entrepreneurs through the year and through their journey.

Varun Berry: Thanks, Amit. NutriChoice, we are today the only digestive brand, which uses atta for our products, and there's no maida in any of the NutriChoice products today. And that's a powerhouse, which is doing extremely well.

Milk Bikis, we have Ashwin and his own entire family in the TVC and that's doing very well in the South. And the Northern effort is also going well. We have atta Milk Bikis, which is doing extremely well in the Hindi belt as well. Rusk, its core communication. And for Winkin' Cow, we had a very interesting intervention on associating Winkin' Cow with the cow corner in cricket. And our milkshakes are doing extremely well. It's the second summer with our PET, and we are seeing some very good volume numbers.

Moving on to the next slide, which is Slide #13. Amit, do you want to talk us through this?

Amit Doshi: Yes, sure. We've got the privilege to have real powerhouse of brands, which have gained trusts of consumers over decades. And with food, with every generation, one has to stay relevant, and that's really the intent of our modern marketing charter, which is to recruit consumers of the future, build engagement around our products and further deepen the brand purpose that we stood for, for so many years.

Now Good Day is a brand, which in its name itself, and it stands for small moments of joy and happiness in the day. And we're building a deep program on social media to build relatable content for the Gen -Z to be a part of culture and to be a part of their everyday. We also have a very popular activation in this quarter called The Bank of Small Wins', which received a lo t of attention on social media.

I retouch upon how Marigold is engaging with the growing desire of women to startup. And we announced on Women's Day, India's first

exclusive online ecosystem for the women -run businesses, where women entrepreneurs can come and lift their businesses for free and without commission. They can access mentors and also train up to build their businesses in the future.

On World Health Day, NutriChoice announced the launch of NutriPlus, which is a comprehensive health monitoring app with an artificial intelligence led algorithm at its heart , which simplifies multiple health metrics for Indian consumer into one simplified health score and therefore, democratizing health measurement.

We also have products that are much loved , and we realized that consumers anyway use our products, whether they are biscuits, cakes or cheese in making recipes. And very happy to share that we've announced two destinations, one called Britannia Snack .Inc and the second one is Cheese It Up , which is in partnership with the Times of India, which will connect consumers with recipes and therefore, a bit more engagement around them a lot.

Varun Berry: Thank you, Amit. Also on Page 14, you will see that -- as I said in the beginning, we've taken measured pricing actions to make sure that we stay competitive with our brands. And these are some of the brands where we've taken those actions. The next slide is about innovation. We've

had some consistent performance with some of the innovation products that we put in the last year. So we did Jim Jam Pops, Treat. Treat is an interesting story. We were always need to, so to say, the largest cream brand. So we decided that we need to have archetype which is unique. We had it in the fruit creams side of the business, with a hole in the biscuit, and we did the same for our Choco Vanilla and our Choco creams as well. And we've seen that with a distinct look and feel, this is giving us very good results.

Similarly, 50 -50 Golmaal continues to do very well. We launched some new products as well. We've got the Fruit & Nut Good Day, which is for modern trade. We've got the Cake Rusk, and we've got the Bourbon Milk Shake. All of these are at a revenue contribution of about INR275 crores on an annualized basis.

Our adjacent businesses, which is the next slide, have been doing well. The cake, the base formats did well in the traditional trade. The specialty products, we've leveraged e -com with very good sequential growth. Rusk has been a double -digit volume growth. We struggled for a bit after COVID, but we are back with a bang.

Bread, the growth has been led by the healthy part of the portfolio with improved profitability. Cheese, we've had a good growth. We've got some very exciting products today. We've got the Laughing Cow portion, which is the round box that you must have seen. I think the potential for that product is a lot more than what we've been able to achieve. So we are hoping that this year, we will see dramatic results. We've also commercialized our cheese factory in Ranjangaon, and we've started to now make the products and supply to the market as well. Are they in the market yet?

Vipin Kataria : Just moving into the trade.

Varun Berry: It's just moving into the trade. And I must say that the quality of products is fantastic because the quality of milk that we are collecting from our farmers is just very, very good. Drinks, we are leveraging the ongoing summer with a very focused distribution drive, and we are capitalizing on established brands and bourbon to enhance brand awareness and encourage trials.

Lassi, we've improved our product. We've also improved our value proposition. We are selling our Lassi at INR20 now. And we've got one new contract packer in the East, and things seem to be moving in the right direction as far as our drinks are concerned. The international business has performed well this quarter as well as this year, and this is led by the GCC as well as Americas.

Nepal has been a

very consistent performance, albeit at a very small base. But the fact is that this is an experiment, which we feel very proud of. We started the business with exports from India. We established ourselves, then we built a factory there, and we've been able to build a very strong business in Nepal, and we are hoping that we'll be able to replicate this in more countries as we go forward.

On the cost efficiency side, we've had a very good year. So '23 -'24 has been 7x of what it was when we started off in 2013. So it's very good to see that this -- the management team has been taking this program really, really very strongly forward. And the components of this, you are aware of. It's about the big components. There are many more smaller components with the big ones are truck utilization, distance travelled by our product, market damages, renewable energy, which is a very big one, fuel consumption and the line throughputs that we have in our plants. And we are making good progress in all of these.

ESG, just to remind you, ESG, our construct, which is on the right -hand side. Four strategic pillars: growth, governance, resource and people. These 4 pillars are supported by 8 levers. These 8 levers are split into 26 programs. And these programs have very strong KPIs and targets for each one of us. We have a 3 -year strategic plan in place for all of these KPIs, and the performance of KPIs is a part of the public disclosure and individual performance ratings for all our managers.

Now some of the achievements this year have been we are in the top quartile as far as FMCG India is concerned. We have 2.3 lakh beneficiaries through our Britannia Nutrition Foundation versus 1.98 lakhs in '21 -'22. We've been awarded the best employer for the fifth consecutive year in the Kincentric Employer Study India, which was done in the last year. That's the first section.

Second is we've been identified as 1 of the 1,000 leading listed ESG f irms by Dun & Bradstreet, and we feel very proud of that. We've had a 33% reduction in water intensity compared to base year, which is 2019 -'20. And this is more relevant today because of the situation that exists in some of the states where water is becoming a real issue. We have completed ESG assessment for 453 of our suppliers. We've launched a marketing campaign, which is Har Pocket Dustbin on preventing littering in public spaces, and we've got a lot of love for that campaign. We've been awarded 3 accolades, 2 gold and 1 silver in the ESG category during the SKOCH Awards in 2023.

So with that, moving to the results, the cost and profitability results, which is on Page 20, which gives the commodity situation. So flour and sugar have seen an inflation, but have been balanced by palm, laminates and corrugated boxes. So the commodity situation has been softish this quarter.

On Page 21, cost and profitability front, we continue to invest behind our brands and innovation. We've actioned measured pricing actions in specific channels, as I've already told you, and we've delivered very solid cost efficiencies across our functions. Outlook, we are closely monitoring the commodity situation and assessing what are the actions that we need to take as we go forward. We remain vigilant on the competitive pricing front, and our strategy will be to remain focused on driving market share while sustaining profits.

Frankly, we are going to drive top line hard this year. It's tough. The year what -- how the last year ended will sort of continue for a few months. But we are hoping that as the monsoons start to come an d the election results come, et cetera, things will look much better. So we are going to make it a mission to make sure that we get the top line to grow much faster.

On the financial results front, Page 23 -- Slid

e #23. On a 12 -month basis, if you look at our revenue trends, we have grown 4%, right, on a 12 -month basis. The same number on a 24 -month basis is how much?
Amit Doshi: 19%.
Varun Berry: So on a full year basis, we've grown 4%. If you look at the 24 -month growth on a quarter -to-quarter basis, it's 14% for Q4 and the average is 19% for the full year. Operating profit trends, we've grown on an operating profit number by 17.3%, right . And if you look at our operating profits, also, they are pretty good on all the quarters. We've been at a very healthy operating profit number. And the 24 -month growth are looking very solid for all of the 4 quarters, 22%, 58%, 52%. And even for the fourth quarter, it's at 42%.
Now going to the P&L, basically. So if you look at it on a Q4 basis, a 3% growth on net sales and a 14% on 24 months. On a full year basis, 4% and 19%. Operating profit for the quarter, minus 4%, but 24 months is 42%, full year 10% and 43% on 24 months. PBT, again, pretty similar, and PAT is also similar on Q4 as well as for the full year as well, right .
And if you were to look at profit from operations as a percentage of revenue, it's one of the highest that we've ever achieved. So it's at 17.3% this year. Profit before tax is at 17.6%, and PAT is at 12.9%. So healthy numbers, I would say, a pretty good performance in the situation that the top line growth were not happening. However, I would say the task for us is to make sure that the top line grows much faster as we go forward, and that's what we are going to focus on in this year.
With that, we'll open the house for questions. Over to you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: My first question is on your key raw material, wheat, and how you see pricing this year at the customer level. So currently, wheat crop collection is happening. I understand it seems better than last year, but wanted to get your sense on the full season. How do you see that? Second related question is you said top line drivi ng it hard will be a key focus.
Last 1 year, what I'm seeing is your volume growth is picking up every quarter, but the -- and the sales growth is limited because of the overall negative pricing at the effective level, if your commodity remains soft, how do you see overall pricing for the full year? Because if that doesn't pick up the volume growth remains strong, but if the pricing isn't much, then the overall top line momentum will not change meaningfully. So wanted to understand that.
Varun Berry: Thanks, Abneesh. So Abneesh, when I say top line, I would say that our focus is going to be to make sure that we grow volumes. We have been growing volumes, and I think our outlook on this year is not deflationary. Our outlook on this year is slightly inflationary, which is a healthy inflation of 3% or thereabouts. The commodity situation, see while the crop seems to be fine as far as wheat is concerned, the government holding has been reasonably low. So there is going

to be a government buying because of their programs. So I would think that the wheat outlook is slightly inflationary during the year, while until the elections, things will not move. But beyond the elections, I think it will be slightly inflationary.
Similarly, sugar crop has not been a great crop. It's not bad, but it's not as good as the last year crop. So sugar is also going to be slightly inflationary. So I would say it's going to be a manageable inflation here. And we are making sure that we take whatever interventions that are required to get to our plan numbers as far as commodity is concerned. So we've started to buy. We've also made sure that we have a full program in place to get the best prices for the commodities

that we buy. Does that answer your question?
Abneesh Roy: Yes, quite helpful. One related question will be on your RTM 2.0. So you have mentioned that this will be a pilot project in H2 of FY '25, which means FY '26 will be the real year in terms of benefit and going ahead after that. So I wanted to understand when you are saying a hard focus on growth coming back, FY '26, could you talk about in terms of at least some benefits,

what could be there? I understood the process. But in terms of KRA for this project for FY '26, what could it be?
Varun Berry: So I had put everything on that s lide. If there's more detail required, we can chat about that separately, Abneesh. But frankly, the pilot is to make sure that, see, we are doing this with Bain, as you know. And the process has already started. We just want to make sure that we put all ducks in a row, then we test it out in a pilot market and then we roll it out. So you're right about the fact that the full impact will be towards the end of this year.
Now obviously, all of those items that I had listed on that slide are going to be ticked. And with that, obviously, the benefits are going to be that the adjacency businesses will get their time in the sun. We will make sure that our quality of salesmen is right up there, and they are doing range selling and selling more SKUs and we have a better presence in all of these high -potential outlets. So I think it's all reasonably clear, but if there's anything more that you need, we're very happy to chat with you separately.
Moderator: Thank you. We'll take our next question from the line of Avi Mehta from Macquarie.
Avi Mehta: Sir, I just wanted to ask the adjacencies that you highlighted, the non -biscuits portfolio. What is the current share of sales? And how -- more importantly, how does the margins contrast in this portfolio versus the biscuits business? Would you be able to give us a qualitative sense?
Yes. I just wanted to check, sir, that in the non -biscuits portfolio, what is the revenue salience right now? And could you give us a sense on how do the margins stack up versus the biscuits portfolio, would this be possible?
Varun Berry: So adjacencies -- are you talking about adjacencies?
Avi Mehta: Yes, the non -biscuits, basically, the adjacencies, yes.
Varun Berry: It's about 25%.
Avi Mehta: And sir, would you give us some qualitative sense on how the margins would be for this

segment? Is this better than biscuits, similar, slightly lower? Any sense over here, sir?
Varun Berry: Average would be maybe slightly better, the gross margins. The net margins will not be, but the gross margins will be slightly better.
Avi Mehta: Got it, sir. And sir, just a bookkeeping question. I wanted to just understand, A, are there any one-off costs in the other expenses seen in this quarter? And what the volume growth was for the quarter? That's all from my side.
Varun Berry: They are very small. There's nothing worth mentioning as far as this quarter is concerned. There was -- the advertising and sales expenses have been higher this month because we've not been supporting our brands as well as we should because of the inflationary environment that we went through. So I think overall situation is that we are now getting back to a normal way of doing business. It's not like what we've seen in the last 2 years.
Moderator: We have our next question from the line of Latika Chopra from JPMorgan.
Latika Chopra: Varun, let me just begin from what you said, you're looking towards normalized way of running business. For FY '24, you had revenue growth of 4%. Could you split what was the volume growth and the size growth or deflation during FY '24? Extending that a bit, you talked about 3% -odd of inflation that you anticipate in FY '25. What is the normalized volume growth expectations, given all the interven

tions that you're doing in the business? That's the first question.
Varun Berry: So the situation on volume and revenue for the last year has been, they are almost at par, right? So volume and revenue are the same. However, if you look at it by quarter, it's a very different story. So the last quarter, the volume growth is 2x the revenue growth, right? So I think the volume growth this year, we expect them to be quite solid. Obviously, barring the entry into the year, which is pretty similar to the year that's gone by. And post -election, post -monsoon, I would think that post -election, post -monsoon, we would be aiming towards a double -digit volume growth, for sure.
Latika Chopra: Understood. The second question was on margins. Your gross margins have continued to surprise despite price cuts. Wanted to understand what is the optimal margin expectations that we should build into next year? You ended FY '24 with almost a gross margin of 42%, EBITDA margin of 19% of the domestic business. So do you think there is further upside on these -- from these levels considering commodity prices are a bit benign?
You talked about a bit of inflation coming back post -elections. And you also kind of alluded to need for more AMT and plus investments in all the initiatives we are doing. So I know -- so how should we think about margin outlook, given there's a big focus on top line momentum? Would you give away the margins or you think these are sustainable margins?
Varun Berry: So the objective is not to give away margins, but to make sure that we spend the right amount in terms of innovation, in terms of brand building, in terms of all the projects that we are

doing. So we have this RTM project, which we spoke about. We also have a replenishment

project coming up to make sure that we make that more efficient. So I would say not a major change from what we've seen. Upside, I would not expect upsides on this, but not a major change from where we are today.

Moderator: We'll take our next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: Just a follow -on the margins question. Would it be fair to say that near term, there could be some negative impact coming on margins, given the RTM 2.0, which we would be initiating, which could have some upfront cost versus the cost savings, which we could have in future years?

Second part of this is, the NPD sales number, is that correct that INR275 crores is the NPD number, which is about 2% of the overall sales. This, I would believe, is much lower than where we want it to be. And third is the focus around the adjacent portfolio. So how should we think of margins on that aspect, especially over the next 12 months or so?

Varun Berry: So our target for the entire set of NPDs is north of 3.5%. So this, we've spoken about the NPDs that we put on that slide. So we will continue with that target of 3.5% of overall revenue as far as the NPDs are concerned. As far as margins are concerned, see, the way we look at it is that this year is a year of top line growth. And if it means taking a short -term hit on margins because of all the projects, because of all that we are doing, we will be willing to do that, but it's not going to be dramatically different from where we are at. So that's the objective, really, to make sure that we are future -ready, we have a very solid business model as we move ahead from here, and this benefits us in the future.

And similarly, on brands, we will make sure that we spend the requisite amounts on our existing powerhouse brands as well as some of the new products that we are launching. So that's how we planned it. It's not going to be a dramatic change, but might be a slight change from where we are at, which obviously will come back in due course.

Sheela Rathi: Understood. And just a bookkeeping question. When you talked abou

t the adjacent portfolio at
25%, where would dairy be right now? And where do you expect that to be, say, in the next 2 to 3 years?

Varun Berry: So dairy is we have -- as you know, we've taken a big punt on dairy. We've invested fairly large sums of money in creating a back end. And we've also got a very strong partnership, which is the joint venture with Bel for cheese. So our expectations on dairy are big, right? We -- I wouldn't say that we've achieved what we had planned for ourselves. We are short of that. But I'm confident that with now our plant going onstream, we are producing really good quality products, plus Bel bringing in their expertise, their products.

I don't know if you know, but these portions that we have selling in the market are currently coming from Vietnam, from the Bel factory in Vietnam. Similarly, the sachets are also made in Vietnam. So at some stage, once we get to the threshold on these products, we will start to produce them in the country that will give us a lot more competitiveness. We are looking at a lot of innovations beyond that.

See, until now, what's happened is that everyone has been doing the same thing. Everyone has been doing a block cube and slices. We are the first ones to buck the trend on that and bring in products which are very different, right? So we will continue to do that. And the milkshakes have been doing well. As a company, we are not a soft drink company. So initially, we struggled to make sure that we understood how to deal with a product like this. So I think we are getting there.

And despite that, despite our inadequacies as far as soft drinks are concerned or milkshakes are concerned, we've done extremely well. Now we are building that expertise within the system. We are also making sure that in this RTM 2.0, we bring that to life as well. So I think the outlook on dairy to me is fairly positive. And we will make sure that we do all that's necessary to make ourselves very different from all of the others in the marketplace.

Moderator: We have our next question from the line of Arnab Mitra for Goldman Sachs.

Arnab Mitra: Varun, my first question was, Varun, your focus on growth this year. Do you think it will be driven more by the biscuits portfolio or a big scale up in the adjacencies? And if adjacencies is a big scale up, do you think the existing portfolio is good enough? Or do you have plans to add more sub -segments to some of these adjacencies that you operate in?

Varun Berry: It's a good question. See, our focus from biscuits can never go away because that's a bulk of our business, and growth on biscuits will always be a very important focus for us. However, the objective really will be that the adjacency business grows at 1.5x what our biscuit portfolio grows at. And this year, we are not going to do too much more as far as new categories are concerned. If you think about it, we entered a lot of new categories, and we would want to consolidate our position in those categories and make sure that we build heft in those categories this year.
We've got a lot more on our plate as we go forward. We've got a lot more in our funnel, but we will resist from doing that to make sure that we get a very strong sense of growth and also until our RTM 2.0 is ready, we don't want to create too much confusion in the sales system. So that's our plan for this year. But if you think about it, we've got a lot more categories to build, which we launched last year.
Arnab Mitra: And my last question is on pricing. Varun, you mentioned this quarter pricing is probably like minus 3%, if I assume volume is double of your revenue. So your comment on a 3% inflation next year, would it be fair to assume it's more back ended? You would expect first half to still be a deflation and significant pricing in the second half to get to that inflationary outlook for t

he top line?
Varun Berry: See, it's not about first half. I think the first quarter is flattish. But as we go forward post -elections, we will start to see inflation is my forecast. And I'll be very happy if I'm proven to be wrong. But it seems that post -elections, we will start to see 4% kind of inflation.
Moderator: We'll take our next question from the line of Mihir Shah from Nomura.

Mihir Shah: My question is on market share. Anecdotally, the small and major player seems to be doing well. However, we see that you are also gaining share. Are you also seeing any trend about small and regional players doing better and they have like stopped -- you're doing better now? Or how should one triangulate this thesis about both small doing better and you also gaining share?
Varun Berry: Okay. That's a very interesting question. Now let me give you my point of view on that. See, what happens is that once there is a very large margin that is seen in our category, especially with the market leader, there are a lot more players which come into the country and which start to do that business, right? So frankly, the point is that that's what happened, right? Post the inflationary environment, when we took a lot of pricing, everyone saw our profits because we declare our profits every quarter and a lot more competition started to come in.
And we started to see them move up in terms of shares. However, on delving more into it, we figured out that their share situation was because of their spreading their wings from their core market because these local players usually come into one state, and they are regional players, then some of them were spreading their wings into other markets and gaining share.
However, it's not easy to do that. Now you can do that in organized trade because organized trade, you can throw money and certainly get facings, but doing it in traditional trade has its own pitfalls. And then yo u start to get product back, et cetera, etcetera. So what we've seen of late is that while people spread their wings, they started to feel the pressure in new markets.
And we've seen these shares stabilize of late. And I think that the trick really is that you've got to keep the profit to a certain level. If you go way over the top, then even a new player can come in and start to eat at -- bite at your ankles in some way or form.
And we've learned it. We're going to make sure that we apply this, not just in biscuits business, but in some of our other businesses like cake and rusk as well. And I think we've done it quite well in bread. The other categories, we'll make sure that we understand how to contain these local players without really taking a cut on our profits, overall profit.
Mihir Shah: Sir, that clarifies. My second question, actually, I just wanted to borrow your confidence on the volumes were double. I believe you said double -digit volume growth is what you're gunning for in FY '25. And also, there will be some inflation of overall 3% to 4 -odd-percent. So how should one really again think about this dichotomy, again, when inflation will also be there, but will also lead to double -digit volume growth?
Varun Berry: Sorry, I missed that question completely.
Management: If there is going to be an inflation, how do you expect to grow double -digit volumes.
Varun Berry: See, if you look at our base volume numbers, they are not great numbers. And I do think that the market is ready for getting back to the growth. See, if you think about it, the last decade or so for most businesses, volume growth have not been where they should have been, right? If you look at the previous decade, that was the decade where volumes, revenues, everything was booming. I think it's time that most consumer businesses now start to see the positives coming

out of the economic growth in the country. I think it's been a little bit of push and pull. But hopefully, this year, we will start to see that come back, is my forecast.
Moderator: We'll take the next question from the line of Harit Kapoor from Investec.
Harit Kapoor: My first question is on the distribution side. So while you did mention about the RTM 2.0 that you're looking at, how do you kind of think of it for the next, say, 12 to 18 months? Would that project take precedence over expanding the directory and strengthening rural distribution? Or do you believe that this -- both will go hand and hand? Just wanted to get your sense on that.
Varun Berry: No, these will both go hand in hand. See, this project, RTM 2.0, that we are talking about is more at the top end, right? And it's about the high potential outlets, getting the right amount of service, the right kind of salesmen, the right bouquet of brands and SKUs. And the distribution expansion project is more about the bottom end of the pyramid, which the project -- which is about rural distribution. And even today, our rural presence and our rural share is still lower than our urban presence and urban share. So we cannot take our eye off our rural agenda. And hence, both will go hand in hand.
Vipin : So just to tie it into 3 segments for you. So the top end really is the organized trade, and we have seen pretty good growth in modern trade, e-commerce as well as the market share increase. The next one are the high -pot outlets, which Varun is talking about. And today, the entire service architecture is obsolete, which we are planning to upgrade, which means that these high -potential outlets will be able to send more diverse categories, will be able to give them more service.
The third part really is the urban, where there is a massive growth, which is happening both from a consumption point of view and also outlet addition point of view. So therefore, that's the area where this entire distribution expansion has to really accelerate. And the fourth is rural. So rural were underleveraged, both from market share point of view, the managed distribution point of view. And the intent there is to keep adding more number of villages, resilient villages, so there we can extract more and more from rural as well.
Harit Kapoor: Got it. And just one last question on the organized channel part. What is the share of this organized channel piece for you now? You have shown that all 3 businesses have done very well in FY '24, new, adjacent and biscuit. So what's the share of the overall mix now for you?
Varun Berry: So overall mix, as in you're talking about the contribution of the product or are you talking about biscuit market share?
Harit Kapoor: No, the contribution of modern trade and e -commerce, the overall revenue.
Varun Berry: Contribution of modern trade and e -com to our overall business is about 15%. And it's -- the e - com part is, what, about 3.5%.
N. Venkataraman: Yes.
Varun Berry: 3.5 and 12.5% or 12% approximately is the number for this, but we see this to grow but not

dramatically. This will go from 15% to 16%, maybe 17% as we go forward. And just to remind you, our share in this channel is about the same as our share in overall market. And our potential in these channels is a lot more because from an innovation standpoint, from the quality of product s and the salience of brand, et cetera, we are much stronger in this channel. So the objective will be to get some traction and move our shares up in this channel.
Moderator: We'll take a next question from the line of Kunal Vora from BNP Paribas.
Kunal Vora: I just needed some data points. So if you can give us a broad split of the adjacent categories in FY '24, you mentioned that contributes about 25%, which is about INR40 billion. Can you talk about how large is the individual

products, cake, Rusk, dairy, bread, croissant, if you can give us a broad breakup?
Varun Berry: So Cake, Rusk, dairy, bread - All four businesses are about the same size. And then we have the fledgling businesses, which is croissant, which is about -- what would that be as a percentage? About 0.7%. And we've got some other small businesses, which are negligible really because we've just started off the bars business, the Makhana, etcetera, all of those are very, very small. So that's not worth mentioning. But the four businesses are about the same size. So you can just take, yes. And international...
Kunal Vora: So it will all be INR9 billion, INR10 billion, like it will be around INR8 billion?
Varun Berry: You're talking in dollar terms?

Kunal Vora: No, no. I mean, like rupee terms. Cake, Rusk, etcetera, will be what, like INR10 billion?
Varun Berry: You are talking billions, okay? Yes, about that much, yes. You're right.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Mayank Mundra for closing comments. Over to you.
Mayank Mundra: Thanks, everyone, for spending time with us on this call today. We look forward to interacting with you again.
Moderator: Thank you. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

9th August , 202 4

To,
Corporate Relations Department
BSE Limited, Listing Department
National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, C/1, G Block, Bandra -Kurla Complex,
Dalal Street, Fort, Mumbai - 400 001 Bandra (East), Mumbai – 400 051
Scrip Code: 500825 Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst s Call held on 5th August , 2024 for the quarter ended 3 0th June , 2024
Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of the Analyst s Call held on 5th August , 202 4 pertaining to the Unaudited Consolidated and Standalone Financial Results of the Company for the quarter ended 30th June , 2024 .
The transcript of the A nalyst s Call is also available on the Company's website at :

https://www.britannia.co.in/Analyst_Call_Transcript/Q12024/25.pdf

Request you to please take the above information on records.

Thanking you,

Yours faithf ully,

For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

"Britannia Industries Limited
Q1 FY'25 Earnings Conference Call "
August 05, 202 4

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMA N AND MANAGING DIRECTOR – BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET SINGH KOHLI – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES AND REPLENISHMENT – BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF MANUFAC TURING AND PROCUREMENT OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER --

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mayank Mundra from Investor Relations. Thank you, and over to you, Mr. Mundra.
Mayank Mundra: Thanks, N eerav. Good morning, everyone. This is Mayank from the Investor Relations team. I welcome you all to the Britannia Earnings Call to discuss the financial results of Q1 24 -25. Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry ; Executive Director and CEO, Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer, Sales and Replenishment, Mr. Vipin Kataria ; Chief Manufacturing and Procurement Officer, Mr. Manoj Balgi; and Chief Marketing Officer, Mr. Amit Doshi. The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry , I would like to draw your attention to the Safe Harbor statement in the presentation. Over to Mr. Varun Berry with remarks on the performance.
Varun Berry: Good morning, everyone. Thank you for joining the call. So let me just jump in straight off to slide number 3. Good news on the consumption front. The quarter has been -- the growths on value and volume have been about the same at about 6.6%, 6.5% for the FMCG industry. The rural growths are starting to come back, which has -- which have been lagging urban for some time. And that's something which will help us overall get better growth. So the reason for the same are obviously better monsoons, moderate inflationary conditions, as well as employment -- there's some employment data which is showing that rural employment is at an all -time high. So things are looking a little better, still not out of the woods completely, but definitely better than what -- where we were.
Going to the next slide, the performance scorecard for Britannia. We did -- our revenue from operations were INR4,130 crores, which was a 4% growth on a 12 -month basis and a 13% growth on a 24 -month basis. Our operating profit was at 16.5%, which was at a 10% growth on a 12-month basis and a 51% growth on a 24 -month basis. So I would say good resu lts in the current environment.
Our market share on the next slide is also looking good. Our trend continues, we've continued to gain share and we are hoping that we will be able to keep that track going. Our strategic pillars, which you're all aware of, distribution, marketing, innovati on, growing adjacencies, cost efficiencies and sustainability. Let me take you through each one of these and where we stand on these.
So driving efficiencies and distribution, our direct reach is now at 28.2 lakh outlets. Our uptick in rural distribution, we've gone up to 30,000 rural distributors. And if you look at our rural performance, it's a better performance than what it is for ur ban, which is good. As we've seen,

there's a little revival in the rural economy as well. So we are keeping our accredo of going -- getting equal share in rural as we have in urban. As you know that we have a higher share in urban than we have in rural. So we are keeping that going.
And the next slide is about sales transformation. This is basically a complicated chart, but you've just got to remember what we are trying to do. We are trying to do real -time data for all of us in the system. What this has done is this has increased the face time of the distributo

r salesman,
which is up 42%. So they are on their handheld and they are getting real -time data all the time. All our outlets which are directly handheld through our distributors are geo -tagged and as a result of that, the time s pent in the market by our salesmen is also up.
If you were to look at what we are doing on our route -to-market which is going on with Bain, basically what we are trying to do is leverage our high potential outlets to make sure that all of our key categories and SKUs are available in these outlets. We a re looking at upscaling our salesman capability in these high potential outlets. We are also looking at upgrading technology

for better productivity and there will be an increase in the number of salesmen, which is mentioned as increased feet on street.
Now, we've already started -- the project has been on for about a couple of months and we've already started some pilots in the top metros to validate what is going to work for us in the long run. We are banking a lot on this project and, hopefully, this will b e able to give us great results in the future.
On the next slide, which is slide number 10, if you look at our capabilities in organized channels, if you look at the first quarter, we've seen much higher growths for our adjacency business as well as our new businesses in the modern trade or the organiz ed trade channel, the building blocks of which have been a very agile supply chain which is focusing on fill rates, a modern marketing which is based on social media, digital, etc., upskilling of our salesmen and best -in-class service levels for our custo mers.
Next slide, slide number 11, we've been continuously building on our business as far as e -commerce is concerned. We know that it's an important channel, albeit small for us right now, but it's a test bed for innovation and new categories. We can do precisi on targeting with real -time consumers, product ideas which are based on social media trends as well as consumer feedback and reviews and ratings. It's a channel which can be used by us for a lot of our current premium products as well as making sure that we do products which are actually what the consumers are looking for. And this is giving us good results. We've been seeing great growths in this channel. So, hopefully, it's -- today at -- Vipin, at about what, 4% of our total sales?
Vipin Kataria: Yes, Varun, so we are at about 4%. But I think the difference between us and other companies is that we purely focus on B2C and there's large component of B2B which other companies have.
But I think that's one big differentiator that we are creating.
Varun Berry: No, absolutely. So we are not interested in the B2B business because that disrupts our distribution efforts. So we are purely concentrating on the B2C business as Vipin said.

Okay. Moving on to the next slide, which is slide number 12. We've made some sustained investments in brands to drive consumer engagement. As you know that the biscuits brand was a slightly more traditional marketing category. What we are trying to do is w e are trying to make it a little more alive with more, let's say, interesting products as well as interesting marketing ideas which are more a live to what's happening today.
And we've done that with Britannia Khao, Paris Jao, on some of our brands. We also did it with JimJam Pops, where we launched the victory biscuit when the Indian cricket team won the T20 World Cup , in Bombay. And similarly a lot of other interesting initiatives, which the marketing team has led on Good Day, on Little Hearts, NutriChoice.
Next slide, some of the other marketing initiatives and adjacency areas, we've had Rusk advertising on the Jio Mobile App; we've had the Cow Corner for Winkin' Cow during IPL, which was a very interesting idea; and other IPL campaigns, which we did on some of our other produc ts and tactical consumer promotions which we've run across our portfolio of brands.
Next slide, slide number 14. We've been recognized for the efforts because Amit and team have brought differentiation to the way we've looked at marketing and they've been rewarded by -- they got the Brand of the Year in the Shark Awards; out -of-home, we w ere the number one brand; in -home, we were the number two brand, etc. It's good fuel for the team that's doing so much of interesting work.
And the next slide is on innovation. We've launched Pure Magic Stars, which is a very interesting product and we've -- the jury is still out. It's just launched in the market, so it will take some time for us to tell you how it's doing, but it's been reall y appreciated by consumers. We've also launched 50 -50 Golmaal, which is a variant of the earlier product that we'd launched. This is a Butter Garlic. And these are all doing well. The in -market products are the base Golmaal, JimJam Pops and Butter Jeera, which was done only for modern trade and these are doing quite well. We've got a very robust innovation pipeline, which will cater to the regional preferences and drive premiumization within our portfolio.
Next slide is on adjacency. We have seen a resurgence in our adjacency business. The Fudge It product has been doing extremely well. Croissants have been doing very well. Our Rusk and Millet Breads have also done well for us. Similarly on cheese and on dri nks, drinks has been a good story for us, especially Lassi. So we've been doing better than what we were doing. Still a lot of hard work for us to be able to get to 1.5 times the growth of the base business, but we are working towards that.
Our international business has also been doing really well with good profitability. And Nepal is a validation of our strategy of seeding products and then establishing our manufacturing footprint in the country. This business used to be a INR20 crores business and today we are at what, Venkat, about INR180 crores in Nepal?

N. Venkataraman: INR170 crores .
Varun Berry: INR170 crores , INR180 crores business in Nepal. So we are doing well. And there are some

other countries where we are also looking at the same strategy to be able to establish ourselves, so that we don't burn the bank, at the same time, we establish a footprint in these countries through a slow and steady strategy.

On our cost leadership across verticals, our strategy remains the same, truck upsizing with full utilization, distance traveled by our products, digital adoption, renewable energy, fuel consumption and our line throughput. And in '24 -'25, we will be at 8 t imes what we started in '13-'14. So this continues. We continue to target 2% of cost efficiencies every year.

Moving on, just to give you an idea of our manufacturing footprint, it's a very interesting footprint with 54 factories located across the country. 16 of these are our own factories, which give us 65% of the total requirement that we have across the countr y. We have third -party factories, which are 38. We've got 154 manufacturing lines, out of which 81 are in our own factories with annual capacity I've already spoken about.

Now we are -- we've got a mega food factory which is in Ranjangaon. We've got fully integrated factories in -- which have got four plus lines and have more than one category. And then we've got small factories which give us the ability to be nimble. So we' ve got a very robust and a very solid manufacturing footprint which is holding us in good stead in the current times.

Just a quick look at our Ranjangaon Dairy operations. So we are now collecting about 300,000 liters of milk in Ranjangaon, out of which 90,000 liters, and we are scaling up this 90,000 liters every month. 90,000 liters is directly through our partner farme rs. These are about 3,300 farmers across 105 villages with 70 milk collection centers that are created in and around our factory.

We do a lot of developmental initiatives, which is farmer training programs, animal health camps, and we also provide quality fodder and seeds to our farmer friends. Our program results have been that we've improved farmer retention to now 95%. Our farmer yields are up 13% over the last two years and we've had improved quality of milk that we receive at our factory.

We've now got a processed cheese plant which is commercialized. We are doing cheese blocks, we are doing cheese cubes, cheddar cheese, we are doing slices. So -- and we are looking -- we've got a quick scale -up across formats. And our product quality today is much better than what it is. We are working on making sure that we leverage the technology that we put in our factory to get much better productivity than what we've got in the past. I just wanted to give you an idea of this operation because I though t it was important.

Next slide is on ESG. You know the four building blocks that we have, people, growth, governance and resources. We continue to work on these. We've been recognized as the Best 3 Sustainability Initiatives of the Year in 2024 at the Global CSR & ESG Awards, which was conducted by Brand Honchos. The key initiatives included water stewardship program, sustainable packaging, employee well -being and development, community development programs, and we also were -- we also did a Har Pocket Ab Dustbin program.

The campaign was in Q1 of this year and we continued to do a employee volunteering program, which is on plastic waste collection across our factories and across our offices. We won some

awards, which I won't dwell on, but I must compliment the ESG team from bringing us from being at the bottom of the pack to where we are today. And we hope to be right at the top in this -- in times to come.

Now, getting to cost and profitability, slide number 22. Commodity costs are going up marginally. Flour costs are up. Sugar costs are up. Palm is the balancing factor. Cocoa is through the roof. The cocoa costs are completely through the roof. Laminate cos ts -- so the two -- three costs which are balancing out flour, sugar and cocoa are palm, laminates and corrugated boxes. One that is not here is also milk. While milk powder is okay till now, but milk costs are up. So in times to come, SMP costs will also be up. So we are seeing a trend of prices going up marginally, but these are -- this is inflation that we can manage and we are hoping that it remains within that manageable range.

Next slide is on what we are looking at. We are stepping up investments on brand and innovation. We've actioned pricing actions wherever necessary to drive -- to make sure that we remain competitive and we've also delivered cost efficiencies across all our functions. We are closely monitoring the commodity situation and we are assessing its impact. I think it's important that we balance the commodity increases as well as the competitive pricing actions an d we've done

it quite well till now. Our strategy will remain to focus on driving market share and a top line growth which have been evading the Indian FMCG industry for some time.
Getting to the financial results, so I've already spoken about this. So we've grown 4% as far as top line is concerned on a 12 -month growth basis and 13% on a 24 -month basis with a revenue of INR4,130 crores. Next slide is on operating profits. Operating p rofits are at INR680 crores which is 16.5% of our net revenue, growth of 10% on a 12 -month basis and a 51% on a 24 -month basis. Getting to the ratios, net sales up 4%; operating profit up 10%; profit before tax up 13%; profit after tax up 14%. These are a ll before exceptional items and the ratios are at the bottom. Profit from operations, 16.5%; profit before tax

also at 16.5%; and PAT at 12.2%.
So that's all I have for you. Let me open the doors for questions. Over to you.
Moderator: Thank you very much. We'll now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Yes, thanks, and congrats on the volume growth. My first question is on the cheese business. So I noticed that you have mentioned on profitable growth. My specific question is, do you need to work further on the pricing aspect? Because I remember few quart ers back you had said the pricing premium is high for Britannia in cheese and you would like to reduce that. Where are we in terms of that?
Second is, would you have a market share in cheese, because really that opportunity is very high given the kind of technology you bring to the table, the huge facility you have now, any numbers you can share with us directionally, how you see market share next year in cheese?
Varun Berry: So, Abneesh, yes, pricing, we've taken a few actions as far as pricing is concerned. Now we are -- our premium is slightly lower, but we are working on seeing if there's any further possibility

of us becoming more competitive. So that quest for pricing equality continues and that will also come with the efficiencies building in our lines because we've just commercialized our lines, we are still building the efficiencies. So, hopefully, over the n ext three months, four months, we'll be able to bring something more to the table.
What was the other question, Abneesh? I missed it.
N Venkataraman : Share.
Varun Berry: Share.
Abneesh Roy: Market sha re on cheese?
Varun Berry: The market share on cheese, we are very small, Abneesh. We -- it's predominantly -- we are number two in the industry, but we are in -- just in about double -digit numbers while -- so there's a lot of bunching at the bottom with low 2%, 3% share. So a lot o f players are at 2%, 3% share. We are just about in double digits. And Amul is 6 times of our share. So that's the story as far as cheese share is concerned.
So, yes, you are right, there is opportunity there. And we've got to look at now that with our tie -up with Bel and Laughing Cow, having an interesting brand to talk about, the product categories that we are in, the new innovation that we can bring to the t able, our own factory with efficiencies and all of that put together, if we get everything right in the next three months to six months, there could be a lot of potential as far as the cheese market is concerned.
Abneesh Roy: Sure. Thanks. My second question is on the demand side. So in the B2C in Q1, there were two headwinds and one tailwind for biscuit consumption. One was -- one headwind was the hot beverages consumption, which went down. A lot of Indians consume biscuits al ong with the tea and coffee. So did that suffer? Second one was hot out -of-home travel was severely impacted. So was your INR5 pack or INR10 packs impacted in any of the brands
There was one tailwind also. Lot of election rallies. Of course, in election rallies, there is a good consumption of biscuits and snacks. So would you like to call out any of these either in terms of negative or positive, because 8% volume growth was a goo d number. And similarly on B2B demand, Varun, any insights, because that was a key focus area a few quarters back, QSR, restaurant, etc.?
Varun Berry: Well, B2B demand, I didn't -- did I speak about that? Not for biscuits, Abneesh, but you're right. Yes, non -biscuits, yes, we're making great progress there. But biscuits, it's not a big part of our overall agenda, but still has been going up. You're right about hot beverages. Our products are consumed with hot beverages. And if -- it's a good point that you bring to the table, we've got to evaluate this and understand if there is any correlation

there.
Out-of-home, we didn't see any negative impact, although the growths are what they are, they're not where we would want to be. We would have wanted the growths to be at least 2.5 times what they are currently. And we are hoping that we'll get back to those numbers. Election rallies don't

-- do not impact us that much, Abneesh. We've seen it in the past as well. It doesn't give us up

or down in any way, and we sailed through those this year as well.
Abneesh Roy: Thanks. That's all from my side. Thank you.
Varun Berry: Okay.
Moderator: Thank you very much. Next question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hi, sir. Sir, with the marginal inflation that you have seen in commodity costs, how do you think -- could you share your thoughts on the FY '25 pricing growth? How do you see that?
Varun Berry: Look, we might have to take a little bit of pricing, but it will not be what we saw in the past. If you remember in the -- for about 20 months or 18 months, we saw inflation of 22%. And that's what sort of gets us off track because those are the kind of nu mbers which impact consumer consumption, etc. So I don't see that happening. Even if there is inflation, it will probably be in the range of 4%, 5%. And to that extent, we will have to figure out which are the brands, which are the categories where we go ahead and take some pricing, if required.
Avi Mehta: Got it, sir. So, okay, so some pricing, but depending on how it kind of pans out, but it looks benign in that sense. Got it. Sir, on the adjacent businesses, I just wanted to check, would it be possible to share where do we stand at the EBITDA margin level now? And whether that is the focus, when you highlighted that there's a focus on consolidation in this category or that margin trajectory, something that we would -- I mean, your thoughts on that one, please?
Varun Berry: We do not do a separate consolidation on an adjacency business level, but if you look at our overall margins, and I frankly haven't looked at EBITDA margins, but if you look at your net margins, they are reasonable. Cake and Rusk are in the double -digit te rritory. Rusk would probably be accretive to our overall margins. And bread, as you know, we used to be negative margins. We brought it to a stage where they are almost touching a double -digit margin. So that's a great achievement in a categor y like bread.
And croissant, the gross margins are fantastic. We continue to invest the gross margins. The y are probably 25% more than what they are on our base category. Obviously, we are investing in that category and that's necessary at this stage because it's a fledgling category. And dairy is the one where we've made some investments. So there is need to l ook at EBITDA margins because there is depreciation there. But dairy is again in investment mode. We really want to make sure that we invest in this category and we start to see gains as far as our top line and our overall business is concerned.
Avi Mehta: Got it, sir. No, thanks a lot for this, sir. That's all from my side. Thank you.
Varun Berry: Yes.
Moderator: Thank you. Next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.
Arnab Mitra: Yes. Hi, team. My first question again was actually on pricing. So the deflation in pricing this

quarter seems to be slightly more than last quarter. Correct me if I am wrong. And do you see that, any incremental changes here going ahead? Does this anniversarize very quickly? Or do you expect some more deflation in the coming quarters to continue?
Varun Berry: No, there is no deflation really. What -- I think what you are alluding to is the fact that we have taken price rollbacks. So, basically, if you look at it, our rollbacks have bee

n on for some time
now, but now is the time to start to consolidate. We've do ne what we had to. There might be a few promotions here and there, but as far as rollbacks are concerned, we've done what we have to. As we were saying, we expect 4% to 5% inflation in the coming months on the back of flour and sugar and cocoa . So -- and if that happens, we will start to take slight price increases in the future.
Arnab Mitra: Understood. Just a follow -up on this. So the carry forward effect of the year -on-year price decline that then you're saying should -- could continue even though there's no incremental price cut that you are taking or rollback price you are taking?
Varun Berry: Yes. Yes, because of the base, because it's probably not in the base, you might have a slight difference in our volume growths and our revenue growths, but it will even out. The good news is that the volume growths are now coming close to double digits, an d that's what's going to keep us instead as we go forward.
Arnab Mitra: And one last question is the other operating income, there is a very sharp spike Y -o-Y, is there any bunching of PLI here and any sense of what could be the steady -state run rate here?

Varun Berry: This is Ranjangaon, no?
Vipin Kataria: Ranjangaon.
Varun Berry: Yes. So in -- this is for our factory in Ranjangaon. So, as you know, that we are qualified as an ultra mega plant, but that was subject to us reaching a certain investment. And as we reach that investment, we got some benefits from the past -- past year. So that's what's coming there.
Moderator: Thank you. Arnab, I'll request to come back for a follow -up question.
Arnab Mitra: Sure.
Moderator: Next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki: Hi, Varun. Recently, I saw your back snacks extruded Time Pass in shop in Bombay. So is this something recent because till now, I think it was a South India kind of launch? And any kind of views you have on how you want to take this forward?
Varun Berry: This is in experimental stage, Percy. So we are doing some market tests, etc. So it's in that stage to figure out if we have a solid right to succeed. So, it's -- at this point in time, it's not like a rollout across the country or anything like that. As y ou know, we've put up two lines, one in Ranjangaon and one in the South in Bangalore. And both of these lines have very small capacity. We can do about 200 tons a month. And we are using these lines to do some experimentation,

figure out what works, what doesn't work.
Percy Panthaki: Varun, hasn't it been really too long for it to be in test phase, because it's been like five years plus since we first launched this product? So what is really holding us back here? The market opportunity is huge, and it works on distribution, and we are the kings of distribution. Whatever little contribution is required of a brand, that also we have. And I understand margins are lower, but it's incremental, absolute profit opportunity. So what is really holding us back here?
Varun Berry: No, there are two or three things, Percy. One is obviously the outside opportunity. See, if you look at the outside opportunity, yes, the total market is large, but you look at the number of operator s in this category. There are about 2,600 salty snack operators , right? And what I hear from the market is that all of the organized players have not been really gaining. It's the small operator s who've been gaining because they are giving more grams in bag. And obviously, when you give grams in bag, you have no profitability. And so all those things need to be tested. The second is internal. The second is that internally, we've got different products, right. One is a product that sits in the shelf, which is biscuits and cake and rusk and croissant and all of that. An

d this is a product category which is hung outside, ri ght. So it's an impulse category. And so our internal ability to do justice to that also has to be tested. I agree with you. It's taken longer than what it should have, but we don't want to do anything without really being 100% sure of success. So I do no t worry about a little more time, but we have to be sure -footed. And if we are not sure -footed, believe me, I will not launch it. That also, I am very clear about.
Percy Panthaki: My second question is on the margins. So, for the last several quarters, we have been clocking margins of about 19% plus. This quarter, we have come to about 18.2%, and that too, with some bunched -up one -off of Ranjangaon. So going ahead, what is the sort of margin, roughly, that we are targeting? Is it going to be a 19% plus number? Or are we at this 18% to 18.5% kind of number for the next four quarters to eight quarters now?
Varun Berry: That's a very pointed question, and I can't give you a pointed answer, but let me give you what I feel. I think it's the time to drive top line right now. We, as a FMCG industry in India, have suffered the top line growths that are required. And I would no t mind if my margin stays at 16% rather than going to 18%. But it's important that we drive top line, and I'm not saying that we will compromise on margins. We will do whatever is necessary to get margins as well. But the time is to drive top line.
Percy Panthaki: Okay, sir. That's all from me. Thanks and all the best.
Varun Berry: Yes.
Moderator: Thank you. Next question is from the line of Mihir Shah from Nomura. Please go ahead.
Mihir Shah: Hi, sir. Congratulations on good volume performance. Thank you for taking my question. Sir, on the pickup on volumes, I wanted to check if there is any element of higher -- higher than usual in -home consumption that you are seeing due to extreme heat wave? And also with the price rollbacks that you have initiated, do you think these volumes can sustain an inch up further

as we were thinking about, or these numbers can probably go down from here?
Varun Berry: No, I wish I had the ability to predict this, but in a country like India, getting to high single -digit

volume growths should not be a big issue at all. And we've been seeing it for years and years. It's just that we've had a lull for about two years, thre e years, but -- and that's because we've taken a lot of pricing because of the high inflation. So the objective will be to continue to see volume growths in our business and we will do whatever is necessary to be able to get there.

Mihir Shah: Perfect, sir. Got it. Sir, secondly, I wanted to check on the other expenses bit. It seems that the costs have gone up. Is this largely due to higher ad spends or are there any other elements to it? And historically, other expenses in 1Q are usually lower as an absolute basis versus the remaining part of the year, which indicates that if other expenses inch up for the remaining part of the year, then the margins can come under pressure. So how should one think about this line in the margins on o perating level?

Varun Berry: No, we will -- see, it's not -- we don't balance out our ad spends by quarter. So, there are -- this is our high quarter, right? So we did spend a little more than what was budgeted and that will get evened out as we go forward. But yes, essentially, it was ad spends that we spent on and I think we were able to get a bang for our buck during this quarter with good volume growths.

Mihir Shah: Perfect, sir. Understood. Sir, if I can ask one bookkeeping question on the other operating income side, should we expect INR120 crores to sustain or INR60 crores to -- roll back to INR60 crores of the PLI benefit? Maybe Venkat can give some indication.

N. Venkataraman: Yes. So let me answer it this way. Like Varun mentioned

, Ranjangaon facility will start being counted as an ultra mega facility starting April this year. So which means the incentive that we will be eligible for will be higher. And also the units in UP and Bihar will start getting the benefits. So I'm not answering you the question directly, but these are the two -- three things that are going to help the -- help improve the operating income going forward.

Moderator: Thank you very much. Mihir, I'll request you to come back for a follow -up question. Next question is from the line of Binay Shukla from PhillipCapital. Please go ahead.

Binay Shukla: Thanks for the opportunity. Question is on focus market. Things you have been emphasizing a lot in your focus market and which is growing much faster than the company's overall growth. And I also do understand that the growth is mainly driven by the distri bution, expansion or investment behind the brand building. So my question is how much there is a still gap between you and number one player in the focus market in terms of market share now versus three years back?

Second, what was the key learning for you from your focus market and those success you wanted to replicate in your weak market? So when I say weak market, I mean where you are number two or number three player.

And third and last question is what percentage of revenue is coming from your focus market, because that will give us some little direction from the future growth perspectives, given the

rural recoveries on the track and the ongoing RTM 0.2 initiative is going on? Happy. Yes, that's all.

Varun Berry: It's a very loaded question with many sub -questions in it. I'll try and answer it as much as I can. So our focus market performance has not been great. Let me put it straight across. I had expected a much better performance there. And the reason for that i s that the rural markets are still coming out of that phase where rural was lagging urban. And there's a little bit of downtrading happening in some of the markets as well, where people are going to the lowest common denominator and the cheape st product in the markets. So, our performance this quarter, as far as the Hindi belt is concerned, has been average, I would say, and the endeavor will be to take it to above average as we move forward.

What do the Hindi belt markets contribute to our business? Vipin, do you know?

Vipin Kataria: Yes. So, it will be 15 -odd percent. The other clarification I just want to also put on the table is that, see, there are shades of these focus markets. So in some focus markets, we are doing fairly well, whereas wherever there is a large value resurgence, that's where the struggle is and that's making the performance average. So our average contribution is about 15 -odd percent. Over the last three years, five years, we've been growing at 1.5x. So the salience of these focus markets are going up every year.

Varun Berry: Yes, going up every year and -- but the resurgence that we expect has not happened this year, which we are working towards getting. And 15% Vipin and what is the industry contribution?

Vipin Kataria: Industry contribution will be almost a third because these are large markets like UP, MP, Rajasthan. So, it will be...

Varun Berry: Yes. So that's the point. The point is, for us internally, it's 15%. For the market, it's about 35%. So we have a lot of ground to cover.

Binay Shukla: Sir, how much -- there is a still gap between you and number two player in terms of market share

now and when I look at three years back?
Varun Berry: No, very big. See, we are not doing a big bang strategy where we are saying that we'll go from a 10% share to a 40% share. That's not going to happen. It's a slow and steady gain. As you've seen, we've been gaining about one share point a year for the past eight years, 10 years. So we are now at about, l

et's say, close to 18% share. And the number one player is still at about 50% share, am I right? Or 40% share?
Vipin Kataria: Yes, yes. So the number one player is 3x our RMS. And we would be at that 17%, 18% share, but I think that's the headspace. So that's the opportunity that we've got a very large headspace between us and the large competitor. And like you said that there ar e a lot of these markets where we are number one and number two. So we are picking up learnings from these markets and trying to improve our distribution, our assortment, our marketing effort to go up.
The other thing which Venkat also spoke about is the investment in these states, which is, let's

say, Barabanki factory. And that will help us giving more competitive assortment to the market. So I think it's a long -term gain. I think last five years, seven years, we have done well. I think this is a phase like Varun is saying where we have stagnated a bit. But I think we are fully on and focused on that agenda. And I think next three years, five years, we will certainly narrow the gap.
Binay Shukla: Understood. Last question on biscuits side. Recently a north district -based biscuit company highlighted that they are experiencing a higher competition from the market leader through the aggressive consumer promotion. So my question is that the aggression was restricted to north and west market only or is it also -- we have done consumer promotion in eastern market? Because what I have observed that two strong regional brands called Anmol Industries and Bisk Farm, who are around INR1,700 crore s to INR1,800 crores revenue size and they are also expanding their food field in eastern belts. So I am just little keen to understand about market share in eastern belts. So have we witnessed any marginal market share loss or is it more or less given the biscuit industry is growing at the same pace in eastern market?
Varun Berry: No. So, see, the growths are about the same across. I would say the growths have been anemic for some time now. What our strategy is, our strategy is to become -- act like a nimble regional player. So if there is something that's required in a certain region in terms of br and, flavor, whatever else, pricing, recipe, we are ready to do all of that to make sure that we cater to that region and that's holding us in really good stead. Now, the companies that you are talking about, some of these regional companies have been exte nding their footprint across the country, and hence their growths might look big at this point in time, but overall, the regional -- in the regions that they had started, the growths are pretty much the same as what you've seen for us.
Moderator: Thank you. Binay, I'll request you to come back for a follow -up question. Next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Yes. Thanks for the opportunity. First question is, if I look at the pace of distribution expansion, it seems to have slowed down. Earlier, you were expanding your direct reach rural distributors by double -digit every year. Now, that number has come down t o like mid to high single -digit. So is the low -hanging fruit behind? And like how should we think about the volume growth in that context over the next three years to five years, that is what we've seen in the recent past?
Varun Berry: No. So, as we just said, there is still a lot of opportunity as far as distribution is concerned, especially in the Hindi belt, where obviously, we are lagging our competitor big time and especially in rural. So while you're right, it has come down and the focus -- so we -- as we've always said, strategy is depth in urban markets, width in rural markets, right. We will continue on that strategy.
We will -- now, what we are doing with Bain is to make sure that we build that depth in our urban

markets. However, having said that, width in the rural markets strategy will continue to make sure that we become more and more salient in our weak areas. And also in some of our strong areas where we have opportunities in rural, in small towns, etc., that strategy will continue.

Vipin, do you want to comment?
Vipin Kataria: Yes, sure. Okay. Vipin again this side. So, like Varun said, see, so, while numeric distribution

is important, I just want to also apprise everyone on our weighted distribution. So in our urban markets, our weighted distribution is almost 95%. So we reach all close to 95% of the weighted outlets. At an overall company level, we are at about 90% weighted distribution. And therefore, going forward, it's going to be more about extraction from the right type of outlets. And therefore, this entire project that we are doing with Bain & Co., which is about identifying the ultra high potential outlets and how do we sell the relevant range, how do we sell more or diverse categories.

On the rural, while the width expansion will keep going on, especially on the focus market because like we have a large gap in our market share, there is also an immense opportunity on distribution. And therefore from a distribution perspective those f ocus markets are very critical.

On the non -focus markets, what we are doing is we are going and populating and extracting a lot of priority markets in rural because that is where a lot of categories sits. So I think today it's more about horses for courses and not about just keep increasing the distribution and therefore the relevant set of geographies, you will see width increase in metro, in the large markets. Even in rural, there is an extraction opportunity and that's what we are planning to do going forward. Thanks.

Kunal Vora: Understood. Second and last question is last quarter, you had mentioned that you'll target double -digit volume growth in second half and there could be 3%, 4% pricing contribution. Going by the discussion on this call today, it looks like pricing could eve n be slightly negative and you are aspiring for high single -digit volume growth. Have I understood this right? And if you can please clarify how you're thinking about second half?

Varun Berry: See, the revenue growth depends on how we are cycling because last -- from last year onwards, we've taken quite a bit of price decreases. But having said that, we have come to a stage where we are now getting double -digit volume growths. Towards the end of the last quarter, we were almost at -- we were at actually double -digit growths.

So we are in a position for that to happen. It's just that last year's base will put us below our revenues of last year. But as we start to get to the next quarter, we will have to also evaluate some pricing actions because of the inflation that we are see ing. So very difficult to say at this stage how the volume price equation will work. But I would say a quarter from today, it will probably even out and we will start to see volumes almost be equal to the revenues.

Kunal Vora: Understood. That's it from me. Thank you.

Varun Berry: Yes.

Moderator: Thank you. Next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes. Hi, Varun, good morning and thanks for the opportunity. I have a bigger question. On Slide

9, you have given the DMS application and you did some -- mention that some pilot which you are doing. So, quantitatively, after implementation of this Bain project, what is the materialistic change we have seen? Is the SKUs per order has gone up? Is the p acket growth -- some indication, if you can help us to understand?

Varun Berry: Yes. So SKUs have gone up. Also, the -- and that's because the salesman

is spending more time with the customer in the market. And that's our biggest objective. And I'll hand over to Vipin in a second. But the biggest objective that we have is to have dept h and that means having more SKUs in the outlet. And that's what we've worked on as a part of this. Go ahead.

Vipin Kataria: Yes. So, Shirish, there are two parts to the slide. The left side is done internally. For the last five years, we've been building this backbone, which is right from our distributor management system to handheld, which is today AI -driven, then we've got a continuous replenishment system, which connects to the depot. And then there is geo -tag and geo -fence.

And then even in Rural, what we have done is that more than 60% of orders are today captured through the digital app, right. So this is what we have done internally. Eight months, nine months back, the feeling was that we have done this internally, but we need to get this outside in perspective. And that is where Bain & Co. was onboarded, right.

So, we -- so like Varun mentioned, previously it's only been two months, we have started slicing the data. We are discovering that there is a lot of scope, especially in the top end of the book, and the pilots have just started. So, today, no shift attribu table to this new project has come. What we are saying is that in this quarter, next two months, three months, we are piloting different concepts and probably the tangible gains will start coming in quarter four of this year or quarter one of FY '26. So r ight now this is -- because this is a very large project, there is a lot of data, there's a lot of market types. So the next two months, three months is when we are doing a lot of pilots, testing out what's the concept and then blueprinting, and then we'll be the phase of scale up and getting the tangible benefits.

Varun Berry: Vipin, his question is on tech -enabled sales transformation. His question was on that, that ever since you've done that, what are the -- what is the impact that you've seen on the business?
Vipin Kataria: Yes. So on the left -hand side, like I said, Shirish, so there are tangible gains. One is what you can see is that close to two -hour of market working has gone up and that impacts the extraction from the outlet as well as increase in the number of lines or number of categories. What it also does is that it basically takes out any kind of corruption in the system. So a salesman cannot be a ghost salesman. He has to go to the market to pick orders. The entire distributor management system basica lly makes sure that we have got the right stock and therefore the out -of-stock instances are reduced. And all of these are fairly quantifiable, and we have got robust dashboards and tracking mechanism to make sure that all these sales and distribution effi ciencies or KPIs move northwards every month.
Shirish Pardeshi: Okay. That's helpful. My second question, Varun, we have made a lot of investments in dairy and I think you made further acquisition of 26%. So...

Varun Berry: Sorry?
Shirish Pardeshi: There was some announcement that we have made some further acquisition in the Ranjangaon. So...
Varun Berry: Acquisition? No, no, no, that's solar power. That's nothing to do with dairy.
Shirish Pardeshi: I'm only saying that there is a lot of effort which we have put in, in dairy business. So in INR4,100 crores , what could be the contribution of dairy because you said you wanted to achieve around 10%. So where we are in that journey? And maybe specifically on the drinks portfolio, what would be the contribution and cheese, if you can split?
Varun Berry: So, drinks, we will end at over INR200 crores, maybe INR220 -odd crores this year, which is, I would say, reasonable. Cheese growth and cheese business, what is the total cheese business, Venkat, this year?
N. Venka

taraman: This coming year?
Varun Berry: Coming year.
N. Venkataraman: It will be an upward of INR250 crores.
Varun Berry: So cheese will be about INR250 crores, which is very small for that category, although that category is also not very large. But we can certainly do better there. Drinks is also crossing INR200 crores, INR220 crores now. So both these categories would be a bulk of our dairy business today, which will be about what, INR700 crores. So our total business -- dairy business would be over INR700 crores, out of which cheese and dairy put together would be about INR460 crores, INR470 crores.
Shirish Pardeshi: This is your aim to deliver in '25 or this already has happened?
Varun Berry: No, that's the run rate that we have currently.
Shirish Pardeshi: Okay. Okay. That's really helpful. And maybe if you can say that, what is the gross margin we are at this time because you mentioned that milk prices are up. So maybe if you have a ready number, what milk price procurement we are doing now?
Varun Berry: Gross margins are pretty much in line with our overall gross margins. It's just that the investments and the depreciation, which is looking at a lower net for us. But our gross margins are pretty much the same. Slightly higher, in fact, slightly higher than our core business.
Moderator: Thank you, Shirish. Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to Mr. Mayank Mundra for closing comments.
Mayank Mundra: Thank you, everyone, for spending time with us on this call today. We look forward to interacting with you again.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

15th November , 202 4

To,
Corporate Relations Department
BSE Limited, Listing Department
National Stock Exchange of India Limited,
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Dalal Street, Fort, Mumbai - 400 001 Bandra (East), Mumbai – 400 051
Scrip Code: 500825 Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst s Call held on 12th November , 2024 for the quarter and half year ended 30th September , 2024
Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and p ursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of the Analyst s Call held on 12th November , 202 4 pertaining to the Unaudited Consolidated and Standalone Financial Results of the Company for the quarter and half year ended 30th September , 2024 .
The transcript of the A nalyst s Call is also available on the Company's website at :

https://media.britannia.co.in/Analysts Call Transcript Q2 2024 25.pdf

Request you to please take th e above information on records.

Thanking you,

Yours faithf ully,

For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

"Britannia Industries Limited
Q2 FY '25 Earnings Conference Call "
November 12 , 202 4

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN AND MANAGING DIRECTOR – BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET SINGH KOHLI – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES AND REPLENISHMENT – BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF MANUFACTURING AND PROCUREMENT OFFICER – BRITANNIA INDUSTRIES LIMITED

MR. AMIT DOSHI – CHIEF MARKETING OFFICER –
BRITANNIA INDUSTRIES LIMITED
MR. AYUSH AGARWAL – INVESTOR RELATIONS –
BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ayush Agarwal , Investor Relations. Thank you and over to you, Mr. Agarwal.
Ayush Agarwal: Thanks, Neerav . Good morning, everyone. This is Ayush from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of Q2 '24 -'25.
Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry; Executive Director and CEO, Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer Sales and Replenishment, Mr. Vipin Kataria; Chief Manufacturing and Procurement Officer, Mr. Manoj Balgi; and Chief Marketing Officer, Mr. Amit Doshi. The analyst deck is uploaded on our website.
Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the Safe Harbor Statement in the presentation.
Over to Mr. Varun Berry with the remarks on the performance.
Varun Berry: Good morning, everyone, and thank you for joining us today. Let me just jump in straight to Page number 3 of the presentation. It's been a very tough environment. As all of you know, you've been through many conference calls , and I think the common theme that's coming through is that it's a tough demand scenario, coupled with high inflation. So just a few numbers here.
So if you look at what's happened to rural and urban, we've seen FMCG value growth percentages go down over the quarters and inflation on the right -hand side is sort of moving upwards. The CPI has moved up to 5.5% and the food inflation is up to 9.2%. So it's an environment which we'll have to maneuver our way through. It's a tough environment, always a sine curve on inflation. There was deflation about 7, 8 months ago, and now there's high inflation. So it's a tough environment. We'll have to maneuver our ways through it.
Moving to the next Slide , you will see that the FMCG market growth, as given by NIQ, are lowest in metro. In metros, if you look at it, they were almost at 0%. And today, they stand at about 2%. We have a hypothesis on that. Basically, if you look at what metro contributes to the total FMCG business, it's about, let's say, 30% ,but what it contributes to the slowdown is almost 2.4x that. So metros are the ones where the slowdown is the maximum and let's try and understand why. Now this is only a hypothesis, so excuse us if you've already studied this.
But moving on to th e next Slide , what this clearly shows is that, if you were to look at the CPI basket weight for rural and urban, one thing that comes through very clearly is the housing cost. The housing cost in urban and especially in metro areas is about 22% of the total CPI basket weight. And we know that Real Estate is -- the prices have gone up, the rentals have gone up, and that's creating stress for most consumers in large cities and metros.

On the right -hand side is a reflection of what's really happening on the salari es front. So let me explain this chart to you. So this -- the first bar that you see of 50.8%, that is the non -salaried workforce, right . So 50.8% of the workforce is non -salaried in urban areas, right . And this 50.8% has gone up to 51%.
What does that mean? If they are non -salaried, what they have seen as their nominal increase in earnings over the last 12 months i

s 3.4%, while the salaried class have -- their earnings have
gone up by about 6.5%. So there's stress in almost 51% of the wor kforce sitting in urban areas. So that is the double whammy, which is creating a demand shortfall as far as urban and especially metros is concerned.
Moving on to the next Slide . Our share -- this is a share Slide that we share with you every time. Our s hare has been flattish. In fact, the first half, we have been flat over the last year. However, the -- in conditions like this where there's deflation and then inflation alternately , I think we are

in a good place because being the market leaders , the onus of taking price increases is always on us to make sure that we show the way for other players in the market. And hence, we feel that we are in a good place in maintaining our share in these circumstances.
Going on to the next Slide , whic h is the strategic pillars. They are the same that you've been seeing for many quarters, distribution & marketing, innovation, driving adjacent businesses, cost efficiency and sustainability. I will cover these one by one. So driving efficiencies in distribution, our journey continues. We are expanding direct reach. We are now at 28.5 lakh outlets that we cover directly.
There is an uptick in rural distribution where we've -- our number of distributors is now over 30,000, the rural distributors. O ur focus states are performing better. They're about 1.9x what rest of India is. It's not much, frankly, if you ask me, I'm not satisfied with this because rest of India is also low and so is focus states. But growth will come back. This is India, and we a re confident that we will -- this is a road, it's a speed breaker, which we'll also pass by and things will get normal over a period of time.
Moving on to the next Slide . Our Route-To-Market 2.0 is going quite well. We've partnered with one of the best consulting companies in India, and our objective is to rewrite our Route-To-Market , leveraging data analytics and artificial intelligence. So the 4 objectives really are to make sure that we leverage high -potential outlets, upscale our salesmen's capability, upgrade technology for productivity and increase feet on the street.
We have currently pilots in Q2 covering 25 cities, which is 44 distributors and more than 50,000 outlets, which are showing very encouraging results , and we pla n to scale up implementation in the long term to maximize extraction. We are quite pleased with how this is going. And while it's a long -term project, we are already seeing green shoots of what we can achiev e with our new Route -To-Market .
We have sustained investments in our brands. We have been advertising behind Marie, 50 -50, Treat, Milk Bikis and Bourbon. We've always -- We've also had some digital campaigns on Good Day, Little Hearts and also on 50 -50.

Next Slide . We've also had investmen ts to drive consumer engagement. So we've done that on rusk. We also did it on Winkin' Cow with the cricket engagement that we had. We've done an engagement on Croissant . Croissant is a very difficult word to pronounce. So we worked on something where peop le could try pronouncing the word, and we created a lot of engagement on that, on cake, as well as we've run some tactical promotions on our biscuit brand as well .
Next Slide . Our innovation, we've launched Milk Bikis in wafer roll formats in Tamil Nadu. That's doing quite well. We've also launched some new formats of layer cake. Tiger Coconut is doing quite well for us. And so is our Golmaal, new variant.
Next Slide is on adjacent businesses. We've been doing quite well on the adjacent businesses. Now unfortunately, it's a time when there's a slowdown, but our wafer business has been doing quite well. Even our rusk business has been seeing the uptick. Croissant has been doing extremely well.

Our drinks have been showing resurgence, both in our PET format as well as the Lassi , which is in the tetra pack format.
And our international business, especially the Middle East, has been doing extremely well as well. So there is the momentum that we require on the adjacent business, and we are hoping that we can keep that up as the base business also starts to grow much faster than what it is currently.
Next Slide is on digital adoption. We've taken up digital adoption for -- sorry about this, I got a bad throat, digital adoption for enhanced efficiencies. A nd this is on sales. I've already spoken about what we are doing on analytics for assortment planning as well as AI -enabled merchandising platforms, also our go -to-market, Route-To-Market. Marketing, we've started to collect first -party data for direct marketing. We've got a center of excellence for e -commerce.
In supply chain, we've got integrated Transport Management System. We've got robotics for process automation. And on the procurement side, we've got supplier collaboration platform, also a procurement decision alert system. All of these are working quite well for us, and we are making sure that we adopt these and use these and leverage these to get more efficiency into the system.
Our cost leadership across verticals is going quite well . You've seen this chart, so I won't spend too much time on it, but we are running really, really well this year, and we will probably overachieve our cost efficiency programs versus what we planned for ourselves. So we are doubling up on this because of t he environment and because of the inflation, and that's giving us great results. And I'll come to this -- hold this thought. I'll come to this in the end.
Now on the ESG, we have ongoing initiatives, which is a software platform for digitized sustainabili ty data collection, which we recently launched. We've also got an e -learning module

for our own employees. We published 2 reports. We published our fourth sustainability report and also our first TCFD , which is the Task Force On Climate Related Financial D isclosure for full year '24.

We've also got a reasonable recognition. Our S&P Global rating has gone up from 47 to 52 this year, and we've been awarded for our sustainability initiatives by the Golden Peacock Award.

So we are happy with how this initiativ e is progressing. It's very important, very close to our heart, and we are doing whatever we can.

Now coming to the tricky piece, commodity costs. As you see, the warm is only moving upwards in most cases. Flour, we've seen quite a bit of inflation. Now what you see in these slides is with our strategic covers. If you were -- if we didn't have these st rategic covers, the story would be very different. So just to give you an idea on palm oil, you are seeing a slight inflation in palm oil in Q2 '25. Actually, the inflation is about 45% over Q1 and the reason for that is import duty of 40% and a lso a demand and supply situation, which is creating some kind of shortage in the countries of origin, which is Malaysia and Indonesia. So there's a 45% increase. However, we had some strategic covers. So it's not showing in our graph. But -- and similarly , in flour, the inflation is more than what it's showing in this graph be cause we have strategic covers.

And cocoa is looking quite bad. Even laminates and corrugated boxes are showing signs of inflation. So this is a scenario that we'll have to manage an d how do we manage this. So on the cost and profitability front, next slide, Slide 21. We've initiated focused pricing actions to make sure -- because, frankly, in a situation like this, we do have to take a certain amount of pricing, which is by channe l and brand.

We are doubling up on our cost efficiency and value engineering projects. We've also made sure that we make appropriate investments to support brands. And if there are any areas which we can cut back on, we do that. As far as the outloo k is concerned, we are closely monitoring the commodity situation and taki ng steps on a day -to-day basis.

We are very vigilant on the competitive pricing actions as well because we understand that being market leaders, you have to take the lead, but we do not want to be uncompetitive in the market. And that is something that we are keeping our eye on. And our strategy will remain focused on driving market share while sustaining our profits.

Now getting to the financial results. We've achieved INR4,566 crores, which is a volume -- the volume growth is almost 18%. It's -- sorry, 8%, sorry, what am I talking about? So volume growth is 8%. The 12 -month growth on revenue is about 4.5% and the 2 4 months is also similar at 5%.

Operating profits at INR707 cror es, which are on a 12 -month basis, 12% below. On a 24 -month basis, 7% above. And even if you look at sequentially versus Q1, we are slightly ahead of Q1. Q1 was INR680 crores. We are at INR707 crores. So I feel that in these circumstances, these are great results.

Getting to the key financial lines. So we've already spoken about this. Net sales up 4.5% and PAT down 9.6%. And if you were to look at the ratios at the bottom, profit from operations is still 15.5%, profit before tax is 15.7% and profit after t ax is a very healthy 11.6%. Now just a point here, as I end this presentation. We -- actually, at Britannia, we are very proud that we sell product, which is probably a food product, which is probably the most affordable food product in the world, right?

Just to give you an idea, the average price of the product that we sell in India is INR115 a kilo. Today, even tomatoes and onions are at that price. And frankly, we have extremely tasty products, which are -- there are hundreds of R&D people working on it , tremendous amount of marketing efforts, sales efforts.

We are getting to 7 million outlets across the country and selling a product which is INR115 a kilo. But we are also delivering profits which are top quartile for any food company across the world, right? It's not just in India. It's top quartile profits across the world, right? This is a dream for any company , if you think about it, right?

Getting to people who are in every segment of society at the right price with products which are affordable an d available at arm's reach and also able to have a P&L whereby you keep your costs low, where you have efficiency programs driving costs every year and you're able to deliver profits which are top quartile for any food company anywhere in the world.

And I would urge you guys to compare us to any food company across the world, and you will find that this is a model that people would die to have. So we are very proud of this model, and we hope to see that the demand situation changes, and we are able to driv e this business even harder. Thank you very much.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Wealth.
Abneesh Roy : My first question is on the volume growth. So last 3 quarters, we have seen good volume growth from you in the range of 7% to 8%. So my question is, how do you see in terms of outlook next few quarters, given base is high?
Second, there is a good inflation in many of your raw materials an d at INR5, INR10 you'll have to cut grammage to pass on. So that also means that, that will have an adverse impact on the volume growth. So would you say that now it will be a he althy mix of pricing and volume? So -- plus there could be s ome down trading impact, right?
You did speak on the urban and very good Slides , I'll say. It has really made us understand the urban slowdown a bit b

etter. So because of the down trading, the volume growth number, could there be some negative shock in the next few quarte rs?
Varun Berry: So, Abneesh, we are trying to make sure that we balance this. We understand that the demand scenario is not as robust as it's been in the past in India. So we are trying to balance it. Frankly, we are here for the long term, Abneesh. We ar e not operator s who look at a quarter and a quarter and a quarter. We want to have a robust, s olid business in the long term.
So if we feel that the volume is under stress, and we need to be a little careful about our price increases, we will do that. We will try and balance both. So I would say, yes, there will be some impact on the volumes, but it's a short term thing, Abneesh. As I've told you in the past as well, it's these sine curve s in inflation that we are wary of. If there is a regular, let's say, 3%, 4%, 5% on year -on-year, it doesn't bother us because we plan it and we execute it properly.

It's just these sine curves when they come, when we have to be a little careful. So we will be careful. In the next 6 months, 9 months, we are going to be ver y careful about how we treat price increases, how we route for volumes, et cetera. So we will balance it well, and we will make sure that we do the best from a volume standpoint as well.
Abneesh Roy : Varun, one related question is, if I see last 4 quarters , out of that, the operating profit has declined for you on Y -o-Y basis. Now I wanted to understand, given the base because favorable, at least on the margins and profits, if you could tell us on an RM basket, how much is the inflation? And if I see that w ith a soft base, how do you see profitability? Is that going to be in a tight range? I'm not asking for any guidance. I'm just saying that out of 4 quarters, 3, there's a negative Y -o-Y. But how is the RM basket on an overall basis, if you could tell us, c urrently?
Varun Berry: No. So inflation is high. Inflation -- as I've said, the big inflation on palm oil is because of the import duties which have been levied by India. Now if -- I would think that, that would have a limited shelf life. So if that goes a way, things could become better. Wheat, it's a fundamental issue as far as wheat is concerned because the crop has been lower, the government is holding less stocks. And hence, the release of stocks has been lower. But it's 1 year.
Now we are moving into the next year soon. And hopefully, the crops will be better because as the prices go up, more farmers start to look at that crop. So we are hoping that acreage will improve , yields will improve on wheat next year and things will get better. But having said that, for the time being, we will be careful. I don't think it's going to make a very large impact on our profitability. I think we will maintain our -- the quartile that we operate in. And I don't think it's going to make a huge difference at all, bu t it's a time to watch out and balance.
Abneesh Roy : Sir, my second and last question will be on the Total Global Foods' Company mission, yesterday also, you have spoken on that in the earnings release. Here, if I see what are other FMCG companies doing, f or example, ITC, Marico, Tata Consumer, Zydus Wellness, all these 4 companies and even other companies have done organically. They have gone into protein bars. They have gone into healthy snacks.
So now I'm asking, will these become a missed opportunity f or you because these 4, 5 companies already have a well -established B2C brand, and now they can scale that up. So what will be your thoughts on these specific protein bars and healthy snacks, which currently, I think, is not there in your portfolio?
Varun Berry: We do have some bars. We've launched on a test market basis in e -commerce. But yes, these are all areas that we are seriously looking at.

And while they are very small and they are not going to move the needle on the overall -- the total business th at we have, but yes, we are looking at

these and making sure tha t we are ready to launch these.
In fact, we've launched bars. We've got cereal bars as well as protein bars that we've launched in e-commerce under the Be You brand name, which is Be You stan ds believe in yourself. So we've launched that, but we haven't done much activity on those, but we will scale them up as time goes by.

Abneesh Roy : So thanks, that's all from me side.
Moderator: Next question is from the line of Avi Mehta from Macquarie Group.
Avi Mehta: Sir, my first question is on this RTM 2.0. Could you help us better understand the likely benefits and more importantly, by when do you expect these to start to materially flow?
Varun Berry: So the benefit -- so about 8 or 9 years, Vipin here with me, so I'll let him talk after I have given a short speech to you. So basically 8, 9 years ago, we started on a split model, whereby it was a geographical split model. So we would choose a geography, let's say, Mumbai or Bangalore or Delhi or wha tever. And we would say this distributor has got high potential outlets, and hence it's important that we split this geography into 2.
Now unfortunately, what happens is that in that geography, be it Delhi, there will be high potential outlets and there w ill be smaller outlets. So there was wasted energy in going to smaller outlets with split routes because they were not -- they didn't have the potential to buy the right product. So what Vipin team have done, the y've taken the decile approach.
They have b roken the market into 10 deciles. And what this shows is that the first decile, let's say, 1/10 of the market, it's 14 lakh outlets, which have been broken into deciles. So each decile has 1.4 lakh outlets. And the first decile contributes to, Vipin, about 53%?
Vipin Kataria: Yes.
Varun Berry: 53% of the business. So that deserves a very differential treatment from route -to-market standpoint. So this is just one example. There are lots of other things that we are looking at. So we -- what -- the objective i s to give the outlet its pride of place. If the outlet is big, and he has the ability to buy, let's say, 2 times a week and buy large quantities of every possible category that we have, then we should give them that kind of service. And if the outlet is sm all and only buys once a month, then should give them that kind of service. So that really is the story as far route -to-market is concerned. Vipin?
Vipin Kataria: So a couple of more points. So obviously...
Moderator: Sir, sorry to interrupt you, you're so unding a little distant.
Vipin Kataria: Yes, so what you saw in all the charts is that there are 29 -odd lakh outlets where we service directly. Now 50% of that is urban and the top 3 deciles is basically what Varun was talking about is a gold mine because that's almost like 80% of our urban business. Now the concept is that this is where the right shopper and the consumer goes and they have the right kind of income, they have the right kind of disposable income to buy the premium products as well as the adjacent categories.
And therefore, we need to align our service, which is basically the salesmen going and booking the order and the delivery which is basically going and putting the product into the market completely to this entire potential. So I think that is the basic concept. What we are also doing is that we are sourcing a lot of external data, which only enriches this entire stratification and

that really unlocks the potential. So that's the project.
The other thing that we are doing is that amongs t these multiple salesmen, what should the right combination of brands, w

hat is undersold, what has a huge potential, right? And therefore, all these 3, 4 things are coming together to make sure that we really extract most out of these top deciles.
So till now if you see we update you every quarter on the increase in our distribution, so that is more about the width. This project is about extraction and depth and selling the right kind of brands into the relevant outlets.
Varun Berry: And this will t ake -- from a training perspective, it will probably take 12 to 15 months to fully be embedded into our system.
Avi Mehta: Okay. Got it, sir. Got it. Very clear on this. Sir, the last bit I had is on the focused pricing actions that you indicated. Could yo u give us a sense on the likely quantum and the flow -through in realization that it could entail going forward? Basically, I'm trying to understand by when volume and value growth should start matching each other? That's the -- I'm just trying to kind

of understand that, but that was the only thing. That's all from my side.
Varun Berry: So there will be about 4% to 5% price increase in the next 2 quarters. So that we'll have to take, and we will do it strategically in SKUs where we haven't taken a price for some time. But if we have to take 4% to 5% on our entire portfolio, it tends to hit the large SKUs and large brands. So we are in the process of doing that.
Avi Mehta: Okay, sir. Perfect. That's all from my side. Thank you very much.
Moderator: Next question is from the line of Aditya Soman from CLSA India.
Aditya Soman: Really, thanks for going into depth on your route -to-market, I think that was super helpful. Just on the route -to-market, a question there. What would be the cost of this project? And is that one of the reasons also that we are seeing an increase in cost? And the second question, can you just give us a sense of your sales split by channel and maybe even growth by channel, if that's possible?
Varun Berry: The cost is -- there is a cost to this. Obviously, there's a consultant cost, there's a team that we've set up within the company. But that's not -- it's not a materially large cost, which is going to impact our overall cost structure. So it's not going to make that kind of a difference . And what was the other question?
Aditya Soman: Yes. The second question was on the channel split of sales and the growth for the channels?
Varun Berry: So we've been seeing very good growth as far as quick commerce and e -commerce is concerned. Even moder n trade has been doing reasonably well. Although the competitive scenario there is pretty tough, but we've been doing well, and we've been gaining share in both quick commerce, e-commerce as well as modern trade. It's the traditional trade, the GT part of the business, which is growing slower currently. But I think that's our big muscle, and it's -- the rural is coming back

slowly. So as rural starts to come back to the kind of double -digit growth that we were seeing in the past, I think we should be in a g ood place.
Aditya Soman: And maybe just a follow -up on that. I mean in terms of rural recovery, if one looks at the Nielsen numbers, then the recovery is actually fairly sharp and now on a tough base as well. So 2Q '24 -- FY '24 also had a tough base. So w e are seeing a fairly strong recovery on that. I just want to understand why the overall sort of recovery in FMCG consumption has been a little bit slower or at least not to the same extent as the Nielsen numbers suggest?
Varun Berry: So that's what I atte mpted to talk about in the presentation in the beginning. It's the metros and the large cities where there is an impact because of 2 reasons. One is the whole housing cost and second is the wages that the nonsalaried individuals -- the raise in the wages t hat they've got or the increase in the wages that they've got. So that's what I at

tempted to explain. Yes.
Aditya Soman: Yes. No, my question was on the rural specifically on -- if the rural growth itself has caught up, but with what Nielsen is reporting?
Varun Berry: No. See, rural is doing better. Rural was doing worse than urban until about 2 quarters ago. So it's doing better, but still, it's in mid -single digit kind of growth for FMCG. So that's not what it used to be, let's say, 4 quarters or 8 quarte rs ago. For us, it was -- we were growing high double digits as far as rural was concerned. So it will come back. I think it's starting to look much better, and we are hoping that things will get better with the rural economy continuing to do better than expected.
Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.
Percy Panthaki : I just wanted to understand whether biscuits really has an advantage as a category in an inflationary scenario. Reason being that -- I mean, permit me for saying this and don't take it in the wrong way, but biscuits is a little bit of a Giffen good in the sense that when there is a lot of food inflation, it's a very cheap source of calories.
And therefore, people shift a little bit of their ca lorific requirement towards biscuits during times of inflation. This is especially because compared to the CPI inflation that we've seen, biscuits has actually seen a Y -o-Y kind of a deflation. So would you say that rather than be worried about inflation, this is sort of a good time or this is an opportunity for you actually?
Varun Berry: I didn't understand your question at all, Percy. I'm not clear on what you're saying.
Percy Panthaki : Okay. Let me just rephrase that. So what I mean to say is that while there is an overall CPI inflation, there's a price deflation in biscuits, and it becomes a cheaper source of calories versus several other food products. And therefore, do you actually see a positive kind of impact on your business because of this?
Varun B erry: No, no. There's no deflation. You are just comparing the volume growth with the revenue growth. Yes, we have taken price increases, which have been reversed and this -- the situation of higher volume versus the revenues, it's only for this quarter, r ight. Things are -- so it's not like that at all. Yes, biscuits is -- it's an important part. Yes, 100% of households -- we are available

in almost 100% of households, so it's almost a necessity today. And the consumption does
happen. And I don't think we are positively impacted by deflation or there's deflationary trends.
I don't know where you're getting your data from, but no, I don't think that is true.
Percy Panthaki : Understood. Also, just wanted to understand in terms of when the price increases com e through,
let's say, you're going to take 5% kind of price increase. Typically, if you have a historic model
or if you have any kind of insight as to how much this affects your volume? So is there like a
50% pass -through to the overall sales, like a 5% pr ice increase happens, then 2.5% overall sales
growth will improve or any kind of rule of thumb you have on that?
Varun Berry: There's no rule of thumb, Percy. It's very difficult. You're asking very difficult questions today.
Percy Panthaki : Fair enough. L ast question is on margins. So how do we look at margins going ahead in terms
of a band? Would you say that the margin that we have posted this quarter it should hover around
that because the price increases will probably just go towards fulfilling cost in flation? Or is there
any leeway to expand margins on a full year basis higher than what we have done this quarter?
And just one hygiene question on the accounts for this quarter is that salary cost is up 45% Y -o-
Y? So what is the reason behind this? Just t hese two more questions.
Varun Berry: No. So the band of margins, we try to operate in the

same band. So it's not going to be
dramatically different, and the salary cost is because of the stock appreciation. Phantom stocks
being revalued on the basis of the share price. That's what it is.
Percy Panthaki : Is this like a one -off thing? Or do we see the salary cost, which we have seen this quarter to more
or less continue for the coming quarters?
N. Venkataraman : So what happened was the share price of our stocks moved up from about INR4,900 in March
to about INR5,475 in June, and then to INR6,300 as of 30th September. The valuation is done
based on the closing price of shares in these periods.
Percy Panthaki : Okay . So as long as the share price remains constant, there will not be any of that additional
cost. And on a quarterly basis, salary cost will be lower than what you've reported last quarter.
Would that understanding be correct?
N. Venkataraman : It depends on the share price.
Varun Berry: Yes, you're right.
Moderator: Next question is from the line of Mihir Shah from Nomura.
Mihir Shah : Just wanted to check on the innovation and new launches. Over the past few quarters, the
innovation new launches were doing significantly well growing at 2x on the growth rate. Can
you talk a bit more on the saliency of that piece? How much is it contributing to our overall
revenue now? And how -- has that momentum sustained or given the urban weakness that
momentum has tapered off?
Varun Berry: Yes. So innovation, as we read the innovation, we -- any product which is launched in the last

24 months is considered as innovation, and we are running at about 2% of revenue on that. We
also look at how these products s ustain in the longer run, but that's not a part of the innovation
bucket. So right now, we are running at about 2% on innovation, 2% of revenue. And some of
the innovation that we've done have done extremely well. There -- obviously there are some
which so rt of lag behind as well. But on an overall basis, it's giving us a 2% of revenue.
Mihir Shah : Sir, I missed the earlier comment in margins [inaudible 0:44:46].
Moderator: Sir, sorry to interrupt. Sir, there's a bit of an echo from your line. Let me disconnect and
reconnect your line. Ladies and ge ntlemen, please stay connected. Ladies and gentlemen, thank
you for your patience. We have the line for the management reconnected. Mihir, Please proceed
with your question.
Mihir Shah : Sir, I wanted to just check on the margins once again. I might have missed your earlier
comments. If you can firstly jog our memory, is there any difference in margin profiles in second
quarter versus the earlier quarters? Are they usually weaker on the gross margin level? Sho uld
one expect margins to bounce back to the historical levels given the price hikes of 4% to 5% that
you have already put into the market?
Varun Berry: So for sure, the price hikes will make the margins better. But as I said on the commodity side,
the inf lation is also a lot bigger than what we had expected. And we had some strategic buys,
which will probably continue for some more months from our strategic buy s. But the inflation
is genuinely reasonably high. So we expect to maintain margins rather than increase margins,
balance inflation and make sure that we are able to keep a stable margin profile.
Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi : I have a broader question. If you strip out, I mean, in the beginning, you said that the metros is struggling. So do you have any quick number, the top 10 metros contribution? And what is the growth in top 10 metros versus the overall volume growth what you have reported in 8% for the company?
Varun Berry: No, we won't have it right -- available right away, Shirish. But if you connect separately, we can look at those numbers and give that to you.
Shirish Pardesh

i So I'm more curious because in the starting, you gave that number of housing and other things. So there is an inflation which is there. To my thought and experience, the food inflation really has a problem with the rural folks. But surprisingly, rural is d oing better. So maybe if you can help me what -- if that 8% growth is for the company, what would be the rural growth, if you can strip out?
Varun Berry: The rural growths are reasonable, I would say, slightly high single -digit kind of growth. They're not the kind of growth that we've seen in the past, but there will be high single digits --Vipin
Vipin Kataria : Yes. So it's -- so the rural growth at 2x of urban . And when I talk urban , urban will include e - commerce, modern trade, right? And like Varun said rural is right now at mid -single, high single kind of range. And these are all very relative numbers. So rural we were growing at high double -

digit and then rural started tapering, while there is a sequential recovery, there is much more which is wanted from rural.
Shirish Pardeshi : Okay. Just one follow -up here. In RTM 2, you mentioned that we are doing this exercise in top 25 cities and 44 distributors. So if that pilo t is successful, say, 1 year time, you will cover at least 1/3 of the market in India?
Varun Berry: So we will cover almost 450,000 outlets.
Vipin Kataria : Yes. So we will go to almost about 100 cities. It will cover 4.5 lakh outlets, which is almost like 80%-odd, 85 %-odd of our Pareto sale.
Shirish Pardeshi : Okay. My second and last question on the snacking portfolio. Varun, you used to say that there are gaps in the snacking and we have also tried Time Pass, and we have also tried the Nutri bar and other segments. In between, there were media reports that we were also looking for acquiring some snacking companies. So is that something which is on the card that to fulfill that product gaps, we will look at the M&A angle?
Varun Berry: No. If requi red, we will. But the snacking business is a very different business from what we do because we currently deal with the shelves inside the outlet. The snacking business is all about air displays. So first, we've got to make sure that our distribution syste m is ready to be able to run this business. And that's why we've been running these extended test markets just to make sure whether both these businesses can coexist inside the shelf and air spaces.
If you remember, there are companies which have tried to get their beverage and snack business together, and they were not able to do that because they are very different and require very different kind of skills and different kind of merchandising. So we just want to make sure that we have the right distributi on capabilities before we look at scaling this up.
Shirish Pardeshi : Okay. Just quickly on the capacity part, I think our Bihar capacity is on stream. And maybe if you can update what are the new capacities which you are expecting in the next 2 to 3 quarte rs?
Varun Berry: No. So we've got 3 new factories, which are already in play. But UP, in the north we've never had a factory which is large and it provides us all that is required. So we had 1 plant in Uttarakhand, which was done about 12, 13 years ago. Now we've got a UP factory. We've got a new factory in Bihar in Bihta and we've got a brand -new factory in Tirunelveli.
We've also expanded our factory in Ranjangaon. So from a capacity standpoint, we are in a good place. There might be a few product cate gories where we need some enhanced capacity, which we are working on in any case. So we have no issues as far as capacities are concerned.
Moderator: Next question is from the line of Harit Kapoor from Investec.
Harit Kapoor : So just on the pricing bit. Gi ven the current commodity inflation, you believe this 4.5% to 5% is sufficient currently to

take into account what you're seeing in terms of commodity inflation right now, also adding in your covers, et cetera. ?

Varun Berry: No. So there are some price incr eases which we've already taken. So this is going to be in addition to that. So yes, it's sufficient to cover that.

Harit Kapoor : Got it. And the second thing was on the competitive activity. So over the last 2, 3 quarters, you've seen heightened competiti ve intensity in terms of scheme, grammages, cetera, across biscuits, across companies. I just wanted to get your sense of do you see this kind of abating a little bit in the wake of high inflation? And is that a kind of market share gaining opportunity?
Varun Berry: Yes. No, absolutely. You're right. See, what happens during inflationary times, some of the small players, they completely go under. See, the situation is we've never had this double whammy kind of a situation where demand is stymied because of various reasons that we've discussed and there is an inflation in the market. So in times like this, there will always be a few players who want to drive demand, who don't want to take price increases.
Then they realize that their entire profit has gone t o hell and hence, they will then take some knee -jerk reactions and go out of the market. So what we've seen in the last, let's say, 6 months or so, what we've seen is that because of the demand situation, there was some amount of hectic activity from playe rs, but that did not give any player an advantage by throwing money at the market. It did not give them advantage in terms of growth, right?
The only players who've grown in the current scenario -- are players have grown, let's say, higher than us in the current scenario, are players who were operating in 1 territory and they've now spread their wings and they are going to 3, 4, 5 territories. However, in their current markets, they are suffering very b adly.
So that's a very short -term measure that these players are taking and they will feel the repercussions because they don't have that muscle to be able to extend their selves to multiple markets. So I think there will be some amount of cleaning up tha t will happen in th e short term and the long term.
And we have been completely above board as far as our dealings in the market are concerned. We've not dumped any product. We've kept our system absolutely clean so that we don't have excess stock, which s tarts to come back at us. We have product, which exceeds the shelf life and all of that. So we kept our system absolutely clean, and we will see the benefits of that as we go forward.
Moderator: Next question is from the line of Amnish Aggarwal from Prabhu das Lilladher.
Amnish Aggarwal : I have a couple of questions. My first question is regarding the volume growth, although we have indicated 8% volume growth, can we share how much is the number of pack size growth?
For example, how many more packs of biscui ts we have sold in the quarter?
Varun Berry: It will be similar, but we can figure that out. We'll give it to you. Go to your next question.
Amnish Aggarwal : Okay. The next one is the onetime staff cost, which is in the form of your Phantom stock options. So what could be the impact of that in this particular quarter?

Varun Berry: It will -- it depends on the stock price. So very difficult to say.
Amnish Aggarwal : No. But in the concluded quarter, we have provided some amount in the staff cost. So how much was that quantum in 2Q?
N. Venkataraman : That's about INR50 crores.
Amnish Aggarwal : INR50 crores. Okay. And sir, my third and final question is that as you indicated that you have got some strategic, you r buying already in wheat as wel l as in palm oil. So if we have to look at the current raw material scenario, so on

an index basis, how would be the current scenario in 3Q vis-a-vis what was in the second quarter of the year?
Varun Berry: Yes. So that's why we need to take price increase s, and that's why we are going ahead and taking a 5% price increase on our entire portfolio. So yes, the inflation will be more than that. But if you look at the charts carefully, you will see some numbers there on the commodity side, where we are indi cating what the market will be.
Palm oil will obviously be bigger than that. Palm oil prices have gone a little haywire. But I think they'll come back. The government will take the right measures. I think the import duty of 40% will, at some stage, be withdrawn and hence, things will get better. The pack size growth is also about the same as the volume growth.
Amnish Aggarwal : Okay. And sir, just a follow -up on that. In terms of your 5% price increase, will it be gradual over the next 2 quarters or most of it will be taken by, you can say, the end of December?
Varun Berry: No, it will be gradual. But yes, wherever we can -- the price increases are -- if it's a direct price increase, it will be taken right away. But I will say December, January we'll be done.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I now hand the conference back to Mr. Ayush Agarwal for closing comments.
Ayush Agarwal: Thank you, everyone, for spending time with us on this call today. We look forward to interacting with you again.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

11th February , 202 5

To,
Corporate Relations Department
BSE Limited, Listing Department
National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, C/1, G Block, Bandra -Kurla Complex,
Dalal Street, Fort, Mumbai - 400 001 Bandra (East), Mumbai – 400 051
Scrip Code: 500825 Scrip Code: BRITANNIA

Dear Sir/Madam,

Sub : Transcript of the Analyst s Call held on 7th February, 2025
Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations, 2015’)

With reference to the subject cited above and p ursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of the Analyst s Call held on 7th February , 202 5 pertaining to the Unaudited Consolidated and Standalone Financial Results of the Company for the quarter and nine months ended 31st December , 2024 .
The transcript of the A nalyst s Call is also available on the Company’s website at :

https://media.britannia.co.in/Analyst_Call_Transcript_Q3_2024_25.pdf

Request you to please take th e above information on records.

Thanking you,

Yours faithfully,

For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927

Encl.: As above

“Britannia Industries Limited
Q3 '24 -'25 Earnings Conference Call ”
February 07 , 202 5

MANAGEMENT : MR. VARUN BERRY – VICE CHAIRMAN AND MANAGING DIRECTOR – BRITANNIA INDUSTRIES LIMITED
MR. RAJNEET SINGH KOHLI – EXECUTIVE DIRECTOR AND CHIEF EXECUTIVE OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES AND REPLENISHMENT – BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF MANUFACTURING AND PROCUREMENT OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. AMIT DOSHI – CHIEF MARKETING OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to the Britannia Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the l isten - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ayush Agarwal from the Investor Relations team. Thank you, and over to you, sir.
Ayush Agarwal: Thanks, R ayo. Good afternoon, everyone. This is Ayush from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of Q3 '24 -'25.
Joining us today on this earnings call is our Vice Chairman and Managing Director, Mr. Varun Berry; Executive Director and CEO, Mr. Rajneet Singh Kohli; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer, Sales and Replenishment, Mr. Vipin Kataria; Chief Manufacturing and Procurement Offi cer, Mr. Manoj Balgi; and Chief Marketing Officer, Mr. Amit Doshi.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the Safe Harbor Statement in the presentation.
Over to Mr. Varun Berry with the remarks on the performance.
Varun Berry: Good afternoon, everyone, and thank you for joining us for this conference call. So let me jump in straight away. I would say that it's been a really good quarter in very challenging circumstances, and we'll come to the details. So, on the first slide, actually, Slide Number 4 in the deck, you will see that our 12 -month growth is 6.5% on revenues. And profit after tax is 4.8%. And for a 24-month period, the same number is 8.8% on the top line and 1.6% on the PAT.
Moving to the next slide, which is the challenge that I was referring to, it's been an extraordinarily high inflationary environment. If you look at the CFPI, which is the food inflation, it was almost at double digits in this quarter. And if you were to l ook at some of the key food -- so if you were to look at cereals, it was about 6.5% , Oils and fats was almost at about 15%, and similarly, vegetables and fruits and everything was pretty high single digits or double digits.
Our inflation for the block of commodities that we buy, for us was approximately 11% with the RPO being -- and I'll come to the details in a bit, but RPO and Cocoa were leading this inflation.
If you were to look at what the government is projecting as the GDP growth, it's been the lowest GDP growth that we've seen in a bit. So , the GDP -- the real GDP growth is at 5.4% and the nominal GDP growth is at 8%.
Now according to the government estimates, recovery is expected in the nominal growth to 10.5% in half 2, and I'll come to that on the next slide. Basically, what the government is projecting is that the agriculture, livestock, forestry and fishing is going to go up from the first half being at 7.5% to almost 12% in the second half of the year. And similarly, manufacturing

going up from 5.5% to 7.5%, which is going to lead the recovery as far as the GDP growths are concerned.
The bottom slide just takes us into a little more detail, so I will not drain that slide. But the private final consumption expenditure is also expected to increase on a real basis to 7.8% and on a nominal basis to 13.7%. And if that was to happen, then it certainly will bring about a certain change in the conditions that exist in t he country.
Moving on to the next slide. We've been going through a phase, which is a phase of inflation, deflation, inflation, deflation. So towards the beginning of the year, it seemed that

the
environment is not going to be inflationary. And we have taken pretty st eep price increases towards the last year. So we started to correct , and as we were doing that, there was a huge inflation which came at us. And we have now started to take the price increases. So if you were to look at our revenue growth and our volume g rowth, they are almost at par, which shows that we have not taken any price increase till now. But as we speak, we've taken -- we've started to

take price increases, which are going to make sure that we are able to take this in our stride.
Now this slide is about market shares. We've had a flattish market share year, and that's predominantly because of the ups and downs that we've seen in our prices. And once this moves in the right direction, I think our trend on market share is also starti ng to look good. The exit to the year is looking very positive. So we are hoping that, that continues.
Now getting back to the strategic pillars. So let me just go through these one by one. On distribution, we have moved up on expanding our direct distribution. We have moved from March '24 of 27.9 lakh outlets to 28.8 lakh outlets. And even our rural distri butors have moved up from 30,000 to 31,000. Our focus states are doing much better than rest of India , that continues to be our growth engine.
The next slide is on our route -to-market. So the route -to-market has 2 elements to it: one is how do we deal with the emerging channels; and second is, what do we do to urban retail, which is our large cities and the retail distribution, the up and down th e street accounts that we have, how do we get them to grow at a faster pace because these are the accounts which are also challenged by the emerging channels.
So the first part on the left is about e -com and how do we do it. We have developed an in -house capability to have a model in place which will capture data -based consumer insights, which will then lead to personal content for consumers. And this is doing r eally well for us. This is a segment which is growing pretty well.
And the second part is about the urban retail and rewriting our route -to-market. There are actually 5 parts to this. One is, how do we leverage high -potential outlets and service them in the way that we would want to. There are some outlets which require h igher service frequency. There are some outlets which do not deserve the kind of frequency they get. So how do we right -size the service frequency for these outlets .
Second is, how do we upscale our salesmen capability so that they can deal with these outlets in

the right way. Third is about upgrading our technology to provide the right productivity to the company. And fourth is to increase feet on street as the frequency levels require modification. So it's something that we've been working on.
And it's in a pilot stage, but I can tell you that these are giving us good signs and good results. So we are looking at scaling this up in the quarter that we stand today. And we are also looking at refresh for our route -to-market for rural so that we can bring even a better way of servicing our rural customers.
Moving on to the next slide, which is about the sustained investments in brand. Now what we focused on is critical growth brands and innovation. And what we've also done is we've done some higher -impact social media activations so that they can bring bette r productivity to our advertising efforts.
And there are a lot of these products that we've launched, a lot of these promotions, I'm not going to, again, talk about each one of these, but these have given us really good connection with the consumers, especially our digital campaigns. We've also don e some tactical consumer promotions.
We -- there's one product, which is missing on these slides, which is the Pure Magic Choco Frames, which wa

s launched towards the end of the last quarter, which is the quarter in question.
This is a Harry Potter -themed product, very exciting product, which is a biscuit and a slab on it with the Harry Potter houses as different biscuits having different houses on it. And this is only for e-com and modern trade, but it's giving us really good results.
Now getting to the next slide, which is on some of our adjacency products as well. We've had some very exciting products. We've got a layer cake which is dual flavoured . We've launched Rusk , which is a INR5 pack. We never had a INR5 pack in Rusk s. And there are a lot of the biscuit products which we've launched, which are doing quite well.
Our innovation pipeline is also catering to regional preferences and is helping us drive premiumness. For our adjacency business, again, some very exciting products. In croissant, we've launched a triple chocolate croissant. In -- we have a full cake relau nch coming up. We've started to roll it out. Very exciting new graphics, very exciting recipes, products, which are beating competition by a mile.
And hopefully, that's going to give us the right fillip for our entire cake portfolio. And similarly, cheese, we have a relaunch for our entire cheese portfolio, which is coming up. And we've started to roll that out as well with new graphics and new recipes, which are better than competition in every format.
For our drinks, the season is upon us, and we are coming up with a very good campaign o n Winkin' Cow. We've also got a very exciting product, which is the Winkin' Cow Grow, which

is a INR20 product, which is flavoured milk, which is fortified with 16 nutrients, which is basically vitamins and minerals, which support growth for children , also provide energy metabolism as well as strengthen the immune system. So that product has also been rolled out.

So it's going to be a very exciting season for us as far as drinks are concerned. Our International business continues to perform well across, and we are hopeful that, that will continue.
Moving on to the next slide, which is on cost leadership. This is, again, an engine which is working really, really well. We've been presenting this to you forever, but let me just reinforce this one more time. The elements of our cost savings are on the l eft-hand side. So again, you can see what are the elements that we focus on.
In 2013 -'14, it used to be 0.7% of our revenue. And in this year, it's going to be 2.5% of our revenue. We've scaled it up deliberately, obviously, because of the inflationary trends that we are seeing. And we are hopeful that this will continue even as we get into the next year.
The next slide is on ESG. We've been recognized by Times Now for our ESG impact. We've also been recognized by SKOCH ESG Awards for a silver on it. We've also had a campaign which has amplified our messages. It's been a campaign, which has been very well received. You can see it in the upper part of the slide.
It's a camp aign around trees, which is highlighting a milestone for Britannia's ESG journey around 100% plastic neutrality as well as energy efficiency and water stewardship. So we've -- there's a lot of news, which is being created because of this campaign.
Moving on to the next slide, which is on commodity inflation. As I was saying, for flour, there has been a 4% inflation, but this 4% would have been higher had we not had the forward buying that we've done on flour. Palm has been a 43% inflation and that, too, despite our forward buying. So palm has been -- palm oil has been a very, very high inflation.
Sugar is flat. Cocoa is at 103% inflation. Laminates is nominal at 3% and corrugated boxes are at 15%. So our inflation for our products that we buy is about 11%. This would have been at least 2% to 4% higher had we not done the forward buying, and we hadn't had tha

t advantage of
that forward buying.
Moving on to the next slide. The -- on cost and profitability front, we've -- in the last 5 years, we've had inflation -- a total inflation of INR4,000 crores, right . And we've dealt with it in the right way. It was a one -way street for 2 years, and then it started to move up and down, and that's why we've had price decreases in the beginning of this year and now we've started to do price increases for the last 4, 5 mo nths.
We've dealt with this situation very well. And we are at a stage where we've taken all the necessary price increases which are going to get us to a stage where we counter the inflation. There are -- and if this inflationary trend continues, if we have to t ake slightly more price increases, that will be decided as we move into the next year, but we are very well prepared to be able to counter the inflationary trends.
We are also doubling down on our cost efficienc ies, as I said. We are planning to make sure, and as I keep repeating every time, these cost efficiencies and cost savings, they start with 0 on the 1st of April, and whatever has been achieved ends with the year, and there are new cost

savings that come up every year. So we are again looking at 2.5% for next year, and hopefully even more than that.
We have focused investments on innovations and on adjacencies. Some of the adjacencies have been doing very well. Croissant has been growing very high double digits. Our milk shakes have been growing double digits and similarly, wafers, etcetera . So we've been seeing traction as far as adjacency businesses are concerned, and we will continue to drive those.
Our outlook, we are closely monitoring the commodity prices, as I said, and we are making sure that we are dynamic in the actions that we take. We are also vigilant to competitive pricing. We do not want to be completely out of whack, but it seems that the entire industry is facing a steep challenge, and it's all moving in the right direction. Our strategy will remain focused on driving our market share and also sustaining our profits, as we've done in the past.
Now getting to the financials, revenue trends I've spoken about, so I'm not going to repeat that again, a 6% growth, operating profit up 3%. And finally, on the last slide, net sales up 6.5%, profit before tax up 3% and profit after tax up 4.5%. And if you were to look at the ratios, the numbers have moved up in the last 3 quarters, and we are at profit after tax of 13%.

So with that, I will end my presentation and open the house for questions.
Moderator: The first question is from Abneesh Roy from Nuvama.
Abneesh Roy: My first question is on the current very high inflation. So my specific question is in the popular price point of, say, INR5 and INR10, till now how much grammage cut you would have taken because there you can't increase prices ; and on the larger packs, how much pricing you've already taken? And given you have forward covers, you did say that almost 200 bps kind of saving comes from there.
And you have seen a 600 bps gross margin erosion. The local players would have seen obviously higher erosion. So what's the pricing happening at the local players level, if you could clarify on that? That's the first question.
Varun Berry: So our total price increase that we've taken currently is approximately about INR100 crores in quarter 3, so -- which would -- in percentage terms, Venkat, would be...
N. Venkataraman: 2%.
Varun Berry: It's about 2%, but it's progressively going up. By the end of the year, we will be at about 4%, 4.5% price increase. So 4.5%, let's say, exit of this year. The inflation, you're right, the inflation for the local players will be higher because of the muscl e that we have in terms of forward buying, etcetera . But as I said, Abneesh, the issue has been this year nobody was c

lear on whether
it's going to be a deflationary year or an inflationary year.
We started with the feeling that it's going to be a deflationary year. And then it started to turn on us. And hence, everyone has been late to the party to increase prices. But as we speak, everyone is becoming alive to the fact that this inflation is not going away, right . First, there was this

feeling that palm oil duties, which have been imposed by the government, will be temporary and will go away. But no, we -- now we know that it's not going away.
Also, the feeling was that cocoa prices will start to normalize . Wheat prices -- wheat prices will normalize a bit because the season is on us, but all of that has not normalized. So people are now very clear that unless they want to destroy their profits, it is going to be important. So I think there is action which we can see in the m arketplace.
Abneesh Roy: And on the competition, Varun, could you talk about some of the new players, Amul, there is some presence. I'm sure distribution is very weak. If you could talk about Reliance also, they have tied up with a Sri Lankan player. So any worry you will have fro m a medium -, long -term perspective, not current , but would you be worried because these are large players?
Varun Berry: Not really, Abneesh. We haven't seen any signs of worry at this point in time. And if we do see something, we will obviously react at that point in time. But no, at this time -- the brands are also very important, Abneesh. It's very difficult to just come in and work on one element, which is price and get away with it. And we've had price competition in this segment forever, right .
But brands have always stood their grounds. But right now, we don't see any challenge.
Abneesh Roy: Sure. Last question. So on the adjacencies, you have been quite aggressive past few years in terms of innovation, etcetera . If you could tell us in terms of numbers, what's the impact to croissant, very strong double -digit growth, Rusk now INR5 pack, so what's the idea behind that, if you could talk about?
And e -commerce, my sense is e -commerce should be very helpful to adjacency because a lot of these products are more attuned to that. So if you could discuss both e -commerce impact benefit to this and if internal numbers as a percentage of revenue, if you c ould tell us how things have moved over the last 3 years?
Varun Berry: So Abneesh, you're hogging the space, but I'll answer this. So well, the point is that e -com has been especially to new products, not just for adjacency, adjacency, it's been very helpful. But even for some of the new products that we've launched, it's been very helpful. And the contribution to some of the segments is much more.
So for example, biscuits is 4% as far as e -com is concerned or slightly lower than 4%. But let's say, I'm just giving you 1 or 2 numbers so that you get an idea. For croissant, it's 17%; for cake, it's 9%, right ; for dairy, it's 11%. So the numbers are much more for the adjacencies, okay . Thank you, Abneesh.
Moderator: Next question is from Percy Panthaki from IIFL Securities.
Percy Panthaki: Firstly, can you just call out the quantum in rupees crore of the one -off in staff costs and give some idea as to what is going to be the staff costs in the coming quarters if there is any one -off going to be there or not? And if not, what is like the quar terly run rate for the staff cost on a normal basis?
N. Venkataraman: Right. So I'm Venkat here. So employee cost for quarter 3 had the impact of provisioning for the

stock appreciation rights. So this is based on the share price as at the end of last quarter and the current quarter. So last quarter end, the share price was INR6,338, that became about INR4,762 as of 31st of December, a

nd that had an impact of about INR75 crores in the quarter.
Varun Berry: So basically, there was an increase in staff cost in the last quarter.
N. Venkataraman: Previous quarter.
Varun Berry: And there is a decrease. So it's all evened out, yes. So it's just...
Percy Panthaki: So every quarter depending on the share price, this will go up or down, is it?
N. Venkataraman: Correct. For stock appreciation right, that is the way it happens, yes. It's been volatile. I mean it's been there from -- SAR scheme has been there from 2021. But it's been very volatile in the last couple of quarters. It was never there like that before.
Varun Berry: But it all evens out in the end. So it's not like -- yes.
Percy Panthaki: Sure. Secondly, just wanted to understand on the price increases. In the last quarterly call, you had mentioned that we are putting through 5% to 6% price increases, which will happen cumulatively over Q3 and Q4. Most of it would happen by February. Now yo u're saying that by end of Q4, you will have only 4.5%, instead of 5% to 6%, while at the same time, the cost inflation has actually been higher than what we could envisage at that point of time.
So why this hesitation to take the price increase which you had already planned? And actually even more is necessary ?
Varun Berry: No, there's no hesitation. It is a necessity today. And you're right, exactly right, there will be a 6% price increase. We've already taken in Q3 2%. In Q4, it's going to be another 2.5%. And then in Q1, which is going to be the Q1 of next year, it's going to be another 1.5%. So cumulatively, it's going to be 6%, 6.5% price increase.
Percy Panthaki: Okay. And with this 6 -- sorry, yes, please continue.
Varun Berry: And yes, the 11% inflation that we spoke about in commodities equates itself to 6.5%, it requires to be balanced, it requires 6.5% price increase.
Percy Panthaki: Got it. Got it. But just to clarify, if there is a 11% inflation in commodities at a rupee value, it might require 6%. But in order for you to maintain your gross margins, it would require a 11% price increase. Is that interpretation correct?
Varun Berry: Well, yes.
N. Venkataraman: As a percentage - Yes...
Varun Berry: Percentage -- you maintain the percentage, yes. But in absolute to maintain the profitability, it requires 6%, 6.5%.

Percy Panthaki: Got it. Got it. So here is my...
N. Venkataraman: And we will also combine it with Cost efficiencies...
Percy Panthaki: Understood. Understood. So here was my concern. I don't know how much you can eke out some cost efficiencies. But here was my concern that basically in biscuits, since a lot of the pricing happens through grammage changes, the price increase doesn't fully translate to a higher top line.
And therefore, if the margins are not maintained, the absolute profit itself takes a beating. So do you think that with the cost savings, you will be able to go back to like that 17%, 18% kind of EBITDA margins by Q1, once all your pricing is through?
Varun Berry: Now you're talking about profit margins which we had during COVID and stuff like that, maybe not 17%, 18%, but we will make sure that our spine remains vertical and we are able to provide the right growth s as far as profits are concerned. So if you were to look at it, 6.5 -- 6% to 6.5% price increase, 2.5% is going to be the cost efficiencies that we are going to work on.
And there will be other opportunities that we are looking at, at this point in time. So we will make sure. We've been doing this forever, and we will also make sure this time that we will be able to provide the right growth as well as the right profitabili ty to the business.
Percy Panthaki: Got it. I think, Varun, the disconnect is, I think you are talking about EBIT margins, and I'm talking about EBITDA. I think your EBITDA margins peaked out

at around 20%, and I'm talking about 17% to 18% on EBITDA.
Varun Berry: Okay. Yes, yes. Okay. Okay. Yes, I got that. I got that.
Percy Panthaki: So that should be doable, right?
Varun Berry: Yes, yes.
Moderator: The next question is from Mihir Shah from Nomura.

Mihir Shah: So firstly, on the volume front. So how should one think about the impact of volume with the 6.5% pricing that is likely to happen, can you help understand this volume trend that we are seeing, including the grammage reduction can sustain and the impact of the same?
Varun Berry: Well, volumes do take a beating when there is a price increase. There is an arbitrage between volumes and revenues. So -- but we've been growing -- actually, if you look at last quarter, we grew at almost 6.4%, it's almost the same as our revenue growth. S o our volume growths were pretty good. Yes, there will be a little bit of arbitrage which will come through, but that's fine. You've got to do what you got to do.
Mihir Shah: Got it, sir. Sir, and one clarification on gross margins. Can one assume the peak of the input cost inflation in the margins is built into these quarter numbers? Or is there -- or were you consuming low-cost inventory and going forward, there may be some h igh-cost inventory that you'll have

to consume and margins will continue to get impacted despite the price increases that you are taking?
Varun Berry: Well, not so much. We've been -- yes, we did some forward buying, which helped us, as I said, to about 2% or 3%. But now with the season coming on Wheat, March, the season starts. So hopefully, we will see some better prices as far as flour is concerned, and some normalization. So I think it should be okay.
Mihir Shah: Got it, sir. Sir, and last clarification on the margin. So what is the margin range that you mentioned on the EBIT level, 17%, did I get that correctly, sir?
Varun Berry: Which -- I didn't mention any margin range. Which margin are you talking about?
Mihir Shah: Just to Percy's question, you had mentioned -- I got confused between EBIT and EBITDA margin. If you can just reiterate what...
Varun Berry: Yes, yes, so he was talking about EBITDA, I was talking about PAT.
Mihir Shah: You were talking about PAT margins?
N. Venkataraman: Profit from operations.
Varun Berry: Profit from operations.
Mihir Shah: And what is the range, sir, you mentioned, sorry?
Varun Berry: So we will stay in the current range, I would say. That would be the range that we would look at, although we don't give any forward -looking forecast, but I would say current range is what we would target.
Moderator: Next question is from Tejash Shah from Avendus Spark.
Tejash Shah: Sir, yesterday, ITC in its press release highlighted intense competition from local players in biscuits, but market continue to expand this quarter as well. So what are the key drivers that are working in our favour ?
Varun Berry: Sorry, what -- I guess, our growths are coming through the strength of the brands as well as our distribution efforts. And we hope to continue with that.
Tejash Shah: Sure. Sir, second, focus states are growing at 2, 2.5x versus the average for a while now. But at the aggregate level, we are not seeing the impact. It's not moving the needle yet. So what is current contribution where we have reached of this pocket of gro wth? And how -- at what point will you see that this number will actually start driving the overall growth?
Varun Berry: See, the focus states are still very small in terms of our overall revenues. And we still are -- our market share in those focus states are half of what they are for the rest of the country. In fact, even less than half. So that's why the impact that you s ee is marginal at this point in time. As we keep -- now as I've said in the past as well, we don't want to do any big ban g st

rategies in these

states.
The big ban g strategies would be reduced price and try to get share from competition. We are not doing that. We are doing all the execution parameters, which is distribution, strengthening our brands, launching the new -- the right products for those markets and gaini ng share in a way that it becomes sustainable rather than unsustainable in the future.
But as these states are growing, at some stage, they will start to add a lot more to the overall country level numbers as well.
Vipin Kataria: Yes, so Tejash, Vipin this side. So these states basically contributes about 15 -odd percent to our overall revenue. And they have been growing at about 1.3 to 1.4x, which means that over a period of time from 12%, 13%, they've moved to 15%, 16%. These stat es are like we keep saying these are opportunity states because that's where the biscuit consuming population is, and we

have got a market share which is underleveraged, and therefore, there is a lot of headspace.
And like Varun said, I think the backbone that we want to build in these states is distribution -led, right, and brand -led. And that's the impetus that we've been able to put forward, which is giving us this kind of growth, right . So the other very important aspect of these states is that the y are almost 35% contribution to the overall rural category.

And if you see our growths in rural, they are pretty healthy because our focus states are really firing for us. So I think apart from the leve r of contribution or salience, there are a lot of other impact areas that we see, and that's where we are working.

Moderator: Next question is from Latika Chopra from JPMorgan.

Latika Chopra: I wanted to get some more colour on non -biscuits portfolio , and how are you thinking about portfolio diversification over the next 2, 3 years? If you can give us some colour on how the salience of non -biscuits, it's growing at double digits, what kind of double digit? Is it profitable? What is the distribution opportunity, which is still available?

And also, how are you thinking about alternative stacking options? You had experimented with salty snacks in some markets. If you can throw some colo ur on how has been the reception?

Varun Berry: Yes. No, so first of all, the point is that if you look at our diversification, I think it's been pretty good. We have gotten into a lot more categories that we -- than we've ever been, right . So whether it's wafers or croissants or the cake formats that we've launched and all of the other products that we've launched have been pretty good. Now we are in no hurry to get to 15 more categories because it doesn't make sense.

I think it's important that we develop these categories and that's what we are seeing. So if you want to look at it, today, our croissant business is -- next year will cross INR200 crores, right . Our milk shakes business has already crossed INR200 crores, right . So these are all numbers which have happened in the last 2 or 3 years, right, and growing pretty rapidly.

Now the point is that the base of biscuits is very large, and it doesn't really show a large change

in that. But if this was to continue and if we were to double it up, I think we will be in a very good place to be able to showcase the portfolio that we've created. And some of the categories are genuinely premium and have entry barriers, which small comp etitors cannot cross, right . Now your question is on -- there will be products which will always be in experimental stage or pilot stage, and we will continue to make sure that we are diligent on those because, Latika, it doesn't make sense to do things in a bit of a rush because you will launch it and then you will create confusion, throw the cat amongst the pigeons and you will not be

able to sustain the
momentum from those categories.

So salty snacks is one of those. We understand it's a very large category, but we also understand that it's a very competitive category. Till we are able to feel absolutely confident of being able to sustain our competitive edge with the large competitors that we have, we will not launch it nationally and that we are very clear about.

And frankly, it's not that we just launch it and leave it in the pilot stage in some of the markets, we experiment. We look at different formats. We look at different ways to market. We look at advertising, pull, push, what will work, more grams in bag, tr ips to mouth, all of that. So all these experiments are showing us what works and what doesn't work.

When we -- only when we are absolutely clear about it, we do not want to get into a large category like this without being absolutely clear of success. So that is really my message to you, Latika. But I can assure you that on some of the categories, we are seeing very good momentum, and we are hoping that all of our categories are going to be moving in that direction. Yes, Vipin.

Vipin Kataria: So Latika, 2 more points. I think within biscuits, there are a lot of opportunities. So if you see cookies, which is one of the largest categories in biscuits, we have an immense opportunity in premiumization. And that are the kind of launches that we were talking about even in the deck. So let's say, we've launched fruit and nut, butter jeera within cookies, which is showing very good initial signs.

And in each of these categories, there is enough opportunity, both on the differentiated and the premium end to keep adding more brands and sub -brands. There is another price point opportunity. So let's say, we talked about drinks where we are now coming up with a INR20 SKU, which is a very large market and our participation was only in the INR35 or INR40.

So I think while we will keep making sure that our adjacency business keeps accelerating, but I think within core, there are enough opportunities for us to keep moving the needle up.

Latika Chopra: This is very detailed and clear. My second check was just on capex for FY '25, and are there any thoughts on capex for FY '26?

Varun Berry: Yes, we are going to take the capex break, so to say. We have put up plan ts and we will try and keep it as low as possible. It will still be -- what, Venkat, about INR200 crores?

N. Venkataraman: For the next year?

Varun Berry: Yes.
N. Venkataraman: Should be even lower.
Varun Berry: Even lower. So INR150 crores to INR200 crores is what we'll keep it at, unless there is a volume increase. I don't think we need capex because we've got 3 new plants with new lines and capacity and head space and all of that. So I think we are in a good place as far as capex is concerned.
Moderator: Next question is from Aditya Soman from CLSA.
Aditya Soman: Just one question from me. I mean, on your sort of distribution revamp that you are doing, where are we on it? And in terms of the spends on that program, can you give us a sense whether there was an impact on profitability in the current quarter because o f it?
Varun Berry: See, the spends are going to be more related to how much we want to expand, right . So if we want to expand our 2 salesmen model to, let's say, another 100,000, 200,000 outlets, from 250,000, we want to go to 400,000, that will cost us a little bit of money, but it will pay us back a lot more than that, right .
And just to remind you, we are talking about this in urban retail, right . And urban retail is the channel, which is the most profitable channel for us. That is 1.3x the profit of the company, the urban retail channel. So if that channel grows, it only gives us tailwinds as far as profit is concerned.
Moderator: Next question is from Amit Sachdeva from UBS.

Amit Sachdeva: Just one small question. I may have missed something, but the employee cost, has there been some reorganization in the cost structure there?
Varun Berry: No, there has not been any reorganization. It's just that last quarter, we had extra charge, which has got neutralized this quarter. So there's no reorganization.
Amit Sachdeva: So what's the outlook for that?
Varun Berry: We've always been very conscious of our overhead costs, but no, there's no reorganization.
Amit Sachdeva: Can you talk about the outlook for staff costs in the coming year as well? What should be the Y -o-Y kind of outlook?
Varun Berry: So we focus on making sure that our top line growths, which I must confess that we've not been able to do in the last 2 years, but we -- our principle is that our -- if our top line growth is X, our fixed cost growth or our people cost growth should be 0.7 5X. And that's what we will keep with, so that we are leveraging our top line growths.
Amit Sachdeva: Got it. Sorry, is it flexible enough that you can maneuver around that? Or how does that work?
Varun Berry: No, there is no flexibility. It's just the planning. You've got to plan for -- yes.

Amit Sachdeva: Sure. Sure. Got it, sir. Sir, I just want to come back to you on the margin structure. If I understand correctly, the inflationary environment is going on and the gross margin was 38 and a bit, which is perhaps one of the places. Do you expect the gross ma rgin and the dynamic to give you 18% kind of -- if I could relate back to previous participant's question as well?
Are you sort of trying to keep margins in the range of 18% or -- EBITDA margin I'm talking about? For the coming year, how the earnings dynamic that you see in terms of price increases, expected volume growth and your, obviously, expectation on cost. What I'm understand in that how -- in this context, how the earnings dynamic could actually play out i n the next 3, 4 quarters?
Varun Berry: See, we don't give any forward estimates. But as I had said, we are taking 6% to 6.5% price increase, which will be enough to get our absolute profit up to level. And then on top of that, we will look at other cost -saving measures, etcetera , to make sure that we keep to the margins that we've got. And we do not suffer any margin slip for our overall portfolio. But you got to remember that we've negotiated through this kind of environment many times, and we've done it quite well, and we will continue to do so even in the future.
Moderator: Next question is from Harit Kapoor from Investec.
Harit Kapoor: So I just wanted to get your sense on the 6% volume growth. Would the biscuits -- core biscuits business be in the similar range as this -- because your adjacencies have actually done quite well, so just wanted to get a sense on how biscuits run for -- India biscuits specifically for this quarter?
Varun Berry: It's about 5.5%. So not a big difference. There's a delta, because as I said, the adjacency business is much smaller for us but growing faster. So the delta between the total volume growth and the biscuit volume growth is 0.8%, 0.9%.
Harit Kapoor: And your analysis of how industry would have grown, your belief would that you would have done better?

Varun Berry: Yes, for sure. The exit numbers are certainly better. And even if you were to look at some of the public declarations on growths, etcetera , by some of the companies, it seems that we are ahead. Obviously, Nielsen gives us certain numbers, but they are based on taking a sample. When you look at the numbers declared by some of the public companies, it seems that we are certainly doing better t han the others.
Harit Kapoor: And my last question was on the pricing. I think the last time when we had this significant headwind on pricing on inflation was, I think, fiscal '23, if I'm not wrong, '22 -'2

3, in that time,
the price increase was extremely aggressive. This time, it seems like you're slightly more measured on that. Is that really a function of market demand in your view, that you want to be a little bit more gradual as you put them in?
Varun Berry: No, so we were measured because we were not clear where the inflationary trends are going from a deflation to inflation. And we were also hopeful -- actually not just us but the entire industry was hopeful that maybe the duties on fat, etcetera , will go away. But as our Honorable Finance Minister has said, this is basically going to stay because they want to indigenize fats in

India. So we are now clear that it's not going away. So now we are taking very decisive action on pricing.
Moderator: The next question is from Lokesh Gusain from BOB Capital Markets.
Lokesh Gusain: My question is also related to pricing. So I just wanted to understand, I know you mentioned that the removal of fat import duty was a factor. But were there any other factors that -- or hurdles that stopped you from taking pricing? Because I think in the call, you did mention that you were trying to take pricing by the end of January, 4% to 5%. So what changed?
Varun Berry: So we still are going to take 4.5% pricing by this quarter. So it will be -- we've already probably taken 4% and another 0.5% towards the end of the quarter, 4.5%. So yes, we will continue to do that. But no, there were no other factors. See, pricing shoul d never be the trigger for you. And we always take it as that.
Pricing obviously impacts consumers, it impacts categories, it impacts everything. So pricing is always the last trigger for us. And that's why we kept it till we were absolutely sure that this inflation is not going to go away.
Lokesh Gusain: Understood. And just on efficiencies, you mentioned you're going to double it this year. So are you already at the double run rate as of December end? Or are you still on the way?
Varun Berry: No, cost savings are going very well for us. In fact, we probably will beat our targets that we've set for ourselves for the full year.
Moderator: Next question is from Amnish Aggarwal from Prabhudas Lilladher.
Amnish Aggarwal: I have a couple of questions. And first question is regarding to the staff cost, where you mentioned that we had a INR75 crores of write -back in the current quarter, and we had INR50 crores provision in the previous quarter. So was there any element of that in 1Q also?
Varun Berry: In what?
Amnish Aggarwal: The staff cost, there is a provision for the phantom stock options. Was there some provision made in 1Q also with regards to this?
Varun Berry: Yes. There was a small number there as well. There was about INR25 crores in the first quarter.
Amnish Aggarwal: Okay. Because in the last 2 years in the annual report, there is a INR50 crores to INR60 crores of provision which comes, so can we actually start showing this as a separate line item because it fluctuates on a quarter -on-quarter basis?
Varun Berry: It's not necessary to do that. It's in an overall scheme of things for a company which is of this size, I don't think it's necessary to be shown separately. But whenever there is a blip, we always talk to you about it and highlight it.
Amnish Aggarwal: Okay. Sir, my second question is that you indicated that the capex -- the big capex move is now over, and now you will be no t spending more than, say, a couple of hundred crores. So I believe

that we have done a lot of capex . There might be some PLI -led benefits also because if you look at the first 9 months of the year, our other operating income has nearly doubled.
And in the current quarter also, it is up by 93%. So incrementally, will the gains from this be start tapering off? How sh

ould we presume this run rate to be on a quarterly or on the yearly basis in the coming years?

Varun Berry: No. So capex , most of the capex gains that we get or the benefits that we get are for a much longer period of time. Yes, there are some plants which exhaust their incentives, but there are other plants we've recently put up 3 large facilities, Ranjangaon, UP and in TN, also in Bihar, Bihta, and we've expanded our Orissa facility as well. So there are big incentives there as well. So no -- yes, there is some PLI incentive as well, but that is very small in the entire context of the company.

Amnish Aggarwal: But if I look at, sir, 9 -month number, there's INR373 crores of other operating income. So will this INR125-odd crores of a run rate continue on a quarterly basis?

N. Venkataraman: So we estimate that for the coming years, the incentives that we should be able to get, subject to our fulfilling certain conditions that are prescribed under PLI for that, we expect it to be on similar lines as current year.

Moderator: That was the last question in queue. I would now like to hand the conference back to Mr. Ayush Agarwal for closing comments.

Ayush Agarwal: Thank you, everyone, for spending time with us on the call today. We look forward to interacting with you all. Thank you.

Varun Berry: Thank you.

Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

Date: 16th May, 2025

Dear Sir/Madam,

Sub : Transcript of the Investors/Analysts Conference Call (Group Meet) held on 12th May, 2025

Ref : Regulation 30 of the Securities and Exchange Boar d of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of Investors/Analysts Call held on 12th May, 2025 , pertaining to the Audited Consolidated and Standalone Financial R esults and operations of the Company for the quarter and year ended 31st March, 2025.

The Transcript along with the Presentation and Audio Recording are also made available on the Website of the Company at www.britannia.co.in/investors/financial -performance/analyst -call.

Request you to please take the above information on records.

Yours f aithfully,
For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No. : A20927
Encl.: As above To,
Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
Scrip code: 500825
Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C/1, G -Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: BRITANNIA

"Britannia Industries Limited
Q4 and FY 2024-25 Analyst s Conference Call "
May 12, 202 5

MANAGEMENT : MR. VARUN BERRY – EXECUTIVE VICE CHAIRMAN , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES AND REPLENISHMENT – BRITANNIA INDUSTRIES LIMITED
MR. MANOJ BALGI – CHIEF MANUFACTURING AND PROCUREMENT OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. SIDDHARTH GUPTA – GENERAL MANAGER , MARKETING – BRITANNIA INDUSTRIES LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Britannia Industries Limited Analyst Conference Call. As a reminder, all participant lines should be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Sho uld you need assistance in the conference call, please signal an operator by pressing star , then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Ayush Agarwal from In vestor Relation s. Thank you and over to you, Mr. Agarwal.
Ayush Agarwal: Thank you. Good morning, everyone. This is Ayush from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of Q4 ’24-25. Joining us today on this earnings call is our Executive Vice Chairman, Managing Director and CEO, Mr. Varun Berry ; Executive Director and CFO, Mr. N. Venkatraman ; Chief Commercial Officer, Sales and Replenishment, Mr. Vipin Kataria ; Chief Manufacturing and Procurement Officer, Mr. Manoj Balgi ; and General Manager, Marketing, Mr. Siddharth Gupta.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry , I would like to draw your attention to the Safe Harbor Statement in the pre sentation. Over to Mr. Ber ry with the remarks on the performance.
Varun Berry: Good morning, everyone , and thank you for joining the call. So, without much ado, let me jump into the presentation. So Page 1, basically, it's showing the trends, the forecast that we are seeing. So it shows the real GDP as well as the nominal GDP trending upwards.
And similarly for the Real Private Final Consumption Expenditure as well as the Nominal Private Consumption Expenditure trending upwards in Q3 and Q4. So we are hoping that these are clear signs of recovery of the slowdown that we ’d seen in the FMCG industry.
On that positive note, let me move on to our performance scorecard. So in this quarter, we've seen a turnover of INR 4,376 crores, which was on a 12 -month g rowth basis was a 9% growth ; and if you look at a 2 -year number, it's a 12.4% growth. And profit after tax, we've seen 12.8% of revenue for the fourth quarter, which is a 4% growth on a 12 -month basis and a little flattish on the 24 -month basis.
Moving on to the next slide, which is the revenue from operations. The revenue from operations for the full year was INR 17,535 crores, which was a 6% growth on a 12 -month basis and about a 10% growth on a 2 -year basis. Profit after tax was again 12.5% of revenue, which was a 3% growth year -on-year and a 12% growth on a 2 -year basis.
Now getting to our strategic pillars, which you are well aware of, but just reiterating those - distribution and marketing, innovation, adjacent business growth, cost efficiencies and sustainability, and I'll cover these one -by-one.
So on distribution, we've made good progress. So if you look at March '24 to March '25, our total direct reach has gone up from 27.9 lakh s outlets to 28.7 lakh s outlets. And even our rural distributors have gone up from 30,000 to 31,000.

We've also -- next slide, we've also leveraged the new channels, e -com namely. The e -com growth has been seven -and-half times of what it is in other channels. And we've had some e - com only or e -com first launches. So Pure Magic Frames was one such launch, which was extremely successful. This was -- the theme was the Harry Potter theme, and we saw some very good results, just launch ing it with the e -com and quick-com channels.
Moving on, we also had some very exciting campaigns. So on Marie Gold, we had a campaign, which was a special edition pack, which we did with Avani Lekhara, who is the first Indian woman to win 2 gold medals a t the Paralympics. And

this biscuit was sized and etched with
Avani's gold winning targets. So that was a very exciting campaign that we did.
The second one was during the Mahakumbh, we had -- Good Day tied up with Chai Point, which gave us good mileage in that very large event in the country. We also have had some very exciting innovations in adjacencies. We've launched Winkin' Cow Grow, which is a very exciting product at a very attractive price, and that's doing quite well. It's just been 2 months,

but we are seeing great traction on that product. We've also re -launched cheese just about 2 months ago. And there, again, we -- some channels have started to fire, and we are hoping that the overall numbers will start to lo ok much better than the previous year.
We've also re -launched Cake. And there, again, it's just been a couple of months, but we're already seeing traction in all of the cake products post the re -launch, which included not just the recipe and product enhan cement, but also the entire pack graphics have changed. And it's a very, very exciting combination of products that we have today, and they are doing quite well for us.
Moving on to the next slide, which is on the other adjacent businesses. Croissant has been a very good growth for us, high double -digit growth, which is 3 times that we are seeing on biscuits. And similarly on wafers, wafers has been a very, very good growth for us as well. Cake, I have already spoken about, and that's giving us very good t raction.
Rusk, again, we re -launched it with a new pack design and which is just about a month back. In fact, the products are just hitting the market as we speak. But again, the growths are back, and we've got single -digit, high single -digit growth and ho ping to get these into double digit as we move forward with the launch country -wide.
I've already spoken about cheese as well as the new launch in drinks. In International as well, we've seen profitability move up and growth coming back in some of the mar kets where they were sort of stymied in the last 2 or 3 years. We've started to see very good growth in some of these markets and also the profitability has come back. As far as cost leadership is concerned, this program is, again, firing very well for us.
Our target was to get to 8x of what we started within 2013 -14. But this year, we went on overdrive because inflation had become pretty high, and we thought that we could do with some additional cost efficiencies and savings. So we've been able to achieve more than that. So '24 - '25 has been 9x of what we started within 2013 -'14. So it's been a very good year for us, almost 2.5% of our overall revenue.

On the ESG front, we've had some good milestones as well. So some of the KPIs, we've been plastic neutral for the fourth consecutive year. We've had 79% of our packaging plastic recyclable, which is an improvement of 17% versus last year. We've also had 75% of our laminate waste which is recycled, which is an improvement of 23% over last year. Britannia Nutrit ion Foundation today touches the lives of over 305,000 beneficiaries , and that's an improvement of 31% versus last year. And we've assessed suppliers 479 Tier 1 suppliers. They've been assessed from an ESG standpoint, which covers 78% of our procurement sp end. So these are all very important and very crucial KPIs from our perspective, and we are making sure that we take this to the next level as we get into the next year.
We've got some recognitions for what we've done, and these are all listed on the righ t side of the slide. I'm not going to belabor those recognitions. Moving on from a cost standpoint, we have seen aggressive inflation -- so if you look at flour, if you look at versus previous quarter, which is Q3 of '24 -25, there was an inflation of 9%.
And if you look at it from a year -on-year basis, there was a 12%

inflation. Similarly, on palm,
sequentially a 7% inflation, but year -on-year, a 54% inflation on palm oil. Sugar was flattish. Cocoa was flattish sequential or slightly down sequentially, but year-on-year was 83% inflation, and we are all aware of the cocoa story.
Laminates was fine. It was a small inflation from a year -on-year basis. Milk again was 11% seque ntial and a 21% inflation from a year -on-year basis. So this clearly is a story where there was a pretty aggressive inflation and which necessitated us taking some action on the pricing front, and that's what we did, which kept our profits in good shape.
Now from a cost and profitability front, price actions I've already spoken about. Cost savings I've already spoken about. We doubled down on cost savings and made sure that we did more than what we ’d planned. And media investments, we had to make sure that we do what was necessary. So we focused on innovations and all the adjacencies and the crucial brands within our portfolio , focused on those, and we did what was necessary with those.
From an outlook perspective, we obviously are very closely monitoring which way the commodity prices move. We are going through the phase when the new season wheat comes in. And we're not very clear at this stage whether the inflation is going to be as far as wheat is concerned, but we are closely monitoring that and simila rly, other commodities as well.
And we are also very vigilant about the fact that we've taken pricing and making sure that we are not priced out of the market. It seems that inflation is hurting everyone. So it seems to be moving in the right direction. The focus will remain on sustaining margins and also at the same time, remaining competiti ve.

Next slide is about our revenue trends. Our revenue growth, as I said, was -- for this quarter was 9% and for the full year has been 6%. And we've seen -- as you see it in the last 4 years, we've seen a very good year in '22 -23 with a 15% growth. And then we've seen 2 tepid years of 4% and 6%. But we are hopeful that things should move in the right direction now on because the quarter has been, I would say, reasonably good from a growth standpoint.

From an operating profit standpoint, again, it's been a pretty good profit that we've looked at. Operating profit has been at 16.4% for the full year and 16.6% for the quarter. So it seems that from both top line and bottom line perspective, if things remain within a certain margin, and I'm talking about infl ation as well as the growth trends, etcetera , we should be in the right place.
Now looking at the overall consolidated report. So net sales for the quarter, 9%. Operating profit has gone up by 2.4%. Profit before tax is also 2.4% and profit after tax has gone up by 4% and the full year numbers are on the right -hand side. If we look at the ratios, the ratios are looking reasonably solid, I would say, 16.4% profit from operations, profit before tax of 16.7% and profit after tax of 12.4%.
So that's the story from my side. Very happy to answer your questions now.
Moderator: First question comes from the line of Abneesh Kumar Roy with Nuvama.
Abneesh Roy: Congrats on good performance. I have 3 questions. My first question is on the demand side. You have seen a 7-quarter high sales growth this quarter. Was there a significant impact of Kumbh Mela? Coca -Cola saw 18 crore s servings being sold in Q4 in Kumbh Mela and your product also has very high demand in such demand scenario.
So that was one bit on demand. Secon d is on the outlook, you said clear signs of recovery. And this quarter, almost every FMCG company has said . Issue is last 2 years, FMCG has seen many false starts. So what will be your confidence level in terms of recovery in FY '26? That is the first que stion.
Varun Berry: Okay. So Abneesh, we -- because we are so widesprea

d, it's not one event which really makes a
difference to our overall sales. We did well in the Kumbh, but it's too small to impact our overall sales for the country and for the globe as well. So we've seen some recovery and which is the good trend and which gets me to your second que stion, which is on the outlook.
I'm reasonably optimistic on the recovery happening. I don't think it's going to happen -- It's not going to be a hockey stic k. But I do think that there is -- we have seen gradual recovery, and I do think that this trend is going to continue into the next year as well.
Abneesh Roy: My second question is on the competitive intensity. So this time, the market share chart seems to be missing. So if you could tell us any reasons for that. Second is a lot of FMCG categories, there is a competition from D2C. We have seen some level of impact on beauty, personal care from D2C companies.
In your categories, is there an impact, especiall y now I'm seeing Tata's Soulfull acquisition now going to Rusk, for example. That's also a start -up and B2C now acquired by Tata Consumer. So if you could discuss competitive intensity from D2C and market share data, is there a change?
Varun Berry: No -- So Nielsen has done a complete change of their panel -- so there's -- the data even historically has changed, etcetera . So we were waiting for the stability to come through, but there's hardly any change in the market share data. It's just that we are not c lear what their final

numbers are going to be once they sort of clear up their panel. But it's in the same ballpark.
We have not seen -- so you're witness, Abneesh, to what other companies report in their calls as well. And it doesn't seem that -- we seem to be growing the fastest as far as our category is concerned. Yes, there are a lot of unlisted players who do not declare the results. But I do think that we are definitely in the top 10% as far as growth is concerned within all of our categories.
D2C pl ayers, I don't think they have impacted us to an extent where it's becoming an issue for us. And especially Tata Soulfull, I personally haven't seen them make a big dent in any way in the market from a Rusk standpoint. As you know, Rusk, in any case, has a bout 2,500 players.
It's a bit like salty snacks, right , every town in the north will have a Rusk manufacturer.
So we've been dealing with that kind of competition, and we've been dealing with it quite well.
And I do think that because of our brand and bec ause of our product and because of all of that we do, that will hold us in good stead. But having said that, I do think that this is a space that we

need to watch because with modern trade growing and with e -commerce and quick -commerce growing, this could be a phenomena which we must watch carefully and make sure that we deal with it in the right way.

Abneesh Roy: One last quick question, and then I'll end there. So if I see the adjacency, you have been driving a whole food company kind of a strategy. And I see you talking much more positively on Croissant, on drinks and to an extent, maybe Rusk also. On cheese, it's a re -launch. And if you measure now versus when the JV was announced and now, would you be happy with the performance?

I don't know how is the performance, so I'm asking. And is urban slowdown impacting? And is it more of a commodity play because I do see a lot of aggressive pricing by some of the newer companies also. So if you could tell us how has it lived up to initial ex pectation? And can the trajectory change to a higher level in the next 2, 3 years?

Varun Berry: No -- So absolutely, Abneesh. So yes, you're right -- I talk more positively about all of the other categories, including cake now after the re -launch. The grow ths are now pretty solid. Cheese, what's happened after the re -launch, as you're rightly saying,

the pricing -- so there are some players who don't have a distribution system, right -- So what they do is they -- whatever channels are available, which is modern trade and e -com, they discount the hell out of their product in those channels and which is what we had to match earlier because we were at a 25%, 30% premium and which was creating a disparity between the channels, and we realize d that. And we -- for us, our big muscle is traditional trade. And if there is disparity, it tends to hit our big muscle. So now with the re -launch, what we've done is we've priced every channel at the same price. There might be packs, which are different for different channel s, but the pricing is the same.

As a result of that, we are seeing a 40 -plus percent growth in our traditional trade business. There still are some areas which need to be sorted out, and we are sorting them out. And the overall cheese business, we are ver y hopeful, will start to look very good as we go forward. But I don't

want to declare victory without really getting that under our belt.

So that's the reason that I've not sort of emphasized that. But the trends, the early trends on the traditional trade part of the business and also on the e -com business is very, very good. So fingers crossed. We are hoping that the sales team as well as the dairy team will take this to a very, very different level in the coming months.

Moderator: Next question comes from the line of Mihir Shah with Nomura.

Mihir Shah: So Britannia has constantly increasing its direct reach. Now as you highlighted that demand is expected to come back. What is the level of volume growth that you expect to be a reasonable level? And this is also keeping in mind that you will start cycling a higher volume growth base from 1Q onwards ; So that's my question number one.

Varun Berry: So volume -- I see because there's an echo coming. Mihir, can you put yourself on mute -- So the volume growth have been reasonably good for us compared to our revenue growth even in the last 2 years. Whenever there is inflation and you take pricing, obviously, the delta between revenue and volume increases.

But we are hopeful that as we go through depending on the lev el of inflation, we should see both revenue as well as volume growth. And this year will be a test. So we are hoping that we'll be able to grow revenue and volumes. Obviously, there will be a delta because we've taken a pretty high price increase in the la st quarter ; and we'll be necessitated to take slightly more price increases to make sure that we deal with the inflation which comes in. But having said that, we are hoping to see healthy growth, both volume as well as revenue.

Mihir Shah: Got it, sir. So secondly, how should one think about pricing from here on? Key raw materials have started to correct quite a bit. So would it be fair to assume that there is no further price increase that one should expect from here? And secondly, do you foresee any compe tition from smaller players to start taking price cuts sooner than expected?

Varun Berry: No, Mihir. We don't see that happening because there has been a lot of inflation this year, and we started to take price increases pretty late in the year and so did the others. So even if there is a correction as far as inflation is concerned, I don't see a reaction of price cuts, etcetera , from smaller players.

It might just be that thereafter, we might not need any more price increases. So that's why we are keeping our eye on the ball just to make sure that we do not miss the trend, and we do what is rig ht for the business.

Mihir Shah: Understood Sir . If I may squeeze just one more insight. So on other expenses, they have been lower since the past 2 quarters. Can one say it's largely because of lower ad spend? And as you're expecting volumes -- to support volumes, c

an this number start inching up going forward? And
if you continue to do that, what is the level of operating margin that you will be comfortable
with?

Varun Berry: We don't give any forward -looking statements, Mihir, but we are comfortable in t he zone that
we are today. And we would like to stay within that zone and try and make sure that our profit
growth are higher than our revenue growth as we go forward.
Moderator: Next question comes from the line of Arnab Mitra with Goldman Sachs.
Arnab Mi tra: Varun, my first question was on this quarter. Could you just help us with the split of volume and
price growth? And in the light of whatever pricing you have taken, I'm sure some pricing will
flow in more in the second -- in the next few quarters. How much of price growth do you expect
at this stage for FY '26?
Varun Berry: So the delta is about 5.5% between pricing and -- between revenue and volume. And it depends
-- I don't think we will need to take any more price increases. There will be some remna nts of
the price increase which move into the first 2 months of this quarter. But thereafter, I think we -
- the way the commodity situation looks , it might not be necessary to take pricing beyond that.
But that will all depend on how the trends move throug h the quarter, and we will have to take a
call based on those trends.
Arnab Mitra: Yes. That's very helpful. The second, actually, just to repeat, just following up on the input cost
question. So we broadly know that palm oil and crude has seen some correc tion sequentially.
How is your expectation on wheat prices because I know the season is already done. And in that
light, would you say that, I mean, whatever input cost deflation we see potentially goes now into
improving gross margins back to the historic al trend line?
Or there could be a possibility of lowering of prices if the current spot prices hold in some of
these commodities?
Varun Berry: No -- I don't think wheat prices -- we will see a deflation in the wheat prices. Actually, I'd let
Manoj comment on that. Manoj?
Manoj Balgi: Yes. So this is Manoj. Wheat prices have been higher than last year, though the crop has been
higher than last year, but the minimum support price offered by government is about 7% higher.
And we don't expect a deflation in wh eat prices.
Moderator: Next question comes from the line of Jaykumar Doshi with Kotak.
Jaykumar Doshi: My question is on succession planning -- We saw that you've been appointed as CEO as well.
So are you not looking to hire a CEO anymore? I mean, after Rajneet moved out?
Varun Berry: No, no, that's not the point.
Jaykumar Doshi: Or is this an interim arrangement till you hire someone?
Varun Berr y: Yes. So it's a statutory requirement that a position of CEO has to be filled. So that's where it is.
But the succession planning is in play, and it will definitely be clear to you in the next 3, 4
months. So things are in play. So I can't comment anythi ng more than that right now.

Moderator: Next question comes from the line of Latika Chopra with JP Morgan.
Latika Chopra: My first question was around the revenue growth outlook. You mentioned you would want to
maintain both volume and value growth sustaining. Looking at price increases -- are going to
amount to roughly 5%, 6%, the kind of price increases we saw in Q4 to play out. Just wanted to
understand the volume growth you mentioned, was that a tonnage volume growth or in terms of
number of packs sold , because some of the price increases could be in the form of grammage
reduction. And as you look forward to FY '26, do you get a sense of arriving at a double -digit
kind of trend for revenue growth? We clocked 9% in Q4
Varun Berry: Yes. So whenever we talk about volume growth, they are not in a number

of packets. They're
always in tonnages. So -- and that's why the delta, rig ht; If we were looking at packets, I don't
think there would be much of a delta between revenue and volumes, right ; So it's tonnage. And
your second question was -- what was it, sorry, Latika.
Latika Chopra: For FY '26, how do you anticipate? Is there a co nfidence?
Varun Berry: Yes, you are talking about -- yes. Our endeavor always will be to get back to double digits

because as I've always been saying, with India being a developing country, obviously becoming a very large economy, it's important that in ca tegories like ours, we see double -digit growth. So yes, the hope is that we get back to double -digit growth with time.

Latika Chopra: The second question was around 2 key levers for revenue growth for you. One is distribution -- We continue to see the dire ct reach continuing to add for you. I think this is already probably the best in the industry at 2.9 million outlets. What is the scope for this to expand to? And if you could throw some color on w hat is the total reach for you?

And the second piece is on innovation and new launches. Could you share, is there a push by the company towards premiumizing the portfolio? Are there any metrics you can share which could give us some color on how the premium part of your portfolio is growing?

Varun Berry: Yes – No -- So good question, Latika. So what we are looking at now, as you know, that we are doing the route -to-market project and the route -to-market project is going to give us our ability to have the number of SKUs that we have in the large outlets, the more po tential outlets -- We want to increase our depth there. And obviously, at the village level and at the rural level, we want our width to increase.

So we are working on both, but the width improvement is going to be as long as it doesn't start to -- we also look at our volume per outlet. And obviously, even in small towns and villages, there are outlets which sell very high volumes and very high revenues of our pro ducts, which we sometimes miss.

So the VPO is very important for us. So we are not doing it min dlessly. It's not like width at any cost. We are also looking at cost, and we are saying that at the top end, we get depth, at the bottom end, we get width. And we'll do it in a way that the revenue that we get is as profitable as our revenues which we get today. And I'll ask Vipin to comment on that. Vipin?

Vipin Kataria: Yes, Varun. So Latika, basically, just to give you a sense of the category, we are into one of the most widely distributed categories, 9 million outlet base, we reached about 3 million di rectly, right ; and then there is a component of indirect and indirect if I add with direct, so our total reach is about 6.5 million. And over a period of time, we've been adding distribution both direct as well as indirect.

But what we also realize, like o ne of this thing is that we have got almost 25 different sub -brands and multiple categories. And we need to figure out a way on how do we service all the high potential – ultra-high potential outlets far better so that we go to the right kind of consumers, we go to the right kind of outlet cohorts.

And that's the route -to-market journey that we are talking about, and we are in the middle of it. And we're getting good positive results out of it. And therefore, to make sure that we truly be have like a total f oods company. We are ensuring that not only the width of the coverage, but also the kind of categories that we sell in these relevant outlets become a big initiative from our side.

Varun Berry: I hope that answers your question.

Latika Chopra: Yes. Any color you want to share on the premium mix for you? Any metrics you track within the...

Varun Berry: Yes -- So Latika, you've seen the kind of products that we've launched

. So Pure Magic Frames is one such example. Very, very premium product, very salient property that we've signed up for this, which is Harry Potter. And similarly, a lot of other products that we've launched, which are in this space.

So yes, we are making sure that we increase our premium play. And that's what's helping us keep our portfoli o at the right level. And in fact, a lot of our premium products are doing quite well. Sid, do you want to comment on that?

Siddharth Gupta : Yes. So just to add, so what we have done is across all salient categories, we have a fair understanding of what ar e the consumer need spaces and how they are evolving, and they are evolving quite rapidly across the spectrum. And basis that across critical categories, we have a very clear role of the portfolio, which includes, as Varun was saying , the critical products that will be needed to cater to the evolving needs and the products that we've already launched in the market, for example, Pure Magic Choco Frames - how do we build on and take them to a much bigger scale basis the response.

So we have a very clear framework identified across all our key categories on premiumization, and that continues to be a key lever for us that we are building upon.

Varun Berry: And we've got some very exciting new products coming up this year as well in the next 2 or 3 months. S o yes, the premium trade will increase as we go forward.

Moderator: Next question comes from the line of Percy Panthaki with IIFL Securities.

Percy Panthaki: My first question is, it's been about 10 years or so approximately since we first laid out this vision of being a total foods company. However, I haven't seen any new category being introduced since then, maybe with the exception of Croissant and some launch of milk shakes, but I take that as a sort of product within the dairy portfolio.

So just wanted to understand -- yes just want to understand if basically you're just happy growing the adjacencies , and of course, there would be innovation, renovation as part of any company business as usual. But are you happy growing the current adjacencies for now a nd maybe some new category either organically or inorganically isn't an immediate focus for you in the next 1 or 2 years?

Varun Berry: See, Percy, first of all, we have gotten into -- so as we spelled out when we've gotten into this strategy, the idea was to look at categories which are extremely close to what we do and then start to get further and further, right ; And with that, we've launched -- so frankly, it seems like it's within the same category.

But frankly, today, we've got a lot of products, which are completely new and have crossed -- some of them have crossed INR 100 crores, some of them have crossed INR 200 crores. So Croissant getting close to INR 200 crores, milkshakes crossed INR 200 crores and beyond, wafers getting to -- crossing INR 100 cr ores. So lots of these categories -- which are giving us that bump up.

So I think -- and these are all -- like we didn't know ABC of milk shakes, right? We were not a drinks company, right? And we took the plunge and put in the best technology. We have tod ay aseptic line, which -- when we put it up, even Coke and Pepsi didn't have it, right? So we've done it the right way.

We've got good results. We are seeing things moving in the right direction. Now has it made a difference, which we would have expected -- Certainly added up to give us the adjacent portfolio, which is much larger than what it used to be. But I would say that probably we've been caught at a time when the economic situation was a little tough and FMCGs are not getting their time in the sun.

But today, I feel and very clearly feel from even trends that we see in the market that all of these and adjacencies, I call adjacencies, which is anything outside of the biscui

ts, all of these are looking very positive, and we are seeing really good grow th. And even within, let's say, a cake category, right, there's so many new products that we've launched.

We've launched Layerz , we've l aunched Swiss , We've launched B rownie -- We've launched so many of these products -- which you cannot call as extensions or these are not extensions. Some of them have completely different technology. So from that standpoint, I think we will stay with this for the time being. We are not going to violently go wide where we go very far away from our core.

We will stay with this, but we will make sure that whatever we've done, we double down on it and grow it at a very rapid pace. So that will be the plan. And wherever we have opportunities, we will test market. And if there are big opportuni ties, we will launch. But more or less, we will

stay and grow the current categories that we have because there's immense potential to take them to the next level.

Percy Panthaki: Got it, Varun. Just your thoughts, I mean, this is not a guidance or any par ticular target, but just your thoughts on, if I were to say, over the next 5 years, what would be the growth differential between the biscuits and the non -biscuits portfolio?

Varun Berry: So I would say 1:1.5 -- So if biscuits grows at -- Yes.

Moderator: Next question comes from the line of Lokesh Gusain with BOB Capital Markets.

Lokesh Gusain: So I just got 2 questions. First is on the sales. So just to clarify the focus states performance relative to the rest of India for the fourth quarter? And then secondly, on costs regarding your cost saving initiatives, you've got 6 verticals -- Is there any vertical out of these which stood out in the fourth quarter?

Since your cost savin gs as a percentage of sales went up quite a bit, just trying to understand what's a sustainable rate , and what are your targets for FY '26 on cost savings as a percentage of sales?

Varun Berry: So let me get to the second question first, and I'll ask Venka t to answer that because he is the

architect of this. Venkat, are you there?
N. Venkataraman: Yes. So as far as cost efficiency for the year is concerned, the framework largely is the same. What we have done is to have gone deeper. So some of the areas whe re we managed to get some additional benefits in '24 -25 has been the areas of fiscal incentives because as you know, the Maharashtra facility was recognized as an ultra-mega project. And therefore, the incentives applicable to the ultra-mega projects came through in '24 -25 for us.
Also, the facility in UP, the Greenfield unit that was set up in UP got the approval for incentives in the current financial year. So these are 2 significant benefits that we saw in the current year. There's also a lot of value engineering projects, which were driven by R&D focusing on reducing wastages. And Packaging as well. Yes, packaging and wastages, correct. In addition, the initiatives were largely around improving manufacturing efficiencies.
Buying efficiencies was a very significant thing that we worked on in the current year, also on distribution. So I think broadly, these are the areas that we have been able to work on. And like Varun said, it has been 9x what we started the program with , in '24 -'25, and in '25 -'26, it' s -- we are planning something over 2.5% of the top line. So that is...
Lokesh Gusain: Understood. And then just on the fourth quarter, would it be fair to say that buying efficiencies were a major part of the incremental savings that you got?
N. Venkatara man: It was across. I wouldn't -- buying efficiency was higher, you're right, in Q4. Correct.
Moderator: Next question comes from the line of Nihal Mahesh Jham with HSBC Securities.

Nihal Jham: I just had

one question. Is it possible to share the proportio n of adjacencies for FY '25? And if you could give a ballpark split among the adjacency portfolio?
Varun Berry: So the adjacency portfolio, there are -- the big ones are cake, rusk, dairy, bread, they're all about the same size, about, let's say, 100 milli on dolla rs, give or take. And then we have the smaller ones which were launched in the last 4 or 5 years - Croissant, milkshakes, wafers, which are all in between INR 100 crores and INR 200 crores – INR 100 crores and INR 250 crores. So Venkat, what's the split today?
N. Venkataraman: It will be about 75% -25%.
Varun Berry: 75%-25%.
N. Venkataraman: Yes.
Moderator: Next question comes from the line of Kunal Vora with BNP Paribas.
Kunal Vora: Maybe if you can give a similar breakup in case of raw material, ho w much is wheat, palm oil, white sugar, cocoa - FY '25 composition of raw materials?
Varun Berry: Manoj, you can take that question.
Manoj Balgi: So from a percentage point of view, roughly about wheat and oil will be about 30% each, about 20% sugar.
Kunal Vora: Understood. Okay. And second...
Varun Berry: and then there are lots of small ones.
Kunal Vora: Understood. Second one is on quick -commerce and how it impacts you. I mean, like just if you can give a sense of what is the contribution? What kind of p acks get sold? Are you seeing any additional competition because of it and as consumers reduce their visits to Kirana, does it result in loss of some impulse purchase? So yes, just your sense on how quick -commerce impacts your business.
Varun Berry: So quick-commerce is now approximately 4% of our sales, well, quick -commerce and e - commerce, but a large part of that is quick -commerce today. And it's been growing fast, but still reasonably small in the overall contribution. Obviously, the convenience of it, t he consumers are enjoying that.
It's growing because there's a 3 cornered fight between the 3 big players in that space. And I think there are certain categories where it's even become 30% and 35%. But in our case, I see this move from, let's say, 4% to 8% in the next 3 years, but not beyond that. Vipin, would you like to comment on that?
Vipin Kataria: Yes. So see, first, just to tell you about the composition of the Q -commerce in total , across categories. So the biggest in Q -commerce is, let's say, staples and groceries, then comes fresh,

which is basically milk, pouch curd, right, then there is personal care and then is packaged foods,

right ,
So from that perspective, when you compare t his 4% salience coming out of e -com, right, is fairly decent because in personal care, that same percentage savings will be double digit, right ,
So I think we are rightly placed in terms of the percentage salience. Point number two is that we are consisten tly gaining market share.
Third is that we are aware of this entire disruption which the personal care space has seen because there's a lot of insurgency which comes into play. And therefore, if you hear what Varun was saying was that there are a lot of di gital-first brands that we have lined up. In fact, a couple of them have seen good success like Choco Frames, and we have got a few more lined up in this year as well.
So therefore, we have to protect our core , gain share there and also make sure that all the insurgent brands are basically taken care of through a lot of these digital -first brands. I think how we see e -com is basically part of the route to market, which is how do you make sure that you augment th e general trade, right, in terms of reaching to the consumer. So let me give you an example -- So there are a lot of premium products which a general trade Kirana store s will hesitate to stock, but we've been able to turn the tail and make those big -- so let me quote an example of, let'

s say, cake - brownie. So brownie is a product which might face limited
distribut ion because of some resistance , but through e -commerce, we've been able to make a significantly good business out of it, right ; So therefore, t he playbook is that we take a non - conflicting route. We take a route which augments our overall distribution and selling, and that is how we' ll been driving e -commerce going forward as well.
Kunal Vora: Understood. And does it result in any loss of impulse purchases the consumers like to step out to the Kiranas less?
Vipin Kataria: See, I think it only adds to impulse because if you see -- and all of us are also in the space of q-com. So instant gratification, occasion -led buying is only getting accelerated and accentuated through q-commerce, right , and therefore, our impulse portfolio is finding good favor in q-com.
And then we also have a large out -of-home business, right, to make sure that we are there in a lot of places where impulse consumption happens.
Kunal Vora: And just one last quick question. Other operating income, you had a big increase because of maybe incentives, INR 4 billion. Where does it go from here?
Varun Berry: Venkat, do you want to take that?
N. Venkataraman: No, it should -- we are not setting up any new units. Most of the units that we had set up are eligible for incentives - the one in TN, UP, Orissa , Bihar and Pune. So these are the incentives that we are eligible for. So it should stabilize is my sense.
Kunal Vora: Okay. And for how many years does this continue maybe at close to current levels or maybe a little more than that?

N. Venkataraman: So each one is for a different period of time , and some of them will end soon. Some of them will continue longer.
Kunal Vora: Okay.
Varun Berry: But the big one is Ranjangaon, which will continue for how many years Venkat?
N. Venkataraman: It is still 2037 or '38.
Varun Berry: Yes.
Moderator: Next question comes from the line of Jaykumar Doshi with Kotak.
Jaykumar Dos hi: One request, if you could add some disclosures on biscuits and adjacencies, either on a 6 monthly or annual basis because the 75%-25% split has been there for a few years now. And when I look at the old interviews, you've always maintained that 75% -25% should go to 65% -35% in 5 years.
But when we ask you this mix at the end of every y ear, it doesn't seem to change.
So it will help us appreciate the progress better, sir. If you can -- even once in a year also, it will be good to know. Second is when I lo ok at your strategy, and I asked you this question a couple of years back on inorganic, how do you think about inorganic now? For a company with your kind of cash flows, when we compa re you versus other F&B players , we have seen some of your peers have bee n more open to inorganic opportunities, and there are some success stories as well.
And we don't even sort of hear about Britannia evaluating any, right? For instance, there was Capital Foods or there have been other such acquisitions. Britannia is not eve n participating in evaluating it.
So is there a group level resistance or reluctance on inorganic? And is it that you're happy with whatever you can do organically, you don't really want to grow faster through inorganic route?
Varun Berry: No, that's not t rue, Jay. We would be happy to look at it. It's just that we are very conscious of returns, right ; Whatever we invest in, we would like to see returns. And whenever we've seen

any of these big transactions that have happened, we have evaluated them, but we haven't been
able to figure out how we'll get returns on these transactions.
But you tell us - is any of these big transactions have really been worth it? Have they given the
returns to these companies? We feel that getting an ROI on any of these investments is very
tough because of the v

aluations in the country but would be very happy to stand corrected if you
feel that there have been some big transactions which we could have missed.
Jaykumar Doshi: I think, Plix has done fairly well for Marico , still early days. And I mean, Capital Foods is also
something still early days. But I just thought, I mean -- so a fair point, I take your -- sort of got
your perspective.
Moderator: Last question comes from the line of Tejash Shah with Avendus Spark.
Tejash Shah: Varun, your decade -long cost saving discipline has been exceptional across FMCG. But at some

point, do efficiency gains start to taper off? And is there a risk of cutting into growth -linked
spends in pursuit of savings?
Varun Berry: I don't th ink so. See, I think I've said this earlier as well. We in India, we tend to get spoiled by
the kind of growth we get. And hence, cost efficiencies takes a backseat. Think about companies
that operate in countries with, let's say, in Japan or in the US whe re the growth are 0.5% or 1%,
right , and price increase opportunities are very limited.
The entire focus is on cost efficiencies to make sure that they shore up their bottom line year -
on-year. And we've learned from them, right - we've looked at how they s ort of go after costs
and how they get these costs. And every company has great opportunities to optimize costs,
right , So I think that there is a pipeline of projects that we could look at.
We see them every year, but obviously, there is a limit on how ma ny we can handle. So we focus
on the large ones and then we start to -- so the process is very good. Our process starts in the
month of November, let's say, right , and we start to identify these projects for the yea r starting
on the 1st of April.
And then we start to build on these and we -- and these are cross -functional teams, which work
on them and start to implement them. So I think we've defined the process very well. And our
teams -- the inherent thinking of our team is to make sure that we get these costs soon . So it
works very well.
And I do think that this is not going anywhere. We have enough projects to take us through the
next 10 years with the same kind of savings.
Tejash Shah: Got it. Second, we have done fabulously well on quick -commerce as a channel. Just wanted to
know how do you see it in terms of margin accretion and working capital discipline in overall
scheme of things?
Varun Berry: So for us, so again, it's a mindset within the organization to make sure that we look at profitability
for every channel. So for these channels, it's very important to make sure that the profitability is
looked at. And these are -- I wouldn't say they are accretive overall, but they are certainly in the
same ballpar k as our overall profitability.
And we are ver y conscious of that because if you have tailwinds in a certain channel or a certain
pack or a certain brand, it's important that, that channel or that pack or that brand is equal to or
greater than the profitability of the company and that we focus on to m ake sure that we don't
lose that aspect of our profitability.
So that's how it works for q-commerce as well as e -commerce. And despite that, we've also been
gaining share within these channels.
Tejash Shah: And even on working capital, they are equally goo d.
Varun Berry: Yes.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -
and-answer session. I would now like to hand the conference over to Mr. Ayush Agarwal for
closing comments.
Ayush Agarwal : Thank you, everyone, for spending time with us on the call today. We look forward to interacting
with you again in the future. Thank you.
Moderator: Thank you. On behalf of Britannia Industries Limited, that concludes this con

ference. Thank
you for joining us. Y ou may now disconnect your lines.

Call: Aug 2025

Date: 12th August , 2025

Dear Sir/Madam,

Sub : Transcript of the Investors/Analysts Conference Call (Group Meet) for the quarter ended 30th June, 2025

Ref : Regulation 30 of the Securities and Exchange Boar d of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations, 2015’)

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the transcript of Investors/Analysts Conference Call (Group Meet) held on 6th August , 2025 , pertaining to the financial results and operations of the Company for the quarter ended 3 0th June , 2025.

The Transcript along with the Presentation and Audio Recording are also made available on the Website of the Company at www.britannia.co.in/investors/financial -performance/analyst -call.

Request you to please take the above information on records.

Yours faith fully,
For Britannia Industries Limited

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Company Secretary
Membership No. : A20927
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BSE Limited,
Phiroze Jeejeebhoy Towers,
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Scrip code: 500825
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“Britannia Industries Limited
Q1 FY 2025 -26 Earnings Conference Call ”
August 06, 202 5

MANAGEMENT : MR. VARUN BERRY – EXECUTIVE VICE CHAIRMA N,
MANAGING DIRECTOR AND CHIEF EXECUTIVE
OFFICER -- BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES
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MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER ,
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MANAGER , CORPORATE FINANCE – BRITANNIA
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MR. AYUSH AGARWAL – INVESTOR RELATIONS --
BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please s ignal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ayush Agarwal, Investor Relations. Thank you, and over to you, sir.
Ayush Agarwal: Thank you, Neerav. Good morning, everyone. This is Ayush from the Investor Relations team.
I welcome you all to the Britannia Earnings Call to discuss the financial results of Q1 '25 -'26.
Joining us today on this earnings call is our Executive Vice Chairman, Managin g Director and CEO, Mr. Varun Berry; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer - Sales and Replenishment, Mr. Vipin Kataria; Chief Manufacturing and Procurement Officer, Mr. Manoj Balgi; General Manager - Marketing, Mr. Sidd harth Gupta; and General Manager - Corporate Finance, Mr. Ramamurthy Jayaraman. The analyst deck is uploaded on our website.
Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbor statement in the presentation. Over to Mr. Berry with the remarks on performance.
Varun Berry: Good morning, everyone, and welcome to the call. So let me just jump into the presentation straightaway. So getting on to our agenda, I quickly take you through the business overview, move on to t he strategic priorities, the cost and profitability outlook and finally, the financial results.
So the first slide of the business overview, we've had pretty good revenue growth. I can say that it's double digits. It's just about 20 basis points lower tha n double digits. So we've a 9.8% 12 -month growth and a 14.2% 24 -month growth. Our profit after tax is a 3% growth for 12 months and 14% for 24 months.
Getting to the next slide, which is the commodities. As far as our market share is concerned, sorry, the market share slide, we've improved our market share versus our organized players, 5 out of 7 regions we've gained share. There are 2 regions where there's some work to be done. And overall, while market share has remained flattish from a Nielsen perspecti ve, I think other players in the industry have not grown as fast as us.
So the fact is that we seem to be doing reasonably well as far as market share is concerned. There are a few issues, which we need to work out, and we are working on those. But I pers onally think that we -- our momentum is on our side, both on revenue as well as our market share.
Getting to the commodity slide. Now on commodities, we've had a reasonably, I would say, a stable quarter while on an overall basis, if you look at the full year, it's been very turbulent. Flour, there's been versus Q1 of '25, which is the corresponding quarter last year, it's an 8% inflation. Palm oil, while versus -- sequentially, it's been negative. So we've had a deflation sequentially , but versus the same quarter last year, we've had an inflation of 45%. Sugar, again,

within those boundaries, so pretty manageable. Cocoa also sequentially has come down, while there's a 35% inflation versus last year. Laminates and CBBs both have been within those guardrails and pretty manageable.
Moving on to the strategic priorities, which are what we discuss every time - Efficiencies in sales and Distribution, Innovation and Adjacencies, Sustainability, Brand and Cost efficiency. So I'll take you through that. As far as d istribution is concerned, we've seen an uptick both in urban as well as rural.
Our rural growths ha

ve this quarter been double digits and urban is very high single digits. This urban includes the general trade as well as the modern trade as well as the e -com numbers. Now what are the enablers as far as the growths are concerned - we are focusing on our rural markets where we are looking at taking our distributors to be full -scale distributors.
When we started this program, we had appointed rural distribut ors where the supervision was

pretty good. But when they become full -scale distributors, the supervision becomes even better and the whole working style becomes more organized. So we are looking at taking our rural distributors to be full -scale distributor s, which is helping us.
Second, obviously, there is a better extraction from the existing distribution infrastructure that we've created. The high potential outlets are being focused on through our RTM project, and this is not just for the base business, but it's got excess focus on the adjacency business, and we are seeing that pay up for us. We've also got the sales program for key urban accounts. We are revamping that program, and that's helping us as well. Obviously, e -commerce has been doing really we ll for us. We've been gaining share in that segment, although it's still only 4% of our overall business.
Moving on to the next slide, which is driving the Hindi belt. Hindi belt this quarter has been really, really good. All 4 states have given us very g ood growths, very high double -digit growths, and the growths are 2.7x what they are for our other states. So this -- and this has led to a market share gain of 65 basis points over Q1 in the Hindi states. So that agenda is going quite well for us.
On the marketing program, some very exciting marketing programs. The Good Day programs continue. We've had a very good campaign and that's giving us good results. We've had this 50 - 50 program with Ravi Shastri, which has been doing pretty well. The advertising ha s been appreciated. The connect is being made. Jim Jam continues to advertise. We tied up Gukesh for Milk Bikis, and that advertising is on air.
We also did inclusivity campaign during the pride month, where we also brought in our largest competitor into it, which became quite a discussion point and Marie Gold, the StartUp Show continues and is doing very well for us.
Now coming to innovations. Some very, very exciting innovations. You are aware of Pure Magic Stars and the Harry Potter Pure Magic Choco Fr ames. The Butter Jeera Good Day and the Fruit and Nut are doing very well for us. We are just in the process of launching Pure Magic Choco

Tarts - it's just getting into the market as we speak. There are 2 flavors - one is the chocolate and the second is t he hazelnut and these are very exciting products, and we are hoping that these will become big blockbusters. We've also launched 100% Millet NutriChoice. A very exciting product again. It's got no sugar -- no added sugar in it and it doesn't have palm oil. This is a very, very good product, which has gone into the market, and we are launching Milk Bikis Smart, which is on the whole concept of chess.
In fact, the biscuit itself has the chess personalities on it. And we've got -- this is enriched with DHA, w hich is a good ingredient for kids to grow up with the right thinking abilities. And as a result of all of our innovations, our premium product salience has gone up by 310 basis points. This question comes up in every meeting that we have with all of you. So we thought that we'll just preempt this and give you this number early.
The adjacency business, the next slide, the adjacency business has been doing quite well for us. Rusk has been growing double digits and high double digits , and even the profitabil ity has improved dramatically as far as Rusk is concerned. Croissant, mid -20s kind of growth and we've gotten

to a breakeven as far as profitability is concerned after all the spends that we do on A&SP, very good gross margins we make on this product, and this is moving very well in the market. Wafers, again, it's growing very well, almost a 30% growth here, and our market share has moved up. And this category also -- we were late starts in this category, but we are gaining strength very, very quickly.
Dairy - We've done extremely well in general trade where it's like a 40% growth. Even in e - commerce, we've got very good growth. We still have to get our modern trade agenda right, because there are price players who continue to hammer on price, and we are i n the process of making sure that we get modern trade under our belt as well.
As far as drinks is concerned, every company has reported negative numbers, but we've had -- on milkshakes, we've had a double -digit growth despite the early monsoons, et cetera . So that's doing quite well for us as well.
Moving to the ESG agenda. Manoj, do you want to speak on the ESG?
Manoj Balgi: So the progress on the ESG KPIs we track has been good this quarter. We have moved 4% in terms of our renewable electricity consump tion. In terms of specific water consumption reduction, we are ahead of the target and we have had about 3.5% reduction this quarter. The diversity agenda is being driven, where we have had in the woman factory workforce, we have had about a 1.8% increase over the previous quarter. And through our CSR arm, the Britannia Nutrition Foundation, the number of beneficiaries that...
Varun Berry: 1.8% is the contribution increase

Manoj Balgi: Yes, yes. And Britannia Nutrition Foundation, the number of beneficiaries reached has increased by about 3.5% over the previous quarter. And we have got multiple recognitions this quarter about -- we were recognized with multiple accolades for the global CSR and ESG awards for

2025. Six of our factories won the CII EHS Excellence Awards. And Dun & Bradstreet has recognized us as one of the leading ESG entities in India.

Varun Berry: And Manoj has been leading this right from the time we started, and I'm very proud of achievements here. Obviously, a mountain to climb, but a very good start as far as ESG is concerned. Now moving on to cost and profitability. So on the cost front, sustaining margins while being competitive was our agenda , and I think we've been able to d o that quite well. We've been able to fight the regional players as well , and we've been able to make sure that we keep the momentum going. Also, investing behind key brands and scaling up innovations, we've been able to do that quite well, and we are in t he process of launching a lot mor e innovations during this year.

The outlook, obviously, driving consumption in the core categories remains our big agenda and closely monitoring policy interventions and the harvest output, which impact the commodity price s also will be a very critical thing for us.

But having said that, I think from here on, we do not see the kind of wide fluctuations that we've seen on commodity and we always perform much better in stable conditions during the turbulence in commodity pri ces, like what we have seen in the last 2 years, it's always difficult to navigate price increases and estimate what it's going to lead to, et cetera, et cetera, et cetera. We have covered most of our inflation in -- through our price increases. We are don e with that, and we are in a good position today.

Okay , moving to the financial results. So a 12 -month growth of 10%, I'm taking the license to call 9.8%, 10%. And if you were to look at it, it's INR 4,535 crores consolidated revenue for us during this qu arter. And this is not a peak quarter usually. So it's good to see the movement here. Now getting to the next slide, I've taken you through it, so I won't drain this slide

, but a 3% growth on PAT and PBT, and even if you were to look at profit from operations almost at 15%, profit before tax at 15.5% and profit after tax at 11.5%. So that's where we are at. We've also had the SAR revaluation, which happens, which is an impact of INR 52 crores to our overall profit. If you were to look at it without that, the operating results are very good with a 10% top line. And if you disregard the SAR fo r a second, while you can't do it, it would be a 13% bottom line growth.

So with that, we'll open the house for questions from you.

Moderator: Thank you very much. First question is from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.

Abnees h Roy: Congrats on near double -digit sales growth. My first question is on the market share and overall local player dynamics. So yes, specific question is number 3 player, ITC has called out in their Q1 release that biscuits has been one of the key driver s for their growth. Now 5, 6 years, of course, the number 3 player has been quite rational. Is there any resurgence of the number 3 player ?

And on your comment on local players coming back. Why in only 2 regions you faced a market share issue, why was it restricted to 2, why not in all the 7 regions? And could you clarify which are those players and which are those regions? That is my first question.

Varun Berry: Yes. So let me answer your second part first. So the region that we've had a little bit of tur moil is the East, and the reason for that is not the regional players, but it's an internal restructuring of distribution that we are doing. We are looking at mega distributors , we are trying to create infrastructure for the future. And as a result of that , there's been some amount of turmoil, and that is one region where we've lost share.

And that is one region where also you tend to have a lot of local players. So I guess the local players have benefited on -- basically our stumbling a bit in the execution there. But I think we've got things under control, and we are in the process. And we'll come back, the Tiger always takes 2 steps backwards before it launches itself. So we are in that position where we've taken those 2 st eps backward, and now we are in the position to launch ourselves, and I think we'll come back much stronger there. And -- so that's 1 reason for the -- what was the other question, Abneesh, I...

Abneesh Roy: The number 3 player ITC?
Varun Berry: Yes. No, ITC has been very, very rational. Actually, we have no complaints with any one of our competitors. It's been a very, very good ride as far as competition is concerned. There is nothing dirty happening anywhere. All of our competitors have been playing the game as it should be played, which is on brands, which is on distribution. So no, they've been very good. And there's nothing which is looking out of whack, I don't think there's -- their shares are within that band, and it continues to be there.
Abneesh R oy: Varun, 1 -- 2 quick follow -ups on this first question. These are small follow -ups. One is the mega distribution which you are doing, obviously, that is being done for some reason. So I -- is my assumption correct that long term, this should drive margi n profile better, and this is a transition issue. And on your comment on alternate deflation, inflation comment, generally, when this happens in any category, the number 1 player suffers. So would you say that this issue of inflation followed by deflation and vice versa, that impact on you from a demand side is not something you are too much worried on?
Varun Berry: No, we are not worried on it -- while we were in that cycle, we were worried. I think now we are in stable territory, so we are not worried on. The reason for doing the mega distributor is to get better control on our distribution, making sure that we have to deal with

1 mega entity and
make sure that we put in the right processes. And it is a fragmented region with -- there were a lot of distrib utors. So we are trying to just restructure it and see how we can take it to the next level.
Abneesh Roy: Sir, my last question is on the adjacency business. So in croissant and wafers, have you now become the number 1 player already. And in dairy, the 40% growth in GT, is that a base effect issue? What is the sustainable growth here?

Varun Berry: No. The sustainable growth there is -- as far as GT is concerned, I think we can continue to get that kind of growth for a number of years because with our -- now being price competitive, there is a long -- we can get that GT business to do a lot better than what it's done in the past because we were at a 25%, 30% premium to our largest competitor. So I think that will continue. The contribution of GT to our overal l cheese will continue to grow. But that doesn't preclude us from making sure that we get our other channels right and that's what we are working on currently.
Moderator: The next question is from the line of Mihir Shah from Nomura.
Mihir Shah: So firstly, on the volume growth, it seems to be just about 2% volume growth. And the momentum versus what we saw in the fourth quarter seems to have gone down, while most of the other consumer companies are seeing an improvement in momentum when it comes to volume g rowth from 4Q to 1Q
Is there any impact of this East distribution rejig that you're doing is impacting this volume growth? That's one. And the other one is, do you see any green shoots or trend change for volume growth trajectory to get better in the comi ng quarters?
Varun Berry: No. See, the point is that with the kind of inflation that we've seen, there is bound to be revenue growth more than volume growth in these times.
Moderator: Mihir, may I request you to mute your line from your side, please, when you're not talking. Sorry, sir, please go ahead.
Varun Berry: Yes. So there is bound to be -- volume will give way for revenue, and that's what we are seeing. However, the way to look at it in our business, because 60% of our business comes out of price packs, which are INR 5 and INR 10. The way to look at it is to see what kind of transaction growth, how many consumers are interacting with our brands.
And the transaction growth has been 12%. So we are pretty happy with our transaction growth of 12%. And v olume will also come back slowly and steadily. But I would say the delta between volume and revenue will remain at about 6%, 7%, 8% for the coming 2 or 3 quarters.
Mihir Shah: Understood. Sir, second question is on the commodities. Sequentially, most commo dity prices are seeing a downward trend and there seems to be kind of a 7.5%, 8% pricing in the system. How should one think about the gross margin from here on?
Because in 1Q, we did not see much improvement on a sequential basis versus what you're expec ting, but maybe there were some higher inventory in the system. Can one expect this gross margins to have bottomed out and to see an improvement and all the high -priced inventory have gotten exhausted?
Varun Berry: No, it was not about high -priced inventor y. In Q1, the inflation that we saw was still what we had seen in the previous quarters, and we hadn't been able to mitigate that inflation through the required price increases. Now we've completed that. And you actually answered your own question. If the commodity prices are within a band, then obviously, the margins can only be

better.
Mihir Shah: Got it, sir. I just wanted to get your confirmation on the same and just shout out to your innovation, especially on the Chess and the Harry Potter ones, they a re just pretty awesome.
Moderator: The next question i

s from the line of Avi Mehta from Macquarie Capital. The line for the participant dropped. Next question is from the line of Nitin from Emkay Global.
Nitin: I just wanted to check on this SAR sort of im pact of INR 52 crores. So how exactly is the calculation? And how should we build this going forward in the coming quarters?
Varun Berry: See, it's completely dependent on the stock price, where the employees get the SAR, which then gets revalued basis the stock price. So -- but we do understand the fluctuation it causes. And in the next year -- not in this year, but in the next year, we'll try and see how we can even it out better.
Nitin: Okay, sure. And my second question is around how are we investing behind brands? Because last year, A&P spendings have reduced 19%. So can you throw some light here? And also, if you can help me understand how is our digital spend?
Varun Berry: So we did rationalize our A&P spends during this quarter. What we did was we focused on IPL. So IPL was our main platform where we -- and it was also on digital. So digital has been a pretty important agenda for us. And we just focused on IPL because this was the IPL quarter, and that gave us the right kind of dividends.
Obviously , we knew that the inflation pressures are there. So I think that strategy worked. We didn't go across all our brands. We just focused on our top 4 brands and advertise those brands. So that's how we moved on. But in this quarter, we are back to our normal A&P spends.
Nitin: And last question is around quick commerce. What is the salience of quick commerce, given 4% is from e -commerce, and we have exciting offerings like Fox Nuts , Be You P rotein Bars and Croissant. So how exactly is quick commerce doing for us?
Varun Berry: So overall, it is 4%. On our overall business, obviously, for certain categories, it's larger. Actually, biscuits is the lowest, and the other categories are all 8% plus. So -- but the fact -- and between quick commerce and e -commerce, I think it's mainly quick commerce.
Vipin Kataria: Yes. So this is Vipin Kataria. So out of our total digital comm business almost 75% now is coming from q -com. The category also is pretty salient in q -comm. So that is how the entire ratio is changing. Marke tplace for us is not very big because the average order value for us is not very big. So therefore, the big tailwind is coming from q -comm. Now coming to a lot of the innovations that we have launched.
So like Croissant, almost 35% of the sale is coming f rom e -comm. Pure Magic Stars that we have recently launched, almost half of that sale is coming from q -comm , and similarly, brownie and a lot of other innovations. So therefore, a lot of the innovations we've been able to build through the entire digital c ommerce, and that's the strategy going forward.

Nitin: Sure, this is really helpful. We are basically aligned with the evolving consumer mix.
Moderator: The next question is from the line of Latika Chopra from JPMorgan.
Latika Chopra: My first question was checking your confidence on demand recovery. You talked about a marginal uptick in urban and rural demand trends. You have delivered close to 10% revenue growth in this quarter. Much of the pricing is behind us, and you would assume that incremental growt h is going to be transaction led, as you mentioned. Do you anticipate further acceleration in overall revenue growth through rest of the year?
Varun Berry: Latika, we are going through turbulent times really with Mr. Trump and all that ’s happening on the international front. So it's very difficult to judge where the consumer sentiment is headed. But yes, we've seen very good growth this quarter. And hopefully, we'll be able to continue with that momentum as we go forward as well.
Latika Chopra: Okay. The se cond thing I wanted to touch upon was a

little better in detail was around your comments on market shares and regional competition. You just alluded that gross margins probably will improve sequentially. But do you see a need for higher competitive spends to deal with the regional competition, which is gaining? And in that light, do you expect EBITDA margins for full year to still hover around last year levels or improve from there? Or do you see any significant risk on EBITDA margins?
Varun Berry: No. So L atika, we -- I think we've taken our price increases. Today, we are in a good place.

We've also been able to create a war chest for ourselves to be able to spend if we need to in specific territories, specific states against specific players. So we are goi ng to fight many battles in smaller territories.
And we are doing a specific analysis on each one of these competitors. And I think we are in a very good place to be able to do so now with the inflation, deflation cycle sort of behind us and our -- having been able to mitigate inflation with all the measures, including cost efficiency programs. So I think we are in a good place to be able to take this forward in a stable and good way.
Latika Chopra: So you think your ability to sustain margins, you have a fair bit of confidence to sustain or improve in margins over the last year at operating level?
Varun Berry: Yes, yes.
Latika Chopra: All right. And the last bit for me was 2 checks. One was on -- if you could give us some color on how are you thinking abou t the other operating income number on a full year basis for FY '26? And also if you could give us the number on capex for the year?
Varun Berry: So other operating income. So yes, it's good that you bring that up. So in the last year's results, the other operating income was higher because in Ranjangaon, we had made the investments which were necessary to take us to an ultra-mega project from a mega project, which gave us a windfall in the Q1 of 2025. And that's why the number there is higher than what it is this year. However, having said that, from here on, it's going to be pretty linear. So that should not be a

fluctuating number any longer.
Latika Chopra: Understood. And anything on capex incrementally?
Varun Berry: Capex , we are just keeping it very tight this year, Latika. We just want to make sure we've got enough capacity. Wherever we need capacity, like, for example, Jim Jam, we need capacity. We put up some new plants recently. We put up plant in Tirunelveli and in UP, and we e nhanced our capacit y in Orissa.
So we've got good capacity right now. We've got decent head space. I wouldn't say that it's sort of too much, but we've got decent head space, so we want to keep the capex lower. So I would say, but INR 100 crores is what it would be this yea r, which is much lower than what we've seen in the past few years.
Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.
Percy Panthaki: Sir, so basically, just -- I know this has been discussed, but again on the gross margi n front. Just wanted to understand as to when this palm oil cost reduction and duty reduction, which quarter is it going to hit us? Did it hit us partially this quarter or it's going to be Q2 or Q3?
Manoj Balgi: So the reduction was given by the government somewhere in May. And part of the benefit has already come in Q1, but largely, it will come in Q2.
Percy Panthaki: Okay. Because you would have some holding period also of inventory. That's why I'm asking.
Varun Berry: No, no, we don't have a holding peri od. Whatever we buy, what it -- the duty which exists today is applied. So there's no stock, which hits us in adversely or favorably as far as duties are concerned.
Percy Panthaki: And how relevant or how big is this duty cut plus whatever cut has happened in the base price itself? I mean, in te

rms of gross margin basis points, is it like 50 basis points, 100 basis points?
What does it translate to, assuming all other factors constant?
Ramamurthy Jayaraman : Percy, it's a little bit difficult to say because with the duty cut, it also depends on the international prices, how they move, etcetera. So just to put a quantification will be a little bit difficult on the number per se.
Varun Berry: Percy always asks very tough question.
Percy Panthaki: No problem, si r. I -- okay. So another thing, a follow -up to this is, since all commodities are cooling off. Do you expect any kind of this benefit to be passed on to the consumers or more likely to maintain current price levels because anyways, margins were under press ure?
Varun Berry: Yes. So I think more of the latter. But if there's need to do anything, as we spoke earlier, if there's any need to be competitive in certain territories, we will make sure that we do that.
Percy Panthaki: Okay. Second question is, so you have continuously sort of highlighted that in the Hindi heartland states, you have lower market shares, and you're sort of going to increase market share

there. So as one of the company's overall growth driver, is this the main thing? Or I mean, do you th ink that -- I mean, excluding this region, do you think that the company can still grow volumes at mid -single digits over the next 3, 5 years? Or it's mainly sort of going to be this region, which is driving the growth?

Varun Berry: No, no, it's not -- we can't base our numbers on just 1 region. This is a focus area that we are working on. But a lot of the markets are so big for us like the South is so large, if we're not able to sustain our momentum there. So obviously, this is an important part, but not t he only part of our strategy.

Percy Panthaki: But sir, in South, like per capita incomes are also a little bit higher than India. Penetration is full. Of course, there is a premiumization angle always. But what really will drive market share in, let's say, South India where your market shares are high, where per capita consumption and -- not in value terms, but at least in volume terms is pretty decent. So do you see that region or that, the industry overall for that region to be sort of a decent mid -single -digit growth industry? Or that's not the case anymore?

Varun Berry: No, it is. It is. But if you are saying that -- if you're talking from a market share perspective, then the Hindi belt is going to be an important part of our equation, right , but if you' re talking about growth perspective, then we've got to grow, obviously, we have to grow through penetration in a lot of the states that we operate in currently. And it's going to be important for us to grow each state and not just the Hindi states because that's not going to give us overall growth for the company.

Vipin Kataria: So just to build on this. See, so while we are talking about the aggregate market share, but within that market share, there are a lot of subcategories which have a big head space. So just to give you an example, Wafers in South, we are underleveraged in terms of our market share , and therefore, there is a big opportunity in terms of gaining share in that market.

Similarly, Croissant is a big opportunity, and there are a lot of other premium products where we have a head space to grow market share. And therefore, that should be built through the penetration, right, which Varun was talking about. And therefore, that should give us that entire opportunity to gain market share even in the mature markets.

And obviously, the growths have to be more homogeneous. It cannot be only dependent on these 4, 5 opportunity states. I think the other angle is the channel angle, which is becoming now more and more mature. So let's say, the modern trade penetration, the quick commerce penetration is

another dimension to build the growth as well as market share. So I think how we look at market share as well as growth is basically a grid of channel and geographies. And therefore, that interplay is v ery, very critical when we talk about market share in categories.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Sir, across industry, we are seeing strong traction in health, nutrition, wellness -led launches, especially on D2C and quick commerce. And interestingly, on the previous answer, you also called out that quick commerce and modern trade is an opportunity, which is under -indexed. So

do you see any portfolio gaps or opportunities for us in this space?

And especially like, let's say, something like SuperYou, if you saw, those brands are getting immediate traction on wellness platform and in quick commerce channels. So just wanted to understand your perspective on this.

Siddharth Gupta: Okay. So I'll answe r that, Siddharth here. So the way we look at it is we keep a check on trends, which are developing. And you're right, health is one trend, which is becoming salient especially on quick commerce. Similarly, indulgence is again, a similar trend that we are seeing.

And to cater to these trends, if you recall, I mean even in the presentation, there was an innovation launch that we spoke of, which is NutriChoice 100% millets, which is actually catering to this trend of healthier offerings, which the quick com merce consumer is seeking. And similarly, the Pure Magic Choco Tarts that's lined up is again catering to the indulgence trend that the same quick commerce consumer is seeking. So we are keeping a tab on that and...

Varun Berry: Also the Milk Bikis Smart.

Siddharth Gupta: Milk Bikis Smart exactly also caters to the same -- I mean, the mothers looking for healthier offerings for their kids. So therefore, you are right. These trends are there. They are becoming relevant. And to cater to those, we already are l aunching new innovations and work is happening to kind of be ready with more such products, which cater to the consumer trends.

Varun Berry: But point is taken. Your point is right. There are certain start -ups, which are making their presence felt by break ing into certain categories, which are sort of not visible before they come into the market. I think those are trends that we have to watch out for and make sure that we have those in our arsenal as well.

Tejash Shah: And sir, last quarter, you had called out certain distribution reforms to increase volume per output. So just wanted to know where are we? And are we seeing any tangible outcomes already on that?

Varun Berry: Yes. So we have the RTM project. Vipin?
Vipin Kataria: Yes. So thanks for the questio n. So basically, the project is about building the bespoke service level, which is, let's say, your ultra -high potential outlet. You need to service it adequately so that we can build on our availability as well as range so that the project is -- has been on for the last 4 mo nths now, we are scaling it up.
The intent is to make sure that 70% of our urban retail is covered through this model. So we are already -- 1/3 of the entire scale -up has been done. And this quarter and next quarter is when we are making sure that 100% of the project scope is covered. The initial results are good. We are getting good delta growth for our biscuit categories and even higher delta growth for Cake, Rusk and Croissant.
So I think the project is shaping up well. We are r ight now in the war room, we are making sure that as we scale up, we improvise. It's very important for us to also keep all stakeholders engaged

because there's a large change and therefore, change management is something, which is very critical

. We are al so making sure that this is also beneficial to our channel partners, our distributors because that's what will bring the stability. So I think the first 4, 5 months of the scale -up pretty good, and we have a very clear sight of scaling this up to that 70% level in the next 4, 5 months.
Tejash Shah: And this 1/3 rollout that we would have done, that would have given a much higher number than what we have clocked at average level?
Vipin Kataria: Yes. So the delta growth is high single, right . So how we measure this is basically the pilot versus the overall universe. And there, the delta growth is coming to high single, and that's giving us the confidence that by servicing these high potential outlets at the right frequency will build throughpu t and range.
Tejash Shah: And. If I may squeeze last one. Sir, you mentioned very positive outlook on raw material prices. I just wanted to know, are there any specific markers , which are giving you that confidence? Or is it just general sense of optimism?
Varun Berry: No, I didn't understand the question.
Tejash Shah: Sir, in your remarks, you mentioned that you believe that the worst of RM cycle is behind us. So are there any specific markers that we are tracking, which gives us this confidence? Or is it just a sense of optimism that we have as of now?
Varun Berry: No, no, no. It's completely scientific. Manoj, why don't you comment?
Manoj Balgi: Basic supply -demand construct of the commodities have been factored in, and that's why we feel that price outlo ok should be quite stable in terms of commodities.
Moderator: The next question is from the line of Nihal Jham from HSBC.
Nihal Jham: Yes. Sir, 2 questions. First is on the regional competition you did mention at the start of your presentation. So is it -- generally, we've seen that the competition comes up when there is a massive price reduction that happens on the RM side. Maybe at this point in time, there is so me moderation, but not as much .
So is it that the color of regional competition has changed where rather than just being price - driven, even in terms of innovation of products, they are sort of matching up and now this is not just becoming an RM -driven regional competition, but more serious as we consider ahead?
Varun Berry: See what's happened ov er the years, if you look at what's happened to the biscuit industry about 14 years back, the margins in the industry were about 3%, 4%, right . From that, it's moved to teens now, So whenever -- and the Indian entrepreneur, you know, whenever the site pote ntial of making margins, they will be there to make sure that they enter the market.
And we've seen some entries happen like that. And when people come in, they do get some fruit for whatever they have done . So it's always important to make sure that we u nderstand where

and what their strengths are and make sure that we nullify them in whatever way we can as we move forward.
The reality is that the margins are going to be much higher than what they were in the past. And the reality also is that there will be competitors who'll enter this category and remain in this category. Obviously, some of them will sustain themselves, a lot of them will not be able to sustain themselves.
It's up to us to read in their strategy and make sure that we act accordingly to be able to sustain our numbers in those territories . So that is where it is. It's impossible to have no competitors

coming into this category , because it will happen . There will be smaller players coming in. Now it's up to us to be able to counter them as we go forward.
Nihal Jham: Sure, sir, point taken. The second question was that on the adjacencies, if you could just give more color on cakes and breads, I think that is something you've not highlighted much and the overall adjacency growth, if that is

p ossible.
Varun Berry: Yes. So bread has been doing really well for us. Bread , where we were obviously not accretive on margin, et cetera - the growths have been very good and even the margins have been pretty good, obviously, a little lower than what our company margins are, but they are pretty good. So bread business has been doing quite well.
We've been able to spread ourselves. We used to be a North -centric business. We still are heavy in the North, but I think we've been able to get our business in Hy derabad, in Bangalore, in Chennai, Bombay, obviously, we already were there - so we've been able to spread our business across the country, which is good, and we will make sure that we continue to do that and have a nationwide footprint as far as Bread is concerned.
Cake has not been a great story. Cake growths are single digit. They are not double digit, as I spoke about for the other categories. The reason for that is, again, margins led. We had a margin issue on cake and we tried to move price point fro m INR 10 to INR 15 and we sustained a certain volume and revenue losses when we did that.
So that was a strategic move from our side. Obviously, with UPI and digital payments, etcetera, we thought price points are not as critical today, but it seems that they are. So we are reassessing that strategy. Obviously, we do want to get the margins up, but we are reassessing that strategy, and we will be in a good place as far as cake is concerned. We've had a very good response to our relaunch. Some of our catego ries within Cake have been doing really well, like Brownie, et cetera, have been doing extremely well. Once we get this right, the margin and the volume and revenue growths, I think we'll be in a good place as far as cake is concerned as well.
Moderator: The next question is from the line of Amit Sachdeva from UBS Group.
Amit Sachdeva: Just a small clarification on the SAR valuation again. Although it's good that the interests are aligned and employees -- I assume that's linked with economic value created a nd that reflects in the stock being -- ESOP being revalued. Can I just get a broader sense, say, there's a 10%

increase in, say, stock price in a given time frame, say, a quarter or 2 how one should think about the P&L impact of that?
Is it that I assume it's a structural company and it grows earnings every year. How one should think about structurally taking into account without having to worry about each quarter, the one - off impact of it and how margins should we look at it? Although I see that it's a th ing that will happen, but can you give us some guidance how it is really calculated with the reference stock price?
Varun Berry: So it's very simple. See, in a normal market, it goes up whatever the stock price goes up by. It's just been that overall, the times have been very turbulent . The stock price had gone down and then it came up , and in those turbulent times, you will see these bumps in the road.
So I think as things become smoother, I think it will be -- see, if you look at the range in 1 year, as far as our stock price is concerned, it's a very wide range, and that's what's created this number . So with a smoother road, I think this kind of bump doesn't happen.
Amit Sachdeva: Got it. Got it. That's very helpful. It's just that -- but where I'm comin g from is that I want to sort of always want to know how we are at the EBITDA margin level from a cycle -- input price cycle point of view , and that sort of come in the way of getting that benchmark right . That's the only thing.
Varun Berry: Okay. Understo od.
Moderator: The next question is from the line of Jay Doshi from Kotak Securities.
Jay Doshi: I just have a small sort of a follow -up on the previous question itself. So if we assume that the stock remains at these levels for the next 2, 3 quarters,

then is this INR 52 crores charge is the
all we'll see for the full year?
So should we think of it that your underlying employee costs without SAR's charge, was about INR 190 crores this quarter. So that will continue ballpark at that run rate for the next 3 quarters and this INR 52 crores is basically something you see at a ful l year level. Is that right understanding?
Varun Berry: Yes. If the stock price remains stable, there will be no charge as far as SAR is concerned.
Jay Doshi: And if it moves up 10%, it will be INR 5 crores more, right?
Varun Berry: Yes, it will be small.

Jay Doshi: Understood. Okay. That's very helpful. Second is, Varun, could you please share...
Ramamurthy Jayaraman : Jay, on your previous question that you asked, the difference will be a 10% of INR 50 crores may not be a right assumption because these are all basis the model that is used . So we use the Black -Scholes model, this is a predictive model of what the prices are going to be basis the past movements . So it's a predictive model. So a simple extrapolation of 10% price increase will

result into 10% extra charge may not be right.
Varun Berry: Might vary a bit.
Jay Doshi: Understood. Okay. And the other question was on -- could you share your thoughts on quick commerce channel from 2 or 3 different dimensions. One is where is your current market share in the channel? How under -indexed are you, if you are?
Second is, how do you think about this channel as a -- from a competitive stand point, could it actually create a significant fragmentation in some of the categories that you operate in? Third is prof itability of this channel vis -a-vis other channels? And for this, what will be the share of overall advertising budget that or ad spend, A&P spends that this channel can sort of entail?
Vipin Kataria: Okay. So I think it's a long 4 -part question. So first, like we said, Q -commerce in terms of salience is pretty good, 75% out of the 100 % of e-commerce that we do. The salience is also building up in, let's say, metros. Today, we supply close to 160 cities. 3,500 dark stores And how we see e -commerce or q -comm erce evolving is that this is one channel which will augment our omnichannel approach.
So just to give you an example, the INR 5 and INR 10 price point, which Varun was talking about, the salience coming from these salient price point s is less than 5% . So therefore, the entire point is to build e -commerce in a way that it does not conflict with our larger distribution system, but it only augments our distribution .
The second point is the range that we sell . So let's say, a Pure Magic Stars or a Harry Pott er or Cheese or Cheese portions, so the salience that these innovation and new categories that we are getting through e -commerce is fairly significant now. And therefore, the investment that we are doing in e -commerce is commensurating with the salience.
The third part is building the capability for e -commerce. So today, we have got a complete end -to-end model right from social listening and then building on what the buy box and the reviews are saying, also using the entire full funnel approach in terms of what is happening, the visibility and the investment that we are doing. And using the entire demand side platform, to build conversion .
So I think that's the track that we have taken in e -commerce. And therefore, the approach that we have is far more hol istic. As far as the operating margin is concerned, I think today, we are in the investment phase. And therefore, we are investing so that our growths are pretty good .
Coming to market share, we have close to 500 points higher market share in e -commerce, which is a very good thing. So if you actually inquire about the market share, a lot of FMCG companies are getting through e -comm, you will realize that the market s

hare in e -commerce is actually
lower than their overall aggregate market share. So I think that is what one big plus that we have that our market shares are fairly good.
The other point that you talked about was on profitability. So the way to see profitability is that you need to sell a much better premium mix. And therefore, that is one KPI t hat we drive that

how do you drive higher gross margin innovations and new categories and products. So let's say, if NutriChoice is more profitable , so how do you make sure that you build salience in NutriChoice and therefore, build gross margins and there fore, the flow -through is good without hampering any kind of investment. So I think that's our approach from a profitability point of view. So I hope I have addressed all 4, maybe not in the same sequence.
Moderator: Ladies and gentlemen, we'll take that a s a last question. I'll now hand the conference over to Mr. Ayush Agarwal for closing comments.
Ayush Agarwal: Thank you, everyone, for spending time with us on the call today. We look forward to interacting with you again in the future. Thank you, and hav e a good day.
Varun Berry: Thank you.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Date: 11th November , 2025

Dear Sir/Madam,

Sub : Transcript of the Investors/Analysts Conference Call (Group Meet) for the quarter and half year ended 30th September, 2025

Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the Transcript of Investors/Analysts Conference Call (Group Meet) held on 7th November, 2025 , pertaining to the financial results and operations of the Company for the quarter and half year ended 30th September, 20 25.

The Transcript along with the Presentation and Audio Recording s are also made available on the Website of the Company at www.britannia.co.in/investors/financial -performance/analyst -call.

Request you to please take the above information on records.

Thanking you,
Yours faithfully
For Britannia Industries Limited

T. V. Thulsidass
Company Secretary
Membership No.: A20927
Encl.: As above

To,
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
Scrip code: 500825
The Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: BRITANNIA

"Britannia Industries Limited Q2 FY 25-26 Earnings Conference Call"

November 07, 2025

MANAGEMENT : MR. VARUN BERRY – EXECUTIVE VICE CHAIRMAN , MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. N. VENKAT ARAMAN – EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER , SALES & REPLENISHMENT
MR. MANOJ BALGI – CHIEF MANUFACTURING &

PROCUREMENT OFFICER
MR. SIDDHARTH GUPTA – GENERAL MANAGER ,
MARKETIN G
MR. RAMAMURTHY JAYARAMAN – GENERAL
MANAGER , CORPORATE FINANCE
MR. AYUSH AGARWAL – INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Analyst Conference Call .
As a reminder all participants' line will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ayush Agarwal – Investor Relations from Britannia . Thank you and over to you sir.
Ayush Agarwal: Thank you, Danish. Good morning, everyone. This is Ayush from the Investor Relations team. I welcome you all to the Britannia Earnings Call to discuss the Financial Results of Q2 for Financial Year 2025 -26.
Joining us today on this Earnings Call is our Exe cutive Vice Chairma n, Managing Director & CEO – Mr. Varun Berry , Executive Director and CFO – Mr. N. Venkat araman , Chief Commercial Officer (Sales and Replenishment) – Mr. Vipin Kataria, Chief Manufacturing and Procurement Officer – Mr. Manoj Balgi, Genera l Manager (Marketing) – Mr. Siddharth Gupta and General Manager (Corporate Finance) – Mr. Ramamurthy Jayaraman.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Varun Berry, I would like to draw your attention to the safe harbour statement in the presentation. Over to Mr. Berry with remarks on the performance.
Varun Berry: Good morning, everyone. I have kept it really tight so that we have enough time for all your questions.
So, jumping into the presentation, getting to the busines s overview slide, the quarter has been a growth of 4.1% on the top line and 23.1% on the bottom line. Next slide is about the GST rate rationalization, the GST 2.0, which was a very welcome move by the Government. So, 85% of our business underwent a change in GST rates with effect from 22nd September 2025, which did cause a little bit of de -stocking, etc., but it was temporary. This is an important step and I think this is going to make that change for the entire food industry as we move forward. All those things have been sort of sorted out and we are now back on a very smooth sail. Next slide is about market share.
The market share, we have got a sustained healthy gap versus organized national players. There's a slight loss for the large players to multiple local regional competitors. So, a s the profit pool of the industry becomes larger, there are very small players and regional players coming into this industry. As a result of that, what we have done is we have created a healthy interaction and very separate businesses for all our channels . However, certain of the national players have also started to double down on modern trade and look at the route of discounts to make up for the

sales loss that they are seeing in regions. So, it's a situation that we are desisting from and we seem to be coasting along quite well.
The next slide is about the commodity price trends. The commodities are looking reasonable, I would say. So, if you were to look at flour versus the previous quarter, we are up 2% in price versus last year, same quarter, we are up 6%. So, all these are numbers which are within a range. Palm oil sequentially is down , versus last year of course, it's up because that's when the uptick happened. And similarly, sugar 1% sequentially, 3% versus last year. Cocoa as well, 5% sequentially , 9% versus last year. Laminates as well, 2 % and 1 %. Milk, slight inflation, but that's the seasonal inflation that happens with the festival season. So, all within control.
Getting to our strategic priorities. If you look at our consumer campaigns, we ha ve some very exciting products under the Pure Magic brand now - we

have got Choco Tarts, we have got
ChocoStars, we have got the Chocolush, which has always been there, and Choco Frames, which has got the Harry Potter theme around it. So, very exciting pro ducts and we had a campaign around that. We have also got the NutriChoice 100% millet cookies, where it's doing quite well. It's got 100% millets, no maida, no palm oil, and no added sugar. That product is doing quite

well. We have relaunched our Tiger Glu cose under the Tiger Doodh Glucose with a recipe change. That's doing really well for us. We have got the Chunkies range with Coconut and Choco chip. And the campaign on Golmaal and 50 -50 with Ravi Shastri continues.

On the adjacency business, again Croiss ant and Rusk have been doing really well. The growths are high double digits and continue to be so. Wafers, again, is the fifth consecutive quarter of healthy double -digit growth, augmented by additional capacity that we are putting up in our plant in Nort h.

Our international business, Africa business continues to do well. We have a JV in Kenya, which is shaping up quite well. In cake, the brownie product is doing well. We have seen a change after our relaunch. However, we need to meet our own expectations on an overall level on cake. Cheese, we have seen very healthy growth in e -commerce, also general trade. And we have started to see sequential market share gains, which is the positive thing as far as cheese is concerned.

Moving on to the next slide, whic h is on ESG. Our renewable energy has gone up by 13% to almost 45%. We have had a reduction in the water consumption in most of our plants. The women factory workforce has gone up to 45% by 1%. It's a small number, but significant because that's something that we are working on to make sure that we get this up over a period of time. And our Britannia Nutrition Foundation beneficiaries are up by 22% to almost 300,000.

We have also got a certain recognition with the Golden Peacock Awards, as well as our scor es on the S&P Global, which have gone up to 60%. So, we are happy with the progress. We are doubling up and making sure that we get this at a faster clip as we move forward.

On medium -term business outlook, I think we are now very clear that we have got t he kind of profitability that we have always desired. Now, it's got to be about volume -led growth, which is going to happen through region consumer -centric products and distribution and also making sure that we are price competitive in each of the regions with the key players, so that we continue to dominate the regions that we operate in.

We are going to invest behind our key core brands, as we have been doing. During the inflationary period, there was a little bit of a setback on the investments, but now we are very clear we are going to double down and make sure that the extremely salient brands that we have, we nurture them as we go forward. So, we are looking at product restages for certain brands, obviously media and consumer awareness interventions t o strengthen the leadership that we enjoy in these brands and also sustain margins enabled by cost -saving initiatives and commodity situation, as I said, looks pretty good and we hope that that continues.

Getting to the financial results, revenue trends, a s I said, this quarter we had a disruption in the third month of the quarter because of the GST implementation and I would say we probably lost about 2-2.5% on the top line, but that's fine. I think this is the lull before the storm. Now we are looking for ward to a very aggressive top line growth as we move forward.

The bottom line, the key financial lines are looking very good. As I said, net sales grew by 4.1 %, operating profit grew by 23 %, profit before tax grew by 24 % and profit after tax grew by 23 % as well. At the bottom of that table, you can see the various KPIs that

we track. Profit from operations is up to 18.3 %, profit before tax is up to 18.6 % and profit after tax is up to 13.8 %. So, that is all from me.

Over to you guys for your questions.

Moder ator: Thank you, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question comes from the line of A bneesh Roy from N uvama Capital. Please go ahead.

Abneesh Roy: Thanks. Good morning. Three questions. So, Varun, f irstly, your statement that it is lull before storm and a very aggressive top -line growth, is it based on the 10 % to 13 % grammage addition which will happen in the LUP and that's a very large portion of the Biscuit's portfolio or is it based on the complia nce levels improving in the local players because (+500) players at 5 % GST rate, the risk reward of not being compliant is not favorable. Do you see market share gains for you from the local players because of the GST rate and compliance? Which is the bigg er reason?

Varun Berry: It's, I think, the latter. Obviously, there will be gains because of the grammage that we are increasing but I think the market share gains because of this are going to be definitely moving towards the organized players. You are abs olutely right about what you said. So, this is going to give us upper hand as far as the growths are concerned and shares are concerned.

Abneesh Roy: One or two follow -ups here. You mentioned on the Tiger relaunch Tiger Doodh, etc. So, to fight against the local players, yes, GST is definitely going to help you. But now do you need a more flanking price warrior kind of a product? I know Tiger is that only but Tiger Relaunch, I wanted to understand the thought and on your statement that in modern trade some of the national players are getting a bit more aggressive and till now you have not seen much of an impact but if you could elaborate why there is not much of impact, I wanted to understand.

Varun Berry: So, as far as Tiger is concerned, we were a me too from a competitor standpoint. They were a glucose and so were we. So, we thought that it's important to have a reason why for our brand and we thought through on what was important for the consumers in small towns and villages and this came out to be a pro position which could really help us get established in these rural areas and small towns and it's actually lived up to its expectations because the initial reaction has been extremely positive. So, that's one and you are right, it is the brand which is the cheapest form of food as I keep saying. So, we are not looking at becoming 50% share, we are a single digit share in this. We would like to just creep up share rather than double or triple our share in this and we would like to be all pervasive and availa ble everywhere. So, that is our objective. What was your second question? About modern trade . So, modern trade, see, what really matters is your brand and I think we have got very strong brands. So, these are all flaying tactics as I call them. When you lo se something, you want to gain something and what you want to gain, if there's an easy way to do it, you want to do it that way. So, that's the tactic that some of the national players followed and we desisted from that. We have reacted to them on a case-to-case basis. We have not reacted to everything and we will continue to do that and it's not really impacted us because we have been very , wherever we have thought that it's important for us, we have reacted. Wherever we thought that it was not going to gi ve any additional leverage to us in the long term, we have not reacted. So, I think we are going to continue with that strategy as we go forward.

Abneesh Roy: Last quick question. Mr. Rakshit Hargave, new CEO, he joins in December. So, my key question here is, in terms of obviously great track record, I wanted to understa

nd what will be the key priorities once he joins, between your role and his role, what will be the transition, what will be any demarcation, if I can understand that bit and any thought pro cess on why he was hired ? Of course, you have great credentials, but what was the thought process on hiring him? Thank you.

Varun Berry: So, Rakshit is a great guy. I have been interacting with him ever since we hired him and I think he is the perfect choi ce. There is going to be nothing as a portfolio between him and me. He is going to handle the entire business, and my job will be to help him wherever he needs any help. So, I will not be directly handling anything as he joins. My job will be to run him in and make sure that he settles down absolutely well in the role. So, that's my role and that's what I am going to fulfil as we go forward.

Abneesh Roy: So, thanks, sir. That's all from my side.

Moderator: Thank you, sir. Our next question comes from the l ine of Avi Mehta from Macquarie Capital. Please go ahead.

Avi Mehta: Hi, sir. So, just two questions. One, if you could give us a sense on how is the underlying demand environment, basically, how much is the GST impact and by when does it fully normalize? And the second bit was on the quantum of the employee cost impact because of the RSU ? So, that I can understand the steady -state run-rate there. Thank you.

Varun Berry: So, see, the RSU impact has been very minimal this time. So, that's not an impact at all. Now, on the demand scenario, the thing is that what we did when this GST implementation had to happen, which was 22nd, we had about 16 -17 days to implement it. And as you know 65% of our portfolio is Rs. 5 and Rs. 10. So, and we had to pass the benefi t to the consumer. So, what we did was we marked up pricing as Rs. 4.50 paisa and Rs. 9 for the Rs. 5 and Rs. 10 products. Now, you know as well as I do that, when you get to the market, it will not sell for Rs. 4.50 or Rs. 9 , it will sell for 5 and 10. So, the consumer benefit from that standpoint has been very - very minimal. Now, end of October, about 65% of our portfolio has already got the increased grammages. And by the middle of November, we will have our entire portfolio with the required grammages a nd the pricing. So, that is when you will start to see the impact of that. And as we speak, we are seeing a very positive impact of this. And we are hoping that as we go forward, this will only become better.

N. Venka taraman : Varun, just to add on, A vi, I am assuming your question was, why is there a drop in employee cost? So, that is to do with the provision that was higher in Quarter 2 of the last year versus the current year. So, the provision last year Quarter 2 was about 50 crore s, this year has been a bout 5 crore s. So, that is the impact of our provision.

Avi Mehta: And that is wh at I should adjust to get the steady run rate as we go forward. Got it. Sir, just one follow -up, if I may, on the demand side. Do you think 1Q was, given that 1Q also had a lot of impact, the storm that or the pickup that you essentially allude to or what has been seen is, I am

just trying to get a sense of quantum, is the double -digit momentum something that we can hope for? I kno w it is pushing a little bit, but I would love to hear your comments if any.
Varun Berry: Well, I would certainly think that we should be looking at getting to double digits in due course, because there seems to be a very positive sentiment around consumer goods and especially foods. So, I do think this is our moment and it will definitely bring us the kind of growth that we have been missing for some time.
Avi Mehta: Got it. Thank you very much. This is very helpful.
Moderator: Thank you, sir. Our next que stion comes from the line of M ihir Shah from Nomura. Please go ahead.
Mihir Shah: Hi, sir. Thank you

for taking my question. So, firstly, on the volume growth this quarter, I know it has impacted. But what is the range for volume growth, essentially, for t his quarter? I am

trying to understand the pricing that was there for this quarter and the pricing that can get carried forward for the coming quarter as well.
Varun Berry: You are asking about the quarter that we are sitting in?
Mihir Shah: Yes, 2nd Quarter, essentially understanding what was the pricing growth in the 2nd Quarter and what is the level of pricing growth can be carried forward or that we will continue to see in the second half of the year.
Varun Berry: See, it's going to be a very different scenario. But the pricing growth was approximately 7% to 8%. And now with the GST changes, etc., the pricing is very different. We have taken the drops as far as large packs are concerned. And we have taken grammage increases as far as the small packs are concerned. So, it's not going to be exactly the same scenario as far as pricing is concerned. So, our revenue as well as our volume growth are going to be both positive as we go forward. So, the pricing impact would be less than what it was.
Mihir Shah: Understand. Got it. But not a material drop, right?
Varun Berry: No.
Mihir Shah: Secondly, on last quarter, you had highlighted there was certain disruption in the East ern India distributors. Has that normalized and do you see any issue with the larger or the regional players getting aggressive on that? Do you think that one should build in certain caution around volume growth trajectory because of these things?
Varun Berry: No, actually, as what Ab neesh had brought about, with the GST rates dropping to 5%, there would be a positive impact for national players. On the East, we have stabilized to a large extent, I wouldn't say 100%, but we are almost 90% there. And things are looking good in the East and we hope to continue that momentum.
Mihir Shah: And last ly, on the margins, raw material prices have been benign. We believe that the full impact of the soft raw material prices is yet to be seen. So, would that be a correct statement to make? And secondly, because you mentioned that you are happy with the marg ins, what kind of margins are you talking about? The current margins that we are seeing on EBITDA level or the gross level, is that what you are happy with? And any additional you will be investing in ad spend, is that how one should think about it?
Varun Berry: So, there will be a certain amount of investments that we will make to get our products and brands in certain regions to be competitive , and those will be investments that we are making. Obviously, the brand investments, etc. will remain at the leve l that we think is optimal. So, I think now on, what we are looking at is a top -line-led, volume -led growth to make sure that we cement our dominance in the category.
Mihir Shah: Understood. Thank you very much. Wishing you all the best.

Varun Berry: Thank s.
Moderator: Thank you, sir. Our next question comes from the line of Aditya Soman from CLSA. Please go ahead.
Aditya Soman: Hi. Good morning. So, two questions. First, you sort of mentioned increased focus and you have also mentioned making investments in the regional competition. In your opening comments, you also indicated that some regional competitors have gained share on the margins. So, can you throw a little more light on what exactly is happening? Is this a function of them launching differentiat ed products or it's just a sort of pricing gap? And second, to tie that up with the other comment that you made that you expect to gain market share from some of these smaller players, again, would this trend be true also of the regional players that you m entioned which potentially gained

market ?
Varun Berry: So, this trend will be true of the regional players only. I think Ab neesh had made a very telling comment in the beginning. Basically, what he said is exactly what's going to happen. Basically, there a re host of these small regional players who operate in very small territories, produce product. We don't know their compliance on taxation. When it was 18%, the risk reward was in their favor. But now it's 5%, I don't think it's going to make that much of a difference. So, our competitiveness of the players who comply with the rules of the land is now going to be holding us in really good stead to be able to compete with these guys. These guys are not launching differentiated products. They are basically fi ghting on price. And that's what will become different now. And with our scale, with our efficiency, etc., we will be able to compete much better with them.
Aditya Soman: I understand. So, basically, what you are saying is now that you are more competitive on price because their advantage on taxation goes away, you are pushing the envelope also on investments in the brands to be able to compete with them even better or make sure the consumers are aware that our products are priced better.
Varun Berry: Absolutely.
Aditya Soman: Understood. Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Percy Pa nthaki from I IFL Securities. Please go ahead.
Percy Panthaki: Hi, Varun and team , 2-3 questions from my side. Let me just put them up front. So, first is, can you call out the growth for the September quarter adjusted for the GST pipeline disruption? Secondly, because of the GST rate cut, there will be some probable reduction in the government incentives because they get funded throug h the GST refunds. So, can you call out in rupees crore, how much will that incentive fall? And secondly, if you are receiving lesser incentive, are you able to sort of offset that in some other way in terms of how much price reduction or grammage increase you are taking or that is just competitively derived and that government incentive will

be a loss which will sort of not be recouped? That is the second question. And third question is, how do we look at the top -line growth? So, supposing you have been tr acking about 9% to 10% recently, if you are giving 12% extra on 60% of your portfolio, that's 6% to 7% more. So, can we say that this 9% top -line growth will go to 15%? Is that the right way to look at it? So, these are my three questions.
Varun Berry: So, the first question I have already answered. I think we could have grown by 2% to 2.5% more last quarter if the disruptions hadn't happened. Because the last month was we could have grown 6% - 6.5% - 7% more. So, that got down and that's why it came down b y about 2% to 2.5%. What was your second question?
Percy Panthaki: Government incentives.
Varun Berry: So, government incentives, yes, I will let Venkat answer that. Venkat, you want to answer that?
N. Venkataraman: So, your first question in fiscal incen tive was whether the benefit of reduction in GST rates have been passed on to the consumer as required? Yes, we have. And like Varun said, it's been done in two forms, price reduction in some pack s and grammage increase in other set of pack s. The second po int that you asked was, is there going to be an impact on account of reduction in the tax rate on the fiscal incentives? Yes, there will be impact prima facie on account of this reduction. However, having said that, we have reached out to the state governm ents already asking them to help us, help the companies that have done the investment in those states and to secure the fiscal incentives. At least three out of the five state governments that we have reached out to, have said they will figure out some way s of securing it. So, we need to wait

and see what happens.
Percy Panthaki: Any kind of quantification, supposing if the state government doesn't accept your plea, how much can the reduction in the government incentive be in rupees crore, roughly?
N. Venkataraman: So, that we need to work out currently. But then we are also looking at what else can be optimized to maximize the production in each of these factories. So, that will take a little bit of time to do a computation because today not everything that is required is produced in a particular factory for that state. So, that optimization is something that we are working on. Post that, we will have an idea of what's going to be the impact.
Percy Panthaki: Understood. And the third question on how do we look at growth going ahead ?
Varun Berry: So, growth , it doesn't work absolutely mathematically, 9 plus 6 is 15, we know that. But we are hoping that we get to 9 plus 6, but we could even get more than that. But as I said, it's going to be all about top line growth. We are going to become extremely competitive wherever it's necessary. We will make sure that we do everything to get our brands in front of the consumers. We are going to work on our overall distribution. We are going to work on channels, e -comm, quick comm, modern trade. So, it's going to be an all-out effort to make sure that we get our top

line growth. And as I said earlier, we hope that we get this back to our double -digit numbers that we used to do a few years ago.
Percy Panthaki: Thank yo u so much.
Moderator: Thank you, sir. Our next question comes from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi, Varun. Most of my questions are answered, but I have a few clarifications. First one was, adjusting for GST if the revenue growth stood at 6 % to 6.5%. This was a moderation from 9% in Q1. What led to this? Is it because of the category growth of moderating or was it due to the market share challenges that you alluded to?
Varun Berry: No, it's not about market share challenges, Latika. It was also the timing of Diwali, etc. This time Diwali came a little earlier and certain other festivals in the south, etc. So, it was just a timing thing. It wasn't anything else. Our momentum was very similar. And we were really hoping to see a very -very good September. But unfortunately, it did get stymied a bit.
Latika Chopra: All right. The second bit was you mentioned by mid -November , the GST impact will normalize. Does it mean that for the full December quarter, you will not see any negative impact, right? It will get flapped up in the second half of the quarter?
Varun Berry: Yes, for sure.
Latika Chopra: All right. And the last bit on margins, I am just taking two from the previous question. Do you see any material risk because of those state incentives not coming your way in December quarter or March quarter or there is no near -term risk on margins on account of that in case, your request to state government doesn't play out? We don't know the quantum; hence I wanted to check.
Varun Berry: So, Latika, as Venkat said, we will have to do a full analysis on that. What is it that we can mitigate internally ; and over a period of time, if there are certain gaps there, then we will have to see how we mitigate them through future price increases, etc. I don't think it's going to be that big, but once we do the analysis, we will be able to comment on that. However, having said that, as I have said, our focus on competitiveness is going to be very -very clear. And from that standpoint, ther e might be some changes in the margin structure, because I think if we have to get aggressive top -line growth, then we might have to look at a slight haircut as far as margins are concerned. So, we will have to evaluate that in this quarter. And maybe in t he next quarter, we can comment on

that.
Latika Chopra: Thank you. And this very last bit, given you have a very extensive distribution reach and rural expansion has been one of your strategic focus areas. There have been some soundbites that given the way rains have played out this year . Do you sense any risk to rural growth trajectory at a very broader level? This is a comment more on the F MCG side. Thank you.

Varun Berry: So, first, to correct you, Latika, it's not an expensive distribution. In fact, our most profitable channel is our general trade portfolio. It's for sure, we are going to continue that because that's our big muscle. And it's not impacted it. Rural is growing faster than urban even today. Vipin, you want to comment on that?
Vipin Kataria: So, Latika, you are right. We have got a pretty wide distribution. Even as of today, rural is outstripping urban growth. And we will continue to go deeper and deeper in rural through our direct model, because we are changing a lot of this hub and spoke to direct. So, therefore, our rural story is looking robust. Rains have not impacted much. I don't think even from a per capita level or whatever happened to the crop income should not be impacting us. In a lot of cases, actually weather favors us because th e biscuit consumption and some of the other product consumption actually goes up with rain . I think rural, we have a strong story. And with this entire GST change, affordability and value becoming better, we will grow faster in rural.
Varun Berry: So, it's my previous company which gets impacted, Latika.
Latika Chopra: Thank you so much and I wish you all the best. Thank you.
Moderator: Thank you, ma'am. Our next question comes from the line of Kunal Vora from BNP Paribas. Please go ahead.
Kunal Vora: Thank s for the opportunity. Firstly, on biscuits , in your experience, how do consumers react when you add or remove a biscuit or change grammage in a Rs. 5-10 pack? Does it have any meaningful impact on the number of packs you sell?
Varun Berry: Yes, the Indian consumer is extremely cost-conscious, and they are absolutely aware of how many biscuits, what grammages go in the various brands that are available in the market. So, it makes a difference.
Kunal Vora: If you have instead of 9 cookies, instead of 8 cookies in a pack, does it like in any way reduce the number of packs you will be able to sell?

Varun Berry: Yes, absolutely. The consumers are very perceptive.
Vipin Kataria: So, yes, if you reduce the number of biscuits, we see impact on transaction. Sim ilarly, when you add biscuits, the transaction tends to move up.
Kunal Vora: Second is on dairy. How is Ranjan gao Dairy performing compared to your estimates and how do you see the growth in dairy over the next couple of years? And are you looking at whey protein and protein drinks as an option?
Varun Berry: Yes. So, performance in dairy is not as we would have expected. And the reason for that is that certain channels are doing extremely well. So, for us, general trade, which is the smaller stores, etc. ar e doing quite well. What has happened in dairy is that the cheese market was growing at

a very high pace till about last year. The overall growth has slowed down. And hence, it's led to a little bit of a fist fight as far as modern trade is concerned. So, we have got to sort it out. Modern trade is a channel which is easy to execute. It's just that we are so cost conscious that we don't want to open up the wallet to pass on extra discounts, etc. But it is what it is and we will have to do what is necessary. And we are confident. E -com is doing very well; g eneral trade is doing well. We have started to deal with some of the large pizza manufacturers for institutional supplies as well. So, all of the channels, we are m

oving in the right direction. However, the final numbers are not what we had expected. So, we will have to make sure that we double down on this. And as Latika was saying earlier, on beverages, because of the excessive rains, we have seen that we have suffered as a result of that. But hopefully, a s we go forward, that will become better. We are working on a lot of efficiencies within our plant to make sure that we become and if you guys haven't seen our plant, you have got to come and see it. It's a state-of-the-art plant in Ranjangaon. And we are trying to bring in all efficiencies to make sure that we become the lowest cost operators and we are able to derive the maximum from the efficiencies in the plant. So, I would say we are moving in the right direction, but not at the pace that we would have wanted to. But I would say, the trend is looking fine.
Kunal Vora: And on protein products?
Varun Berry: Yes, protein drinks we are looking at. We definitely want to do protein drinks in ready to drink format. We are not looking at whey powders, etc. at this stage because we are not able to produce that quality of whey which gets into the whey powders, which are used by professionals and bodybuilders, etc. So, that we are not looking at right now, but certainly looking at protein ready - to-drink drinks.
Kun al Vora: Thanks. And lastly, on advertisement spends, it looks like they might increase. Your annual ad spends have been hovering around 4% in last 3 years. How is the number trending in FY26? And should we expect an increase in coming years?
Varun Berry: Last quarter, I think we have normalized our advertising spends and it will continue at that rate. It was only for the previous 2 years when there was a very high inflation that we had to tighten our belt. But last quarter onwards, we have sort of made it what it should be.
Kunal Vora: Thank you. That's it for me.
Moderator: Thank you, sir. Our next question comes from the line of Harit Kapoor from Inves tec. Please go ahead.
Harit Kapoor: Hi, good morning. I just had three questions. First was, is there any inverted duty structure impact on the margins that you have? For example, your costs, some of them are at 18% and bulk of your business now is at 5% on the output. That's my first question. The second one was on how large is this pool of small and regiona l players that you allude to? Because 70% of the market is top three and then you have certain large, smaller players as well, organized smaller players. So, in terms of size of market, how large would this pool be? And the third question was in your

quest to increase the volume growth or drive volume growth and you also mentioned that you believe the company's time has come to drive higher volume growth. How do you think of adjacencies and outside adjacencies, newer categories, areas where you think you ca n play over the next 12 -24 months or look to explore?
Varun Berry: Now, let me start with your last question. So, the competitiveness that we are talking about holds to all of our categories that we operate in, whether it's cake, rusk, dairy, biscuits, cro issant, all of these categories, wherever we feel that we need to be more competitive in a certain region and we are not talking about a broad brush across the country. It's going to be a very region, state - led strategy that we are going to follow with not just pricing but with variants, etc. So that we are able to compete very aggressively with these competitors. And so that's going to be across. We are not looking at entering more categories. We are looking at consolidation and making

sure that the catego ries that we operate in become much larger than what they are currently. So
that is the last question. What were the other two questions?
Harit Kapoor: No worries. I can refresh that. So, you have two questions. On

e was on the inverted duty
structure. Is t here any inverted duty structure impact on your business?
Varun Berry: So, the inverted duties have been factored into the price reductions. Venkat, do you want to comment on that? I think he's got an issue with his connectivity. But the inverted duty, if there is any deficiency in that to our overall P&L, that has been priced into our price drops or grammages that we are increasing. Last question was?
Vipin Kataria: Was on the market construct. The big three, like you said, they constitute 70% of the marke t. Then if I add significant regional players, that will be another 10 % to 12%. And therefore, the long tail is about 15 % to 18%. So those are value players. They are not on the differentiated end, but they are more value. And that's what we started with, that the GST should help us getting this entire market to be more organized, because a lot of consumers tend to shift to large brands and differentiated products when this kind of structural change happens.
Harit Kapoor: Those are my three questions. Wish you all the best. Thank you.
Varun Berry: Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Nitin Gupta from Emkay Global. Please go ahead.
Nitin Gupta: Thanks for taking my question. My first q uestion is around; would you like to offer any comments around your regionalization strategy at this stage?
Varun Berry: Well, the strategy is that we meet the consumer needs on a regional state basis. If there is a requirement to launch, let's say, to giv e you a live example of a jeera biscuit in the east, then that's what we need to do. It will be produced locally and will be supplied to the market there. And if there's a requirement of having a different type of Marie biscuit, in a certain part of the

north region, then that's what we will do. And that's what we are looking at. Even some of our products will have different recipes if required suiting the regional and the state requirements. So, that is the genesis of the regional strategy that we have.
Nitin Gupta: So, this is something we were practicing and ….
Vipin Kataria: Sorry. Just to add another dimension to it. So, that's, let's say, the horizontal work that we are doing on the regions. Similarly, even on channels like e -com and modern trade, we have today got exclusive launches and digital first brands, especially on the premium and the differentiated end.
Nitin Gupta: Sure. Thank you. So, this is something which was continuing and I guess going ahead, given the consumer needs, this will see an a cceleration.
Varun Berry : Yes.
Nitin Gupta: And my second question is with respect to the margins. So, gross margin like going to lap on the low gross margin base. Are you confident of sort of sustaining the sequential margin? And given A&P spendings have already sort of normalized from Q2. So, do you look to revise your EBITDA margin guidance?
Varun Berry: We don't give any guidance. So, I will not comment on that. But our objective, as I said earlier as well, will be to make sure that we take our volume and revenue growths to a much higher level in terms of growth.
Nitin Gupta: And lastly, other operating expenses is sort of down and we were assuming that it must be because of the lower A &P. Now, you are saying the A &P has normalized. So, would you be able to quantify like what exactly is the factor for reduction in other expenses YOY ? Thank you.
Varun Berry: There is no outlier. It is only on the employee costs, which Venkat had pointed out earlier that last year there was a hit of about 50 crores in the employee cost because of ESOPs, which this year has been minimal. So, that is the only reason. Otherwise, there is no outlier.
Nitin Gupta: Sure, sir. Thanks for answering all the questions. All the best.
Moderator:

Thank you, sir. Our next question comes from the line of Sidharth Negand hi from CWC. Please go ahead.
Sidharth Negandhi: Hi, thank you for taking my question. A couple of things. First, just one, you mentioned about the cheese market demand sort of being impacted. If you could throw some color on, do you see this being more short term? Are you seeing certain changes in consumer behavior there? And the second one was on your biscuit volumes; you mentioned that the Indian consumer is very cost conscious in terms of number of transactions he does. Now, if you are going to see an increase in volumes, is there a risk that over a period of 3-6 months, overall her volume of biscuit

that she eats is going to remain similar and therefore, you will actually see a value reduction, which obviously can be off set by market share gains and therefore, sort of growth remaining in the same 8 %-9% range. These are my two questions.
Varun Berry: So, on the first one, I think it's, as a result of all the inflation that we have seen in the last 2 years, the impact has b een certainly temporary. Obviously, this was impacting the consumer's pocket. And these are all discretionary spends . Cheese is not like a biscuit, which you have to have every day. So, there must have been a cutback there. But now with this GST 2.0, with prices coming down, with the consumer feeling a little more good on the pocket , I think this will certainly come back because this has been probably the only year where on a cheese growth, we have seen a slight deceleration. So, I think this will definitel y come back. And your second question was about?
Sidharth Negandhi: So, where you mentioned right now, essentially there is a certain volume of biscuit that the household consumes.
Varun Berry: I don't think there is going to be any deceleration as far as growths are concerned. I think it's only going to be acceleration as we go forward.
Sidharth Negandhi: Sure, for you. But the category, do you see that because the volume is ultimately there is X million tons of biscuits getting consumed, that remains the same. And therefore, the effective value comes down for the category with organized players gaining share? Is that possible?
Varun Berry: Well, I certainly would think that organized players would gain more share. And I think, see, also, you have got to re member that while the penetration of the biscuits category is reasonably high, but the consumption is nowhere compared to some of the other third world countries where the consumption per capita is very high. So , there is an opportunity, one to get slightl y more penetration and secondly, get more consumption with the right pricing of the category. So, I think it's going to work both ways.
Sidharth Negandhi: That's useful. Thank you so much and all the best.
Varun Berry: Thank you.
Moderator: Thank you, sir. Our next question comes from the line of Amnish Aggarwal from PL Capital.
Amnish Aggarwal: Hi, sir. I have a couple of questions. My first question is that during the GST transition, there was a lot of trade support provided by several industry players. So, have we also provided the trade support? And if yes, then what could have been its impact on our profit and loss?
Varun Berry: Yes, we did provide trade support during that time, but nowhere compared to what the other players did. So, ours was very mini mal because we knew that this is going to only push product into the warehouses of distributors and in certain cases, large retailers. But the consumption would happen at the same pace. So, it doesn't give any consumption benefit to that extent. So,

we kep t it to the bare minimum. But we did do it because in the last week, we did do some trade support. Vipin, you want to comment?
Vipin Kataria: I

think we were very cautious. And like Varun said, we didn't want the stock to pile up in the trade, because then that gets adjusted. So therefore, it was very measured. And our whole intent was that how do we help our channel partners to basically liquidate their inventories, and it was done with that intent and not to stock up the trade.
Amnish Aggarwal: Is it poss ible to quantify the same?
Varun Berry: No, I have already quantified it. So , we could have probably grown 6 %-6.5%-7% more in the last month of the quarter, which could have overall given us maybe 2 %-2.5% extra growth for the full quarter. So, and that's w hat we had in our plan. And we did have a downside there of about 7%. So that is what it could have been. And that's the quantification.
Amnish Aggarwal: Sure. So, my second question is on the other expenses. There are two elements. One is your staff cost, which has been down by say around 20 % odd mainly because there is no your stock appreciation rights provision. But the other expenses in absolute terms, they are down by approximately 4% in standalone, you are in consol and even in standalone, they are do wn. So, any particular reason why the expenses have declined?
Varun Berry: There is no outlier there. There is no one time impact. It is what it shows.
N. Venkataraman: So, this also has the impact of volume being lower compared to the comparable period - the growths. So that's the reason why you also see because the other expenses include things like conversion charges, freight charges, etc., which are variable to the volume. So, to the extent there is a reduction in volume, there is an impact on these co sts.
Amnish Aggarwal: Sure. Thanks a lot.
Moderator: Thank you, sir. Our next question comes from the line of Nihal J ham from HSBC Bank. Please go ahead.
Nihal Jham: Yes, good morning, Varun, and team. Three questions. The first one was on market share. You

mentioned about looking at it from a grid perspective. If I had to look at it from a product and geography perspective, which are the missing parts that we are obviously trying to fill in the gaps and that sort of helps us gain market share?

Varun Berry: Let me answer one at a time because when you fire at three at a time, it becomes difficult. So quickly on market share, you know that our focus has been on the Hindi belt. And the Hindi belt has been performing really well on a low base, albeit. So Hindi belt share gains have been very good. The second one where we have lost share is in the East and I have spoken about that as well. We have normalized our distribution infrastructure, and I would say not fully, but to a 90%. But from now on, we will start t o see our market share and revenues and volumes moving in the

right direction and in the East as well. So those are the two areas. I think from a consumption standpoint, some of the larger markets like South, we have got to figure out how we get them to grow much faster than they are growing because it's such a large market for us. The growths there have to be getting to double digits and that's what we are going to drive there. We have got to figure out how do we get industry to grow because there we domin ate the market. So that is going to be a challenge and a strategy for us as we move forward.

Nihal Jham: Sure. The second one was on the gross margin part. Now, is it right to understand that say the negative impact of palm oil and all is completely behind with the price hikes and the cost of the initiatives we have taken? And from here, this is the rendering that should sustain ex of any initiative that we try driving to gain market share?

Varun Berry: Yes, absolutely.

Nihal Jham: Perfect. Last bit, is the re been an increase in aggression or change in strategy specifically for the adjacencies on the quick commerce or e -commerce side? It's

also coming from the comment you made and say looking at it anecdotally, just wanted your thoughts on that.

Varun Berry: No, so we have not been as aggressive as we should be on some of the adjacency products. Wherever we have been aggressive, we have seen very -very good growth. Like, for example, croissant, rusk, as well as wafers. These are the three categories where we h ave been aggressive and we have seen very good growth. Actually, e -commerce and quick commerce, we have seen growth for all our adjacencies. We have seen very good growth. There is some categories which we need to work on. Obviously, we have got to figure out both the pro and the con. How do we get more aggressive at the same time , how do we find efficiencies to counter that? And we are looking at doing that as we move forward.

Nihal Jham: Thank you so much.

Varun Berry: Thank you.

Moderator: Thank you, si r. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to now hand the conference over to Mr. Ayush Agarwal for the closing comments. Thank you and over to you, sir.

Ayush Agarwal: Thank you, everyone, for s pending time with us on the call today. We look forward to interacting with you again in the future. Thank you and have a good day.

Varun Berry: Thank you.

Moderator: Thank you, sir. On behalf of Britannia Industries, that concludes this conference. Than k you for joining us and you may now disconnect your lines.

Call: Feb 2026

Date: 1 6th February , 202 6

Dear Sir/Madam,

Sub : Transcript of the Investors/Analysts Conference Call (Group Meet) for quarter and nine months ended 31st December, 2025

Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the Transcript of Investors/Analysts Conference Call (Group Meet) held on 11th February, 2026 , pertaining to the financial results and operations of the Company for the quarter and nine months ended 31st December, 2025 .

The Transcript along with the P resentation and Audio Recording are also made available on the Website of the Company at www.britannia.co.in/investors /financial -performance/analyst -call.

Request you to please take the above information on record.

Thanking you,
Yours faithfully ,
For Britannia Industries Limited

Sona Rajora
Company Secretary & Compliance Officer
ICSI Membership No.: A35468
Encl.: As above

To,
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
Scrip Code: 500825
The Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: BRITANNIA

"Britannia Industries Limited Q3 FY 25-26 Earnings Conference Call"
February 11, 2026

MANAGEMENT : MR. RAKSHIT HARGAVE – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – BRITANNIA INDUSTRIES LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER, SALES AND REPLENISHMENT – BRITANNIA INDUSTRIES LIMITED

MR. MANOJ BALGI – CHIEF MANUFACTURING AND PROCUREMENT OFFICER – BRITANNIA INDUSTRIES LIMITED
MR. SIDDHARTH GUPTA – VICE PRESIDENT , MARKETING – BRITANNIA INDUSTRIES LIMITED
MR. RAMAMURTHY JAYARAMAN – GENERAL MANAGER, CORPORATE FINANCE – BRITANNIA INDUSTRIES LIMITED
MR. YASHWARDHAN BAGRI – INVESTOR RELATIONS – BRITANNIA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Britannia Industries Limited Analyst Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Mr. Yash from Britannia Industries. Thank you, and over to you, sir.

Yash: Good morning, everyone. This is Yash from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of quarter 3 for financial year 2025-'26. Joining us today on this earnings call is our CEO and Managing Director, Mr. Rakshit Hargave; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer, Sales and Replenishment, Mr. Vipin Kataria; Chief Manufacturing and Procurement Officer, Mr. Manoj Balgi; Vice President, Marketing, Mr. Siddharth Gupta; and General Manager, Corporate Finance, Mr. Ramamurthy Jayaraman.

The analyst deck is uploaded on our website. Before I pass it on to Mr. Rakshit Hargave, I would like to draw your attention to the Safe Harbor statement in the presentation. Over to Mr. Rakshit Hargave on the remarks on performance.

Rakshit Hargave: So good morning to everybody. And this is my first call with Britannia. So I look forward to engaging with you and also taking on the questions which you will ask. So I will go through the deck slide by slide, and you can follow me there. So if we start with the performance scorecard, specifically for Q3 '25-'26, you would see that in terms of revenue from operations, we have clocked INR4,885 crores. And if I try and look at how does it measure in terms of growth, you will see that on a 12-month horizon, we have grown at 9.5%. And on a 24-month horizon, we have grown at 16.5%.

Consequently, the profit after tax at a Q3 '26 level is at 13.9% of revenue. On a 12-month, it is growing at 16.9%. And if I take a 2-year horizon, it has grown at 22.2%. So you would see that the financial performance is very robust. If I go and look at a YTD basis. So from quarter, we move to YTD, you will see that we have clocked till December INR14,172 crores, which on a 12-month basis is a 7.7% growth. And on a 2-year basis is a 13.1% growth. Similarly, PAT at a YTD level, we are at 13.1% of revenue. On a 12-month basis, we are at 14.6%. And on a 24-month basis, the growth is at 15.8%.

Next, we take a view on something which is very important to us in terms of how are the commodity prices behaving. So you will see that generally, commodity prices have been stable for us. If you take a look at wheat flour, which is very important, it actually came down marginally in Q3 '26. And as we know that February, March are critical season for wheat, and based on this we will see how it behaves going ahead in the future, but at the moment, it looks to be stable.

Similarly, RPO has also in the last 3 quarters come down. Sugar is also kind of stable. And we believe that whatever information we have is that it will remain relatively stable going ahead. Same with cocoa, which has also come down. Laminate prices also very stable and milk price is also slightly stable, how milk behaves going ahead in the future is what we have to see.

If I then take a look at some of the key 5 driving strategic priorities, which we have mentioned. So I would probably take them briefly one by one. So the first one, which deals with our efficiencies and sales distribution and supply chain continues.

I think we are consistently striving that how do we bring more leverage in our sales and distribution model and how do we choose more out of our supply chain. And that works

like a
good machine. The second one is about elevating brand experience and investment. So obviously, we have upped our investment on the brand, and this will continue going ahead where we want to build a strong sustainable moats with investment around all our brands.
The third is how do we drive our innovation adjacencies, and I've also mentioned future platforms. So obviously, we will be working towards developing something, which is exciting and something which is also relevant going ahead in the future. We've also put a section on focused intervention to fight regional competitors. We all know that regional competition has come up, and they are doing their best and some of them are also doing well.
So we need an enterprising plan to fight them back, and we are putting specific resources to do that and which is why I have also put that as a strategic priority to be driven. And obviously, the fifth one, which is sustainability, which continues, which lies at the heart of many things that we do.
If you also see this visual on the next slide, we've gone ahead with Britannia NutriChoice with a new campaign, and you would see that Amir Khan is there on the campaign, and it has got good feedback. It's been there in the market, I think on the media for about 1.5 months.
Similarly Little Hearts, which I call residential, is doing very well, and we are also supporting that, also Good Day Crafted, which are premium cookies, which are getting a lot of focus in modern trade and larger GT, which is also doing very well. So Good Day Crafted also is on media. Similarly, if I take a look at some of our other verticals, so you see that the Cheese Triangles from Laughing Cow, they're also on TV, and we believe that snacking is an opportunity where we can develop it significantly.
Also Rusk Britannia Toastea and also Britannia Cake, which are also evergreen additions to our portfolio since long, are also on media. I would also want to talk about a couple of new products and innovations, which have gone in the market. So what you would see on the left is Cheeze Dipped, 50-50 Cheeze Dipped. So this has been launched under the Britannia 50-50 platform. It's a very exciting product. It is getting rolled out nationally as we talk. Basically a sweet cheese layer between 2 crackers. If you haven't tasted it, please try and taste it. So we will also have a caramel version coming out very soon.
And then we also have a Fudge, and as you would see that we will also be having vegetarian

versions of the Fudge Cake, also Layer Cake. And also, we've launched what we call a Doodh Marie in select markets, where Marie is strong, and there is a lot of equity for milk. So all these are actually entering the market as we talk.
Similarly, on what we call is our adjacency business, so there are new versions of cake. We've also relaunched our Sattvam Cow Ghee, which is getting a very good response. And also, you will see that our Toastea, which is our Rusk, where we are now having a campaign Karo Ek Karari Shuruaat Toastea Ke Sath. What is interesting is that all these 4 categories, cake, rusk, croissant and wafers are growing in double digits. And we can also see that the traction that they're getting in e-commerce is a lot more.
They are literally about 3x of biscuits. While our cheese business is growing more, I would say, marginally, but the other businesses like milk drinks and we're actually entering into the seasonal drinks because February is the month when people start building pipeline for Winkin' Cow and ghee is going much faster.
So some points on our sustainability and ESG. So like we said, that building a sustainable profitable business is at the heart of Britannia. And let me take you through the progress on the ESG KPIs. So we've had a 5.7% reduction in specific water consumption, 2% increase in women in the factory workforce

, which is now allowed even for night shifts with their consent. Britannia
Nutrition Foundation continues to do good work, and there is a 27% increase in the beneficiary through the foundation. And also in CDP, we've got a sustained B rating in CDP Climate Change and Water Security themes.
Also, I would want to make a mention that the Britannia Nutrition Foundation work in terms of giving energy dense food material to undernourished children has been recognized as a best CSR project of the year 2025 at the CSR Summit and Awards 2025 organized by the UBS Forum. This is something towards which the company is extremely committed.
We will now run through the financial results, and maybe I ask Venkat to take this through. So I'll take it. No issues. So like we said, as you will see the trend that we clocked INR4,885 crores this quarter. And if you take a look at the last 2 successive quarters, we've been growing successively. And I said that our 24-month growth is at 17% and our 12-month growth is at

about 9%.
Similarly, if you take a look at our key financial lines, quarter 3, specifically at a consolidated level, sales 9.5%; operating profit at INR895 crores at 17.4%, PBT at INR919 crores at 18.1% and PAT, which is our share at INR650 crores at 16.9%. So you would acknowledge that these are healthy numbers. And if you see the trending quarter wise, you will see that we have been pretty stable and actually in Q2 and Q3, we have moved ahead of Q1, which was a relatively lower number.
Similarly, if you take a look at YTD basis with the same parameters mapped on YTD. So we are at about 7.7% in terms of sales growth. Operating profit is at 13.5%. Profit before tax is 15.1% and PAT, our share is at 14.6%. And here also, if you take a look at a year-by-year trend, so 25, '26 16.4% profit from operations, PBT at 16.7% and PAT at 12.4%. And you can see the

comparison with the previous years and make a note where we are as compared to the earlier year.
So this was the brief on the financial lines. So this is what we had to share in terms of the output from the deck that we have loaded. And I guess now we are ready to engage with you, and we are welcome to take questions. Thank you.
Moderator: The first question is from the line of Abneesh Roy from Nuvama Wealth Management.
Abneesh Roy: Congrats on a very good set of numbers. My first question is on the 3x data, which you've given that e-commerce, quick commerce for cake, rusk, croissant and wafer, this 3x of biscuits. I wanted to understand reason and whether there is an opportunity to close this gap of 3x. Is the reason that the national players are much lesser in croissant and wafers, because cake, rusk in my sense is fairly legacy business like biscuits, plus we have seen another food company like Nestle, last 2 quarters, they really ramped up on e-commerce and quick commerce. So is that an opportunity in biscuit side of the business? That is first thing.
Rakshit Hargave: Okay. So to answer the question, I think the fact that we are able to drive the adjacency businesses, which we talked about at 3x should also be looked at positively because the fact is these are also more relatively novel for the consumers, and we have upped the investment.
But at the same time, like you rightly said, it is also an opportunity for us to drive our mainline biscuits much faster. So you would see that the way we treat e-commerce and the investments that we do will become much stronger because we believe that the opportunity in driving both our adjacency and mainline biscuits is far higher.
Abneesh Roy: Okay. One follow-up there, most of the legacy company that is the category leaders tell us that e-commerce, quick commerce at least on the profitability side is generally is higher than the general trade, for you at least for biscuit, rusk and cake, is that true that e-commerce, quick

commerce is more profitable than general trade? That is my first question only, it's not the second question.
Rakshit Hargave: It's more or less at the same. So it's not that in some categories, maybe we are slightly less. In some categories, we are a bit better. But if you take a look at the overall portfolio, I don't think there is anything significant, which is different.
Vipin Kataria: Abneesh, Vipin this side. So see, on the first question, which is on the biscuits, see, so biscuits is a very, very large portfolio for us, and it's a mix of staples, then there is indulgence and there is impulse. So what we have seen is that in the quick commerce today because there is instant gratification, occasion-led consumption, which is happening. There is a very clear acceleration, which is happening on the indulgence and the impulse side, right?
So let's say, Marie or a Good Day, the top end of Good Day is doing well, but the staple brands will take a while because the shopper mission is a little different, right? What has happened in croissant, wafer, cake also is that this entire wave of impulse and instant gratification has really helped us to accelerate our business.

And like Rakshit is saying that the intent is that even the other side of biscuit, which is more planned purchase, staples, right, starts moving up. So I think right now, in e-commerce, we are in a leadership position, and that gives us confidence that by doing more investment, we will be able to accelerate the growth even higher. I think on the profitability side, we are today in a pretty good shape. Intent going forward would also be to launch a lot of digital first brands where it will be margin accretive, adding to the overall profitability story of e-commerce.
Abneesh Roy: My second and last question will be on the sales growth and competition. So the 12% sales

growth in November, December, any one-off effect of channel refilling given GST issue was behind. Second is local competition, earlier MD had said was largely in Eastern India. And you have said that, that is one key priority to take on some share back from local competition. Is that because opportunity has arisen because of the GST rate cut, the compliance will now be more of a challenge for local players or the local competition is a genuine problem in most parts of the country? That is the second question.

Rakshit Hargave: So Vipin, maybe let me make a few comments and if you can join in.

Vipin Kataria: Yes.

Rakshit Hargave: So October was a transition month where we saw a bit of a dip, but I think in November, December, I don't think there is any impact of channel filling. This is a routine business based on sell-out and consumption, so which has kind of stabilized. In terms of regional competition, yes, I'm aware that in the past, we have talked about regional competition in the East. The truth is that there are pockets of regional competition in regions apart from East also.

And they are all operating like small active small units. And I think our plan is to address that in a focused manner, while we are a large company, how do we really compete them on even terms on the overall product and marketing mix. So I would say that while East is a hotbed of competition, but regional competition exists in other clusters also, which, like he said, that we have actually mentioned as one of the strategic priorities in terms of how to address that. Vipin, would you want to add more to it?

Vipin Kataria: Yes, so there is no impact of, let's say, inventory going down and inventory fill up. So I think we have had a smooth transition for GST. So basically, we are focusing right now on increasing the transaction, which is a number of packs sold because that is the most important for us to capture that shelf and market share.

See, on the regional player, there are 2 kind of regional players that w

e see. The first one are the unlisted players, I would say, which are basically very, very localized players. And as the flour rates or the commodity rates are benign, these are players, which will give extra value and trade schemes and therefore go up. Now to counter them, we are building and increasing our investment in the brand like Rakshit is saying. So that will be for the localized player.

The regional players play on their strength of understanding of flavor, consumer and they have created certain formats which are very good. So I think our game right now is to make sure that we quickly adopt and adapt the manner in which these regional players are developing these

flavors and formats and very quickly hit them in certain pockets of the market where we are getting a pushback.

Moderator: Next question is from the line of Mihir Shah from Nomura.

Mihir Shah: Rakshit, congrats on your new role and the team for the great set of numbers. First question is on the demand environment. First, if you could maybe just break up the 9.5% into volume value.

The other thing is that the other large player for most part of the third quarter, was seen to remain at INR4.5 and INR9 price point.

So did this have any volume pressure for you for the quarter? And has all the industry now moved back to the INR5, INR10 price point with a higher grammage and the impact on volumes on the back of that in the coming quarters? So that's my first question.

Rakshit Hargave: Okay. So I think Mihir, thank you for your comments. And I think what you've asked is a relevant question. So if you take a look at the overall value growth we have, so obviously, it is a mix of volume and it's also a mix of the higher value realization because of the GST difference, that has hiked. So as you would know that when GST transition happened, Britannia being the market leader, we were the first company to transition and the way we addressed the INR10 and the INR5 price point is that we give extra biscuits.

So the option was that you can reduce the price point to INR4.5 and INR9. So for a very short interim period to manage the packaging material, we did that, but we were first off the block moving to INR10 and INR5 with more biscuits. The implementation of this from the other companies has been staggered. So a couple of national competitors have moved fully, but some of them are still transitioning to the model where they will sell at INR10 and INR5 and some large companies have not started that as yet.

Now obviously, that creates a situation in the market, which I also mentioned in the release, that price points post GST are still stabilizing. So obviously, what is happening is that when you are going to sell the biscuit at INR4.5 and INR9, ultimately, the consumer is usually ending up paying INR10 and INR5.

So this arbitrage is actually landing in the pocket of the retailer, which could mean that in certain sections and certain channels, there could be a diversion of some business towards these companies where the retailer is seeing the opportunity to create some temporary advantage for

himself. And as a result, the volume growth would be slightly asymmetrical across these channels. But we also hope that this is something which is going to get corrected very soon. But at the moment, the market is still in a bit of flux because all companies have not fully moved towards the INR10, INR5 price point and 2 price points on the packaging still exists, which is a bit confusing. Vipin, would you want to add something on this?
Vipin Kataria: Yes. So see, the cornerstone of this entire GST transition, which is mandated by the government is to pass the benefit to the consumer. And therefore, like Rakshit said, we were first in the block to move, right, give that extra grammage and value to the consumer. But what has happened is

that others have decided to stagger it because of certain tactical gains, and I think that's been a difficult phase, but we have kept our focus in terms of increasing our distribution, our transactions, and that is what has really helped us.
I think as we speak, a lot of these regional players and national players are going back to INR5 and INR10. And I think by end of this quarter, most of the price points would be the round price point, passing the entire benefit to consumer. But yes, in the interim, I think the trade has gained and basically, people have played that tactical game.
Rakshit Hargave: Yes. So Mihir, ultimately, this GST drop move by the government is a very good move, and we are extremely confident that in the medium to long term, this will be very beneficial to the consumers. But I think there is this period of transition, which is going to have a few issues. But hopefully, we are confident that it will get sorted out very soon.
Mihir Shah: Understood. Very clear. Second question is on the margin profile. The gross margin seems to have done quite well, RM prices the way we see it continue to remain benign and the new innovations appear to be gross margin accretive. Can one expect the overall gross margin profile to go back to 44% levels that we had seen 2 years back? And more near term sequentially, can one expect margins to improve from these levels on a quarter-on-quarter basis? So that's my other question.
Rakshit Hargave: So Mihir, we know that the margins that we've had are very good and a lot of factors are at the moment favorable. So you likely said that the commodity prices are stable and maybe on the lower side. So while we won't want to make any future forward-looking commitments. But a couple of reality points are is that, yes, we will be upping our investment on the brand, and I believe that we need to do more.
But at the same time, there are multiple factors, there are moats. And I think our attempt would be to balance out the margin and to kind of deliver something which is exciting. But yes, we will be increasing our investments on the brand. On the historical point, as you said, Venkat, would you want to add something on that? On the historical margins 2 years back which Mihir was asking. Mihir, can you just...
Mihir Shah: Venkat, gross margin had gone to 44% levels, and we had seen some quarters going to EBITDA margins of 20% levels. I wanted to just check, so while you've come back to 20% EBITDA level, can we expect gross margins to further improve from here? Or do you think any investments will be put in back and the sustainability of the 20% EBITDA margin, if you can throw some light on that one?
N. Venkataraman: Mihir, we don't give forward-looking guidance, yes. But you also know that some of the crop season start by March, April. Flour for instance, the crop season is March, April. The initial estimates are that the acreage under cultivation is significantly better, subject to other things being there, we are hoping that flour prices will continue to be favorable, yes.
On RPO, there has been volatility that we have seen with government intervention on duties, etcetera on imports, which again has come down. We need to see what happens to that and

similarly on sugar. But fundamentally, we believe that the key commodities seem to be stabilizing than, let's say, in the last couple of years, right? We really need to move forward and see what happens, but essentially, as we look at it today, this is how it looks. They are looking reasonably stable. Things can change, but yes.
Moderator: Next question is from the line of Vivek from Jefferies India.
Vivek: Two questions. First, Rakshit for you. Now that you've taken charge as the CEO and have been around for some time. What are your identified top one or two areas that you want to focus on,

let's say, from the -- in 2026 or maybe in the next couple of years?
Rakshit Hargave: Yes. So Vivek, thank you for asking this. So like I said, we are doing a few things, and we will be rolling out a strategic plan, which would address both the near term and medium term. Maybe at the moment, I would want to highlight on the following things. If you take a look at these strategic priorities, apart from the fact that we want to drive efficiency on sales, which is a continuous program, and Vipin and team are doing a good job along with replenishment supply chain. You would have noted that we have talked about working on brand Britannia.
You would have heard the announcement that we've hired a new CMO, who's going to be the CMO for all the businesses, except Dairy and international business. So obviously, the idea is to bring a refreshed part of Britannia and the products upfront to look at them in a manner which leverages on the legacy strength of Britannia, but still present ourselves as a new modern company and how do we elevate brand experiences.
The other focus area would be, I think, where we need to do more work and where we haven't done maybe in our assessment work is to create the category of functional foods. So you would have seen we've talked about future platforms. So we would be working towards -- we have a great brand in Britannia NutriChoice.
So we would be making plans in terms of how do I really expand our portfolio into a very relevant and focused portfolio in this segment where Britannia starts to play much more seriously, and we would want to act on that very soon. Apart from that, also, there would be certain initiatives. But I think one is to keep -- continue working on what has worked well for us and how to develop the brand salience of Britannia in a much more bigger and modern manner. And the third would be how do we really develop this new platform that we are talking about.
Vivek: Interesting. The third one is particularly interesting, and that was my second question for you, Rakshit. When we go to any quick commerce, and we heard your comment on how you are also doing on quick commerce, but it appears that especially on the food side and maybe even in case of personal care, there is a fair amount of competition which has picked up and there have been at least one company in the FMCG space, which has been very systematically acquiring these small brands and early stage franchises and have been able to scale up well.
What is your thought process on build versus buy? Because brand Britannia stands for something which is great. But then do you think there is a need to also have a few of these look at these franchises? And if possible, maybe acquire some of those?

Rakshit Hargave: Yes, Vivek. So like you rightly said, we believe that Britannia by itself can do a lot more things. And I gave an example, but we also believe where we have not taken off the blocks is that there are maybe attractive opportunities on the inorganic side and Britannia would be justifiably evaluating them. So the idea is going ahead that how do you really make a composite portfolio and everything cannot be built from organic. So that door is also open for us.
Moderator: Next question is from the line of Arnab Mitra from Goldman Sachs.
Arnab Mitra: My first question was actually on market share, where you mentioned about the regional players. Wanted to just understand if there has also been any increased competition from the national players and has Britannia been able to hold its market share versus relative to the other national players?
And a related question is, if I look at a lot of the priorities which you mentioned, adjacencies, competing with the regional brands better, e-commerce channels. Do you think you would have to significantly up your investments and more in the sense that can you -- would you be a

ble to
sustain your margins here? I think the previous question was more about expansion of margins, but wanted to understand if all of these require investments, which will have to ultimately come out of your current P&L?
Rakshit Hargave: Yes. So Arnab, yes. So let me answer your questions in the sequence that you asked. So yes, against national players, we are holding shares, in fact, over a 2-year period, we've actually gained share over national players. Now the point is on market share, like I said, there are 2 price points existing in the market on the packaging because many of the companies have not migrated fully to INR10 and INR5 and INR10 and INR5 because a large portfolio of biscuits actually sells either at INR10 or INR5.
So we are in discussion with Nielsen to really sort out the issue because at many places where the actual selling price should be INR4.5. Nielsen is capturing it maybe close to INR5. But that's a discussion that is ongoing and I'm sure that it will get sorted out. But at the moment, which is why I said that prices in the market are in a bit of state of flux and the GST transition is still happening from that point of view. But we can see that more and more companies are moving towards the finalized packaging, where we are declaring a INR10 and INR5. So from that point of view, the market share still remains in a bit of flux.

Now your next question, the fact that we are going to be fighting regional competition, we are going to be investing in e-commerce. Yes, that will require more funds, and we are committed to invest that. We believe that the opportunity for us to drive top line better is definitely there. And I think we will be taking a very pragmatic view of that, that driving top line is also important because we can gather far more customers who consume Britannia and our other brands. What happens to our margin profile, like I said, we will always keep it balanced under the check, but I think there are opportunities where we can make a better play with investments, and we will be choosing them very selectively.

On regional competition, the fact is, yes. We will work as I said, small group of enterprising

businesses and not treat them like national competition. So we will have a start-up mentality to fight these people, and we will make sure that the ambition that we have are more than the resources that we put and we actually deliver it better. So we will manage the expectation accordingly.

Arnab Mitra: Got it. My second and last question is more of a bookkeeping question. So you have mentioned this loss of state finance fiscal incentives to the extent of INR65 crores for this quarter is what I understood. Also, there is like a bumping up of other operating income you've got from one of the state. So should one take as this quarter's other operating income minus that state 1x incentive you've got as more of the run rate going forward? And any discussion with the states of potentially making up for that or it is partially offsetting that loss of incentives?

N. Venkataraman: Yes. So you're right, the incentive that we got from the state of Bihar is something that accrued in this quarter and therefore is very specific to this quarter. However, having said that, we also have, as you may have seen, provided for the Labor Code impact in this quarter to the tune of INR48 crores. So in some sense, they neutralize each other.

To your second question in terms of have we reached out to the state governments? We already have or in discussions with the state government authorities for providing us an alternate ways of providing the incentive that was intended originally. We're talking about converting this possibly into a capital subsidy or of extending the period of incentive or any other form that would be appropriate under the current circumstances.

And we are hopeful that th

e government authorities are being very positive. We are hopeful that we should get some relief, not just for us. It's going to be industry-wide requirement and it is also going to impact those who are going to invest in future.

Moderator: Next question is from Percy from IIFL Capital.

Percy: Just a question on GST, about 60% in price point impact…

Moderator: Percy, sorry to interrupt you, but we're losing your audio. Can you please come in a better reception area, please?

Percy: Is this better?

Moderator: Yes, go ahead.

Percy: Yes. So see, about 60% of your portfolio is price-pointed packs, which are essentially close to like a single consumption pack. And in this, you have sort of given 12% extra grammage. So about 6% to 7% extra grammage as a portfolio has gone through. And since the net realization per kilo is unchanged, that would mean 6% to 7% extra sort of sales should come through? In light of this, the overall sales growth of 9% is a little low. So what am I missing? What am I calculating wrong here?

Rakshit Hargave: So Percy, like you calculated, the 9.5% growth, I said is broken down both into volume growth and growth coming because of GST. So when I say growth because of GST, it means about --

that would translate to about 4.5% and the rest comes from -- because our products have also rolled into the market sequentially. So it's not that the full quarter has sold at the lower GST rate. But yes, you are right. So about half-half, 50-50 has come from volume and half has come from value because of the GST.

Percy: If basically the GST rate had not changed, does it mean that the sales growth would have been like 4% to 5% in that case?

Rakshit Hargave: No. But you would also realize that because of the transition and the change there was a challenge in the month of October. So if the GST had not happened, we would have had a better October. And henceforth, the number would have still been more closer to what we have delivered than because of the factor that you're talking about.

Vipin Kataria: Yes. So I think the underlying growth cannot be called out like that because, obviously, the environment in which we were operating in quarter 3 was very different, right, from the competitive scenario to the transition, which was happening factory by factory, brand by brand. So I think it cannot be equated, Percy, like that.
Percy: Understood. Sir, given the fact that these price cuts or rather volume increases were happening...
Moderator: Percy, sorry, we are losing your audio again. Percy, can you hear us?
Percy: I'm saying because you have not implemented the extra volume for the entire quarter. Would it be fair to assume that going ahead, the sales growth would be more towards the low teens kind of a number is the full quarter is sort of taken into consideration. And also given that the other competition is now moving from INR4.5 to INR5 or INR9 to INR10, etcetera?
Rakshit Hargave: So Percy, again, 2 points. We would not want to comment in terms of how we will deliver in the coming quarter. But like we said, Britannia has fully implemented the proposed government GST reduction and giving benefit to the end consumer. So we are like fully on the table. The other companies are still doing so, and which is why there is a bit of flux in the market in the channels. But we are hopeful of continuing good performance, and that's how we see it. But yes, it also depends on how the prices stabilize, depends on the other people also as to how quickly they are able to change.
Percy: Understood. Second question is on gross margin. This quarter, we had a 530 basis points kind of gross margin expansion Y-o-Y. So just wanted to understand what drove it? And is this sustainable?
N. Venkataraman: So you're talking about the gross margin versus the last year same quarter?
Percy: Yes, versus Q3 last year.
N. Venkataraman: Last

year Q3 was when the RPO prices started going up, if you will remember, yes. Q3 and Q4 when RPO prices started shooting up. And then we started initiating the price correction activities from Q4 and Q1. So it's a combination of 2 things. And so one, the inflation that

happened and a delayed price increase with a lag of about 2, 3 months that happened for us to initiate the price increase. So now with the commodity prices tapering off on the prices remaining stable there, you see that expansion of margins.
Percy: Or anything. This is like a sort of a clean number?
N. Venkataraman: Yes, this is a clean number. Correct.
Moderator: Next question is from the line of Nihal Jham from HSBC.
Nihal Jham: Two questions, a follow-up to the earlier participant that in the earlier Q2 call also the earlier MD mentioned about the possibility of 15% top line growth, which is say the underlying 9% that the business has been doing and the potential sort of 6% coming from the grammage change that is happening on the back of GST. Given November, December, a sort of clean number at 12%, just wanted to understand that is there a possibility that the growth can sort of uptick to that number in the coming months or quarters?
Rakshit Hargave: So Nihal, like you said, we would not want to comment on whether we can move to 15%. But yes, November and December were clean months, and we saw that we delivered close to 12%, but like we also said, the overall market is also stabilizing. So we'll have to see how it moves on.
Nihal Jham: Sure, Rakshit. Just one more question. You did highlight about all the initiatives that you plan to take in the coming months, would it be possible to give some more granularity specifically on the adjacencies, given all of these 4 categories are sort of very different and divergent. So just some quick thoughts about how you're thinking of each of them.
Rakshit Hargave: So at the moment, what I can share with you is that one of the changes that we are bringing on is that the CMO is going to be responsible for brand Britannia under all the verticals, which also includes adjacencies, which basically, for us is croissant, rusk and cake. Earlier, they were managed as a separate business and the marketing head is not directly accountable for that. So we expect to bring in synergies, common themes and I have identified area where there could be a multiplier effect because we treat them as a part of an umbrella family. So at this stage, I can tell you that one of the objectives of bringing in a CMO for the overall business, was to also bring about more relevance for this portfolio, and that is one of the things.
You would also see more innovation coming also on the mainline business and also on these. So obviously, we will accelerate. And I think with a CMO, the ability to collaborate and work with R&D more proactively and in a more agile manner will also be better. So that's what you will see. And when we do more things, we will share them in the future with you.
Nihal Jham: Sure, a quick follow-up. Anything on distribution or pricing for these adjacent categories, which can potentially look better or different?
Rakshit Hargave: Maybe, Vipin, you would want to comment on this.

Vipin Kataria: Sorry, I missed the question. Can you please repeat?
Nihal Jham: No, I was just checking, Rakshit mentioned about umbrella branding sort of for the adjacencies also, incrementally, any changes on the distribution or the pricing structure for the adjacent categories, which can change in the coming months?
Vipin Kataria: Yes. So see, I think last year, which is the calendar year '25 has been a little turbulent for us because we did some price changes because of inflation, which didn't go too well in the market, right? So we learned our lessons the hard way

and we came back with those very competitive price points.
And as we exited calendar '25, our growth rates have been pretty good. So I think whatever we have to do in terms of doing the right pricing against the local competition or national competition or driving distribution has been taken. And like Rakshit said, I think a lot of brand investment will start happening in some of these categories because cake and rusk are fairly large categories. They're bigger than even some of the biscuit brands. And I think a lot would be done on the brand side, so that our offtakes are full, our repeats are good, and that is then augmented by good distribution, both in urban and rural.
And then what we have also found is that in modern trade and e-commerce, where you can build discoverability where the conversion is more instant because you're doing activations on the platform, right, is again going to be a big focus area. So therefore, the salience of these brands is increasing in these channels, and that's a very welcome change. So basically, going forward, omnichannel approach, a very strong price points, pushing back local competition and in the overall brand investment is what we will drive adjacency growth.
Moderator: Next question is from the line of Harit Kapoor from Investec India.
Harit Kapoor: Just one thing on this 12% growth in November and December, how much of this was volume driven both organic plus GST led? And how much of it was the carryforward impact of pricing over the last, say, 3, 4 quarters, which we had done, I think we've done something in Q4 of last year. The reason I ask is we anniversarized this from Q4. I just wanted to get your sense about how much of it is volume-led GST, volume-led otherwise, so we can get a clearer picture.
Rakshit Hargave: Yes. So Harit, like I said, the 12% is equally divided between volume growth and the growth that we are realizing because of higher NSC realization as a result of rate reduction. It's about half-half.
Harit Kapoor: Got it. Okay. Okay. So this...
Vipin Kataria: See, so the other -- one more dimension I would want to add is that the consumption the way people consume our categories also changes quarter-by-quarter, right? And therefore, to put any forward guidance on those numbers would be very difficult. I think because like Rakshit have been saying, there is a flux in the market, and there is a consumption angle, right? So I think quarter 4, what we will see is healthy growth, but can't predict right now.
Harit Kapoor: And the second thing was just for Rakshit. So there have been -- you mentioned the team addition

has happened as you called it out in the release yesterday. Just wanted to get your sense about whether you feel that at least from a future perspective, are there other pieces that will get filled up over time. Is there a need at all, etcetera, as you further this growth agenda?
Rakshit Hargave: I think there was a bit of disturbance on the call. Can you just repeat your question again, Harit?
Harit Kapoor: Yes, my question was regarding team additions, and do you believe in order to kind of further your growth agenda, whether e-commerce or innovation or otherwise, you would need to kind of further add team members, especially like you have announced the CMO addition?
Rakshit Hargave: So what I'm answering to Harit is that, so obviously, we made an announcement yesterday. The way I would put it is that we have an overarching overall people agenda. And the people agenda means it's a combination of positions. It's a combination of our ways of working. It's a combination of creating a high energy organization, and we've already been a very admired company, but we really want to take it to the next level in a very, very relevant manner for today's world.
So I don't want to share more deals on the people agenda right now, but you will see that we

will
move fast, and we will really do what needs to be done to make Britannia sharper focused and very relevantly aggressive.

Moderator: Next question is from the line of Amit Sachdeva from UBS Group.
Amit Sachdeva: Sir, my question is on cheese category. So I -- obviously, this category was supposed to be the driver of your dairy or at least the bellwether of dairy foray and the value addition and things like that. But for some reason, the milk or the flavored milk has grown and other extensions in dairy has grown. But cheese, which was supposed to be the bellwether for this initiative has not worked.
And clearly, for several quarters. And is there a thought process how -- and it's supposed to be high growing as well. What is the thought process here given the investments that you've already made, JV that you did, how cheese as the category will be resurrected? That's question number one. And I'll ask my second question later.
Rakshit Hargave: Okay. So yes, like you said, cheese has been a slow starter for us. And we acknowledge that. But let me tell you some of the things that we are doing to be able to correct that. As you would have noticed in the month of December, we also now have a new head for our dairy business, who also is involved to head what we have is our cheese business, which is housed under Britannia Bel Foods, which is our JV with the French company, Bel.
So obviously, we are looking at cheese from all angles. So we know that we have capacity. But I think to add that, there is work that is being done to make our cheese portfolio more attractive. There is innovation, which is happening. But mark my words, we are already the second largest player in cheese slices after the market leader. And we have a reasonably good position in general trade and also in select modern trade.
But we are looking at innovation. We are looking at price points. We have kicked off a much

more solid relationship with our JV partner in terms of what we can do. So you will see initiatives on cheese and also working much more closely with some of the modern trade customers, where we have not been able to make more headway.
And you'll also see new propositions coming in. So like we said, cheese is important for us because I think from a brand perception point of view, Britannia's domain connectivity with cheese and dairy is high, and we would want to really leverage that. So I could say that we are starting a new leap to be able to put lot more focus here.
Amit Sachdeva: And we look forward to hearing more on cheese. Second question that I want to ask is the quick commerce and e-commerce foray and how biscuit as the category has interacted with it? I think Nitin alluded to it that there is an indulgence and impulse category, which is doing well. But my sense is the previous thought process was that e-commerce on an aggregate basis tend to be margin dilutive and hence, it's a very selective play.
But given that the indulgence is growing, is it opening the opportunity for aggressive expansion in new categories or new extensions, maybe chocolates or something like that, which basically can help you exploit that opportunity better and hence, we should see aggressive innovation exploiting that channel and also indulgence and impulse, which are some of the categories which are absent. And is there a thought process around how we should think about that piece?
Rakshit Hargave: So I will make a few comments. I will give it to Vipin then. Vipin made a point that we are now going to also look e-commerce as a business unit where we will incubate some innovation, incubate new development and be faster to the market. And I think that's the reality towards, which we are committed.
As far as the business profitability, like we said, I think we are fairly well positioned on e-commerce, and I think we are definitely going to drive i

t. And Vipin, if you could add more color on the rest of the questions.
Vipin Kataria: Yes. Thanks, Rakshit. So see, I think the opportunity, which q-commerce and e-commerce present today sheer from a category penetration point of view is immense, right, because the category penetration is just around 20-odd percent, right? So let's say, out of the 100 consumers, which are going on q-com, our category penetration is just 20. This also has moved very rapidly. And as a market leader, as a brand, we would want this category penetration to go up. So therefore, our entire joint business planning with the q-com customers is basically how do we expand or deeply penetrate in terms of categories.
Now within the categories, there are staple categories, there are impulse categories, there are indulgent categories. And therefore, when I'm talking about this 20% kind of penetration, that's at an overall biscuit level. And therefore, there are lot of layers which we can really unfold and we can keep accelerating that category penetration, right?
So therefore, the growth will keep coming from a category penetration point of view. The second, what's happening is that the density of the dark store is going up in the top 15 metros, right? So I think that's, again, a big opportunity. Today, q-com is going to 150-plus cities, right?

That's another dimension of opportunity.
The fourth dimension of opportunity, what we call now is resident jewels, which is that while we have so many brands, but there are certain brands where we have underinvested there is good margin profile of these products. And therefore, let's invest rightly in these products, right, before we set up this entire business unit, which Rakshit just spoke about.
So let's say, Little Hearts in our portfolio is a brand, which I think we have not invested enough, we have not focused enough. And therefore, there are those resident jewels, which we will start focusing and that's very apt for q-commerce and e-commerce. And therefore, what we have seen initially is very, very good growth, right?
What we're also saying is that whatever an investment that we do will also be synchronized on the platform so that what you see on digital, what you see on TV will also come alive on the q-com and e-com platform. And therefore, there is a complete 360 experience, uniformity of experience, that a consumer sees.
Then there is a fifth leg, which I spoke about, which is how do you make sure that our margin profile keeps moving up, right? So therefore, what we are saying is that there are a lot of these resident jewels, where the margin profile is already good. And then what we're launching specifically for q-com will give me accretive margin, which will ultimately start translating into good profit from operations, and we are already ahead of the competition, both in terms of our market share as well as profitability. So we are very clear and excited about this entire transition, which is happening, right? And that gives us an opportunity to give the right kind of assortment at the right kind of margin to the consumer.
Amit Sachdeva: Got it. Vipin, if I may ask, what is the current e-comm and quick comm penetrate -- like a revenue salience for you? And where do you see, say, 2- to 3-year view where it could be?
Vipin Kataria: So right now, it's high single. And see, we know that every quarter, this is moving up, right? So what we will end up with a high single salience. I think this certainly will move very quickly maybe to the early teens or twins, right, is how we see this going forward in FY '27.
Moderator: Ladies and gentlemen, we will take that as a last question. I'll now hand the conference over to Mr. Yash for closing comments.
Yash: Thank you, everyone, for spending time with us on the call today. We look forward to interacting with you again. Thank you again, and have a good day.
Moderator: Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Date: 11th May, 2026

Dear Sir/Madam,

Sub : Transcript of the Investors/Analysts Conference Call (Group Meet) for the quarter and financial year ended 31st March, 2026

Ref : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations, 2015')

With reference to the subject cited above and pursuant to Regulation 30 read with Clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations, 2015, please find enclosed the Transcript of Investors/Analysts Conference Call held on 8th May, 2026, pertaining to the financial results and operations of the Company for the quarter and financial year ended 31st March, 2026.

The Transcript along with the Presentation and Audio Recording are also made available on th e Website of the Company at www.britannia.co.in/investors/financial -performance/analyst -call.

Request you to please take the above information on record.

Thanking you,
Yours faithfully,
For Britannia Industries Limited

Sona Rajora
Company Secretary & Compliance Officer
ICSI Membership No.: A35468
Encl.: As above
To,
The Corporate Relations Department,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001
Scrip Code: 500825
The Listing Department,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra- Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: BRITANNIA

"Britannia Industries Limited
Q4 FY '26 Earnings Conference Call "
May 08, 202 6

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ANAGEMENT : MR. RAKSHIT HARGAVE – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – BRITANNIA INDUSTRIES
LIMITED
MR. N. VENKATARAMAN – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – BRITANNIA INDUSTRIES
LIMITED
MR. VIPIN KATARIA – CHIEF COMMERCIAL OFFICER ,
SALES AND REPLENISHMENT -- BRITANNIA INDUSTRIES
LIMITED
MR. PUNEET DAS – CHIEF MARKETING OFFICER –
BRITANNIA INDUSTRIES LIMITED
MR. SIDDHARTH GUPTA – VICE PRESIDENT ,
MARKETING – BRITANNIA INDUSTRIES LIMITED
MR. RAMAMURTHY JAYARAMAN – VICE PRESIDENT ,
CORPORATE FINANCE – BRITANNIA INDUSTRIES
LIMITED
MR. AYUSH AGARWAL – INVESTOR RELATIONS –

Moderator: Ladies and gentlemen, good day, and welcome to the Britannia Industries Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Ayush Agarwal, Investor Relations, Britannia Industries Limited. Thank you, and over to you, Mr. Agarwal.
Ayush Agarwal : Good morning, everyone. This is Ayush from the Investor Relations team. I welcome you all to the Britannia earnings call to discuss the financial results of Q uarter 4 for financial year 2025/26.
Joining us today on this earnings call is our Managing Director and CEO, Mr. Rakshit Hargave; Executive Director and CFO, Mr. N. Venkataraman; Chief Commercial Officer, Sales and Replenishment, Mr. Vipin Kataria; Chief Marketing Officer, Mr. Puneet Das; Vice President, Marketing, Mr. Siddharth Gupta; and Vice President, Corporate Finance; Mr. Ramamurthy Jayaraman.
The analyst deck is uploaded on our website. Before I pass it on to Mr. Rakshit Hargave, I would like to draw your attention to the Safe Harbor statement in the presentation. Over to Mr. Hargave with remarks on the performance.
Rakshit Hargave : So good morning, everybody. So, we will now go through the deck which we have shared with you, and obviously, this has the details for Q4. And now also, because this is the end of the year, you will also see the perspective for the full year.
So let me begin with the business overview. If you take a look at the performance scorecard, for fourth quarter 25 -26 - if you take a look at the revenue line, you will see that we had, in the last quarter, INR 4,686 crores ; On a 12-month basis, this was a growth of 7.1% and on a 2-year rolling basis, it adds up to 16.7%. If you take a look at the PAT line, quarter 4 by itself was 14.5% of revenue. The 12-month growth is 21% and the 24-month growth is 26%.
If we go to the same scorecard but instead of only Q4, if we take a look at the full financial year 25-26, you will see that for the year, at the revenue level, we clocked INR 18,858 crores which, on a 12-month basis, was a 7.5% growth over the previous year and on a 2-year basis, was a 14% growth. If you take a look at PAT, you will see that for the year, at a PAT level, we were 13.4% of revenue. On a 12-month basis, this was a 16.3% growth, and on a 24-month basis, this was an 18.4% growth.
We will quickly take you through the commodity price trend. So, you will see that flour has been on a bit of a receding trend. So, we know that the wheat output has been good. So Q4 saw a dip. In the last 1 month, we see an upswing in the flour prices because of unseasonal rains, high heat and some quality issues in the arrivals. But still, flour is a -- we see it as a positive trend for us.
If you take a look at refined palm oil, you see that in the last quarter, the prices have gone up. Obviously, this has also got a correlation to fuel. For us, we buy forward on palm oil so we are actually quite well covered for another 5 months. Sugar, mor e or less behaving like as it is.

Cocoa prices are down.
Laminate prices, while you see that they have come down towards the end of Q4, but from March onwards, laminate prices have actually gone up and they are still up in April. Again, this is because of the war impact in the Middle East, where granules prices have gone up. So we have to see how that comes out. But yes, at the moment, there is an inflation.
Milk prices are behaving as they do behave during this period. They are on an up. Usually, they start coming down during winter. We'll have to

see how does that move ahead because there is expectation of El Nino and higher warming, and how does that impact milk will be interesting for us to see.
I would want to spend some time on the West Asia conflict. So, we have an international business, where a significant portion of manufacturing for those markets happens in Oman and Dubai. Our international business revenue and profitability was impacted during the last quarter, owing to vessel unavailability and slow down in demand in those markets. We were unable to dispatch vessels, as you know, because the Strait of Hormuz was locked. Also at the same time, you know that there is significant increase in f uel costs and ocean freight rates.

If we see the impact of the West Asia conflict in the Indian market, so when the war started, we initially had concerns because there was an issue of LPG shortage, etcetera. But we have been able to manage the situation well. So there has been no material disruption to production operations at our Indian manufacturing facilities on account of these fuel supply constraints. So, we've been able to manage all manufacturing as it should be. We have also made other measures. We are anyway already working on alt ernate fuels and options.

So, the agility of the Britannia team came to the fore, and hence, actually, apart from the fuel cost inflation, which cannot be helped, actual manufacturing has been quite steady. We obviously will need to take some mitigation measures for this, and we have initiated the mitigating measures. So, there will be calibrated price increases starting from this quarter. We are also optimizing our sourcing between India and international manufacturing facilities for key geographies to mitigate supply-related chal lenges, expected to be fully operational by mid-May.

So, like you know, we have an export -oriented unit in Mundra. Now in the last few months, because of tariffs, we had moved all the manufacturing for North America to Oman. But we have been able to move all that manufacturing gradually back to Mundra so that w e will now be able to dispatch towards North America. Because if we were manufacturing in Oman, we would not be able to do that. So that agility has helped us.

Obviously, it goes without saying that the cost optimization measures and efficiency initiatives which Britannia has done extremely well in the past, that continues, and that has taken a new leaf because of the challenges in front of us in terms of inflati on. So, the company is totally committed to continue on those CEP measures to be able to deliver what it promises.

Let me focus on the strategic priorities as we had announced. So we continue to drive efficiencies in our sales and distribution and supply chain channels. We have very efficient networks on

these, and we will keep driving them to higher levels. Our brand experiences and its investments, as you would see, will be much more stronger. I think investing more on brands and creating more experiential strategies is a way that we want to go, and that is going to reflect in what you are going to see.

Also, innovation, adjacencies and future platforms. There is intense work happening to be able to create a portfolio also for the future. We are also, like I said in the last call, realigning the way we work in creating a team for Many Indias. So the agili ty of the teams, the start -up culture, their ability to take quicker calls, customization for Regional Indias is a very big project, which has been kicked on, and you will see the output of that coming in the next few quarters. And obviously, doing all this in a sustainable manner is something that we have done and we will continue.

I would want to share something on our e -commerce business, which is actually growing exponentially. So, in the domestic business, the salience of e-commerce has moved to 6% of overall sales in 25 -26 from 4% of overall sales in 24-25. Now you have to take a look at this 6% number with a different lens as you would imagine that, for us, nearly 60% to 65% of biscuits sell at the INR 5 and INR 10 price point, which don't really have any major salience in e-commerce. So, if you apply that filter, you will actually realize that our e -commerce contribution is upwards of 12%, which is best in class.

Also, if we look at the categories where we are firing on e-commerce, while biscuit continues to do well, the newer adjacency categories are growing in e-commerce at a rate which is 2.7x, hence fueling the fastest -growing channel through exclusive launches, premiumized offerings and customized D2C offerings w ill be the order of the day, and our investments on e -commerce will grow even further.

Vipin, Do you want to add something to this?

Vipin Kataria : Thanks, Rakshit. Vipin Kataria this side. So Q -Com has been a bright spot. We've been talking about e -commerce for the last few quarters. And what we see is that we are building this momentum and acceleration for the last few quarters. So just to share a few more points. Almost 70% of our business today i s coming from the quick commerce part of e-commerce and how we see this is further moving up to 85% because, as you know, Amazon is scaling up their quick com model as well as Flipkart.

Now the big upside of this is that there is a big change in the assortment. While on the marketplace or e-commerce platform, we were very heavy on staples, what's happening because of this change in q-com is that we are able to premiumize our assortment, and we are able to sell much more indulgent categor ies, and that's the impact which you see on the right -hand side, which is adjacency is growing almost 3x.

So going forward, what we are doing is we are collaborating with platforms. We are getting used to their playbook, and therefore, activating a lot of our brands through their playbook by close collaboration. So, I think going forward, this 6%, you will see moving up as well as the assortment towards premium as well as impulse will keep growing.

Rakshit Hargave : Thank you, Vipin. So let me continue with the next slide, which talks about key brands and products on air. So, you would notice that in the last quarter, we have been on air with the variant of our 50 -50 brand which is Cheeze Dipped, also a variant of Marie Gold, which is the Doodh Marie Gold, which was launched across select markets, and also Good Day Butter.
This was complemented along with multiple consumer engagement and brand activations, which cover Tiger Krunch, Treat, which is our wafer brand, also Croissant and Jim Jam. And as you would know, Croissant is a very exciting category, doing very well for us .
If you take a look at the adjacency business, if you take a look at the cake, Fudge It, this is really a Gen Z -focused brand. We have promoted it significantly during Valentine's, and we can see that there is significant growth in that and it becomes an im pulse kind of confectionery kind of a purchase.
So, wafers continue growing healthy double digit. Cake & Rusk, high prevalence in e-commerce, driving growth at about 1.4x of biscuits. We have successfully scaled up our Brownie, also very well accepted by consumers. Dairy business, also double -digit growth and fueled by Ghee, which has done excellently for us in the last 1 year.
Also, our innovations have gained traction. So the Cheeze Dipped, the 50 50 Cheeze Dipped and a variant of that, the Caramel Dipped, which we launched which has been heavily advertised on TV also during the Indian Premier League, has already become the second biggest player in the sandwich cracker segment in 3 months of its lau nch and continues to grow month- on-month.

Also, we have what we call these our signature brands, Treat, Little Hearts and Jim Jam. They're actually outpacing the overall company growth by about 3x as we see, and we continue to see growth in the coming quarter also. And obviously to leverage this, the teams have innovation and variants planned to leverage this portfolio.
Like we talked about, winning in Many Indias, so what you see on the chart is a depiction of our internal regions, how we classify. And what we have done, we have made regional teams supported by marketing, supported by innovation, supported by research and development to really tackle these markets at a much more local level, and we should be able to see the output of that as we continue during the course of the year.
On ESG, Building a sustainable and profitable business has always been at the core of Britannia. So let me share the progress of KPIs on this over last year. So we've had 7% reduction in specific water consumption. We've had a 1% increase in women factory workforce.
I'm actually very happy to say that many of our factories are actually majority managed by women. The Britannia Nutrition Foundation have had a 67% increase in the number of beneficiaries, and this is a major cornerstone of our CSR program. Also, a 14% inc rease in renewable electricity share in our own plants.
Also like we said, the cost efficiency programs that we have implemented in the company, continue. So just to give you a scale of what we have been able to achieve in 25-26, you will see

that as compared to 2013 -14, in about 12 years, we have increased the discipline of CEP, 10x. As compared to 2021, it has actually doubled.
So, there is obviously a lot of focus, and the focus areas comprises alternate fuels, large efficiencies on buying, working on renewable energy, wastage reduction, lot of optimization on logistics, and a lot of work on packaging and reengineering. And like we said, we are also evaluating alternate energy sources as long -term solutions to mitigate fuel supply -led disruptions so that, as in India, we become much more self -sufficient to be able to manage if any shocks like these come in the future.
If we take a look at the financial results, and I will take you through that. So let's take a look at the revenue trends. You will see that on a 12 -month growth, we clocked 7% in the quarter. The quarter before was 9%, 4% and 10%. On a 24-month basis, it b ecomes 17%, 17%, 9%, 14%, if you go backwards. And you have the bar chart to show how we have progressed in absolute revenue over the last 4 years, and you can see that it is an incline moving towards the Northeast.
Similarly, if I take you through the consolidated results. You will see that in Q4, we were at INR 4,686 crores, which was a growth of 7.1% for Q4 last year. Operating profit of INR 768 crores, which was a 6% growth; PBT of INR 785 crores, which was a 4.4% growth; and PAT of INR

678 crores which was a 21.1% growth. Obviously, this 21.1% growth also comes as we have observed in the comments, because of some income tax case closures. Hence, we have had to release them.

If you take a look at profit from operations, if we go quarter by quarter wise for the year which has gone by. So you will see that we were at 16.4% in the current quarter, 18.3% before that, 18.3% before that and 14.9% in Q1. If you take a look at PBT, we see that our PBT margin has more or less remained at a good constant line. We were 16.8% this quarter, 18.8% in Q3; 18.6% in Q2; and 15.5% in Q1. And PAT, at 14.5% versus 13. ,9%, 13.8%, 11.5%. PAT, obviously, like we said, is also a function of the income tax case, which has been included here.

If we take a look at the full year on a consolidated basis. So we clocked sales of INR 18,858 crores, which was a growth of 7.5% over last year; operating profit of INR 3,208 crores, which was

11.6% growth over last year; PBT of INR 3,289 crores, which was a 12.4% growth; and PAT of INR 2,533 crores, which was a 16.3% growth over last year.

On other particulars, on a ratio basis, you will see that profit from operations this year was 17% compared to 16.4% the year before that and 17.3% the year before that. So, this is all in a positive trend. PBT at 17.4%, 16.7% last year and 17.6% the year before that. So, all this is at a very high level of performance. Similarly, PAT, this year, it's 13.4% against 12.4% and 12.9% of the year before that, hence, slightly on a higher side because of the reason that I told you earlier.

So, with this I think the presentation that we uploaded for you all is done, and we will be subsequently happy to take some questions.

Moderator : The first question is from the line of Mihir Shah from Nomura.

Mihir Shah: So firstly, just wanted to understand on the West Asia issue. What has led to the stand-alone growth being lower at 6.5% versus the 12% growth that we had witnessed in November, December and 9% in Jan and Feb? If manufacturing was hit in Oman and the other region, then would that not be sitting in the consol sales numbers? So I wanted to understand what has led to the stand -alone sales number also being lower.

Rakshit Hargave : So thank you, Mihir. So like we said, we did not have manufacturing issues in West Asia. We manufactured but we were not able to dispatch. But I think your answer is on the stand-alone India business in terms of -- yes, so we have done a couple of things. To manage West Asia, like we said, we have moved our manufacturing to Mundra so that we don't have to manufacture ex-Oman because the sea routes that you have ex -Mundra are much more accessible to reach to various markets. So we have done that.

I assume your other question is on the domestic India business and in terms of what is the reason for the sales number that we have shown. So we had, like we said, a reasonable first 2 months in the quarter. The West Asia impact hit us in March. But if you take a look at an overall level, see, there is a certain challenge post the GST transition. And I would just like to highlight to you what happened.

You see, close to 60%, 65% of the biscuits that we sell are at INR 5 and INR 10. And the price transition on that, because of some dual pricing in the market, has caused some challenges in our rural channels and in our wholesale channels because of some dual pricing existing. So as a result of that, we have seen some kind of a tran saction slowdown in those channels. But with the pricing getting normalized, we can see that during this quarter, they will get normalized, and hence, volumes in those channels w ill come back.

Vipin Kataria : Yes. So just to add to what Rakshit is saying, Vipin Kataria this side, So if we split up our business, 75% of our business is basically retailing or B2C and 25% is B2B or wholesale. Now our retailing business, which is basically urban as well as e -commerce, modern trade, out -of-home has done fairly well.

But we have a gatekeeper effect in the B2B or wholesale, which is impacted because of this entire GST transition and the dual pricing. And that's where we saw some pressure and that's normalized the growth a bit. But I think we stay at high single, close t o double -digit growth in domestic, and the consumer confidence in the retail part of the business still remains very strong. Whereas the B2B or the wholesale part is where we have a bit of impact.

Rakshit Hargave : Yes. And this B2B and wholesale and rural part is anyway going to normalize, and it should get normalized in this quarter as we move on.

Mihir Shah: Understood. So Rakshit, the confidence of normalization is coming from the other competitor, which had not moved to the INR 5 and INR 10 packs. So, any confirmation if you can share wit

h us?

Rakshit Hargave : Yes. So the market is moving. You see also what has happened is the West Asia conflict has introduced inflation, and hence, people are anyway moving to the INR 5 and INR 10 price point

and hence the market should stabilize. And like Vipin said, in the non INR 5 and INR 10 segment, we are growing in healthy double digits. So you see biscuits is a unique category. I'm sure that you're also looking at the results of other companies.
The INR 5 and INR 10 from a consumer point of view, from a price point doesn't really get impacted, and hence, that market behaves a bit differently and is also highly dependent on how the trade reacts and how the trade stocks you. But the rest of our portfolio is growing in healthy double digits, and we are very confident that in very short period of time, these channels will also come back to normalcy.
Mihir Shah: Understood. Sir, the high single, early double -digit growth that you indicated was not for March, right? It is for April, I would assume?
Rakshit Hargave : Yes, It was for the first 2 months. And then in March, because of our inability to supply from West Asia, that low growth of that market, actually the business from that part was actually negative for the whole quarter, pulled us down.
Mihir Shah: Got it. So, it seems like you've addressed both the issues or kind of almost there. Any indication of how April and May is shaping up, early days for May, but April has shaping up from that growth point of view?
Rakshit Hargave : So, I would not want to give details, but we are quite confident that by the end of the quarter, the market would quite likely stabilize on the domestic front. And like we said, on the West Asia front, we have anyway taken measures to ensure that the supply c hannels that we have now are not dependent on the Hormuz Strait. So, we are quite confident that we will do better this quarter.
Moderator : We have a long queue. Can I request to come back for a follow -up, please? Next question is from the line of Abneesh Roy from Nuvama Wealth.
Abneesh Roy : My first question is on the pricing bit. You did say that Parle and other local players will now soon vacate the INR 5 or INR 4.5 and INR 9. In fact, I see Parle still selling at INR 9 on Amazon and e -commerce as we speak. So maybe it is still work in progress. So specific question was what kind of pricing you will need? If local players are vacating INR 4.5, INR 9, you will also need the price hike or maybe grammage cuts.
If you could tell us what kind of grammage cuts or price hike is needed as of now? Have you taken some corrective actions already? Because most other FMCG companies have already taken 3% to 5% price hike as we speak. So, if you could give that clarity because in your case, wheat is deflationary and maybe cocoa, etcetera, are deflationary but lot of other things are inflationary. So, if you could give some sense for pricing.
Rakshit Hargave : Yes. So, like we said, wheat is a bit deflationary. But like we said, fuel is highly inflationary, laminate is highly inflationary. So let me answer both the parts of your question. So, we see that many of our other biscuit colleagues are moving towards to the full price points, and that is happening gradually as we see.
On the other part, yes, selectively, we will have to take price increases, and this includes both

grammage adjustment and some of the packs which are above INR 10, some kind of a price increase. So, both of them are factoring.
Abneesh Roy : Understood. Second and last question will be on local players. Other FMCG categories are telling us because of GST rate being lower to, say, 5% in most cases, compliance has dramatically improved. So, if you could tell us in biscuit this was a key benefit. So, ex of whatever IN

R 4.5, INR 9 coinage issue is there, is there a compliance big improvement?
Second is you said you don't sell much of INR 5 and INR 10 on e -commerce. I do see Parle, I have personally also ordered, and right now also, Parle INR 9 is available on Amazon, quick commerce and some of the other e-commerce. So, are you a bit under -indexed on INR 5 and INR 10 on quick commerce? So, is that something you would want to change?
Rakshit Hargave : Abneesh, no, no. What I need to say is compared to the other channels, the INR 5 and INR 10 sells lesser on e -commerce. Obviously, I don't think any of the channel partners will come back and say that Britannia did not supply or did not run programs on INR 5 and INR 10.
So, what I'm saying is the channel contribution of e -commerce towards these lower price points is much lesser. From a compliance point of view, I think the 5% GST rate will anyway help in compliance, and I don't see an issue there. So, the issue of compliance not improving or changing from the INR 18 to INR 5 price point is not a question for us.

Vipin Kataria : So Abneesh, on the first point, Abneesh, see, we do not proactively push INR 5 and INR 10 on the e-commerce business because the natural disposition of a consumer is to buy premium and impulse, and that's where we have the entire game of upgrading the packs or upgrading the brand. So therefore, we do not actively promote INR 5 and INR 10.
The second point on that is that it also leads to a lot of channel conflict, right , And for us to thrive in this omnichannel world, it's very, very critical that we have different assortment being focused for different channels.
Abneesh Roy : Just one clarification. That is my last question. When you say you don't push, what does it mean? For example, I can't see INR 5 and INR 10 on e -commerce based on whatever I have checked .
So, you can correct me. Not pushing means no discounting. Is that what you mean? Because I don't see availability also ?
Vipin Kataria : Yes. So basically, it works on algo, right , so, I can't see what you can see on your phone, right , But basically, the algo would be based on incentives. And if there is a discount, right, you will see them right up on your screen. So, we do not actively promote them, and therefore, it is only through search mechanism, or if you have bought it previously, that it will be visible. Because there's no point actively promoting these packs. It's always better to put your money behind the premium packs.
Rakshit Hargave : Yes. But if anybody wants to complete a basket and also wants to buy packs of INR 10 and INR 5 of Britannia, they will be available.
Moderator : The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora : Just to understand that dual pricing issue. Competition was selling pack for INR 4.5 and INR 9.
So does it say -- retailers, I believe we're making higher margins on their packs versus your packs. So, is that the main cause and let's say, because of that, like you could have lost some market share in the interim?
And is it fair to say that now that, let's say, the prices have been reinstated at INR 5 and INR 10, let's say, that situation normalizes and the benefit of GST rate cut which are already visible in other categories, will be visible for you only in FY '27? Just to get an understanding of this issue right now.
Rakshit Hargave : Okay. So Kunal, you are asking two questions. So, you see, the benefit of GST rate cut will be more visible in packs which are of a higher pricing configuration because the consumer sees that, okay, something was INR 50 is now INR 44, or as it has happened in other companies and categories where you have INR 50, INR 70, INR 100, INR 150 packs where the difference is noticeable. On a INR 5 and INR 10 biscuit, it is not visible so perceptibly because usually wha

t
happens is that the consumer buys because it's selling at a particular price point, okay .
Now in your first question, in terms of some of the competition selling at INR 4.50 and INR 9 and some of the wholesalers wanting to give more preference, from a market share, let me point out that the price realization is also for those players, INR 4.50 and INR 9 versus INR 5 and INR
10.
So, from a value share point of view, if you look at that, I don't think it would make much of a difference. And our own workings on a value share say that the difference is not there. But yes, it could be from a transaction point of view some wholesalers and rural markets would probably want to stop that more because they see an opportunistic moment where they can make a higher margin.
Kunal Vora : Understood. And does it mean that, let's say, what was not visible in your case, which is benefits of GST rate cut in second half, could be visible in FY '27?, Like maybe if you can share your views on how FY '27 looks like in terms of both growth and margin.
Rakshit Hargave : See, in the medium to longer term, the GST rate cut is obviously going to benefit the industry, and Britannia being a leader is also going to benefit that maybe even more. We know that the brand strength that we have and the portfolio that we have across price points will have a positive impact because of this reduction in GST.
Now as far as the INR 5 and INR 10 price points that you talked about, with the pricing stabilization, we obviously expect that the channels where we may have felt a bit of pressure will come back to normalcy. And our team is very confident that during the course of the quarter, that mov ement has already begun and should stabilize.
We also know that the biscuit industry starts to have a sequential growth from June onwards when monsoon starts to hit and when children start going back to school. So, we expect those things to start rolling in along with this price of the dual pricing going away as a very positive for us.

Vipin Kataria : Yes. And I think the true parameter is this B2C business, which is 75% like I called out, which is growing at a very good -- healthy clip. So I think that gives us the confidence that as this GST transition and the dual pricing is fading out, even this B2B of 25% of our business will start moving up.

Moderator : Next question is from the line of Avi Mehta from Macquarie Capital.

Avi Mehta : Given this kind of clarification that the fuel pricing is likely transitionary and the fact that price hikes are also kind of being taken not just by the industry but by you, could you share your thoughts on whether you expect FY '27 to result in a stronge r sales growth than what we saw in FY '26 because of the pricing component? Or basically just trying to appreciate or understand the domestic demand environment.

Rakshit Hargave : So, you see, if we take a look at the domestic demand environment, we also have to see how does the year move ahead as far as conditions which are not in our control. So say, for example, whether it is monsoon or whether it is the coming off seasons, they wil l go on as they are.

We are very confident that our portfolio, the strategy that we have in terms of creating demand, the higher advertising spend and the marketing investments that we are doing in the retail trade, along with the strategic levers that I showed you of our stra tegy on premiumization, on future platforms, on the Many Indias that we have created, we are quite confident that we will be able to generate demand and have a good year. But obviously, we have to execute that as the year goes on. But the team is extremel y confident that we will be able to manage the demand environment and come out on top.

Avi Mehta : If I may probe you a little bit more here, but when you say a good growth, basically, what I'm trying to understand is the pricing something that you believe will have a higher impact, price elasticity or your belief on how it would pan out is what I was t rying to garner. That was the key bit, and that's where the question comes from. Not from a numbers perspective, but just your thoughts on how you see pricing elasticity kind of panning out and, in turn, kind of flowing through growth rates for the industr y and for us?

Rakshit Hargave : So, say, for example, if the players are having to take a price increase, there has already been a price drop which has happened because of GST. So, I think you are coming back to a situation which is somewhat equal to what was there maybe 6 to 7 months back. And the demand situation at that time was quite good.

So, I don't think that pricing either a bit upwards or either a bit downwards is going to have any major impact from an elasticity point of view. This category is vibrant. There is a lot of action. And we are confident that even with the small increase in pri ce, which is being necessitated because of the conditions, the demand situation will remain fairly strong.

Avi Mehta : Got it, got it. And just a bookkeeping. What is the volume growth that we saw in the last quarter, 4Q? That's all from me.

Rakshit Hargave : So we had a volume growth of close to 5.5% upwards.

Moderator : Next question is from the line of Siddhesh Deshmukh from IIFL Capital.

Percy Panthaki : This is Percy Panthaki here. I just wanted to again talk about the top line and the demand. So, two sub -questions in that. One is, you mentioned that the dual pricing, especially in wholesale, et cetera, has been the problem area. Would you be able to give us some kind of rough idea, had that problem not been there, how much -- I mean, how much has that problem dampened the sales growth by? Is it like 200 bps, 500 bps, 700 bps? What's the order of magnitude of that? That's first part of the question.

And the second part of the question is that the large food companies that have reported, the other snacking categories like chocolates and noodles, they have sort of shown close to about 30% kind of sales growth in that. So, is it that the consumer behavior is shifting and the type of snacks that they want to sort of consume, there is a little bit of shift in the market share of snacking activity between different categories?

Because even if I assume that the biscuit category overall has grown a little faster than you have, it would still not be close to that 25%, 30% kind of mark that these other brands are growing at.

Rakshit Hargave : Okay. So Percy, thank you. So you basically have two questions. So obviously, if we take a look at the wholesale and the rural channels where this dual pricing has had an impact, so obviously, it would have impacted our sales. Now it is hypothetical for us to say whether it's impacted by 200 or 300 or 400 basis points. But yes, it did have an impact.

Now we also see transactions, and we can see that there has been an impact on transactions. What we are very confident is that with this price stabilizing, that 200, 300, 400, whatever you're saying, is the real number will come back to us.

Percy Panthaki : Maybe, Rakshit, if you can call out what is the kind of growth. Apart from this affected portfolio, what is the growth in the rest of the portfolio, that also could give us some idea of what the

growth is tracking at.
Rakshit Hargave : The rest of the portfolio which is not impacted, for example, if I take at rest of general trade, if I take a look at key accounts where I'm growing in healthy double digits, okay, If I take a look
at modern trade, I'm growing even stronger.
Vipin Kataria : E-commerce is...
Rakshit Hargave : Upwards of 50%. Modern trade is upwards of 15%, 16%. So where the consumer is interacting directly, as they used to interact directly also in th

ese channels before GST, our growths are very
healthy, which is why we are very confident that this is just a temporary blip. Now for me to put a number of 2%, 3%, 4% will be a bit challenging, but whatever is the loss or shortfall, will get recovered.
On your second question, see, I don't think snacking consumption shifts happen so dramatically that chocolates will start growing at 30% and biscuits will slow down. Obviously, what has happened is that the price elasticity of sales for these categories, t hey have benefited more from the GST reduction. So, if GST reduction is showing a noticeable drop in price because many of

these categories are independent of the INR 5 conundrum, obviously, growth will go up. We can also see for ourselves where we have packs which are still at higher price point, where some price drops have happened are showing a higher transaction value and a higher traction.
So, I don't think that the consumption shift over 1 quarter is anything to be read. I think it's a function that the true benefit of GST as it was supposed to be is reflecting on those categories earlier and much faster. But I don't think it has got to do any thing with a biscuit category versus
a different snacking category or a chocolate category.
Percy Panthaki : Got it. May I be permitted to squeeze in one more question?
Rakshit Hargave : Well, from our side, you're welcome. Up to the moderator.
Percy Panthaki : Just a quick one. The other expenses growth of 18% on a top line growth of only 7%, what is driving that?
Rakshit Hargave : So like we said, we are gradually also upping the investment in brand and advertising. So one of the reasons for that is that we have upped our advertising expenses from last quarter, and we will be investing more vigorously in our brands.
Moderator : The next question is from the line of Anand Shah from Axis Capital.
Anand Shah: Just a couple of questions. So firstly, on the d ual pricing and the Jan, Feb, March growth split.
So, this dual pricing did not have any impact in Jan, Feb and it particularly only impacted March.
And also, I mean, if you remove the West Asia impact completely on the international business, then would Jan, Feb, March, the core India business that would be steady or that was just throughout the months dragged by this …
Rakshit Hargave : No, Anand, I think -- there's an echo.
Moderator : Sir, I'm sorry to interrupt. Anand, can you mute your line, please?
Rakshit Hargave : No, Anand, I think you misread what we said. The impact of the dual pricing has existed through January, February and March. In March, we have to add the specific challenge coming from West Asia. So that's how we read it.
Anand Shah: So, if I then split it, so then just purely, if I remove West Asia, then normalized growth would be 9%, 9% for Jan, Feb, March, let's say, for example, I mean, it will be more smooth curve.
Rakshit Hargave : Yes, yes, and that would be the impact of dual pricing. So like in the earlier question asked by Percy, if hypothetically, there is an impact of that dual pricing, then if you add that, then that becomes a real growth.
Anand Shah: Okay. Perfect. This clarifies a lot. And just lastly, on the RM inflation you are seeing and the price hikes you've already taken, if you can just give a color on that.
Rakshit Hargave : I didn't hear you. On RM inflation. So like we said -- can you repeat your question?

Anand Shah: I was just asking on a broad basis, you give color on the overall RM, but as an index level, what kind of inflation you are seeing and what hikes you have already taken?
Rakshit Hargave : So like we said -- wheat is a positive for us, although like I said, in the last 1 month because of rains and some poor quality of wheat arrivals, the price has gone up. But about 1

month back,
so it was good. But it is going upwards. So wheat is going upw ards. Palm oil is also higher, although we are covered, but we know that palm oil has a connection with fuel prices. Sugar is more or less normal. We told you -- you're talking about raw materials so these are the three

most important raw materials.
N Venkataraman : Fuel. .
Rakshit Hargave : Fuel, of course. Fuel is a challenge for everybody. So, we use LPG, we use CNG, and the inflation on that is openly available in the market, which is also what we are having to pay.
Moderator : Kindly come back for a follow -up question. Next question is from the line of Arnab Mitra from Goldman Sachs.
Arnab Mitra : My first question was actually on the GST impact on price point packs. So Rakshit, what we have seen in many other food categories is because of the mathematics of INR 5 and INR 10 pack when the GST goes down, your net realization per pack obviously goes up as a company, of course, assuming transactions are same.
So, in my understanding, in noodles, chocolates kind of categories, there has been a significant uplift in value growth because of that. Should the same logic not play out in biscuits also whilst the price issue is over? Or do you think biscuits are already d ifferent, and therefore, if you give higher grammage, the transactions can actually drop in terms of the number of packs?
Rakshit Hargave : No. So, I think biscuits is also a bit impulsive and is also a bit planned purchase. So, if you are giving a bit more biscuit or a bit less biscuit, I don't think from a consumer transaction point of view, it has a bigger impact because it's a part of routine shopping basket, people keep buying it regularly. So, for our biscuit category, the GST change, I think, is very silent unless there is a dramatic shift where you have to reduce the grammage so much or something which becomes noticeabl e to the consumer, which is not the case here.
Arnab Mitra : Got it. So, my question actually was should you then not see a significant increase in value growth once the transition has happened? Because as a company, you would realize a lot higher on a per pack basis given the lower GST. And therefore, should we not see a much faster acceleration in growth as things stabilize? I'm not saying going back to normative levels, but should it not be significantly above normative levels given this dynamic?
Rakshit Hargave : So, you see, we are also positive that we will have a good realization. But because of the issues in the market in the last 4 or 5 months, we have not been able to see in what way this trend will move. But if it happens like that, we are happy that you brough t it to the fore.
Arnab Mitra : Got it. And my second and last question was on margins. So, given the cost pressures and also your initiatives on innovation and the strategy, is there any implication for EBITDA margins for

FY '27? Could you have some impact as you invest in these and also face cost pressure? Or do you think you have enough cost -saving efforts to mitigate these investments?
Rakshit Hargave : So, Britannia has a history of being very tight in its operations and very strong cost -effective program measures, which obviously have been put into fore. And obviously, when we spend, we will also be selective and try and put our marketing mix model in such a manner that while we invest more, we invest where our returns are better.
I think there are some learnings that we have from the past, and we will apply that. So, while, yes, the operating environment is tough, the fuel inflation, the laminate inflation is there for us. But the team is confident that within a certain band, we'll be able to manage it.
Moderator : Next question is from Nihal Jham from HSBC.
Nihal Jham : A couple of questions. The first is a clarification that when you've mentioned ex of West

Asia, is it that both the domestic operations was 9% or...
Moderator : Nihal, sorry to interrupt. Your voice is breaking. Can you come in a better reception area, please?
Nihal Jham : Is it better now?
Moderator : Slightly.
Nihal Jham : Rakshit, my first question was a clarification that could you clarify that when you mentioned the 9% number, was that the growth for the domestic operations for the Q4 quarter and the impact on the consol growth of 3% was because of the international impac t of West Asia?
Rakshit Hargave : So, like we said, the domestic business was growing at more or less close to 9%, 9.5%, which we have said. And the small pressure that we had in the month of March was only because of West Asia. And going back to the questions to previous back, to this domest ic growth of 9%, 9.5%, you have to add whatever basis points we have lost potentially because of this dual pricing in these particular channels. I hope that answers your question.
Nihal Jham : That does. The second was that, obviously, in your presentation, you were reflecting the cost based on the current inventory that you're holding. Just to understand, based on the current inflation because, obviously, the spot prices are much higher than what raw material may be holding, what will be the ballpark inflation that we are facing right now?
Rakshit Hargave : So you see, in terms of palm oil, we are covered for the next 5 months. And I think we have a favorable rate against the market. Also on wheat, we are one of the most proactive and aggressive buyers and we have a good reading of the market. So also on whea t point of view, the inventory that we have right now for the next, I believe we are now already covered for about 5.5, 6 months

is also at a price which is attractive even if you had the carrying in the inventory cost. So the inventory that we are holding right now is a favorable one.
Moderator : Next question is from the line of Vivek Maheshwari from Jefferies India.

Vivek Maheshwari : Two questions. My first question is again on the volume growth bit. So Rakshit, this volume growth number, 5.5%, is in terms of grammage, right? In terms of total grams or whatever kgs, tons?
Rakshit Hargave : Yes.
Vivek Maheshwari : So, if you look at price point packs, 65% and the fact that GST rate was cut quite a bit, that itself would have given like more like 7.5%, 8%. So in terms of number of packs basically, there would be a reasonable decline in this quarter. Is that fair?
Rakshit Hargave : So, like we said, a lot of the INR 5 and INR 10 packs sell in the wholesale and rural channels and we can see a result of stress in number of transactions. So your observation obviously is correct, which we are very confident will get corrected as we go ahead in the next few months.
Vivek Maheshwari : Okay. And is there anything on the competition side, Rakshit? Because there was an interview in the media from number 2 player, which had double -digit volume growth and all. Do you see -- I mean, if you have -- so two parts, one is, on the competition side , what are you seeing? And second, difficult choice, but if you have to make between let's say, growth margins for you versus market share, how will you design your strategy from the next few months perspective, if there is something like that?
Rakshit Hargave : So, you see if the number 2 player has said that they are experiencing double -digit growth, then obviously, it could be that they have had a certain volume advantage in these particular channels, which could have happened.
Vipin Kataria : Our understanding is that the 25% for us is as close as 40% for them. So they would have got the advantage, yes.
Rakshit Hargave : And secondly, choice between market share and margin. I think we have to keep going stronger on market share, but like we said that we are also adept at managing margi

ns. So it is a careful orchestra which we will play very nicely. It is all I can tell you .
We don't want to compromise on what we have.
So, we will be much more smarter in our allocation funds, marketing where it makes an impact.
So, there's a lot of work happening. And we have growth ambitions, but we will also be able to manage the margin profile.
Moderator : Next question is from the line of Tejash Shah from Avendus Spark.
Tejash Shah : Rakshit, on the strategic pillars that you have called out, and you partly answered the question, but the hallmark of Britannia for the last 10 -plus years was relentless focus on cost efficiency. And then that consequence was margin expansion. So, the sense that I got from your commentary so far is that we have reached a scale where we need to reinvest in brands and operations. So, should we say that the band that we are currently is a very comfortable band, and from here on, the nonlinearity t hat we saw past decade wouldn't be at least in the near future?

Rakshit Hargave : So, let me answer the question in this way. The relentless focus on cost and efficiency is now ingrained in the DNA. And even this year, we have a very aggressive plan to do that. But we also realize that we have to create new pillars for growth, and this includes, again, investing in our brands, premiumization, creating new verticals for growth, readdressing India in the way we want to address as Many Indias. So, all that will get added to the fact that we will be very sharp on our cost an d the efficiency program.

So it's not -- but yes, like we said, as we move ahead, you will need to see new growth vectors for us as we also want to move is a more complete foods company.
Tejash Shah : Okay. And then just the extension of the point that you made, and that's a part of the strategic pillar also, that innovation adjacency and future platforms. So should we interpret that Britannia will be adding more platforms? Or we believe that because th is ambition has been there for a while but scalability has not come through, so all the adjacencies that you need are already on the table? Or you'll add more platforms in terms of expansion?
Rakshit Hargave : So, we will be adding more platforms, and you will hear about that because I think we have to broad base ourselves and there are new opportunities, and I think we need to address those new opportunities in the way that Britannia would want to address them. So, you would hear about

them in the future.
Vipin Kataria : Plus, I think we also spoke about some of the signature brands that we have. And those are certainly underleveraged, and that's what we will also need to amplify along with the new platform.
Tejash Shah : And do you believe that this can be done organically? Or like many of your peers, you will also go inorganic way to bridge the gap?

Rakshit Hargave : Can you come again on that? Inorganic play is a part. See, we have not been -- we have not done that, but there is active scanning and there is a very serious intent. But like we said, what we want to acquire has to tick a few boxes for us. Number one, it has to help us do something new.

It has to help address a consumer need which we are not addressing or it has to get us some skill or technology or capability which we don't have. Where it ticks some of these boxes, we will be ready. And like we said, we also have created a new platform o n health. So that also would be an active consideration as we will expand this in the coming months.

Moderator : Ladies and gentlemen, with this, I now hand the conference over to Ayush Agarwal for closing comments.

Ayush Agarwal : Thank you, everyone, for spending time with us on the call today. We look forward to interacting with you again in the future. Thank you, and have a good day.
Rakshit Hargave : Thank you.
Vipin Kataria : Tha

nk you.
Moderator : Thank you very much. On behalf of Britannia Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.